

Sapphire Foods (SAPPHIRE)

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Call: May 2023

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Sapphire Foods India Limited
(formerly known as Sapphire Foods India Private Limited)
CIN: L55204MH2009PLC197005
Date: May 17, 2023

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q4 FY23
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Friday, May 12, 2023, in relation to the financial results of the Company for the quarter and year ended March 31, 2023.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2022-23 Quarterly section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited
Q4 FY '23 Earnings Conference Call.”
May 12, 2023

MANAGEMENT : MR. SANJAY PUROHIT – GROUP CHIEF EXECUTIVE
OFFICER AND WHOLE-TIME DIRECTOR – SAPPHIRE
FOODS INDIA LIMITED
MR. VIJAY JAIN – CHIEF FINANCIAL OFFICER –
SAPPHIRE FOODS INDIA LIMITED

MODERATOR : MR. NACHIKET KALE – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Sapphire Foods India Limited organized by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nachiket Kale from Orient Capital. Thank you and over to you, Mr. Kale.

Nachiket Kale: Hello. Good evening, everyone. Welcome to the Q4 and FY '23 earnings concall for Sapphire Foods India Limited. Representing the management on call, we have with us Mr. Sanjay Purohit, Group CEO and Whole-Time Director; accompanied by Mr. Vijay Jain, CFO.

I hope everyone had a chance to go through the results and the investor presentation which was uploaded on the exchange earlier today. Before we proceed, a reminder that this call may contain some forward-looking statements, which do not guarantee future performance and involve unforeseen risks. A detailed disclaimer has also been published in the presentation.

I would now like to hand over the call to Mr. Sanjay Purohit to take over. Over to you.

Sanjay Purohit : Good evening, all of you. Thank you for joining this call. This is our second annual results presentation since the IPO. And therefore, firstly, we wanted to place our 2 years score card in front of you and then we will talk about the quarter 4 performance.

I'm referring to Page number 6 on our deck. FY '23 has seen our best-ever annual performance.

So, we delivered our highest revenue and in a growing company, I understand we will always deliver ever highest revenue every single year. So, INR22.6 billion is the revenue that we delivered for the full year, but also from an adjusted EBITDA sense, we delivered INR2.6 billion and our highest margin of 11.7%.

The same thing is with respect to our adjusted PAT. And we had a deferred tax credit of INR125 crores this quarter. But removing that, we delivered our highest-ever adjusted PAT of INR1.4 billion at 6.2% PAT margin. We also had our highest ever new restaurants addition of 164 new restaurants, KFC, Pizza Hut and in Sri Lanka. It was the best ever year for KFC and Pizza Hut India, both from a revenue and from a restaurant EBITDA percentage.

And even in Sri Lanka, despite all the challenges that the country has faced, we were able to grow revenue in Lankan Rupee terms by 48%. And despite 100% inflation, our restaurant EBITDA remained flat in LKR terms. And today, we continue to remain the number 1 QSR brand in the country.

Now talking about our quarter 4 numbers. Our quarter 4 consolidated sales of INR5.59 billion.

We grew it by 13% year-on-year. India restaurant sales within that grew robustly at 23%. And therefore, the Lanka business contributed to the gap between 23% and 13%.

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Same-store sales were, however, challenged, as we have continued to experience post Diwali '22. And you would have read that our GDP growth rate dropped from 7%- plus in April in the first half to 4.4% in October-December.

I'm quoting these numbers just to indicate that at a macro level, demand conditions were tough, but we believe that these such conditions are actually opportunities for us. What do I mean by that? Generally, consumers revert to trusted brands in a tough macroeconomic condition. And we believe that the 2 power brands that we have got, KFC and Pizza Hut, we can gain differential momentum if we launch a robust marketing and activation calendar.

So starting April itself, both brands have launched both a strong product innovation -- strong product innovation

as well as increased marketing investments, and I'll talk about that in a minute or 2 minutes. Consol restaurant EBITDA remained flat year-on-year in absolute terms. Margin was 16.2%, down 210 basis points over last year. Again, primarily due to the adverse Sri Lanka impact, India restaurant EBITDA grew in absolute terms by 19% and margin was 16.5%, down 50 basis points primarily due to Pizza Hut.

Our consol EBITDA post IndAs was INR1.03 billion or 18.4% and that declined Y-o-Y by 1% down 260 basis points. Our consol adjusted EBITDA was INR56 crores or 10.1%, which declined year-on-year by 11%, and largely on account of the Sri Lanka impact. Consol PAT

came in at INR136 crores or 24.2%, due to a deferred tax credit of INR125 crores in this quarter.

Consol adjusted PAT before this DTC, Deferred Tax Credit, is INR187 million or INR19 crores, 3.3% in quarter 4 of FY '23.

While consumer demand, like I said, in India has remained a little muted over the last few months, we believe that this is a near-term concern only and we have continued our pace of expansion in quarter 4 FY '23 with a total addition of 28 restaurants, 16 KFC and 12 Pizza Hut and none in Sri Lanka, where we are adopting a more cautious approach on our new restaurant

expansion in the next 12 months.

Now we will cover the business or the performance of our 3 business verticals. And I'll first start off with KFC. I'm referring to Slide number 20, where we wanted to give you an idea of what are the brand priorities that we are driving -- what are the brand priorities that we are driving. Firstly, I'd like to say that these are the brand priorities that we drive jointly with YUM. And our first priority is to enhance fried chicken category relevance. While KFC is synonymous with fried chicken, we would like to grow its relevance with Indian consumers, and this is largely a marketing and communication task. Among all related QSR brands, KFC scored the highest on taste. And therefore, enhancing up our, what we internally call, craveable taste credentials is an important priority.

While core product innovation remains the largest contributor, we also look at other innovations, and I'll give you examples that we have run through the day. So Chizza is a core innovation, whereas we have done a chicken popcorn with Maggi or popcorn Nachos in the year that has gone by.

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Thirdly, value is absolutely key in the QSR industry, both entry value and abundant value. And while our bucket options offer the consumer abundant value, we are very, very excited with the launch of chicken rolls in April. This price point starts from INR99 onwards, and we have seen very good traction behind this launch in April. We are sure that it will contribute to driving transactions on the brand and increasing our snacking day part.

The fourth priority is to ensure that the customer has as frictionless an experience as possible. And we are making a big play with our digital kiosks that we piloted in about 16 restaurants last year. But this year, we will be upping that significantly.

I have spoken about our operational excellence initiative of 7 minutes or free chicken. Our scores are in the high 90s here, which means that we are -- and this is an important driver of customer satisfaction.

And finally, we believe that accessibility is also critical to driving demand. And we continue to implement towards our ambition of doubling the store count in 3 to 4 years' time. This year, we have launched -- this year, we have opened a record 78 stores of KFC in the year.

Vijay Jain, our CFO, will now take us through the KFC numbers.

Vijay Jain : Yes. I'm starting on Page 28. With SSSG of 2% in quarter 4 was partly impacted by the soft demand conditions, which continued post Diwali and also partly by the fact that Navratra festival, this time shifted to March vis -à-vis last year was

in April.

This 2% in SSSG has also come on the back of with additions of 78 additions in restaurant count, that is 30% additions in the last 1 year. Overall revenue grew by 24% to INR369 crores. And annually, we delivered approximately INR1,450 crores revenue on the brand, which is growth of 40%.

Gross margin for the quarter, while it dropped by 110 basis points, there was a sequential improvement of 30 basis points on gross margin. And if you compare to quarter 2 of this financial year, the total gain sequentially has been 120 basis points on gross margin. So definitely, we have seen some cooling off on inflation and that improvement in gross margin over the last 6 months shows it.

Restaurant EBITDA was at 19.1%, despite a low SSSG of 2%. This is on back of cost efficiencies that we were able to deliver 10 basis points improvement vis -à-vis last year. And

overall, on KFC, we had the best ever year with 78 store additions that's highest ever, revenue growth of 40% and highest ever EBITDA percentage of 19.4%, which is up by 70 basis points.

Sanjay Purohit : Going now forward to Pizza Hut. We had an excellent first half on Pizza Hut. And with the slowdown that we have seen post Diwali, perhaps it impacted Pizza Hut slightly more. Our SSSG is negative. However, importantly, our SSTG, same-store transaction growth, is positive because we believe because of the big value play that we have made. But I'll talk about that in a minute or so.

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I think importantly, when we look --so I was saying we had an excellent first half on Pizza Hut, and we believe that we've got all the levers of the consumer proposition on Pizza Hut in place and the brand competes well in the category. And while the last 6 months have been slow, we are quite confident about the prospects of this brand.

So our first task on Pizza Hut is to build top-of-mind awareness. We find that -- so apart from

digital advertising, we have -- first time we are on mass entertainment television also. And we intend to sustain this marketing presence for the -- we intend to sustain this marketing presence going forward.

The marketing campaign, which you can see in Slide number 35, employing 2 celebrities, Saif Ali Khan and Shehnaaz Gill, broke on April 20 with the launch of our 10 new pizzas. And that's the second priority that I wanted to talk about that Pizza Hut has Taste leadership in this category. And with the rise of competition, I think it's extremely important to reinforce what a great pizza tastes like.

And therefore, the launch of 10 new pan pizzas in April, new -- 2 new pastas, we have expanded our garlic bread range with a keema garlic bread. Also, the new pizzas are very flavorful, very moist and again, consumer reactions are positive on this.

Value, like I said earlier, is also important and flavor fun continues to do well. And today, we -- today, Pizza Hut offers as good, if not the best value in the pizza category. And therefore, it goes back to -- with taste leadership and value, it goes back to the first priority that we have to enhance the top of mind awareness of the brand as we go forward. And invest in both television, digital and higher marketing spends.

Frictionless customer experience is our next priority. So apart from the native Pizza Hut app launch, which happened earlier in FY '22, we also launched a self-ordering QR code-based dine-in digital solution, which has also got good response from consumers. Operational excellence is our fifth priority, and we are using technology to simplify our back-end operations.

So we have invested in 2 technologies : Dragontail and Hu tBot to help us drive operational excellence. And like on KFC, accessibility is very important. We are on track to double our store count in 3 or 4 years. And what is going to aid us in this process is the launch of a 1,000 square foot model with the same

number of covers as a 1,200 square foot model, which means that we have tightened the back end. And this, we believe, can work to increasing density of our stores in the larger towns.

I'll hand it over to Vijay for the Pizza Hut numbers.

Vijay Jain: Yes. I'm on Slide 42, on average daily sales. So SSSG was minus 4% for the quarter. And as Sanjay mentioned, the SSTG, the same-store transaction growth, continued to remain positive.

And -- so that's the happening part.

67 store additions in the last 1 year, that's 30% on a previous year's base. Overall revenue grew by 18% to INR122 crores for the quarter, and gross margins dropped by 50 basis points. That's also a sequential drop of 10 basis points.

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Our restaurant EBITDA came at 8.6%, which is a drop of 290 basis points over previous year. This was largely on account of the negative leverage or the operating deleverage we get because of the lower or negative SSSG.

However, having said that, the overall year, while H2 was soft -- H1 was great for the Pizza Hut, H2 was slightly softer. But overall, we still had the best ever year for Pizza Hut with highest ever store additions of 67, revenue growth of 41% and highest ever restaurant EBITDA margin of 13.3%, which is up by 190 basis points over last year.

Sanjay Purohit : A quick note on the Sri Lanka business. Today, operational constraints are few and far between in Sri Lanka. So from an ability to import cheese to availability of utilities, all operating conditions have largely normalized. The economy is also gained because of the IMF loan being sanctioned, India rolling over credit. So things have stabilized in the country.

Actually, foreign -- actually, the dollar rate has also -- the Sri Lankan Rupee has also appreciated marginally versus the dollar. So it used to operate at LKR 360 to \$1, now it's operating anywhere between LKR 320 and LKR 330. So the signs on Sri Lanka are positive from that perspective.

However, the impact has been very high on customer wallets, and we are seeing big transaction drops on the brand. We have lost transactions definitely. But with our omnichannel presence, with our delivery capabilities, with the kind of stores footprint that we have got, we continue to be the number 1 QSR brand in the country.

And Vijay will now quickly take us to the Sri Lanka financial.

Vijay Jain : Yes. So Slide 49, SSSG for the quarter was minus 3%. We had 19 store additions in last 1 year, that's 20% on the previous year's base. Overall revenue grew by 10% in Sri Lanka Rupees. In

Indian Rupee's all translation effect, it degrew by -- declined by 27% for the quarter.

The gross margin dropped by 390 basis points year-on-year and overall restaurant EBITDA was 14.2%. So while the SSSG has been challenging, what you can see, the settling down of the restaurant EBITDA in and around that 14% mark over the last 3 quarters, which makes us feel that this is probably the bottom what we are seeing in that country on the business performance at the restaurant EBITDA level.

From here onwards, we hope that over a period of time, we should be able to go somewhere around that 20% restaurant EBITDA mark, which we used to get a year back. So hopefully, over 12 months' time to 24 months' time, we should be able to go back to that particular level. Overall, 48% revenue growth in Lankan Rupees. And in spite of all the challenges, which Sanjay spoke about, the Lanka EBITDA in absolute terms has remained largely flat year-on-year. So that's the happening side. And we continue to remain the number 1 QSR player in that particular country.

Sanjay Purohit : So while closing, I want to say that we've had a tough last 6 months, but this is what the entire industry has seen, and there are overall weak consumer demand conditions. In the past, I have noticed that consumer behavior is such conditions always favor

s the trusted large brands, and
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they tend to do better in these conditions. And therefore, actually, we are looking at this situation as an opportunity.

Both KFC and Pizza Hut are quite well placed to perform differentially in this environment. All our consumer proposition levers are in place. And we have doubled down on both innovation as well as on marketing starting end of March and in April. The launch of chicken rolls for KFC and the launch of 10 new pizzas and appetizers along with flavor fun and the television campaign is really an indicator as to how we believe that we can perform well even in market conditions like this. That's all from us. We will now open it up to questions. Thank you so much.

Moderator: The first question is from the line of Jay Doshi from Kotak Securities Limited.

Jay Doshi: Sanjay, my first question is on the weakness we're seeing in pizza category. In the past cycles, we've not seen the kind of divergence between different QSR categories that we are seeing this time between KFC, Pizza Hut maybe even Domino's and burger. So what is your reading? What do you think is the problems of the category are?

Sanjay Purohit : Yes. So while the SSSGs are different, KFC is 2% SSSG and Pizza Hut is negative. From a transaction perspective, actually, it is a little opposite where KFC is negative transaction and Pizza Hut is positive. So I'm not sure whether that is -- that hypothesis actually bears out, Jay, that pizza category is doing either worse off or other categories are doing better off. We don't know what the other pizza brands will come in at.

But at this moment, I think it is largely secular slowdown that we believe is happening. And then when you factor in new store additions across different QSR brands, if you see the total system growth also you have to compare, because if one brand has perhaps opened less number of stores, it will impact positively on same-store sales growth. And in our case, over our base of last year, we've opened nearly 30% more stores, and therefore, we've always called out that our SSSG ambitions would be in the region of 5% to 7%. So I think it's not that pizza is doing worse off than other categories, is my submission.

Jay Doshi: Okay. Let me ask you one more on the same thing. What do you pick up when you talk to the aggregators, Yum being the largest partner for both Zomato and Swiggy. I believe you would be getting some color or intelligence on overall what they are seeing for this category on that platform? Is there a similar level of sort of weakness or softness on food aggregator platforms also? Or do you think there is some competitive -- change in competitive landscape with a lot of new brands eating into?

Sanjay Purohit : Yes. So in general, there is a softness that we see even on the aggregator platform and on aggregated deliveries. So in general, we see that. Specifically, there might be some brands with a higher level of discounting that might do a little better in the short term. And if we are consistent on our discounting, then there might be a little up and down. But I think, again, we are seeing this softness even with our aggregator partners.

Jay Doshi: But is that for Pizza Hut brand or is that -- you're referring to softness for the entire category?
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Sanjay Purohit : At least on both our brands, we see that.

Jay Doshi: Understood. One bookkeeping question there. What percentage of your delivery orders are now delivered within 30 minutes? Can you give us some color around it in terms of how delivery metrics have improved over time?

Vijay Jain : Right now for Pizza Hut, around 85% of our orders gets delivered within the 30 minutes' time.

Sanjay Purohit : Yes. And about 93%, 94% gets delivered under 40.

Jay Doshi: Understood. That's pretty impress

ive. Second question is, can you call out -- give us some color on your store opening guidance for FY '24 and capex guidance as well?

Vijay Jain : So again, Jay, we have refrained from giving our annual store opening guidance. As we have called out previously, we could double the count on the base of December '21 over 3 to 4 years, that remains we are on track, which converts to annual number of anywhere between 130 to 160 per year. So we are on track for that particular number.

As Sanjay said previously that we believe the softening is near term, so our expansion plans continue. If we see that this softer demand continues for a longer time or a longer period, at that point in time, we'll definitely recalibrate our approach. But at this point in time, we are on the track for that 130 to 160 range.

Jay Doshi: And what will be the capex for the year?

Vijay Jain : So again, as I said, we have not given out the total capex guidance for the next year. But for a per store basis, KFC is in the range of INR2 crores. It used to be INR1.9 crores with the inflation. It's now more around INR2 crores for KFC. Pizza Hut used to be around INR1.4 crores, now it's more around INR1.5 crores per store.

Jay Doshi: Right. So when I look at your FY '23 numbers and the store additions versus overall capex of INR380 crores. Ballpark, I get that about INR70 crores to INR80 crores is spent on refurbishment or some upgradations. So, is that being sort of a higher number than the normalized number or is that something that we should expect every year?

Vijay Jain : So roughly and again, I'm giving approximate number, roughly INR40-odd crores would have got spent on the refurbishment and the resizing and there would be included some major refurbishments as well. The balance will also be the maintenance capex as well as the IT capex, which we would incur and even the warehouse capex. So it's the combination of all those, but the refurbishment capex would be in the range of INR40-odd crores.

Jay Doshi: Understood. But is this something that we should model in or bake in every year or was FY '23 a year where this number...

Vijay Jain : Initially for the -- I think the next couple of years probably, yes, because these are the refurbishment capex of our legacy stores, some of the old stores, which were sized in the range of 2,500 to 3,000 square feet. But post that, we have been opening the tighter format stores. So

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we expect, as we move around 2 years, 3 years down the line, the per store refurbishment capex will certainly come down. Yes.

Sanjay Purohit : Also, Jay, our legacy stores are much older stores, and they have come up for their major refurbishment after 10 years. And that's why perhaps our per store costs are slightly higher. Our newer stores, we will see this cycle a minor refurbishment cycle, which is much lower in terms of capex per store as we go forward. But I think in the next 1 or 2 years, there is also a significant -- so once you do a significant upgrade, there is also an upgrade that you get on sales. So it does pay for itself over a period of time.

Moderator: The next question is from the line of Tejash Shah from Spark Capital.

Tejash Shah : A couple of questions from my side. Sanjay, you spoke about the divergence on trend between KFC and Pizza Hut. And you said that there's nothing specific to consumer sentiment, but when we just look at the way broaden number, like a country in Sri Lanka -- country in distress like Sri Lanka, having an SSSG of minus 3% and India having minus 4, obviously, on a low base, Sri Lanka is there, but still don't you think that somewhere either the resilience of our brand in pizza in Sri Lanka is much better or perhaps the distress that we are seeing on pizza as a category is much louder in India. How do you read that?

Sanjay Purohit : So Sri Lanka, the first half

of Sri Lanka because of the pricing that we've got was because of pricing that we took. So we would have taken nearly 50%, 60% pricing and in response to inflation, which was about 90%. And therefore, SSSG is minus 3%. Transaction decline is in high double digits.

So I don't think the parallels that you are drawing between Sri Lanka and India doesn't exist. The Sri Lanka business has got impacted much more significantly from a transaction basis than India.

Tejash Shah : Very clear. And you spoke about SSG being negative in Pizza Hut but our STG has been in positive territory. Does it mean that down-trading has actually played a very major role and you briefly touched upon it, but if you can elaborate, how should we think about that dynamic playing out in FY '24 going ahead?

Sanjay Purohit : So I think -- so this has been one of the key pillars of the Pizza Hut strategies, which was to pivot towards QSR kind of pricing. It first started off by us stopping our high low -- stopping our high, low discounting strategy in April'19 going to everyday value, then to meal options and finally, culminating in the launch of flavor fun.

Today, the kind of pricing and the average order value that we see on Pizza Hut is what we expect to continue as we go forward.

Tejash Shah : Yes. And if this trend has to continue, would you revisit -- so you spoke about that perhaps if this weakness continues for a longer period, you will revisit your store expansion guidance. But how long will it be that monitoring period? Will it be 6 months, 1 year or will you like -- will you respond a bit earlier on the store expansion guidance?

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Sanjay Purohit : So it is important to note, Tejash, that the machinery on new stores is not a switch on, switch off machinery. And many of the calls that we take have been baked in earlier. And hence, we are saying that we have to project calmness in this scenario. So we're -- I think over the next 6 to 9 months is when we would take a call on what we need to do from a store addition perspective.

Vijay Jain : Tejash, the current marketing plan and the new launches, which we have done will start playing out the results or we can start seeing the results over the next 3 to 4 months. And I think that's the time that how those marketing initiatives and the new product initiatives has gone through and maybe that's the time if the softness still remains, that's the time to probably rethink.

Moderator: The next question is from the line of Nihal Jham from Nuvama.

Nihal Jham : Two questions. First was on the Pizza Hut and KFC, you highlighted that while you've seen transaction growth in Pizza Hut, there has obviously been a fall in the average bill value, and is the opposite way, which is paid out for KFC and you've taken price hikes of around 9% to 10%.

As things improve or revive, which of these 2 would end up catching up faster or reviving further?

Sanjay Purohit : Which of these 2 from a...

Vijay Jain : Revive faster.

Sanjay Purohit : SSSG or transaction? I think...

Nihal Jham : SSSG perspectives, overall. Because there is a divergence in terms of how the SSSG stayed out for the 2 formats is different. One has seen a fall in the footfall, whereas the other one has seen a fall in the transaction value.

Sanjay Purohit : Yes. So if you look at the answer to that lies in the kind of price increases that we expect from going forward from here. On both the brands we are seeing inflation having cooled off, and therefore, pricing today will be very modest. And I think from here onwards, both SSSG and transactions will start to go in the same direction.

In KFC also the launch of our value -- entry value innovation, which is chicken rolls will help us in our transaction growth. In one simple adage that we try and follow is that transaction growth finally is the important barometer for a brand. And

and it's not only same-store transaction growth, but overall transaction growth also because our number of stores that we have opened also is quite high. As long as transactions are growing, the brands are in good health. And going forward, with inflation, cooling of pricing, then reverting to the kind that we have had in the past, I think both will start to see upward trajectory.

Nihal Jham : Just one follow-up to Sanjay, that in case of KFC, there are launches maybe at the value range of -- with the INR99 roll launch and all. That going forward, is there a case of the transactions come back and maybe similar to Pizza Hut the ADS maybe contrast a little or maybe the SSSG stays flat, irrespective of how the market turns out?

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Sanjay Purohit : Yes. So I think it's -- you've got to do both, Nihal. You've got to have innovations that are aimed at the brand loyalists and therefore, things like Chizza worked with the brand loyalists and you have to look at customer acquisition in innovation. So chicken rolls perhaps do a bit of both. They talk to the brand loyalists and give them one more reason to come to KFC.

But also because of their attractive price points, so they'll attract a new consumer. So I think we should see both SSSG and SSTG move up now through this launch. So it's not one versus the other.

Nihal Jham : Just one final question was on the store sizes for Pizza Hut. Ideally, you used to target 1,500 square feet kind of omni store sizes. Are the 1,000 square feet either -- despite, say, the lowest space on kitchen food serving, the purpose in terms of giving the omni experience, which, in a way, differentiated us, say, from our sister brand -- sorry, our sister company, which is opening more delivery focused?

Sanjay Purohit : Yes. So we are not doing 1,500 square foot stores, Nihal, first of all. We have done 1,200 square foot stores right across. This 1,000 square foot format does not compromise one bit on the front-of-house, it's dine-in experience. What we have seen is that because -- in the larger cities, through increased delivery cycles, we are able to crunch the back-of-house kitchen and a large portion

of the back-of-house kitchen goes into storage, both chilled, as well as frozen as well as dry. That we are able to crunch because we are in the large cities. So this format won't work if you're going to a slightly more remote city. So this is only to enable us to increase density.

Moderator: Next question is from the line of Percy Panthaki from India I nfoline.

Percy Panthaki : First question on innovations. These innovations which you have written in terms of popcorn pizza, -- sorry, Chicken Popcorn with Maggi, Popcorn Nachos and Chizza, these few months or weeks back were visible on Zomato, but now they are not. So have you withdrawn these launches? And if so, why?

Sanjay Purohit : Secondly, to answer your question, these are limited time offers typically, Percy. So there are some innovations that come and stay as part of our menu forever. And there are innovations that we run for a limited period of time. So chicken popcorn with Maggi and nachos was a limited time offer.

Vijay Jain : And for example, chicken roll is a permanent addition to the menu. So there are LTOs as we call internally, LTOs are a limited time offers, and there are some permanent additions to the menu.

Sanjay Purohit : Yes. So chicken rolls is a permanent addition to the menu.

Percy Panthaki : And what parameters or metrics do you use to determine whether it will be a permanent or a limited time offering?

Sanjay Purohit : Yes. So during the process of new product innovation, we would have tested with consumers, and there are parameters that we use for acceptability, is there a new occasion of consumption and what need does it serve. After looking at much of these parameters, then we decide whether it is a li

imited time offer or a permanent offer.

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Finally, also importantly is while we will do all of this testing, performance in the marketplace is really important. And we mi ght -- so that's the final determinant.

Percy Panthaki : Okay. Also on the same topic of innovation, just something I noticed was that a company like McDonald's, most of the innovation in recent times are towards the premium and their gourmet burger variant s are actually what is driving the SSSG in a meaningful way now. Whereas, I see that our innovations are largely towards democratization, affordable price points like chicken roll at INR99, flavor fun pizza, et cetera.

So just wanted to understand why the differential thought process? And does this really help in this kind of an environment where, for example, flavor fun pizza, whatever gain you've got in terms of attracting new users or transactions the detriment in terms of down trading has actually more than offset that. That explains the negative SSSG at a net level.

So just wanted to understand if probably this could have been launched at some other time when the situation was more normal and not stressed like this?

Sanjay Purohit : So first of all, Perc y, innovation is a long game. So this is not a quarter -on-quarter gain. And at a period of time, you are seeing both the brands launching value innovation. So this is coincidental. This is, like I said, a period of time that you've seen this innovation. There's no grand plan that either both of these brands will only launch value innovation. So that's the first thing that I would want to say.

In fact, the April innovations on Pizza Hut, and it's just not a topping -- I'd invite you to go and try the product out, but mouth feel, et cetera, has substantially improved. There's much more moistness in the pizzas. And so while we are saying 10 new pizzas, actually, this is our core range that has got completely re-done.

So -- and again, brands have different objec tives at different times. Largely, you're trying to appeal to the brand loyalists and when you're appealing to the brand loyalists, premiumization is an important factor. So Chizza, for example, does really well with the premiumization aspect that we want to d rive with the KFC brand loyalists.

And at times, you also want to expand the consumer base, and therefore, rolls plays a good role. It also plays a very important role in expanding the usage occasions for the same KFC brand lines. So give him or her an occasion to come, say, between 3 and 6 and snack on our products and so on.

Percy Panthaki : Right. Got it. And finally, just wanted to get some idea on this Pizza Hut margins. So this time, we had a negative 4% SSSG and the margin is around sort of 8.5%. Assuming that -- I mean, in the near term, for the next 2, 3 quarters, if let's say our SSSG comes to a 0% kind of a level, what kind of margin range we'll be looking at? Will it be like 10% to 11% will be a fair number to look at for the next 2 to 3 quart ers under an assumption of 0 SSSG?

Vijay Jain : So again, Percy, I would not comment on the next 2 or 3 quarters percentage. But yes, if your negative SSSG comes to flat or starts going to positive, we should come back to double -digit restaurant EBITDA.

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Sanjay Purohit : It's also a factor of ADS, Percy, that it went down to 50 ADS. So it's also a factor of that.

Vijay Jain : But yes, SSSG becomes neutral or positive, it will be on the last year's SSSG in H1, which was pretty healthy ADS. So you are right, if you are able to get it neutral or positive, it will come back to the double-digit restaurant EBITDA levels.

Moderator: Next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: So when you set out into this quarter or maybe you were in the middle of the quarter, were your

expectations lower than what you've actually delivered, especially on the Pizza Hut side? So in other words, has March, despite the difficult base, has March surprised you slightly positively? And if you could also comment on how 1Q has been until now, that will be very helpful?

Sanjay Purohit : So I don't think March was any better or any worse on Pizza Hut. I think it continued in the same tradition in the same manner. Quarter 1 generally sees an uplift in absolute terms from the Jan - March quarter, and we have seen an uplift. But I'm not going to -- it's really too early to talk about quarter 1.

But the general movement that we see from Jan, March into April, May, June, is what we have noticed this year. But on the base that we were delivering in -- we are delivering in April, May, June. In the case of KFC, March was muted because 9 days of Navratra and Ramadan, all impacted us in March significantly.

Saurabh Kundan: Right. Second, very quick question. What is the non-cash component of corporate overheads this time or for the whole year?

Sanjay Purohit : Sorry, just repeat that.

Saurabh Kundan: What is the non -- what is ESOP part of the corporate overheads this quarter or for the whole year?

Vijay Jain : ESOP cost for the year would be anywhere between 0.7% to 0.8% of revenue.

Saurabh Kundan: Right. Just a last one, if I can squeeze one in. Another QSR player reported and although the raw material profile is different, but they reported like a very large expansion in gross margin. Can you comment on what drives this difference? For both your formats you've seen a drop in gross margin year-over-year versus like 300 basis points plus increase for the other player.

Sanjay Purohit : So sequentially, KFC has improved. On Pizza Hut also the only pressure is on dairy right now.

Vijay Jain : So again, both the key components of each of our brands. So one is chicken for KFC saw the highest ever inflation in H1, in particular. And since then, we have seen some cooling off and some recovery. Again, oil is a very big component for us and chicken.

On Pizza Hut, dairy probably amongst all commodities and not just for pizza, as a category, but dairy amongst all commodities have seen highest ever inflation. And that's probably the reason for why our -- both the brands would have seen a negative or a drop in gross margins.

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Having said that, in spite of a drop in gross margins, as we said, we have reported an improvement in restaurant EBITDA margins year-on-year for both the brands. On the other side, while I should not comment on the other competitor. But we believe the catering business would be high -- typically, catering business is a high gross margin business.

And that could be a mix, which would be a play. Also, I heard in the commentary that there was some reclassification by them on some processing charges from the cost of goods sold to other expense line. But again, very difficult to comment on their side.

Moderator: Next question is from the line of Devanshu Bansal from Emka y Global.

Devanshu Bansal : Congrats on big menu revamp and associated marketing. Sir, for KFC, last year ADS was about 145,000 and we have exited Q4 with about 127,000. Similar trends go for Pizza Hut as well. So is it correct to assume that the SSSG outlook that you have mentioned is a combination of declining first half followed up by a strong turnaround in second half?

Vijay Jain : And you're referring to which outlook? I think you're referring to the 5% to 7% comment which Sanjay have made. But that's a comment we would have said, you would have heard Sanjay or me saying over a long-term 3 to 4 years scenario that, that's what we expect with the kind of growth ambitions we have in terms of store additions, which is doubling the count over 3 to 4 years.

We believe a 5% to 7% SSSG over a 3- to 4-

year period is a reasonable assumption to go. But

this does not indicate in any way what the next or immediate quarter is going to look like.

Devanshu Bansal : No. So even if -- I just want some sense as in last year for Q1, it was 145,000 and Q4 exit is at

127,000. So is this largely because of seasonality or we can see on a sequential basis such kind of a pickup in this quarter, which is going on?

Vijay Jain : ADS has 2 parts to it. So one is seasonality definitely. Also with the new store additions, typically, a new store for us would start anywhere at 75% to 80% of the overall brand average in year 1 and then takes 3 to 4 years to scale up towards brand average. So as you keep adding more and more new stores, which starts at 75% to 80% of the brand average, it impacts the overall ADS. So that's the reason what you have seen. Having said that, Q4, apart from seasonality, has also been impacted by Navratra in March quarter -- in March, month.

Devanshu Bansal : And what is the typical Q4 to Q1 since these are close around quarters? So I guess, what is the typical pickup in Q1 that you see after Q4?

Vijay Jain : Unfortunately, this movement in festival period can make it very difficult to predict at what has been the exact and apart from other than festivals over last 3 years, the COVID impacts from 1 quarter to other quarter, means that there is no specific trend which you can rely upon. However, generally, we could see anywhere between 5% to 15% upliftment in Q1 compared to Q4. But I'm giving you a very broad range and a big range as well. But difficult to say because of the last 3 years trend being marked by various incidents or various reasons.

Devanshu Bansal : And this applies for Pizza Hut as well, Vijay?

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Vijay Jain : Yes. Yes. Although Pizza Hut gets slightly less impacted by festival movements unlike KFC, but yes, you see upliftment in given Pizza Hut in quarter 1 compared to quarter 4.

Devanshu Bansal : Okay. And from a gross margin perspective, I just wanted to understand it better, if you could call out on an overall basket basis, so you indicated that dairy is up, while others are down. So on an overall basket basis, what is the current level of inflation that you're seeing in Q1?

Vijay Jain : So we believe that Q4 levels on gross margins, we should be able to sustain on those levels in the near future because the inflation has settled down both for the raw materials for both the brands KFC as well as Pizza Hut.

So I don't see any further impact on the gross margins in the near future. So what we are seeing is inflation in the range of 3% to 5%, but that we should be able to take care manage either through a price increase or other cost efficiencies, hence we should be able to sustain the gross margin levels in the immediate future.

Devanshu Bansal : Okay. Have we taken so far any price increase in...

Vijay Jain : So in KFC, starting this financial year, we have taken a roughly 3.5% price increase starting April.

Devanshu Bansal : Got it. And sir, last small bookkeeping question. So these growth investments toward marketing in this Pizza Hut, many of you've done. And this also lead to some margin impact or this is handled by the master franchisee.

Vijay Jain : So we are definitely increasing the level of marketing investment from the current levels. However, whether this would impact the restaurant EBITDA, we believe if typically, the increase in sales should pay by itself.

Sanjay Purohit : Yes. Is there any -- Devanshu, you said master franchisee -- I'm sure you meant the Yum right?

Devanshu Bansal : Yes, yes, yes.

Sanjay Purohit : Yes. Okay. They're not -- they are the brand owners. Yes.

Devanshu Bansal : Yes. Sorry.

Sanjay Purohit : Yes. Can we move to Shirish, if you're through, Devanshu? Did we answer Devanshu's question?

Did we answer your question, Devanshu, I'm sorry

?

Devanshu Bansal : No, it was incomplete, sir, sorry.

Sanjay Purohit : It was incomplete, I'm sorry. Let us answer it again.

Vijay Jain : So you will see an increased level of investments, Devanshu. Again, it's a combination where both the brand owners, like Yum and franchisee comes together and will co-invest the increased amount on that marketing front. Having said that, we believe this should pay for itself with the

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increase in the revenue again, but it's not a short term. You have to sustain it over a period of time.

So while immediately, you may or may not see result, but if you are able to sustain it over 2, 3, 4 quarters, we should -- we believe this will pay for itself.

Moderator: Next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi : Just two questions very quickly. Does that INR99 chicken roll is driven by the scaling up competition and down-trading or is it that it was pre-planned and this one of the one more

ammunition to expand the transaction growth?

Sanjay Purohit : No, this was in the pipeline for quite some time. So typically, our innovation pipelines are anywhere between 12 and 15 months long, because there's quite a robust process of consumer checks, operational checks, then test marketing, operationally test marketing it in a particular area and then only going national. And here, again, there might be new ingredients at play.

So lining up the supplier base for new ingredients is also important. So in this case, the sort of the -- I'm just using an Indian term, the paratha that goes with the roll required -- was a new ingredient and required us to put up a new supply base. So it's been in the offering for some time.

Shirish Pardeshi : Just to follow up on this. This INR99 chicken roll has gone in all 341 restaurants across India and maybe if you can share quick, I'm not saying the growth, but your aspiration is transaction growth has it materially changed in the month of May since the time it is introduced?

Sanjay Purohit : Yes. So I'm not able to give you specifics on this. Let's say that it has done better than what we have expected and the launch is a national launch. So it's not only restricted to our 341 stores, but all KFCs across the country.

Shirish Pardeshi : No, I'm referring because...

Vijay Jain : Including online.

Shirish Pardeshi : Yes. So the point, Vijay, what I'm asking, is that gone with the other partner also? Because you mentioned that you will start advertising. So is that the thing which I wanted to check.

Vijay Jain : Yes, yes. So all in fact, not just with this product launch. Any product launch, which happens on KFC, happens with other -- even sister franchisees as well. So both the partners do a launch. It's always a pan-India launch because that's where the scale in terms of supply chain, in terms of operational feasibility in terms of marketing plays a role. So it's always a pan-India launch.

Shirish Pardeshi : Okay. My second and last question on the deferred tax credit what we have utilized. Is there anything which is balanced and we will utilize the same in FY '24 also?

Vijay Jain : So we have not utilized as such. We have taken the deferred tax credit. Now it goes on to our balance sheet. It will get utilized in the future when we -- out of future profits, we will not require to pay taxes. So to the extent of INR125 crores tax, there will be no cash outflow in the future.

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Moderator: Next question is from the line of Amruta from Wealth Managers India.

Amruta : My question is regarding where you mentioned about the store size to be around 1,000 square feet now. So earlier, we had around 1,200 to 1,400 square feet stores. So are we planning to change all those stores step-by-step procedure to 1,000 square feet? And this

is for KFC or Pizza

Hut or both?

Sanjay Purohit : I'll explain Amruta. We use on Pizza Hut. Our legacy stores are 2,500 square foot. But over a period of time, we have shrunk both the back of house and optimize the front of house, and we were opening 1,200 square foot stores. These 1,200 square foot Pizza Hut stores, we believe in the large cities, 5 -- or 6 large cities where we have got warehousing facilities close to the stores can be further crunch to 1,000 square feet.

And because we've got shorter delivery schedules to these stores. And hence, a 1,000 square foot store with the same number of covers is still able to work. Perhaps anywhere between 10%

and 15% of our total store base going forward will be in this size. However, it does not mean that we are going to convert our old stores into this.

Amruta : So this is only for the Pizza Hut stores?

Vijay Jain : This is only for Pizza Hut stores, and this is only for stores going forward.

Amruta : Okay. And like what kind of benefit operating-wise do we expect from reduction in these sizes, I mean, in the margin?

Vijay Jain : So again, I would not comment on specific on margins because while we have launched this last year 7 stores we were piloted last year. H2 was a soft period for Pizza Hut. So we will wait till I comment on the margins of this. But from a capex point of view, this could give us anywhere between 5% to 8% capex reduction.

Amruta : And the KFC stores are around 1,200 square feet, right? So that one remain the same?

Vijay Jain : So KFC were always in the range of 1,500-odd square feet. So it would remain in the 1,500 to 1,600 square foot range.

Amruta : My second question is regarding as in, there's lot of strategy going ahead for the Sri Lanka business?

Vijay Jain : So on Sri Lanka business, as we mentioned, the operating conditions have stabilized, so which means the forex availability, the power and fuel availability, the raw material availability, the supply chain, everything has stabilized from that point of view.

Yes, while the demand conditions have impacted those transaction growth, we believe we are at the bottom of it. Hopefully, we believe over the next 12 months, we should start seeing some small amount of recoveries where we can gain our restaurant EBITDA margins back up by a few basis points, if not more.

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And hopefully, post 12 months, we expect going back towards that 20% restaurant EBITDA margins. So that could happen from a 12 to 24 months journey point of view on Sri Lanka business.

From a store expansion point of view, we believe the next 12 months, we would be taking a cautious approach and we'll revisit the situation every quarter on how the conditions are improving, whether they are able to pull back our restaurant EBITDA margins. And as we start seeing positive movements, we'll start opening new stores. So that's the strategy on Sri Lanka for next 12 to 24 months.

Moderator: I now hand the conference over to the management for closing comments.

Sanjay Purohit : Like I said, while closing our earnings presentation, the last 6 months have been tough, but we are seeing this general toughness in the macroeconomic demand conditions. But in such conditions, I want to reiterate and underline large trusted brands have the potential of doing better, differentially and differentially. And the marketing program, the product innovation program that we have put on both KFC as well as Pizza Hut backed with our operational execution excellence, we believe can -- will give us dividends even in such market, even in such conditions, and we remain quite optimistic and bullish about both the brands and the future of the QSR category.

Thank you very much, everyone, for participating. Stay safe.

Moderator: Thank you very much. On behalf of Sapphire Foods India Limited, that concludes this conference. Thank

you for joining us. You may now disconnect your lines.

Call: Aug 2023

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CIN: L55204MH2009PLC197005
Date: August 08, 2023

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q1 FY24
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Wednesday, August 02, 2023, in relation to the financial results of the Company for the quarter ended June 30, 2023.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2023-24 Quarter 1 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited
Q1 FY '24 Earnings Conference Call.”
August 02, 2023

MANAGEMENT : MR. SANJAY PUROHIT – GROUP CHIEF EXECUTIVE
OFFICER AND WHOLE -TIME DIRECTOR – SAPPHIRE
FOODS INDIA LIMITED
MR. VIJAY JAIN – CHIEF FINANCIAL OFFICER –
SAPPHIRE FOODS INDIA LIMITED

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

Moderator: Good afternoon, everyone. Ladies and gentlemen, good day, and welcome to Sapphire Foods India Limited Q1 FY '24 Earnings Conference Call organized by Orient Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah : Good evening, everyone. Welcome to the Q1 FY '24 Earnings Con Call for Sapphire Foods India Limited. From the management, we have today, Mr. Sanjay Purohit, Group CEO and Whole - Time Director , accompanied by Mr. Vijay Jain, CFO. I hope everyone had a chance to go through the results in the investor presentation, which was uploaded on the Exchange earlier today. Before we proceed a reminder that this call may contain some forward-looking statements, which do not guarantee future performance and involve unforeseen risks. A detailed disclaimer has also been published in the presentation.

I would now like to hand over the call to Mr. Sanjay Purohit. Over to you, sir.

Sanjay Purohit: Good evening, everybody. Welcome to the quarter 1 FY '24 earnings call presentation. Like Bhavya said, I hope you've been able to go through the presentation that has been already uploaded. Let me start off with a summary. As usual, between Vijay Jain and I we will cover very quickly the highlights of the quarter.

Our consolidated restaurant sales grew by 20% despite the consumer demand headwinds, and this seems to be as good as anyone or perhaps better than most players in the industry. Our revenue was INR 652 crores for the quarter.

During the quarter, we've seen raw material inflation cooling off and thereby on both the brands, Pizza Hut and KFC, our gross margins have improved. Our focus here during the quarter, given the consumer headwinds is to do what is in our control, which is how can we win consumer trust by delivering both value innovation as well as other product innovation and invest behind strong advertising programs. So from a product innovation perspective, I'll talk about KFC snackers range, the Pizza Hut 10 new core pizzas that we launched in April. We added 35 restaurants in the quarter, 17 KFCs, 16 Pizza Hut and one KFC and Pizza Hut each in Maldives, taking our total restaurant count to 778. Our consolidated restaurant EBITDA margin was 17.2%, down 130 basis points. But in absolute terms, it grew by 12% Y-o-Y. Our consolidated EBITDA, this is post Ind-AS EBITDA of INR122 crores is at 18.8% margin. This grew Y-on-Y by 10%. But from a percentage basis, it was down 170 basis points.

Our consolidated adjusted EBITDA that is pre-Ind-AS was INR 77 crores or 11.8%, and this grew by 7%. Our consolidated PBT of INR 33.6 crores or 5.2% declined Y-o-Y by 6% and PAT Sapphire Foods India Limited
August 02, 2023

was INR25 million. I want to call out that last year, we did not have tax. And this year, we have had a deferred tax expense, but no cash outflow and therefore, PAT is INR 25 crores.

Let me now cover the business performance of our three verticals, along with Vijay. Let's first take a look at KFC. Despite the macro conditions, Sapphire KFC has delivered a really strong financial performance. We will speak about our restaurant EBITDA, which is our -- amongst our highest ever at 20.8%, growing 50 basis points over last year.

When I get to slide number 16, we spoke about the six brand priorities to enhance fried chicken category relevance to enhance our craveable taste image, provide value options to consumers, both entry value as well as abun-

undant value, deliver a frictionless customer experience and the

work that we do on digital kiosks, the KFC Own App and partnering with our aggregators, friends, Zomato and Swiggy, are the three initiatives under this priority. On operational excellence, the 7 Minutes Express Pick-up promise that we give to consumers and finally, improving accessibility.

I'm moving on to the next slide, which is slide number 18. And you can see the new products that were launched during this quarter. I spoke about during the previous or the full year FY '23 call. I did speak about Chicken Roll that we had just launched. Along with Chicken Roll at INR99, we have launched a range of seven products at INR 99, and this is really to bolster our menu operations across day part and including the snacking occasion.

This includes the Chicken Roll , Chicken Longer Burger, which is a new product, then Popcorn Bag, some beverages, some fries and also a desert. So this product or this value range and seven products is very important

for us to be able to bring back transactions over a period of time.

From an operational excellence perspective, I don't have this in my slide, but I just want to call out that recently, we won an award. We were adjudged as -- we were recognized by Yum! Global as one of their Top 3 franchisees across the world on food safety scores and so food safety is an important enabler to deliver the right kind of customer experience. So our effort on operational excellence continues.

If you go on to slide number 20, you'll see some of the stores that we have opened. The Punjab stores truly the brand stands out in that market, the quality of the assets that we have built and the revenue and the brand franchise that we are able to drive. We opened our first store also in Kolhapur, which is really doing well.

Let me hand it over to Vijay to take us through the financial details.

Vijay Jain: Thank you, Sanjay. On channel mix, slide number 21, the mix has remained largely stable year-on-year with 36% coming in from delivery, 19% from takeaway and 45% -- sorry, 45% from delivery, 36% from dining and 19% from takeaway. While SSSG was flat, ADS moved up sequentially to INR 138,000, it was 127,000 in quarter 4. Overall, revenue grew up by 21% year-on-year.

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And as inflation cooled off, we saw gross margin recovery. It was up by 80 basis points year-on-year and also 130 basis points sequentially. This, combined with tighter cost controls enabled KFC delivered one of the highest ever restaurant EBITDA of 20.8%.

Slide number 24 gives you the four-year trend and the five-year quarterly trend. And as can be seen at 20.8%, KFC has delivered the second highest EBITDA and the first win quarter 3 FY '22, which was a festive quarter, so really strong performance in the current quarter.

Sanjay Purohit: On Pizza Hut, the sales trajectory of the brand has remained largely similar over the last three quarters. April to September of last year '22 were perhaps the best six months ever in our history of the brand, where we've delivered in the first half 62 ADS. As we have consistently said, post Diwali of '22, this has come down. And today, we are hovering in the region of about 51, 52 ADS. We have seen a sequential increase in quarter 1 versus quarter 4 of FY '23, but this is a normal seasonal increase that we see. Like I said earlier, we continue to do what is in our control and focus on those activities. So we've invested in higher marketing spend behind the brand. Our flavour fun continues to do well. The launch of the four -- of the 10 new core pizzas also -- they have done well, but still we have not been able to move the needle on the brand. The brand has shown 12% revenue growth. If you see slide number 26, we talk about the brand priorities. And in the brand priorities, I'll focus on operational excellence a

nd to many of you, you'll

perhaps feel that this is a generic commentary that we make every time. But now if you go to slide number 29, we are really happy to say that we've been recognized by Yum! Brand as being the number 1 franchisees in the world in terms of Global Experience Scores for the first half of calendar year '23.

I'll just repeat, we are the best franchisee in the world on Guest Experience Scores and recognized by Yum! Brands. So I think if we continue to focus on guest experience on food safety, hygiene, on the back-end processes, increased marketing investments, invest behind

product innovation, we are quite confident that we will turn around this brand. You can see some of the stores that we have opened the Baramati store or the Dabolim store and two Phoenix -- new two Phoenix Mall stores that have opened out.

Vijay will take you through the financial performance.

Vijay Jain: I'm on slide 31, channel sales contribution. Delivery moved up to 50% year-on-year, but it's largely in line with the last quarter. On SSSG, while the SSG was negative we did not see any decline in the transaction. So that's the happening part. ADS moved up sequentially to INR 52,000 versus last quarter, it was at INR 50,000. Overall revenue for the brand grew by 12%. And while gross margin dropped by 20 basis points year-on-year, sequential quarter, we saw an improvement of 80 basis points. This is due to the raw material pricing cooling off during the quarter. However, the restaurant EBITDA was impacted by lower sales and the EBITDA came at 9%. This is similar to the last quarter. Slide 34 shows the four-year trend and the five-quarter trend. And as Sanjay mentioned, that we continue to focus on the value, product innovation and customer experience, and we are confident that this brand will turnaround in the future.

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Sanjay Purohit: On Sri Lanka, there's nothing very different to report. The consumer demand continues to remain quite challenged because of the cumulative impact of both inflation as well as higher direct taxes

being imposed on citizens. Operating conditions remain stable. We feel that perhaps demand conditions have bottomed out. And progressively, we should start to see an improvement. Inflation in the month of June came to 10% from -- if you remember, last year, it peaked in the month of October, November at 80%, 90%. So inflation certainly has cooled off and stabilized. And we continue to, like I said, focus on areas that we control. There's a very exciting launch that has happened four days ago called Pizza Hut Melts. And I'll talk about that perhaps in the next earnings call. But again, it's a fantastic shareable -- sorry, fantastic product for individual consumption and can drive a snacking occasion. So we are using product innovation to help us lift consumer sentiment in the category.

Vijay Jain: On slide 37, as things have stabilized dining has come back and the mix improved to 29% vis-a-vis year 27% which was FY '23, and vis-a-vis 22% in quarter 1 last year. Overall, SSSG was flat. However, the revenue grew by 9% in Lankan figures due to forex currency appreciation in Indian rupee terms, it grew by 27%.

Moving on to the gross margin; we saw a 170-basis points improvement year-on-year. As Sanjay mentioned, the raw material prices have largely stabilized. We don't see any further increase on the raw material prices. However, due to flat SSSG, it impacted the restaurant EBITDA, which has come at 13%. This is largely in range with what has happened over the last two quarters. Slide 41 gives you a four-year trend and the five-quarter trend. I would like to end by saying as mentioned previously we expect recovery to start happening probably 2024 onwards. That's the time we expect probably the GD to be to turn flat to positive and inflation to come down in single-digit time for

Sri Lanka.

Moving on from Sri Lanka, happy to say that in Maldives we have opened two more restaurants, one each KFC and Pizza Hut. This takes our total tally to four stores in Maldives.

Finally, on slide number 43 on ESG highlights. Very happy to say that we released our second ESG report based on GRI, SASB and BRSR Norms. We are the first in the QSR industry to do this last year. We continue with our journey. And while the slide gives you a few highlights, I would encourage you to go through our website, look at the detailed report. It will give you a good insight in the kind of work we are doing on the ESG front.

With this, we can hand over the ...

Sanjay Purohit: Yes. So just -- I'll just summarize in generally tough conditions our actions and our results perhaps demonstrate our ability to execute really excellently, whether it be the KFC financial performance or be the Pizza Hut Yum! recognition of being the number one franchisee globally on customer scores or reflected in the 20% revenue growth that we've been able to deliver. I

think we are focused on the right actions, and we believe that as progressively, results should continue to improve. We remain bullish on both the brands and both the markets.

So with this, I'll hand it over to you for question answers -- for questions.

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Moderator: Thank you, sir. The first question comes from the line of Nihal Mahesh Jham from Nuvama. Please go ahead, sir.

Nihal Jham: My first question was on KFC. Just wanted to get a sense that has this quarter seen all the gross margin benefits play in or there is still some that could play out in the coming quarters?

Vijay Jain: So hi, Nihal, we believe largely that's played out in terms of gross margins. And again, as I said in previous calls, we would typically not focus on gross margin per se. What we have maintained for KFC as a brand, the kind of growth we are looking at over three to four years, how we can maintain the restaurant EBITDA in the -- in and around 20% mark, that's the focus area. So I would not be too worried about the gross margin levels. Let's see how it moves, especially with the snackers range coming in. But the emphasis is on the 20% kind of a market as to an EBITDA level.

Nihal Jham: Sure, Vijay. Just a related question on KFC; was there an incremental benefit from the recent value launches, which has helped keep the SSSG flat or it has been an overall portfolio performance?

Vijay Jain: I would say while there would have been some benefit too early to say a big amount of benefit, especially that chicken roll got launched somewhere in April, but the other part of the snacker range got launched just very recently a month back. So I won't say that full benefit has come in yet. So let's see how it plays out as we move forward.

Nihal Jham: So wouldn't say that the recent launches have in a way kept the SSSG flat, it is an overall portfolio that is played out equally well (19.58mins) .

Vijay Jain: Correct. Correct.

Nihal Jham: Final question on Pizza Hut. Now whether I look at it, say, absolutely as a KFC and Pizza Hut divergence in SSSG or versus some of the other competitors I see that this quarter's SSSG performance despite the environment seems a little exaggerated. You mentioned transactions

have stayed flat. So is it maybe a case that there is an issue with not issue, maybe there is a higher focus towards people taking a flavour on some of the value range or what in your opinion is leading to the increase in divergence in SSSG versus KFC, PH and so even if I look at some of the other competitors who report?

Sanjay Purohit: So actually, there's been no divergence between SSSG and SSTG over the last three quarters. So typically, there's been a 3% to 5% difference between KFC on the negative side, whereas on Pizza Hut transactions after we launched flavour fun transactio

ns have been better versus

competition, if you look at, again, if I just see KFC versus competition, overall, revenue growth is 21%. Competition is perhaps lower. Their SSSG might be higher, but overall revenue growth is lower because of our addition. When you look at Pizza Hut, I don't think the apples-to-apples comparison. What we provide a same-store sales growth and, say, like -for-like growth I'm not too sure whether they are comparable.

Vijay Jain: So again, just to add to that, Nihal, from a trajectory point of view, the trajectories remain where it is over the last six months or so. So our ADS has hovered around INR50,000, INR52,000

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mark. Its one of the key reasons also is that last year quarter 1, we did really exceedingly well. Quarter 1 was 40% SSSG, quarter 2 was 23% -odd SS SG. So yes, when you compare with the base, the SSSG drop looks higher, but no further drop has happened compared to the previous quarters. In fact, the seasonal upliftment which we experienced during April to June quarter, that has happened. So that's the first part of the reason. Second part, again, as I said, transaction is an important point over here. SSSG has remained flat whereas, let's say, probably a brand like KFC, there would be slight small amount of negative transaction growth. And as Sanjay said, third part, where you're comparing its not apple-to-apple competition, some gives like -for-like growth, which is not really SSSG. And if you actually convert that into SSSG, the number would be according to us significantly higher.

Nihal Jham: I'll come back in the queue for this.

Sanjay Purohit: Does that answer your question, that question, Nihal?

Nihal Jham: Just the follow-up was that even if you adjust the competition number, it is still lower. And I was just thinking that in our effort other than, say, maybe the sentiment improving in the next couple of quarters, what are going to be the incremental steps which you'll see, say, Pizza Hut improve the SSSG and come back to the earlier trajectory these were the two follow-ups, which maybe are still left open after our conversation.

Sanjay Purohit: So the answer is quite so we continue to focus on our ops. If we let us so we are trying to not, we are trying. We are investing more on advertising. From a product range perspective, we believe we have got the range now to compete both from a pure product perspective as well as from a value perspective. From a delivery perspective, also, we are working to deliver the best customer experience. So the building blocks are not the building blocks are doing things with discipline on an everyday basis. There's no silver bullet, if I were to say so.

Moderator: Thank you. The next question comes from the line of Arnab Mitra of Goldman Sachs. Please go ahead.

Arnab Mitra: My first question was on KFC. You've seen a slight dip in SSSG despite the price increase that was taken. So my question was do you basically think this is due to the price increase that there would have been some negative impact due to affordability. And are you seeing that improve because now it's been four months since that price increase was taken?

Vijay Jain: So again, as I mentioned for Pizza Hut previously, the kind of upliftment we see in quarter 1 versus quarter 4, that upliftment we had seen, both in terms of transaction as well as ADS by way of APC. So that has happened, which proves that the price increase has not impacted so the SSSG being flat is more of a function of the last years probably the growth which we saw last year in quarter 1, which was the first quarter coming out of COVID.

Further, having said that, when you take a 2% or 3% kind of price increase, the realization does not really flow through from an SSSG point of view because there could be some amount of down trading, which may happen. Having said that, whi

le raw material inflations cooled off,

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there were other inflations on the P&L, which needs to be taken care of. And the 2% to 3% price increase, we have been taking almost every year at the start of the year for KFC as a brand. And we have not seen any impact on the transactions or the ADS over the last several years. And the

quarter 1 number shows that for us.

Arnab Mitra : Understood Vijay. Now my second question was on Pizza Hut, again, just following up on what Nihal had asked in the previous question. So is the environment for the pizza category so one, we are generally in a weak environment and the pizza category seems to be doing worse. Is there any thought process on moderating store expansion in Pizza Hut as you go ahead if the numbers remain similar in terms of negative SSSG or are you comfortable with the absolute level of ADS and profit you're making in the new stores and therefore, you don't think there is any need to moderate the pace of expansion or take any other steps like reducing advertising or other things?

Vijay Jain: Two parts to that question. The first, as a Sapphire Foods have always emphasized the importance of capital allocation and delivering ROCE on everything which we invest, so that remains always in focus. Using that logic, also previously, I have said that couple of quarters negative SSSG may not warrant to relook at the store opening. Having said that, it's now nine months negative SSSG.

So yes, we would recalibrate approach on Pizza Hut store opening, not in a more dramatic or a drastic manner. However, the number of stores we are likely to open this year on Pizza Hut would certainly be lower than the number of stores we opened in the previous financial year on the Pizza Hut. Having said that, our 3- to 4-year horizon remains still same. Our guidance remains the same on both the brands. We believe we could double the count over three to four years over three to four years, the count, which was there as of December 2021.

Arnab Mitra : Understood. Understood. And on your initiative on increasing advertising expense, which you had highlighted last quarter, that continues or there is some thought process that -- whether this is the right time to do it given the environment that the category is facing?

Vijay Jain: No, no, it continues. It continues throughout the year, throughout the rest of the year.

Sanjay Purohit: Yes. So I think like -- so what is the issue articulation that we believe that while we have got the product, the pricing, especially value equation on Pizza Hut right we've got to build the consumer franchise on the brand. And that's really important given the fact that we've not been on television for a long period of time. And as we expand into newer geographies and into new trade areas, consumers there must know what the brand is about and what the brand promises. So therefore -- so they are discovering our omnichannel experience in any case.

They discover delivery, they discover takeaway and dine-in. So along with that greater advertising spend will help the acceleration of consumers fully appreciating the brand promise. Now we've got to also play it reasonably sensibly from a financial perspective and therefore, instead of trying to do something only in one quarter we believe that if we continue to invest over a long period of time, undoubtedly, this will help and make a difference.

Moderator: Thank you. The next question comes from the line of Devanshu Bansal of Emkay Global. Please go ahead.

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Devanshu Bansal : And sorry for pressing again on the Pizza Hut side. So despite weak macros, the chicken category is growing at 20% plus, burger is also seeing encouraging 15%, 20% growth, but pizza as a category is seeing sort of weaker trends. So just wanted to understand

and the reasons for this? Has this category matured? There is higher competition or there have been higher price hikes due to dairy inflation in this category?

Vijay Jain: So again, as I mentioned previously, when macroeconomic conditions get tough, it did not impact maybe all the category at a similar manner. This has impacted across the consumer and the retail industry. And within those -- each company or each category would have got impacted differently. So yes, we are seeing a slightly more different impact for Pizza Hut. Having said that, it's equally true that we are seeing very different impacts of Pizza Hut on transaction remaining positive or flat vis-a-vis while the SSSG has gone negative. So yes, it's impacting slightly more from a pizza category.

One of the reasons could be, yes, we acknowledge that the competitive intensity in this category and the number of players in this category, both regional players and national players could be one of the reasons as a result of which you are seeing slightly more steeper -- negative SSSG in Pizza Hut.

Devanshu Bansal : Got it. And even from Pizza Hut, this transaction, number of transactions remaining flat, and we have seen a 9% sort of decline. We have a few rounds of price hikes also of which the benefits should have flown. So the average check size also sort of suggests that it has seen a significant dip. So what are the reasons for that? Is it largely because of introduction of flavour fun or there are other reasons also for that?

Vijay Jain: I would say three reasons. One, if I again try and recall the journey, which we have taken over the last three years on Pizza Hut, from where our APC used to be, the average per check used to be upwards of INR 700, which was more a fine-dining check size rather than a QSR check size. So there has been a conscious call-in terms of the way we have curated our menu over the last

three years, introduction of new options. So that's one. It's something by design, which we have been working over three years.

Now we've seen more reasonable range of INR 450 or so. The second, yes, introduction of flavour fun, while it has helped our transaction, and we have seen good transaction over the last one year or so, even now without -- with negative 9% transactions are flat. So flavour fun has certainly helped us. So that's another reason. And third, yes, there would be downtrading certainly by consumers when there's a price increase, inflation is a scenario. So all these three results put together, I would attribute towards the APC drop.

Devanshu Bansal : Got it. And anything on the promotional front as in you are giving higher discounts, etcetera. So is that also happening?

Vijay Jain: So nothing -- so while we could do rejig our promotions continuously, I don't think the overall promotion discounts towards overall promotion has gone up or gone down. They remain largely the same across the segment.

Sanjay Purohit: You're right. It's not -- there's no material change.

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Devanshu Bansal : Got it, sir. And this quarter, Q2, there's an incremental headwind in terms of Adik Mas this time around so which can likely impact KFC SSSG. Any kind of outlook that you can provide will be helpful.

Vijay Jain: While we avoid a quarter-on-quarter outlook you are right, for the quarter 2 is typically a bit more difficult for KFC because of the various festivities which leads to the -- the vegetarian festival so called where people avoid (33:52mins) non-vegetarian. But then it is a cycle every year, this would be the case last year also there was Shravan, Shraddh, Janmashtami, Ganesh Chaturthi, part of Navaratri, everything fell in Q2. So this is part and parcel. I don't see any material impact compared to what we saw in quarter 2 of last year.

Moderator: The next question comes from the line of Shirish Pardeshi of C

entrum Broking.

Shirish Pardeshi : Congratulations for winning the award and trust. Just two questions in the beginning. We had IPL event.

And of course, that is also one of the things which has happened. When I look at

some data point, the PH store has grown 28.5%. So from 235 stores, we have now 302 stores.

And even KFC stores has increased about 27%. And when you map this growth against that and the third angle, which we put it as the SSSG, is there a drastic change in the consumer behaviour ?

I mean though Vijay has given some downtrading angle to it can you talk -- and I believe -- I respect your thought because you spent a lot of time to rejig the menu and understand consumer behaviour . So could you spend a minute or two explaining what consumer trends are now

picking? Have the pizza consumption is really going to take challenge or KFC novelty is going to fade away?

Vijay Jain: So just to clarify on the numbers piece, before Sanjay would answer the trend piece, while he called out 28% store growth and also you spoke about the SSSG. One thing to just call out that when we build the new stores, we always expect the new store to start at 70% to 75% of the brand average ADS for KFC and maybe 75% to 80% of the brand average ADS for Pizza Hut.

So you would never see a revenue growth, which would be beating the store growth per se, from the new store process. And then what you get on top of that is the SSSG. Sanjay can take the second part on the trends going forward.

Sanjay Purohit: Just repeat that question on the trend, Shirish, if you don't mind.

Shirish Pardeshi : Yes. So I was saying that you have won the consumer trust aboard. And that's why I'm asking this question. Rather, I'm more excited to ask this question and pick your thought that on one side, we are seeing a consistent depression in terms of demand for pizza. Maybe there are many angles to it. And that's why I was saying that the novelty for KFC is also at stake. I'm not saying at stake, sorry, that's not the right one. But I'm saying the consumer has not been picking up. And this is in activation we also had the very strong IPL event. And in that connect I want to see that what really consumer behaviour is telling us.

Sanjay Purohit: Yes. So first of all, the IPL event existed last year existed this year. And therefore, we are comping the same event. So that's not so much of a problem. I think we continue to remain very bullish on the category itself. So we continue to remain very bullish on the category. Now having said that, there is some correlation of such industries to overall GDP and how GDP performs.

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And within GDP, there's a lovely metric called private finance, private final consumption expenditure, which is a really good barometer for consumer spend across all categories. You will find a considerable dip from April, September '22 to the last 9 months, significant dip in

this PSE as the government publishes.

Now when overall GDP is impacted and perhaps GDP is impacted a little bit because of the higher inflation that we saw last year, categories, all discretionary categories will go through some amount of pain. And you can see it in the FMCG results also that are being published. So I would not even remotely say that it is a specific brand problem. It is across the industry, across packaged foods as well as restaurants like us. Now within that, if you look at -- and I'd love you to do that analysis, Shirish, when you see -- when you stack rank revenue growth right across all brands, KFC at 21% is perhaps the highest. And Pizza Hut also at 12% has not done too badly. The important thing here is the finally new stores add to the overall transaction that consumer spends on the brand. So new stores are also increasing this entire transaction bucket. So if you just see what KFC total transaction growth, including new stores would

have been is close to 20%. So why do I talk about overall transactions? Normally, we don't speak about this in our earnings call. But it is indicated that the consumer franchise on both the brands is strong. Now it is true that on Pizza specifically competitive intensity has gone up over the last 18 months or so. We are seeing a little bit of the impact of that competitive intensity on our brand. In fact, the market leader has seen perhaps even greater intensity there.

I think we are still -- I reiterate, I think we are still doing the right things. We've got the product mix right, our value equation right. In fact, if today versus the market leader, our prices are as good or perhaps even more economical in -- from a meal bundle perspective. So we are doing the right things there. We've got accessibility in many of our large markets. The brand at least is accessible. We are working hard on delivery, our dine-in experience is as good as ever.

I think we have to really invest on a long-term basis on building the consumer franchise and which we are trying to do that through higher marketing spend. This is not, like I said, not a silver bullet. In the face of this consumer headwind, it's not a silver bullet, but it will definitely pay dividends as we go along. It's a slightly long answer, Shirish, but I hope I.

Shirish Pardeshi : I got it. That's really helpful. Just to follow up. Last quarter introduced 10 new Pizza Hut. So will you be able to help us that what is the contribution or is that the segment which is actually driving the footfall or you're trying to arrest the decline? But despite that, it declined 9%.

Sanjay Purohit: So this is a refresh of our existing pizza range. So while we -- while our core while we launched 10 core pizzas, we removed another 12. So really, this is an exercise. The last time this exercise would have been done would have been about four years ago when we would have revamped the range. I think what is the consumer insights that we were trying to address and through the toppings and through the saucing and through the Flavors, we wanted to give both Indian as well as international flavour, that is one. We wanted to make the mouth feel far more -- the word is not right, juicier or far more wetter, otherwise, sometimes a pizza can get a little dry. So through the extra saucing and through the toppings so this core range has actually seen -- so one has gone
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out, one has been replaced by this range. And this is a part of, like I said, part of our core range itself.

Shirish Pardeshi : Wonderful. Just last question on KFC. I think my experience wherever in the country have travelled in the last 90 days, I see there is a lot of rush at the KFC counter, while competition I see that is the test. So I just wanted to pick your real qualitative thought bringing INR 99 price point and introducing this. Why I'm asking this is that is it not a fear in the medium to long-term that would be a margin dilutive or is it some specific action, which Yum! has been trying to push this portfolio?

Sanjay Purohit: No, not at all. It is -- so not at all to your last statement, it's not Yum! that is pushing it. I think we are pushing it equally hard. And one of the important levers of growth is driving accessibility to consumers and accessibility comes through both distribution and in our case, in an FMCG the number of stores that a product is available in. In our case, it's the number of stores that are present in a particular city and whether through the omni-channel experience, people are able to, therefore, access the brand. So one is accessibility. Then pricing plays a very important role, and pricing is at two levels. So KFC always known as a meal brand, and therefore, we did fantastically well from our abundant value options. So our buckets and meal bundles have always been priced ve

ry

attractively. One of the areas that we said we could do better is entry level. And this opens up newer dayparts and newer occasions also of consumption, including snacking occasions where perhaps a person will spend INR 150 and still want a reasonable amount of gut fill. This range is really intended towards such dayparts and such occasions. Overall, it has to expand the base rather than cannibalize the base. So the intention is that it has to expand the base, Shirish.

Moderator: Thank you. The next question comes from the line of Gaurav Nigam of Tunga Investments. Please go ahead.

Gaurav Nigam: Sir, I have one question on this competitive intensity on pizza that we just talked about. So as I can understand that a lot of local city level or regional pizza players have been coming up. And this question very specifically on that because you mentioned competitive intensity a few times to describe this phenomenon. How is their proposition different from the organized players like Pizza Hut? And if it is value, is there a reason or differentiation because of which we are not able to cater to not to match them? That's first part of the question. And second is sir, based on your experience in the industry, how is this trend different or similar to the previous inflation cycle? So just wanted to understand your view on both these parts of the question on the competitive intensity.

Sanjay Purohit: So it's not that competitors play on value, and they are offering better value. I don't think that is the case. In many of our -- in such industries, when a new brand comes up, there is always a tendency to try out something new. So that happens. But over a period of time, then consistency in delivery of quality and food quality, taste, and customer service, then becomes the differentiator. So when you have a spurt in competitive intensity, perhaps over the short run, it might impact because consumers want to try out something new.

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But over the medium term, then people revert back to a brand that is able to offer consistency in food, taste, quality right across. So I think it's -- and when you have consumer headwinds and overall demand goes down, then the ability of the smaller players to be able to deliver that consistency, I think, comes under question. So it's really -- if you are well organized, then you are still able to focus on doing the right thing. So this happens Gaurav.

Gaurav Nigam: Got it. And sir, just a second part of the question, what do you think is this like -- I think you've explained to me the like the book way of thinking about it, is this similar how it happened in the previous inflation cycle or there is some differences to how it is happening this time, sir?

Sanjay Purohit: So this level of inflation perhaps has not happened. We have not seen it in the last six or seven years, or ever since Sapphire has come into existence. We have not seen this level of inflation. Now I'm looking at my previous experience and drawing on that. I would say when you got double-digit inflation there is impact on consumer demand that perhaps last a year or so. And then as things stabilize and as inflation stabilizes, demand starts to come back. So I think -- and we've been consistently seeing this earlier also Gaurav.

So I think we have to just -- like I said, this is across the country, across industries and really not a QSR problem or any specific brand problem. And having said that, still our overall rate of growth has been at 20%. And again, I've said this earlier to Shirish and to others, it's -- 20% is perhaps highest in the -- or at least still of all the companies that have announced the results till now.

Moderator: Thank you. The next question comes from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki : Again, looking at your Pizza Hut ADS, I just wanted to make

sure the basis of the statement

where you're saying that we have bottomed out in terms of demand. The reason I'm asking this is that basically, sequentially, if you see your ADS, it has grown by about 4%. My understanding is that typically in the pizza category, sequentially in Q1, the ADS grows by about 7% to 8%. If I look at Jubilant also historically, their ADS has grown by 7% to 9% approximately in Q1. And they also, this time, have grown only at 3%. You also have grown at 4%. So even the sequential growth, which normally happens this quarter, it is happening lower than that. So what is the reason for that, sir?

Vijay Jain: So first of all, I think you misunderstood the statement Sanjay made on bottoming out. His statement was meant for Sri Lanka business that we have bottomed out. So I think you have.

Yes. So that was the first thing. Having said that let me take the second part of the question. In terms of upliftment of ADS from Q4 to Q1, what do we -- actually miss out is the number of stores open and the number of new stores which come at the lower than the brand average ADS. So what's not reflected over there is a like-for-like upliftment over there. So that's also playing a part.

Percy Panthaki : But Vijay, in one quarter, the number of stores which opened versus the total number of stores as an overall format, it really doesn't move the needle. On a Y-o-Y basis, I understand because in four quarters, cumulatively, the number of stores open are meaningfully large. But on a Q-o-Q basis, does it really matter?

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Vijay Jain: No. So it is a small part. The other part is the larger one, which is that you have not seen in

SSSG, right? And because you're not seeing the SSSG, you have not seen that kind of a upliftment or the growth which you would typically see. Having said that, when you compare with the previous quarters, the last three years, previous quarters, every time there has been something different, right? So COVID all the comparisons are futile actually. So there is no real

past quarter, which you can actually draw back on when you can say this Q1 versus Q4 upliftment should have been 5% or 3% or 7%.

Percy Panthaki : So what I'm doing, Vijay as a proxy is, I'm looking at Jubilant's sequential growth for the years before COVID, let's say, FY '17, '18, '19, '20, what has been the sequential uplift in those years for Jubilant, assuming that the seasonality trend should not be very different because it's the same pizza category?

Vijay Jain: But it would be difficult to comment basically their numbers. What we are seeing internally over five, six years, I think the required seasonal upliftment, which we see we have seen this year.

Last year, as I said, was the year when we came out of the COVID for the first time. And what you saw was things really going through the roof. So at least Sapphire doesn't have a data point in terms of correlating it and it will be very difficult to comment on somebody else's numbers.

Percy Panthaki : Sure, sure. Second question is on KFC. See, while there is a clear sort of consensus that there is a very real slowdown in the pizza category overall, nothing to do only with Pizza Hut. But there are mixed signals apart from the pizza category. So if I look at McDonald's, for example, they have grown this quarter SSG significantly despite a very, very high base of last year, whereas KFC, the SSSG is flat. So I'm not able to understand is there any underlying macro trend in QSR cuisine other than pizza?

So pizza, yes, there is a consensus that whatever brand it is, it is seeing a slowdown. But non-pizza QSR because different companies are showing different results it doesn't seem to be a macro-led kind of an issue. It seems to be company-to-company that whatever company is doing certain initiatives or measures, they are getting the results of that and vice

versa?

Sanjay Purohit: So Percy, we have to look at two things or we have to look at three things. One is SSSG then we have to look at overall sales revenue. And then we've got to look at also if sales revenue is happening with additional stores has that compromised the quality of earnings. Clearly, on SSSG, KFC SSSG is lower than competition. Overall, growth is significantly higher than competition. And with this overall growth being significantly higher, yes, it's come through new stores. But then the quality of the results has not been impacted and actually, from a restaurant EBITDA margin it's improved Y-o-Y.

And again, here, it is much better than restaurant EBITDA of competition. So you're quite right, there is an overall macro headwind. Within that, different brands are reacting differently, both KFC and Pizza Hut have improved accessibility and therefore, opened a significantly larger number of stores than some of the competitors. That will play out in some of our SSSG numbers, but still overall revenue numbers are strong. And the -- if per-store ADS does drop, it has an impact on perhaps sometimes on -- it has an impact because of operational leverage on the store level EBITDA, as we have seen in the case of Pizza.

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Vijay Jain: Just to want to add to that because this is something more strategic, which Sapphire is trying to play out over here is how do you balance the SSSG and the new store growth over? And if you actually try and plot the numbers for us vis-a-vis the competition over the last three years and how we have built KFC and how we have gone about the KFC new store growth in line with the SSSG. I think we are quite comfortable with 5% to 6% SSSG on KFC as a brand. Yes, right now flattish, which is flat at zero. We are slightly lower than our benchmark. But I don't think we are any ways vying for that 7%, 8%, 10%, 12% kind of a benchmark for KFC because we know that we want to grow the stores by almost 20% to 25% year-on-year.

And how do you balance that with the SSSG so that the overall brand grows significantly faster and without any compromise on profit. So this is actually a difference in strategy, which we are playing out KFC. You try and plot the numbers for three years. It has played out really well for us. So even going forward, there may be a case when you will see a slightly lower SSSG compared to competition who may not want to grow as fast, but I don't think that has to do anything with the brand performance. It's more to do with the strategy on how fast you want to grow and balance the SSSG.

Percy Panthaki : Got it, Vijay, and Sanjay. That was very useful. Last question is on the store openings, like Pizza Hut now since the last several quarters, has been talking about cannibalization, and they are giving actually LFL SSSG, which is LFL growth, which is different from SSSG because there is a -- sorry?

Sanjay Purohit: You said Pizza Hut is giving.

Percy Panthaki : Sorry, not Pizza Hut, I meant Domino's. So are we seeing any kind of such cannibalization? Are

we opening stores in the vicinity of an existing store where the store is getting split, so to say, either in KFC or in Pizza Hut? And if so, what is the quantum of that sort of happening right now?

Vijay Jain: So our pizza hut densification is still no where close to the leading market players. So I don't think we are cannibalizing our own sales from another store. Having said that, again, even if we get into densification, we'll continue to report SSSG with splits to strategy and like -for-like, we don't really understand. So our reporting will continue to be on SSSG. So there is no point in trying to figure out what could be the impact of this. First of all, there is no impact because there is no split s tore theory, which we are right now deploying. We continue to expand in new trade areas where

we don't impact our existing stores.

Percy Panthaki : But do you think that this phenomenon will play out in the coming two, three years, if you are growing at 25% kind of thing, do you think that we will sort of saturate in terms of existing -- in terms of being able to go into completely new areas? And if so, when is that likely to happen two years, four years, seven years?

Vijay Jain: Okay. It's a completely hypothetical one. I'll still try and answer. What we have set out is doubling the store count over three to four years, which would translate to a 17% to 18% store growth. There could be a year with 25%, there could be a year with 10% store additions. For
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this particular data point three to four years, I think we are completely confident and comfortable that we can open stores without cannibalization of future.

Moderator: Sir, I would like to interrupt if you have further questions, you may come back in the que ue. The next question comes from the line of Manish Sharma, he's an Individual Investor. Sir, your line has been unmuted. All right. We see Mr. Manish Sharma has dropped. We have the next question coming from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir : Just extension of what Percy's question was on the like -to-like SSSG split store having an impact. I understand that you said that you are not seeing that impact because of the store expansion in our network. But given that, I mean, your peer Devyani has t he ability to open smaller size delivery -based stores, maybe not in very close vicinity, but in your region. So do you think that has had any bearing or that could have a bearing in the coming years because of the deepening of their network in your locations?

Vijay Jain: Yes, so, previously, I would have clarified this one. So while Devyani has rights to open in our territory, we cannot open in each other trade area. So there is a trade area protection clause as per the agreement with the Yum , whereby 8-min ute drive time of an existing restaurant 360-degree of that, you cannot open another store.

Why 8 -minute drive time? It's from order taking time to the -- getting the pizza ready out of the oven and handing over to rider. Rider would require 8 to 10 minute s to deliver the pizza in 30 minutes' time. So effectively, you don't cannibalize the customer. So no two restaurants would actually be serving the same customer. Hence, even if Devyani would have opened the stores in a territory, but they would not be in our trade area.

Aliasgar Shakir : Okay. I understand that part, but because of the third-party guys, who can cater to that customer. And I mean that kind of -- I don't know, does that restrict your capability to grow beyond?

Vijay Jain: Even if you consider the third -party riders , the aggregators, the customer would actually -- when we search for Pizza Hut, the nearest option would come up first. There could be another option, which is, let's say 40 minutes or 45 minutes. Typically, consumer would go for the nearest one which is the your trade area unless the ratings are really poor, and the ratings of the alternate stores are really good. That will be the only differential point. And hence, the entire emphasis on customer experience helps us. So there even i f there is an impact, it would be very marginal or minimal.

Aliasgar Shakir : Got it. So you don't think that has had any bearing on your SSSG in these quarters, last few quarters?

Vijay Jain: Not really.

Moderator: Thank you. The next question comes from the line of Manish Sharma, he's an Individual Investor. Mr. Sharma, do you have any ques tions? It seems no questions from him. As there are no further questions, I would like to hand the conference over to the management for the closing comments.
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Sanjay Purohit: Yes. Thank you, everybody for taking part in this earnings call presentation. Like I said, in a

tough environment, I think we have demonstrated our ability to execute well KFC financial performance, Pizza Hut, global recognition as being the best franchise in the world. And I think while current macroeconomic headwinds might last for a couple of quarters, the long-term prospects on this industry and on our two brands continue to be very strong. With that, thank you very much. I hope to see you all again next quarter.

Moderator: Thank you. On behalf of Sapphire Foods India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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CIN: L55204MH2009PLC197005
Date: November 06, 2023

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q2 FY24
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Thursday, November 02, 2023, in relation to the financial results of the Company for the quarter and half year ended September 30, 2023.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2023-24 Quarter 2 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited
Q2 & H1 FY '24 Earnings Conference Call.”
November 02, 2023

MANAGEMENT : MR. SANJAY PUROHIT – GROUP CHIEF EXECUTIVE
OFFICER AND WHOLE -TIME DIRECTOR – SAPPHIRE
FOODS INDIA LIMITED
MR. VIJAY JAIN – CHIEF FINANCIAL OFFICER –
SAPPHIRE FOODS INDIA LIMITED
MR. RAHUL KAPOOR -- HEAD, INVESTOR RELATIONS -
- SAPPHIRE FOODS INDIA LIMITED

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Sapphire Foods India Limited Q2 and H1 FY '24 Earnings Conference Call organized by Orient Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Good evening, everyone. Welcome to the Q2 and H1 FY '24 Earnings Con Call for Sapphire Foods India Limited. From the management, we have with us Mr. Sanjay Purohit, Group CEO and Whole Time Director; Mr. Vijay Jain, CFO; and Mr. Rahul Kapoor, Head, Investor Relations. I hope everyone had a chance to go through the results and investor presentation, which was uploaded on the exchange earlier today. Before we proceed, a reminder that this call may contain forward-looking statements, which do not guarantee future performance and involve unforeseen risks. Our detailed disclaimer has also been published in the presentation.

I would now like to hand over the call to Mr. Sanjay. Over to you, sir.

Sanjay Purohit: Good afternoon, ladies and gentlemen. Welcome to the Sapphire Foods Quarter 2 and First Half FY '24 consolidated financial highlights. Let me jump in straight away. Our quarter 2 consolidated restaurant sales at INR 641 crores grew by 14% and our EBITDA at INR 117 crores grew by 13%. And this is despite continuing headwinds that we see in the quarter. And this quarter has been further exacerbated by an additional month of vegetarian days or Adhik Maas. In -- from a quarter-on-quarter perspective, raw material inflation has been stable. But on a year-on-year basis, we have had improvement in raw material prices, and therefore, gross margins have seen significant improvements year-on-year. We added 36 restaurants in this quarter to take our total restaurant count up to 814, 23 of them were KFC, 9 Pizza Hut in India and we opened 4 Pizza Hut in Sri Lanka.

Our consolidated restaurant EBITDA margin was 16.1%. It was down 70 basis points versus last year, but it grew in absolute terms by 10%. Our consolidated EBITDA, this is post Ind-AS is at INR 117 crores or 18.2%. This grew year-on-year by 13% and was down 20 basis points over last year.

Consolidated adjusted EBITDA was about INR 68 crores or 10.6%, down 50 basis points versus last year, but INR 68 crores was 9% up year-on-year. Consolidated PBT and the post Ind-AS PBT was INR 21 crores or 3.3% and declined year-on-year by 21% or down 150 basis points and consolidated PAT was INR 15 crores or 2.4%.

Now let me go on to KFC. This quarter, KFC, as I said earlier, was impacted by an additional month of Shravan. I'm looking at Slide number -- I'm starting from Slide number 19 onwards. But the brand delivered very strong performance despite the additional month of Shravan. Vijay
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will talk about the numbers but let me first look at Slide number 19. These are our brand priorities. The 6 brand priorities are a continuing theme that we focus on quarter-to-quarter, year-to-year. It is to enhance the fried chicken category relevance through advertising and communication to be known as the taste leader in the QSR category. And innovation is -- drives this perception.

Value is an important part. We've launched Snackers at INR 99, and the initial response has started quite well. There is lots of potential for growth in this value range. From an innovation perspective, we launched Double Down Burger. It's a repeat of an earlier limited time offer that we had

done. From a frictionless customer experience, we have now digital kiosks implemented in 115 stores. Customer reactions are quite encouraging, leading us to believe that if customer is in charge of their -- his or her own journey, it leads into a better experience and therefore, even higher average ticket value.

From an operational excellence, we continue our 7 minutes express pickup. This is the nuts and bolts of our business. If we deliver operationally well as all others, we'll be able to serve our customers good food and good experience and at good value. And this is day in, day out a focus at our stores. And finally, from an improving accessibility point of view, Slide number 22 talks

-- looks at some of our new stores.

Vijay, if you can just talk us through the financial highlights.

Vijay Jain: Thank you, Sanjay. So on Slide number 23, channel-wise mix has largely remained stable for KFC, with delivery coming at 38% mix and dining at 43% for KFC.

Moving on to Slide number 24. Overall restaurant sales grew by 19%, with flat SSSG despite one additional month of Shravan, which we experienced in quarter 2. Gross margin improved by 230 basis points year-on-year. It was stable quarter-over-quarter. This, along with tighter cost controls, meant that KFC delivered very strong restaurant EBITDA at 19.2%. In fact, if you look at H1, the restaurant EBITDA is at 20%, which is the highest ever delivered by KFC Sapphire for the first half.

Moving to Slide number 26, which gives you a perspective over 4 years and -- last 5 quarter's trend. Overall brand continues to be in a very strong position, and we will continue with our pace of expansion on new restaurants.

Sanjay Purohit: Let me move on to Pizza Hut. Pizza Hut has undoubtedly had a tough quarter. Our SSSG has been negative 20% and overall brand despite store expansion has been -- has declined -- overall brand sales has declined 6%. I want to call out 3 things here for you. One is macro conditions continue to remain tough for all consumer categories, including QSR. And you can see that through the results of other brands also. In this QSR category, KFC Sapphire itself is flat SSSG. And when you look at the results of other QSR companies, it is anywhere between 0% and 5%.

In the pizza category over the last 18 months or so, competitive intensity also has been perhaps the highest in the QSR category. And as you can see by the results of the number 1 player in this market. So the number 1 player always leads the market performance. There also, we have seen the impact of competitive intensity. Our SSSG decline of 20% comes over a comp of 23% last

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year, which was perhaps the highest in our history. And if I look at our 2-year SSSG average of between 1.5% and 2%, that will compare a little more favourably when you look at other brands also.

So having said that, we are not standing still, as I've said. Clearly, we need to revise the brand.

And I'm looking at Slide number 28 in the deck. We are trying to give you a detail of the action plans that we are pursuing under 4 buckets. The first one is how do we build brand salience. We find that the brand, while overall awareness is as high as the number 1 player, we lagged on awareness and on -- and we lagged on top-of-mind awareness and consideration.

And this is not something that is new. This is something that we have known for the last 5 or 6, 7 years. I think both product innovation and enhanced marketing spends are the ways to improve salience. We have launched the large pizza initially in 2 states of Gujarat and Kerala. It has started to do well, and we've got a quite exciting innovation pipeline over the next 6 to 12 months' time. Further than that, we continue to enhance our marketing spends over and above what is mandated with our franchisor.

The second leg that we are focusing on is dine

-in sales and dine-in sales is 2 components. One

is from an operations perspective; how do we deliver speedy service and how do we deliver high quality of customer experience. So we've invested in a Dragontail tech solution. This is an intelligent kitchen production planning tool, and this enables us to serve hot and fresh pizzas as quickly as possible to consumers.

This is -- perhaps we are the only player or among the very few -- or only player in India to have such kind of a kitchen planning tool. And it has been 1 or 2 months since we have rolled it out to all Pizza Hut stores and it's a start -- we are quite confident that this will help us going forward. From a customer perspective, we are doing a lot to reinforce the dine-in experience through both curated deals through analytics and through CRM programs, and we want to build the lunch dine-in experience.

The third leg is to strengthen home service. And again, there are 2 pillars, 2 big action points.

We've opened late-night occasions. And today, 65% of our stores deliver 2 a.m. and beyond. So that's adding a new occasion leg to our sales. And finally, Dragontail is now being integrated with the aggregator platforms. So that irrespective of when the rider comes to the store, we are able to calibrate when we load the pizza. And therefore, in the shortest possible time, the consumer is able to receive the pizza, and therefore, it's hot and fresh. So this should impact our ratings. As it impacts the ratings, it will also help us build sales.

And the last part is our real estate strategy, and many of you all on this call would have asked us this question with Pizza Hut's -- this performance, what do you plan to do on new store

expansion? And we are calling out that we'll be very cautious on our rate of expansion that do -

- or there are opportunities that are still available for us to expand. We'll do that judiciously.

There will be some level of portfolio corrections, perhaps 3% to 5% where we'll close nonperforming assets. We continue to

invest behind refurbishments because this enhances customer experience. And finally, there is a continuing project on capex optimization through process reengineering on the back end.
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I want to reiterate this. And again, you will have heard me and Vijay say this that Pizza Hut remains an important pillar of our multi-brand strategy. And despite the short-term dip that we have seen, with the above action plan, we believe that brand will recover in the medium term. Over to Vijay to look at the -- to give you the specifics on the financial numbers.

Vijay Jain: Yes. Moving on to Slide 33. The channel-wise mix has remained stable even for Pizza Hut largely, delivery at 49% and dining at 35%. Slide 34, overall Pizza Hut revenue has declined by 6% with double-digit decline on SSSG. And as Sanjay called out last year quarter 2, we had 23% SSSG, highest ever for us. So that's a partial base effect as well apart from the tough macro conditions and highly competitive intensity.

Slide 35. Gross margin was up by 140 basis points. However, due to operating deleverage on account of negative SSSG meant that the restaurant EBITDA was impacted, which came at 7.6% for the quarter.

Slide 36 gives you a synopsis of 4-year trend and 5-quarter trend. And again, as mentioned by Sanjay with the action plans, which we have laid out, we believe the brand will emerge stronger in the medium term.

Sanjay Purohit: Let me speak about Sri Lanka. Sri Lanka, the country is showing green shoots of macroeconomic recovery. Inflation is down to single digits. There's forex stability. The tourism business is picking up substantially. There's ease of availability of raw materials. However, there is the inflation in other categories. For example, utility costs have gone up, electricity costs have gone up. We launched quite an innovative

product called Melts. This is an exciting innovation. It's what I call an individual consumption inverted pizza option, and it's doing well. We also opened 2 stores in Mattakkuliya and Kilinochchi.

And quickly, can you just go through the numbers, please, Vijay.

Vijay Jain: Slide 41, channel-wise mix. So Sri Lanka delivery mix is at 36% and dining is at 30%. SSSG was 1%, while the overall revenue grew by 8% in LKR terms because of the forex benefit. In Indian terms, we grew by 29% for the quarter. Gross margin saw a 650-basis points improvement. And the overall restaurant EBITDA came at 15.3%, which is highest in the last 5 quarters.

Slide 45 shows the 4-year trend and 5-quarter trend. As can be seen that this is the best quarter probably in the last 5, and we remain confident of the growth opportunity that presented to us in Sri Lanka.

Sanjay Purohit: Yes. Finally, in conclusion, and despite consumer demand headwinds, I think we've had a good quarter. KFC first half, delivering the highest ever restaurant EBITDA margin, shows the power of our operational focus and the excellence that we drive at an operational level. We also grew the brand 20%. So 20% growth and 20% restaurant EBITDA is quite powerful. We know we have headwinds on Pizza Hut, and we have to solve this. But we are doing everything in our control to be able to resolve this.

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Sri Lanka is positive, and it will continue. Again, if you'll remember, I'm saying that we expect Sri Lanka to start turning around in calendar year '24. We are already seeing these green shoots today. And if you put it together in a multi-brand strategy, there will be some quarters where all 3 pillars are firing. In our case, over the last, say, 18 months, we've had perhaps 2 out of the 3 pillars firing. But we are doing everything that is in our control to get all 3 cylinders firing. With KFC doing well, Sri Lanka doing well, our overall results are still strong when we look at the rest of the market.

I'll pause out -- I'll stop out here, and now we'll open it up for questions. Thank you very much for listening.

Moderator: The first question is from the line of Jaykumar Doshi from Kotak.

Jaykumar Doshi: I have two questions. The first one is Dragontail tech was acquired by Yum! about a couple of years ago. So are there any case studies of it helping Pizza Hut in some other markets where there is a significant improvement in delivery experience and customer ratings?

Sanjay Purohit: Yes. So you have two questions. I'll answer this, Jay. So Dragontail is now a company that has been acquired by -- it's an Asian company that has been acquired by Yum!. They have had 2 big cases. One is actually of helping a competitor of ours in a market like Australia, where they saw

quite strong improvement in delivery metrics.

And then before we adopted this, we had gone to our Singapore and Malaysia businesses where we do a lot of the delivery ourselves in those markets. And -- so what it does in a simple manner

is basis rider availability. It tells you when to put the pizza in to the oven. And therefore, when the rider arrives, he or she gets a hot pizza to carry. Otherwise, the typical response is as soon as you get the order, you try and make the pizza and load it into the oven, and then wait for the rider. So this reduces the time that the pizza is there in the store, waiting for a rider.

In our case, because aggregators are a large portion of our business, it is important to integrate with the aggregator partners. This has taken longer because we are actually the only brand perhaps to have a solution like this. But again, they have been magnificent partners and they've helped us. This is quite recent, I must say, Jay, but even -- we think that because we are now able to timestamp every part of our production and delivery journey, this will result i

n better

customer experience.

Jaykumar Doshi : Understood. I have one more question of Pizza Hut but let me ask another question that often comes from investors. So Sanjay, we want to know your thoughts on would you, at any point of time, consider Biryani as a category of your interest from an M&A perspective? And especially, there is a Biryani brand in the group entity. So a lot of times, investors bring up this question whether at some point of time would Sapphire acquire that business. So just your thoughts about merits of that business? And how does it sort of -- how do you think about it?

Sanjay Purohit: Yes. So we have been quite clear about articulating the 7 mantras for scale and success -- for success and scale in this QSR category. And one -- the first and foremost is that it has to be center of plate or habit formed - part of a daily habit. It has to be difficult to make at home. It has to have production processes that are easily aligned and so on and so forth.

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Therefore, when you -- when we looked at Pizza Hut, for example, 7 years ago, we thought it met most criteria. There were 1 or 2 criteria that it didn't meet, for example, omnichannel at that time or value. And those are the areas that we try to fix. If I look at Biryani, it does meet most of these requirements except that we do production processes should not require a chef.

So there are a couple of things that need to be fixed in this category. If those areas are fixed, undoubtedly, this category can deliver success with scale. So that is point number one. When we look at, internationally, also the big food cuisine categories in any of the big markets, you will find a local option to have a strong play in a particular market. So that is number one.

Number 2 is while we get asked this question, we have built this company on a strong governance platform. So anything that we do will be -- sorry, anything that we'll do will be done in an as transparent manner as possible and -- it will be done in as transparent a manner as possible.

The third point for me to say is that there are no plans at this particular point in time. I hope I've tried to give you a little more detailed answer, Jay. Forgive me if it was too detailed.

Jaykumar Doshi : No, no, no. This is very helpful. I just have one last question. I'm sorry for the third one. But look, in the second half of FY '23, your performance of same -store sales growth was broadly comparable to market leader, I mean -- and in line with category headwinds or category trends. In the last 6 months, in 2 quarters, what has changed for such divergence in -- such 20% unprecedented decline, whereas for market leader, there is marginal deterioration. So where do you think Pizza Hut has lost out in the last 6 months?

Sanjay Purohit: So last year, the 6 months also, we were outliers in the category from an SSSG perspective, both when we compare to ourselves to the number 1 player and when we compare ourselves to the other franchisees, we were outliers. So we performed. Our SSSG was significantly higher than both brands. Now on a 2-year basis, if you do the same analysis, Jay, you'll see that actually it is comparable.

So is that what we want? No. I thought we were flying and we have most of the elements of our strategy in place. But as this downturn has hit us and as the consumer headwinds have -- demand headwinds have been there, perhaps it's impacted us a little more. I think we just have to work to strengthen the brand and continue to work on our operational efficiencies. I see crisis always as an opportunity. These are the times to learn and these are the times to really up the game. And this will play itself out over a period of time.

Even the competitive intensity part, we know how people have expanded. And when you expand through a sub-franchisee model in a downturn, it

is hurting everyone. And when it hurts single -

store franchisees, then we know what can happen to overall quality of product and customer experience. So I think in the short term, we have just got to bite our lip and take the punishment

-- or bite our tongue and take the punishment. But this will play out over a period of time. We are here for the long term, and we are quite confident that we can recover our position on this brand.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

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Devanshu Bansal : Just a follow -up on Jay's question. So what is the kind of investment that has gone into Dragontail Solution? And what are the kind of time savings that we are initially seeing, from making of the pizza to delivering of the pizza to the consumers?

Sanjay Purohit: So there is no capex investment, Devanshu, it is a per transaction investment. I can't share with you per transaction cost. And also, what is the internal metrics that we monitor. I think over a period of time, this will -- this should show up in the kind of aggregator ratings that we have got or the ratings the brand has got on the aggregator platforms and therefore, should translate into sales.

Devanshu Bansal : Got it. And I agree, sir, we are obviously in a challenging environment, but there are also some positive tailwinds in the form of World Cup festive season. Plus there has been Adhik Maas in the previous quarter as well. So I wanted to check what should be reasonable expectation on sequential pickup in both KFC, Pizza Hut based on your historical experiences for Q3, Q4?

Sanjay Purohit: So typically, Q3 is higher than Q2, especially for KFC. Pizza Hut is roughly similar right across the quarter. And this year, we've had the World Cup. But last year also, we had the T20 World Cup and the football World Cup. So if you ask me, Devanshu, all of this is plus/minus. I mean in general, the last 20 days of -- or the last 2 weeks of -- December is what contributes to quarter 3 being higher than quarter 1 or quarter 2.

Devanshu Bansal : And any deviation or pick up from historical trend that we should expect in Q3? Or it should be more normalized what we have seen in the historical quarters between Q2 and Q3?

Vijay Jain: The only difference in this time in Q3 is that in October month we had an impact, lag effect impact of Shradh and then we had Navaratri. So that's only change. Because of the Adhik Maas coming in quarter 2, October will be softer. But again, when we look at the entire quarter, we don't see it going to be materially different than the previous seasonal or historical trends.

Devanshu Bansal : Got it, Vijay. And sir, globally, Yum! has been sort of also adopting loyalty rewards program. So wanted to check your thoughts on this trend? And are we sort of planning to implement in India as well?

Sanjay Purohit: Yes. So this is part of the -- we don't have a loyalty program right now. But it's part of the agenda going forward.

Vijay Jain: So having said that, there are enough and more analytics, which we do with the consumer database. So for all our channels, dining, takeaway and delivery, including the aggregator delivery, we use consumer data on which the various analytic programs, be it in terms of repeat customers, lapses, offers getting customized to the customer requirements, all those programs are in place. The only part which is probably missing is the loyalty program.

Moderator: The next question is from the line of Jignesh Kamani from GMO.

Jignesh Kamani : Just want to know, if you remove Adhik Maas for the balance 2 months, how is the apple -to-apple SSSG for us in the third quarter?

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Vijay Jain: Well, that's tough to really...

Sanjay Purohit: You are asking to predict per SSSG for third quarter. Is that what you...

Jignesh Kamani : Yes, yes. Yes.

Sanjay Purohit: So again, we always typically avoid giving quarter -on-quarter guidance, to be fair. All I can tell you is that from a trend point of view, the KFC has remained flat in H1. From a consumer demand point of view, we are not seeing anything different, materially different for it to be moving either downward or upwards. That's one thing. Same thing on Pizza Hut. I think what we have seen in H1, there's a lot of work in terms of action plan required to change the trajectory. So that's all I would say that we are not seeing any materially different in terms of trajectory for both the brands.

Jignesh Kamani : Why I'm saying because in second quarter -- first quarter also your SSSG was almost flat on KFC. And despite Adhik Maas, we are flat on the SSSG. So if you remove them, it will be slightly positive. So trends have improved to that extent?

Sanjay Purohit: No. So the way to look at quarter 2 would be that while there is Adhik Maas in quarter 2, there's partial benefit. I will not say a full month benefit, part month -- part benefit that the Navaratri

got pushed to the October as well. So that's how to look at. So I will not read too much into plus 1, minus 1. So when the movements are so small, in the 100 to 200 basis points, I typically try and avoid reading too much into those indications. For us to call a green shoot or a change in direction, it has to be a 3%, 4% movement for us to call that out, to be fair.

Jignesh Kamani : Understood. Second question, the value here in the KFC. So we introduced snacking category.

Also, we introduced Chicken Roll and other and other [7S] innovation of INR99 rupees. Any color how large it is now for some of the store which is there for 3 to 6 months kind of? And earlier, it was -- initially lead to cannibalization, are you seeing that now revenue per customer order is -- recognized customer is much higher and impact on -- to cannibalizing started settling down?

Vijay Jain: So again, typically 3 months period is too small a period for us to give out the category mixes. We typically wait for 9 months to 12 months to call that out. Having said that, we are seeing a positive movement. Also what we -- the flat SSSG in quarter 1 was with a slightly higher transaction degrowth.

What we have seen positively in quarter 2, that flat SSSG, has come with a marginal or a flat transaction growth. So you can already see the positive of this macro range coming through. And in the long run, that's not how we look at it in terms of cannibalization. In the long run, it helps us to drive transaction and that's what we are gunning for through the Snackers range.

Moderator: The next question is from the line of Tejash Shah from Spark Capital.

Tejash Shah : So last time when we spoke on the slowdown, you highlighted on personal final consumption slowdown and then there is some correlation with category slowdown. And when we entered Sapphire Foods India Limited

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the quarter, we all thought that Adhik Maas will have much more impact on KFC than Pizza Hut. But clearly, consumers are still eating chicken more than pizza in the quarter. So just wanted to understand, if we have to go bottom up now on the reasoning, it seems more like a category issue than the consumer issue. And you highlighted there's a competitor intensity. So you have much more granular data. So just wanted to understand the competitor intensity can't be uniform across the country.

So is there any further insight like which area or which region? And what is the character of this competitor intensity? Is it like established players are going aggressive on pricing? Or there are new competition which is coming in and they are at mass and taking them away the consumer.

Sanjay Purohit: So 2 parts to this. One is Pizza Hut has perhaps been impacted a little more because as the second brand

in that category, and undoubtedly, we are 1/4 of the number 1 player, we've got impacted by consumer headwinds a little more. So first, it's a -- so at 1 level, it's a category issue because you've had a number of store openings in the same trade area by another competitor, that in the short term will impact over a long term. People -- the consumer experience that is delivered will ensure that they come back to the Pizza Hut brand. So that's at the category level.

And at the brand level, also, we've got work to do because in a downturn, smaller brands, and Pizza Hut in the category is a smaller brand, it has been impacted a little more. And therefore, we have called out those 4 things that we are trying to do, Tejash h.

Tejash Shah : Got it. And you spoke about store shutdown also. So just wanted to know, is this because certain NPAs we are not achieving in the stores? Or it is that they are loss-making? And so financial reason or consumer reason, a? And b, this quarter, expansion in Pizza Hut is one of the lowest since COVID actually kind of mellowed down. So just wanted to know how we think about the store expansion also going forward?

Sanjay Purohit: On store closures, we definitely look at the financial matrices and the loss-making ones typically, which are a longer period and still loss-making, and where we don't see a possibility of revival after taking all the necessary steps in terms of marketing, in terms of consumer awareness, only post that, once we know that there is no further possibility of revival or further potential, we will take that call. Even previously, we have taken those calls. We have just called out specifically because it would be a query on top of the mind of everyone. This was the first part of your query.

And second part, which was on the expansion. Yes, while this quarter has been the lowest, we -- typically, I don't read too much or we should not read too much in this quarter-on-quarter

growth number. But I think one shouldn't look at the numbers, which is on annual basis.

Sometimes the quarter number is lower, quarter number is higher. That should not be taken as run rate.

We have called out that the Pizza Hut, this financial year, the number will be lower than the previous financial year. I would keep it at that. But certainly a number of 8 in 1 quarter and a number of 15 in another quarter should not mean anything because these are store openings, which are also dependent upon the store pipeline and the execution and not necessarily an indication of run rate.

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Tejash Shah : Sure. And then does the guidance, whatever it was earlier, does it stand net of the closure that you spoke about? Or you need to adjust for that?

Sanjay Purohit: The guidance remains net of closures. And if I try and give the long term or the medium -term guidance of 3 to 4 years, I think we are moving towards closer to full marks towards doubling the account rather than closer towards 3 years. So that's the 1 -year leeway I think we are looking at in terms of doubling the store count for Pizza Hut. And this guidance is net of store closures.

Moderator: The next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: Sorry, all the questions are answered.

Moderator: The next question is from the line of Palak Shah from ITI Alternate Funds.

Palak Shah: Just this one thing. Earlier, just a couple of years back, you had decided to move from a higher focus on dine -in stores in Pizza Hut to delivery -- more delivery for customers, and that's why you reduced the store side as well. And now we are again sort of revisiting our strategy to focus on dining more. Just can you share your thoughts why the sudden change? That's one. Secondly, does it entail us to again revisit our store sizes or additional capex to recalibrate this to more dining deliver?

Vijay Jain:

So I guess there was some either misunderstanding or misinterpretation when the conclusion came out that we actually move towards delivery -led stores. The reduction in sizes of the Pizza Hut has been gradual, and it has happened much before actually even COVID kicked in. So we were at one point in time, 3,000 square feet, moving down to 2,500, 1,800 and then 1,200. The reduction in the space has happened over a period of time by 2 parts. First, big work has happened on the back end. And when you reduce the back end, there is absolutely no impact on the front of house. And the front of house was reengineered basis) the number of covers required. Our restaurants still have 45 to 50 plus covers which we believe are enough to cater to 14 big meal locations in a week. Yes, there could be a possibility that on a Saturday evening, those covers may not be sufficient, few customers would takeaway, few customers would turn away. But we will have been able to partner with aggregators and through our own app, get those seats covered more than enough through an omnichannel strategy.

So we never move towards a delivery -only strategy, we moved towards the omnichannel strategy. Now also when Sanjay has called out those action plans, we have called out both, how do you plan to increase revenue in a home service where -- direct side, where Dragontail, the late-night deliveries and the improvement in aggregator rating should help us.

Similarly, we have called out the dining also, the kitchen planning production tool should help us improve our service level in -store, in restaurant along with building lunch occasions. So it's a combination of action plans on both the types. So we continue to operate omnichannel stores. There is absolutely no rethink in the strategy in terms of our store format, and there is no change in the size of the stores even going forward. This size is good enough to cater to all the 3 channels: dining, takeaway and delivery.

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Palak Shah: Got it. Sir, just one more. So in terms of the margins, despite Pizza Hut's 20% SSSG decline and our gross margin actually improving 200 bps on a Y -o-Y basis, are we -- have you done some optimization on the cost side to maintain or at least sort of control the cost, increases in the last 12 months, which are giving us a benefit in this quarter? So I would have assumed a 20% decline would have been a far lower margins at restaurant EBITDA level.

Sanjay Purohit: Yes. So again, cost control is a continuous process, to be fair. Are we done with it? I will not be able to say that we are done with it. You would always look for newer and newer opportunities.

But yes, it's increasingly difficult if the SSSG is 20% to -- negative to hold on to the margin level, and that's what you have seen in this quarter results. So yes, any drop which goes beyond this, you would see an impact on margin, which is much sharper. And again, if you see an improvement in these levels, you will see an impact on margin, which is positive, which will also be much sharper. So yes, at a 20% SSSG, with the kind of deleverage, it leaves a little headroom for cost manoeuvring .

Palak Shah: Sir, if you can just share any material change savings that we have done which will be sustainable going forward as well to sort of whenever the margins come about, it will be far -- the margin is far better than what we were reporting while...

Vijay Jain: If I can just give out some qualitative indicators. So across the P&L, for example, our gross margin improvement, while a lot of time is attributed only to the cooling of inflation, there is

some structural savings, which we have been able to build through vendor development and alternate procurement strategies as well. There has been much savings across cost of labor forces. With the kind of capacity additions in terms of new stores, actual

ly labor costs have not gone up by that level in Pizza Hut. So again, how do you optimize? How do you do manpower planning through variable flexi hour planning? So that's on cost of labor.

Again, sustainable from, again, a utility cost, for example, gas and electricity, cylinders -- electricity unit and gas cylinders, we have implemented a few things. For example, energy monitoring systems, which is again sustainable. There is - some kind of work which is going on even on the gas cylinder consumption, which we believe is sustainable in the long run. So I'm just giving you few qualitative inputs without calling and giving you specific details of it.

Moderator: The next question is from the line of Gaurav Nigam from Tunga Investments.

Gaurav Nigam: I have two questions on KFC. Just wanted to check on the first. As we have said in KFC, we have optimized the store sizes. And what has been the improvement on revenue per square feet on a pre -COVID to now? Any sense of proportion would be helpful, sir.

Vijay Jain: So again, revenue per square feet, this is a metric which typically is not followed in QSR industry, while it's one of the important metrics in the retail industry per se, because store sizes are so small. So that's not the way to look at. Having said that, the reduction in the store sizes is without compromising any capacity on the kitchen side. So the same store size, let's say, 1,600 square foot store size is perfectly capable to deliver the same revenue and throughput, which earlier a 3,000 square foot store would deliver.

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So the size is -- the reduction in size is what we have cut down in terms of inefficiencies, and the revenue is as good as the previous store size. Depending upon what is the maturity level of our store, they would be at a revenue stage. But does my -- as an example, would a 1,600 square foot deliver same or more better throughput than a 3,000 square foot store? The answer is yes.

Gaurav Nigam: Got it, sir. Understood. And sir, one more question on the KFC business. On the KFC portfolio, if I were to look at like, let's say, 3 years down the line, how should we think about the restaurant EBITDA margin? And how should we think about the leverage on the corporate overhead? I'm just trying to get to like how should we think about the KFC portfolio net EBITDA margin pre Ind-AS on a...

Vijay Jain: Quite happy that you actually asked this question because it actually allows me to spell out the KFC strategy. And we have taken a slightly different path on KFC compared to our competitors in the QSR industry. I don't think we're looking at trying to expand the margin beyond 20%. What we're trying to do is how we can hold the margin at 20%, in and around 20% mark, and grow faster. And that's what we have done over the last 3 years.

If you see the kind of additions we have done on the brand, we have -- over the last 3 years, the brand has doubled its revenue and tripled its restaurant EBITDA. So that's the strategy on KFC, that how we can benefit more and more without compromising the restaurant EBITDA.

So if our restaurant EBITDA moves beyond 20%, it only gives us a peak market we can grow even faster. So that would be the strategy on KFC for the next 3 years -- 3 to 4 years, double the restaurant count, grow faster and if you're able to deliver restaurant EBITDA beyond 20%, grow even faster.

Gaurav Nigam: Got it. And sir, any leverage on the corporate overheads, like which comes after restoring EBITDA, any leverage that we should expect on that as well?

Sanjay Purohit: If I look at the 3 - to 4-year picture, yes, you will definitely look at the leverage. Current year when the overall growth has been a challenge, you may not see such big leverage on the corporate cost side. But typically, what we think overall revenue growth, if it's 20% to 25% of our business, corporate co

sts would typically grow at 15% to 20%. So that's the general thumb rule, and that gives you leverage on the corporate cost.

Gaurav Nigam: Very helpful, sir. Sir, if you allow this, I have one more question, just on the concept of the business. Sir, you have these 2 franchisees, right, for Yum!. So when a consumer places a delivery order, how does -- like they're still decided that which for -- actually, which is store it will go to because sometimes the store of both the franchisees are close to each. So how it is decided that where the order will go? Who will service it?

Sanjay Purohit: I'm assuming you are asking in particular for Pizza Hut. Because in case of KFC, there's absolutely no overlap. There is clear territory demarcation. So you're referring to Pizza Hut, right?

Gaurav Nigam: Yes.

Vijay Jain: On Pizza Hut, again. On Olo apps, which is our own app, there is a clear digital map, which are in place. So there is no overlap between us and the franchisee partners. So this confusion does not exist. In case of aggregators, yes, the consumer may be able to see more than one option available on the app.

Again, I think the consumer would go for the restaurant which offers better consumer experience, which is reflected in the ratings. And secondly, in terms of estimated time of delivery, which is the ETA. So a restaurant which is typically nearest and if it has a good consumer experience, that would be in line to receive that particular order. But the option is left for the consumer to choose.

Sanjay Purohit: Yes. Having said that, Gaurav, when you look at any of the aggregator apps, there's typically, and if you say choose even KFC, you will get stores that are close to you and stores that are far from you also. And typically, the consumer chooses a store that is close, and in any brand. So they'll -- if you are in Malad as we are in right now, they'll even give you perhaps a store in Bandra and say that it will take 90 minutes to deliver.

Vijay Jain: Having said that, this overlap between us is still minimal. While there is no overlap at all on the Olo, the overlap between the 2 franchise partners will be minimal.

Sanjay Purohit: Just conscious of time, we've got another -- yes.

Vijay Jain: We can take 1 or 2 questions more.

Sanjay Purohit: Yes.

Moderator: The next question is from the line of Ritik Tulsyan from Concept Investment Private Limited.

Ritik Tulsyan: So I have two questions regarding Pizza Hut. So if we look at either the gap between us and them is already huge, right? And now they are going further in the sense like 20-minutes delivery, doubling down on technology and et cetera. So as a company, how do we plan to reduce the gap between us and them in the long run? So I want to know from the perspective of 3, 4 years down the line, if you can elaborate more on the strategy.

Sanjay Purohit: Sure. I think it is incorrect to say whether we reduce the gap with them or not. What are we doing to strengthen our brand and I talked of the 4 things, Ritik, - in my presentation. So whether that closes the gap or not, it will certainly have an impact on our performance. And it will certainly strengthen the brand. I think that's how we have to look at it. Whether to predict what this will result in a market share improvement, et cetera, is a difficult conversation to really have.

Vijay Jain: So having said that, again, with Pizza Hut's omni-channel strategy, I don't think we have to plan bridge that gap even if we are able to hit our kind of ADS. And again, with Domino's strategy means their dining sales and the dining profitability is better. So this is not how we are trying to track internally because the mix is very different. So we don't have to really bridge that gap. Even if we go somewhere closer, we should be able to deliver that kind of profitability, but we are far

off from that particular situation right now. This could be probably a very long-term ambition.

But as Sanjay said, we will focus on our own things. And one thing which I'll call out, while you said a 20-minute delivery, I think the Dragontail is somewhat to address that. I think what customer is looking at today is whether we can deliver a hot and fresh pizza or not. As long as we are comfortable with the ETA, which is the estimated time of arrival or delivery and they get hot and fresh pizza, they are less fussy about the -- whether it takes 30 to 35 minutes.

And this is clearly reflected. For example, on our own apps, we are able to deliver the majority of our orders below 30 minutes. Still the share of our own app is lower, whereas on the aggregators, a lot of time, the order goes to 30, 35 minutes, 40 minutes, but customer is happy ordering that. So all they're looking for is the quality, which is hot and fresh, and I think they are less fussy about 5 minutes here and there.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Sanjay Purohit: Yes. Thank you very much all of you for joining. I just want to wish all of you all happy Diwali, wonderful festive season with your family and with friends. This quarter, I've seen, like I said, very strong financial performance from KFC, green shoots of recovery in Sri Lanka. Pizza Hut has had a difficult quarter, but we are clear on the steps that we are taking to help the brand recover. That's all from all of us right now. We will see you again in a quarter's time. Again, happy Diwali and God bless.

Moderator: Thank you. On behalf of Sapphire Foods India Limited, that concludes this conference. Thank

you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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CIN: L55204MH2009PLC197005
Date: 16th February 2024

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q3 FY24
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Friday, 9th February 2024, in relation to the financial results of the Company for the quarter and nine months ended 31st December 2023.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2023-24 Quarter 3 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited Q3 & 9M FY-24
Earnings Conference Call”

February 09, 2024

M
MANAGEMENT : MR. SANJAY PUROHIT – GROUP CEO & WHOLE-TIME
DIRECTOR, SAPPHIRE FOODS INDIA LIMITED

MR. VIJAY JAIN – CFO, SAPPHIRE FOODS INDIA LIMITED
MR. RAHUL KAPOOR – HEAD, INVESTOR RELATIONS ,
SAPPHIRE FOODS INDIA LIMITED
MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen , good day and welcome to the Sapphire Foods India Limited Q 3 and nine-months FY24 Earnings Conference Call of organized by Orient Capital.

As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital . Thank you and over to you sir .

Bhavya Shah : Good evening, everyone . We lcome to the Q3 and Nine Months FY24 Earnings Con-Call for Sapphire F oods India Limited .

From the Management we have with us Mr. Sanjay Purohi t – Group CEO and Whole -Time director , Mr. Vijay Jain – CFO and Mr. Rahul Kapoor – Head, Investor Relations .

I hope everybody had a chance to go through the results and investor presentation which was uploaded on the exchange earlier today . Before we proceed a reminder that his call may contain some of the forward -looking statements which do not guarantee future performance and involve unforeseen risks. A detailed disclaimer has also been published in the presentation.

I will hand over the call to Sanjay . Over to you sir .

Sanjay Purohit : Good afternoon, everybody. Thank you for joining our investor call.

Let me start off ; our Quarter 3 FY24 consolidated restaurant sales were 664 crores, and this grew by 12% YOY and EBITDA at 123 crores grew by 5%. Now these numbers seem to suggest that the quarter continues to be tough from a demand perspective. Indeed , when you look at most consumer product categories , we can see that demand conditions are tough and then when you look at the rest of the QSR industry , again you will see demand conditions the growth generally being muted. But in the light of competitor highlights that have been given out , this performance still is relatively a strong perfo rmance driven by KFC which is doing quite well , Sri Lanka being stable and Pizza Hut continuing to be a challenging quarter.

In the quarter we added 36 restaurants , 25 KFC , 8 Pizza Hut in India and 3 Pizza Hut in Sri Lanka , taking a total restaurant count to 850. Our consolidated restaurant E BITDA margin ; EBITDA was flat Y -on-Y and margin was down to 16%, 210 basis points lower than last year. Our consol EBITDA post Ind-AS was 123 crores or 18.4% and this grew year -on-year by 5% , though down by 120 basis points. Our adjusted EBITDA was 72 crores or 10.9% and this declined Y-on-Y by 2% or by 155 basis points.

I'm now going to jump to the KFC slide , which is Slide # 18 and talk about what we are trying to drive on the KFC brand. Like I said in general , we are seeing growth being challenging in the Sapphire Foods

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QSR space. However , on KFC our biggest priority is to be able to grow the fried chicken relevance. We have taken two occasions of lunch and snacking, and we are starting to blow this up. This is both through product menu innovation and then advertising both digital as well as mass media television advertising to back these initiatives. So , you would have seen snacking as a continuing theme from last couple of quarters and lunch is an occasion that we have started backing from this quarter onwards. Like I said both of them come with a variety of options at attractive price points and we are advertising to create demand.

From an operational perspective, our customer scores and our operating scores continue to improve . For example, our Google ratings , our Swiggy ratings , our Zomato ratings on the basis of which consumers make a choice between brands have never been higher than what they are today. That's on account of the rigor in operational initiativ

es that we drive at the front end. So, that's doing really well.

We have overall implemented digital kiosks. This is Slide # 20 in about 130 restaurants and that's going well . From an accessibility perspective, w e used to call out that on an overall basis we should be able to double our restaurant count in 3 to 4 years. On KFC at least we think that we should be able to call out that we will double this restaurant count in 3 years' time. Quickly let me hand it over to Vijay to take us through the numbers part.

Vijay Jain: Thank you, Sanjay. Just to clarify on the previous slide ; doubling the count we meant December '21 as the base. We are on track to double it by the end of Calendar Year '24.

Slide # 22; dining mix was 43% , delivery came at 38% , 200 basis points higher than last year. In terms of SSSG were at (-2%) with overall revenue growth of 16%. A DS of 125, 000 include 25% new store additions. So, we added 81 stores over the last calendar year. So, that impact is there in the ADS of 125. Overall gross margin grew by 190 basis points and sequentially it improved by 50 basis points. This combined with the cost efficiencies meant that we were able to deliver a very strong EBITDA of 20.1%. And even if you look at our nine-month performance, 19% revenue growth with a 20% restaurant EBITDA this is the highest ever restaurant EBITDA for Sapphire KFC for a nine month period. Moving to Slide # 25; it gives you a 4-year trend and five quarter trend. Now that we have the

benefit of looking at the results of all of the QSR players, we can safely say that the last nine months performance of KFC and especially the Sapphire KFC.

I would like to underline this "Sapphire KFC is by far the best in the industry considering the scale growth and the margins which we are able to deliver ."

Sanjay Purohit: While KFC has been a shining star in our overall portfolio , Pizza Hut continues to face a challenging situation on the back of quite severe competitive pressures. Last time we had tried to distill out everything that we are doing into really three simple buckets, and we had called out specific actions that we are taking under each of these initiatives and here we are giving you a Sapphire Foods

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summary update. Now given the nature of the decline that we have had on the brand, I must say there are no silver bullets to rejuvenating the brand. This is going to be a medium -term task and to be able to change perceptions on the brand. So, the first action that we have called is how do we revive customer interest in the brand by building the brand and both product innovation and enhanced marketing investments are the specific actions. You should be able to see innovation starting to roll out in the next two quarters and we will be putting in a higher level of marketing monies to back this innovation. Then we'd said we've got through operational initiatives how do we grow both dine in and home service . We have now implemented the Dragontail kitchen planning tool in 100% of our restaurants and most importantly because this is a delivery forward kitchen planning tool , for it to be effective we needed to integrate with the aggregator platforms ,

that is also complete. So, now our simple premise is that if we are able to deliver pizza within 20 minutes to a customer as soon as it comes out of the oven then it is hot and fresh. We are now seeing month on month improvement in these metrics of the number of orders that we are able to serve within these 20 minutes. That's resulted in our higher ratings on Google , on Swiggy and on Zomato. So, across the platform we are close to a 4 rating on Zomato, and this has seen a substantial improvement and above 4 on Swiggy.

Further building occasions like KFC is an important initiative. Both lunch as well as late night deliveries are the two areas that we are focusing on. The lunch day part acti

vation has been rolled

out and over 90% of our stores now are open for late night deliveries. So, this also we think will give us an upside.

And finally, we've talked about our philosophy on capital allocation and given that the brand right now has had a challenging couple of quarters on profitability, we've said that we will do 3% to 5% portfolio corrections in the next two quarters. We will slow down on our rate of expansion, but we will continue to invest in refurbishments so that the customer experience is really maintained. So , like I want to underline here , brand revival will take a few quarters but the actions we believe we are taking are fundamental in nature and it's just persistence that will definitely drive and deliver results.

Vijay Jain: Moving to Slide # 32; dining mix came at 35% and delivery is at 49%. Largely stable quarter - on-quarter and even for the last nine months in the similar range. Overall SSSG for the brand was (-19%) and even the overall revenue decreased by 4%. A DS came at 45 ,000 ADS . Again , in terms of last 1-year additions we roughly added 15% of stores in last 1 calendar year .

Moving to the gross margins ; 75.7%, up by 130 basis points. Although gross margins improved, the operating deleverage on account of negative SSSG meant that our restaurant EBITDA came down at 4.6%. Slide # 35 which gives you the 4 -year trend and five quarter trend , clearly shows that the brand is facing challenging times. However , Pizza Hut continues to be important second leg for Sapphire and we're confident that it will emerge stronger in the medium term.

Sanjay Purohit: Very quickly on the Sri Lanka business performance ; Sri Lanka has been quite steady . On a YTD basis we are seeing 1% SSSG. The operating conditions are quite steady. I think this is the Sapphire Foods

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period where with cost stabilizing , with the country's economic and political scenarios stabilizing , we should look at an improvement in the growth outlook towards the latter part of the year. We still believe strongly that there is good growth potential in this market and for the brand Pizza Hut , there is still a long runway for expansion and growth here. We will continue to be careful. We opened 7 stores last year and we will continue to be in that vicinity until we see an uptick in the overall macros and then we should be able to accelerate. The brand continues to be the #1 QSR brand in the country.

Vijay Jain: I will cover from the financials of Lanka , slide #40; the dining mix came at 27% , delivery was at 37 % again, largely in line with the last year. SSSG was 1% in LKR , in terms of overall revenue growth 7% in LKR , 22% in Indian rupees and while gross margins improved by 450 bps , cost inflations on other lines meant that restaurant EBITDA came at 14.2% , again largely in line with the last few quarters. Also , our absolute restaurant EBITDA grew by 4% in LKR term. So, that's again another heartening part that now we are able to grow our restaurant EBITDA. So, over last 1 year over past few quarters we lost out on our restaurant EBITDA and absolute basis. We are again seeing the growth happening on an absolute EBITDA basis. So , 4% for the quarter , 2% on YTD basis in LKR terms and 19% for the quarter in INR terms and 19% on YTD basis as well. Slide # 44 gives out the 4 -year trend and five quarter trend. As you can see the last few quarters have been quite steady in terms of our performance in terms of profitability and as macroeconomic recovery continues. As mentioned by Sanjay , we expect improvement in this starting from next financial year.

Moving on to Slide # 45; v ery pleased to inform that Sapphire Foods is now rated by S &P on ESG parameters. Our DJSI ratings , we were rated as 42 in terms of score. We are highest or first amongst the QSR brands in India, 95th percentile amongst the global QSR compa

nies. The key

areas of impact have been human capital development , business ethics and customer relationship management. With this we hand it over back Anuja to you. We can open the forum for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nihal Mahesh Jham from Nu vama Wealth Management Limited.

Nihal Mahesh Jham: Two q uestions from my side. Starting off with Pizza Hut, over the last six quarters there's been a significant deceleration in the performance, which you also highlighted. So, is this totally related to the competitive intensity or maybe from a brand perspective also some choices or some aspects have not worked out right ? Because if you look at the history there was revival which the brand saw but it's just surprising in terms of the kind of deceleration the specific brand has taken versu s some of the other pizza p layer s.

Sanjay Purohit: So, I think part of the issue is the competitor intensity and perhaps that's affected Pizza Hut a little more than other brands. So, that's what the numbers point out towards , Nihal. Having said that I think we recognize that in a highly competitive space at this moment , we've got to start upping the ante. The brand still means a lot to consumers . All our consumer research still shows Sapphire Foods

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that the brand retains a top -of-mind awareness , consideration. And yet in the face of like I said competitive pressures , we have lost out on growth despite our higher expansion. So , the answer really lies in how do you revive consumer interest behind the brand and to do that it's a combination of how much marketing that you put behind the brand and through both innovation as well as value attract consumers and back that up with very strong operations to deliver a great experience to consumers when they either come to the store or when they order in their home.

Nihal Mahesh Jham: A related question here was that we've been very aggressive with product launches in Pi zza Hut over the last 2 years. When we are incrementally looking at launching further products , what is going to be different versus say launching those 10 unique Pizzas which I think just happened 6 months back?

Sanjay Purohit: Very well. So , if I just look at our last say perhaps 2 or 3 years what really worked on the brand was about 2 years ago when we launched the Momo Pizza, that seemed to work on the brand. When we launched Flavor Fun for a period of 6 to 9 months , we saw significant upside on the brand. Brand ADS started to move up , the core P izza Refresh which was the 10 new pizzas and branded as 'W hat's your mood Pizza ' , perhaps did not have as much of impact as it should have because you're changing around toppings and not offering the consumer anything significantly new. So, that's a lesson that we are perhaps taking out. So, whereas when I look at the first two innovations that I talked about both Momo as well as on Flavor F un, I think one recognition is that we should have been able to support these innovations for a longer period of time through heightened marketing. Given the size of the brand and the costs of media today , we thought that if we support these initiatives for a one quarter basis or so that will be enough. I don't think that's enough. I think those are our learnings out of what we have launched in the past and we should take that into our future launches.

Nihal Mahesh Jham: In case of K FC, it has obviously been a much better performer as you said. Is there a possibility

in that category also online competition come up and just become an issue in the future , there are 1-2 brands who obviously launched specific chicken offerings ? So, just your view on that .
Sanjay Purohit: I guess the overall competitive pressure in food has increased. If I even just break up this competitive pr

essure, we are not seeing so much of pressure coming from brick and mortar and or omni restaurants. So, people who are putting up stores as well as being online. The competitive intensity there is I would say normal but not heightened where it seems to be coming out is in the form of cloud kitchens. Now each one of them whether they are making money or not is a secondary question. But at least in the initial stages it's quite easy , there are lower costs of setup. Continuing costs of being able to make money is a different question. But therefore , you see a burgeoning of what I think are cloud kitchen brands and, in this space, also pizza is a little easier than perhaps KFC. So , could it happen on KFC? Yes , it could happen on KFC. It could happen on any brand really. Hence again how do you continuously build consumer interest on the brand, is really the answer only to counter such competition.

Moderator: The next question is from the line of Jay Doshi from Kotak Institutional Equities.

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Jay Doshi: I have just one question. With such strong store growth over the last couple of years and SSSG decline in KFC , you're still able to hold on to a margin of 20%. So, what are the steps you've taken over the past couple of years to improve efficiency at store level and do you think this is a sustainable margin assuming that the demand environment remains weak?

Vijay Jain: So, again Jay at (-2%) SSSG this was possible because we also got a benefit of gross margins. Having said that a lot of work has gone on the cost efficiency side as well. If I give you a few examples and I've called out this on previous forums , the pace setter exercise which we follow internally where you bucket the similar revenue stores in cohorts of 15 and 20 and then you try and compare one cost versus the other and challenge the less performing stores to deliver the cost parameters as per the greater performing stores or better performing stores is a continuous exercise. So, that exercise actually cuts across whether it is labor hours , whether it is electricity unit consumption, whether it is gas cylinder consumption, whether it is wastage across the stores. So, this is a continuous program which we have developed in house and over the last 3 years have been giving us quite a bit of joy. Having said that if the pressure on SSSG continues , I don't think the gross margin there is further scope of improvement . If we're able to hold onto these ADS levels , I think yes it's possible to hold onto margin in this particular range . But if the ADS level goes down and if the SSSG goes even further down, then it becomes difficult to hold onto this level of margin. Having said that while we have taken various measures on the cost front just to clarify not at the cost of the customer. So , our customer metrics are at all -time high in terms of whether it is Swiggy ratings , Zomato ratings , the Google ratings , our guest experience scores , the ratings which we measure internally on operating and brand standards. So , they are at all-time high. So, these efficiencies are driven not at the cost of experience.

Jay Doshi: A follow up there , you had about 250 KFC stores 2 years back December 2021 quarter. You have (+150) stores that are less than 2 years old. What would be the profitability gap between the stores that are 2 years and above maturity wise and the stores that are less than 2 years? What would be the differential in this margin?

Vijay Jain: Jay, we typically don't give out vintage wise profitability. However , what I can tell you is that typically it takes 3 years for the store to mature in terms of revenue levels and in terms of coming to the profitability near the brand average. So, if it's 2 years yes , it's short of the brand average in terms of both revenue and profitability. It takes closer to 3 years to reach the br

and level in

terms of the ADS and the profitability.

Jay Doshi: But is it a big drag on overall profitability or not so much?

Vijay Jain: I would not look at those as being drag. This is like you're building it for the future growth. It's a natural course which it is to traverse over 3 years . It's profitable in year 1. We break even almost in Quarter 1. In year 1 the profitability will be in double digits. In year 3 it will move towards the brand average. So, while it will be shorter of the brand average , after 3 years it becomes rolling cycle. The stores which I opened 3 years ago now are adding to the profitability. I will again add new stores. So , it's a continuous cycle and that's why we have said that we are

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very happy to target ourselves to deliver a margin which is in the range of in and around 20%.

We don't want to really have a scenario where this goes beyond 20 % and if it goes beyond 20 % , we will invest even more aggressively on the brand by opening even more aggressively. So,

that's the approach. If it goes down considerably below 20%, we will have to relook at our expansion plan. So, that's the simple approach we apply. You have seen that already on Pizza Hut, that moment the profitability got impacted, we have called out first in the industry to go slow on our expansion plan. If you look at the last two quarter numbers on Pizza Hut, we have slowed down in single digit our store expansion.

Jay Doshi: Your KFC profitability is very resilient and impressive in context of what we are seeing across the space. One last thing you talked about Pizza's turnaround, but steps and you have a slide there. But my question is that look there are three stakeholders here, yourself the other franchisee and Pizza Hut India. If the interests of all three are not aligned then is it possible for any one stakeholder to (Inaudible) (30.35 mins) around the brand and do something? And in this case is there an equal level of commitment you see from the other franchise as well as Pizza Hut to actually fix this issue?

Vijay Jain: So, while it can be difficult but not an impossible one as long as the interests and the objectives are aligned which they are. Over the years we have seen that all the three partners have come together on the platform, and we have been able to arrive at a way forward which is aligned across all the three parties. That's what happened when April '19, if I may recall we completely redid the menu card, brought in the everyday low pricing. That's what happened when we did the meal options. That's what happened when we did Flavor Fun and even the going forward plan, when we are calling out that we are going to heighten the level of marketing investments and product innovations. Heighten the level of marketing investments not just by Sapphire, other partner franchisee as well and not just other partner franchisee even Yum! themselves will put additional money towards that. So, yes, our interests are aligned. As I said as long as the objectives are aligned, we are able to figure out the way. Three partners on the table can also mean the three-thinking people. So, the idea can come from any one of the three. As long as it's good for the brand there is no harm in accepting that idea and moving forward.

Sanjay Purohit: I will add my two bits also here Jay. So, unequivocally yes, we are aligned between Devyani, between us and between Yum!.

Jay Doshi: I never had doubt about alignment, it's about commitment. The level of investment that each one of you would be willing to put in.

Sanjay Purohit: Alignment without commitment is useless. I would say in my book, so it is alignment with commitment. And at this moment you just have to take me at face value perhaps but hopefully this will play out in the next couple of months.

Moderator: The next question is from the line

of Tejas Shah from Avendus Spark.

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Tejas Shah: My question is an extension of what Jay asked, on resilience on KFC margins. So, interestingly we were at 65% SSG 1 Q last year and we delivered 20.3% margin, and we are at (-2 %) this quarter and still we are at 20.1 %. So, understandably as you explained that in that period you would have kind of reinvested into it into the brand and hence, we did not kind of overrun on the operating leverage part that period. But I'm just wondering if those investments were done at that point and immediately it is followed by such a weak period of demand in SSG, how should we think about that operating leverage not allowing to come through in the margins and investing? And how do you calculate or how do you track ROI of such investments when the tailwind is in your favor, you don't allow margins to go up and then headwinds are not under our control? So, just wanted to understand the mindset or philosophy over here.

Vijay Jain: You were referring to which quarter if you can just come again, which quarter you are referring to?

Tejas Shah: 1Q FY23 when we had a low base, our restaurant EBITDA in KFC was 20.3 % with SSG of 65%. Then even 3 Q last year on 3% we are at 20.2 %. So, we have been very resilient on this point on EBITDA margin. I was just wondering if things have to improve.

Vijay Jain: I was just wanting to understand which quarter you were referring to. When you're looking at that 65% SSG growth, Tejas that's not really comparable or normalized SSG because Q1

FY23 it's getting compared with Q1 FY22 which is the second wave or the peak of second wave of COVID. So, it comes across from a really low base. What you need to look at is what were the ADS levels at those point in times. And our ADS levels have been in the range of I would say anywhere between 120 to 140. Those are the kind of ADS levels range we have been hovering around. So, those ADS levels would determine what kind of restaurant EBITDA I'm able to hold on. Having said that my new stores also come at a lower ADS. When we say we will invest back in the business, we never meant invest back in the business through increasing the level of promotions or marketing. Those are at a standard level of 5% as per the agreement with the Yum!. What we meant by investing back in the business is by opening or increasing the pace of our expansion. So, if you are able to go faster and take the market by adding more stores that's the preferred route or the strategic route which we are choosing, growth with profitability

rather than just trying to pocket the profitability and then have a lower growth. That's what we meant. So, it's not that when the tailwinds are there, we are not wanting to pocket the profitability.

Tejash Shah: Second Sanjay in his opening remarks called out that pace of expansion will be relooked perhaps in more in Pizza Hut and we will also go down on some store corrections. So, if you can assign some number to this comment of yours for both the brands, you have a target of doubling on CY21. But we are almost at the back end of that for KFC as well. So, if you can give some color on how should we think about next 3 years for both the brands?

Vijay Jain: When we gave out the CY21 number, so CY21 if I put all the three verticals together, we had 550 restaurants and we said we could double it to 1100 restaurants in 3 to 4 years' time. We
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again gave a range of 3 to 4 years because we know in India shift can happen, it's happening for us right now in one of our brands. So, that's the reason we gave out a range of 3 to 4 years. Within that while we said we could largely double, yes one brand can be 2.1x, other brand can be 1.8x, 1.9x. We never wanted to get into a year by year or quarter by quarter targets. What

it meant was that we could be in the range of 130 to 160 restaurants opening all verticals put together. For the last 2 years we have been on track on that. What we called out today specifically was that while we gave a range of 3 to 4 years, increasingly it looks like for KFC we would be able to meet that target of doubling in 3 years' time. So, probably within the range of 3 to 4 lower end of the range. In the case of Pizza Hut, we called out that probably within the range of 3 to 4, we would go on the higher end of the range which was 4. As of today, if the brand is delivering (-19%), I would not want to get into a conversation on how many stores. I think the immediate priority for the next 6 months is let's see whether we can get some growth back on the brand and then we can try and do discussion on what the numbers look like. It will continue to be slow. Right now, the numbers are single digit. We are opening 8 stores. For the next two quarters probably, you may even see a lower number as well. But the annual numbers the target for next 2 years I can call out, it looks like more towards 4 years rather than 3 years. But I think it would be prudent to park the conversation for the next 6 months at least and let's focus on getting the growth back.

Tejash Shah: And whatever the 3 or 4 years whenever you're comfortable giving, this you are referring to net addition and not gross?

Vijay Jain: Net additions and on the base of December '21.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question was actually on the store expansion in KFC where you seem to be, obviously you're bringing down your target to 3-year doubling. So, the macro environment is still bad for food, KFC has of course been more resilient. So, just wanted to understand what's giving you the confidence that you could actually accelerate KFC addition. Is there a risk that we overdo KFC addition in an environment which is really bad and that puts us in a troubled spot? If you could put some light on the last three-four quarters the new store openings, how have those new stores done qualitatively versus where you normally expect it to be? Have they been significantly worse or more or less in line, so broadly the thought process on this acceleration in this weak environment?

Vijay Jain: So, while we call it acceleration, I think we are trying to say we are largely maintaining the pace right. We opened 80 stores this calendar year as well. So, it's not going to go dramatically higher than that and still we will be able to closely hit that doubling the count in 3 years. So, first of all, we are not saying we will go extremely further aggressive from the current pace of expansion. The current pace of expansion actually leads us to or results into that 3-year doubling count on KFC. Secondly the approach we have always called out Sapphire's approach on capital allocation. We would not get swayed by saying that if we can double it 3-4-5 years. It's based
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on a simple approach that if you're opening the stores and those stores which you have opened are able to hit the strike rates or hurdle rates which gives us the required or desired payback of 3 years or so, it gives us the desired level of profitability. It means whatever you're doing it's working and if it's working, you can continue with your pace of expansion. If it's not working you have to reduce the pace of expansion. That's what exactly we are doing. On KFC, whatever we are opening right now, you can see overall margins in the range of 20% which means the new stores are not big drag on our profitability. Those are working, they are able to follow largely the cycle of getting us the payback of 3 years or so. Over 3 years they are able to mature and hit the profitability which is of brand level average.

erage. So, as long as we're able to hit that profitability mark, it gives us an indication that you can continue the pace of expansion. The moment we fall on the SS SG even further or the moment we fall on the benchmark even further on the profitability, it gives us an indication immediately that this is a time to relook at your numbers. We relooked at Pizza Hut numbers. Nothing will stop us from relooking or revisiting the KFC numbers as well because capital allocation will be of prime importance. Having said that on Pizza Hut, we did not revisit the numbers on the very first quarter when the numbers went southwards. We always said these are conversations or decisions which cannot be taken on quarters data. We waited for three quarters for Pi zza Hut before calling out yes, three quarters, nine months is long enough, and this warrants a store expansion approach which is more cautious. So, if anything of that sort happens in KFC yes, you will have to wait for 6 -9 months to come up with what the new approach of the management would be.

Arnab Mitra: My second question was on Pizza Hut, at this SSSG level and the margin level it is the exceptional circumstances right now. So, is there not a strong case to completely pause expansion temporarily till your initiatives that you've highlighted come in and the store economics improve? If such a measure has to be taken does Yum! have to be in agreement with the pause in store expansion or is that something you can take on your own based on the circumstances? Is there like a red line of margins that you take a call that this is just too bad, we need to stop and get our economics back in the existing store?

Vijay Jain: So, while I answer your question specifically first just to overall strategy on Pizza Hut, for us it's a very important second leg for Sapphire. And while we are right now in challenging times, even in these challenging times our second leg, which is Pi zza Hut, is way ahead than any other competitor's second leg. A few of our competitors don't even have a second leg. So, that's an important point to remember that it's a very important part of our portfolio in the medium term, in the long term. Yes, currently we are facing challenging times. We have already tapered down our expansion. If you can see it's 8-8 stores vis -à-vis what we used to, our run rate used to be 15-20 stores almost per quarter prior to that. The stores which you put are again an independent decision. So, while the current SS SG may not be great, there could be few opportunities, few pockets, few trade areas which could be completely not served by the existing stores, existing channels. Which means there could be opportunity, there could be good real estate available, there could be a great rental deal. So, you don't want to completely go into a situation where you are not able to capture those things. Also, there would be few stores which we have already signed in terms of the pipeline. If those are at great commercials you may want to open that. So, Sapphire Foods

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completely pausing may not be an approach. But if it comes to that situation yes, you are right. This requires a conversation with Yum!. Having said that thrice we had a conversation with Yum! over the last 7 years or so on the Pizza Hut store expansion and thrice we have been successful to renegotiate our development agreements in terms of store expansion. So, if this warrants any conversation yes, we can have those conversations. And as long as those conversations are with common sense and business sense, we have been able to confidently pull that off as well.

Sanjay Purohit: I will just add here Arna b. Finally, we are all taking business decisions from a single lens, and I can't see any reason why Yum! should not back us. And in fact, they should be the first people who will tell us that go slow on

expansion, I let's get the brand right, let's get profitability right because they know that a profitable franchisee anywhere in the world is more than willing to put in further capital. But if you're not being able to get your returns, then what is the point in expanding for the sake of expansion. I think the conversations are fairly logical and fairly business forward.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global Financial Services Limited.

Devanshu Bansal: My question is specific to dine -in or on -premise channel for KFC. The numbers suggest that performance has been sort of relatively much better versus peers in this quarter. We have reported a 6% to 7% sequential growth in our dining channel versus flattish to negative trends for other formats. So, what is working well for us here? Is it new launches, the KFC launched Wednesday offer or the store modernization that we have done? So, if you could just throw some light on this.

Vijay Jain: So, yes, a lot of our current offers are focused on actually encouraging dine -in consumers to come in, dine-in and takeaway. So, our lunch offer is one of such examples which is focused on dine-in consumers. There's another offer which is currently going on, on crispy which is again dine-in and takeaway focus. So, yes, the efforts are there which actually try and get the consumer on the premise vis -à-vis just having it on the delivery platform. That's one. Secondly if you look at the mix and the quarterly mix also plays a role. Typically, if you look at Quarter 3 being a festival quarter, dine-in is definitely better in this quarter compared to the other quarters. So,

entirely looking at sequential performance may not be the right way. When you compare it last year quarter the mix for dine -in has slightly gone down as well.

Devanshu Bansal: So, Vijay I was comparing it across players. So, those things play out for other players also.

From a gross margin point of view , Vijay indicated that for KFC at least there is not much room to improve there. But the other franchisee is still (inaudible) at 100 - 150 bps (48.25mins) higher.

So, is it just because of channel difference or can you throw some light there ?

Vijay Jain: So, first of all , on the gross margin I said there's not much of a room there , what I meant was again from an inflation point of view . We are fairly at a steady state over last couple of quarters.

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So, whatever upside we had and whatever the gross margin we lost a year or so back because of high inflation , we have been able to largely pull back. Hence, I meant there's not much headroom available over there and we're quite steady , both for KFC as well as Pi zza Hut. When you try and compare with the gross margins of Devyani, unfortunately we will not have a breakup or details available and this number over the period , over the last couple of years have gone up and down. So, frankly I would not have a specific answer. Having said that ...

Sanjay Purohit: Just I look at the restaurant margin here.

Vijay Jain: Having said that there are two or three reasons which can lead to different gross margins across both the franchisee. The first the buying mix , so while we negotiate at a one system Yum! level on key raw materials and vendors , the buying pattern could be very different. I would buy from a vendor who is nearer to me vis -à-vis vendor who is far away from me but cheaper because the transportation cost could make it quite expensive. So, buying mix could be quite different. The sales mix could be quite different. So, those are the mix which can be at play. Having said that if you look at the overall P &L profitability to restaurant EBITDA and even if you look at nine months profitability because sometimes quarterly numbers , there could be skewness and it may not do justice . On

a nine -month basis KFC Sapphire is now at 20% restaurant EBITDA , the highest in the industry and Devyani if I remember number correctly is 19.8%. So , we are 20 b ps higher than them. Traditionally I used to answer questions where that why are you 2% lower than Devyani on KFC? And we have called out that some of the territories which they operate in north, northeast , they have a cost advantage in terms of lower rentals , lower utility cost, lower cost of even wages. So, if right now we have been able to bridge and overtake I think it's a fantastic performance by Sapphire .

Devanshu Bansal: No doubt about that Vijay , very good performance on the margins front. Just last two bookkeeping questions from my end. This depreciation expense has seen an increase in Q3. Is this expected to normalize or what is the reason for this?

Vijay Jain: So, two parts to it. First of all, our capacity additions. If you see if our brand is not growing or overall revenue growth is not higher than the store additions , it will impact PBT. So, we have been adding stores in the range of 20 %-25% in case of KFC and we are adding stores in the range of 15% in case of Pi zza Hut. And the brand growth because of the negative SS SG is not gone beyond 20%. So, as a result there is a deleverage impact. So , depreciation as a percentage would increase as well. So, that's first part, capacity addition and revenue not increasing in line with the capacity addition and especially for new stores revenue comes at 70% to 80% of the brand average. So, that's one thing. But the SS SG actually helps us to set off some of those things in terms of percentage to sales or percentage to revenue for depreciation. Second part , we have also taken a conservative approach and we have accelerated depreciation for some of our Pizza Hut stores which we believe is under watch out list. We called out that there could be a 3% to 5% portfolio correction. So, this is an accounting practice which is more conservative where even before closing the stores we felt that if that's on a watch out list and if they are going to close in the near future , let's take an accelerated depreciation. The impact of this could be

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anywhere between 0.7 % to 0.9% or 0.7% to 1% of our overall revenue. Whether this would come down I think for the next two quarters or so we believe , we would accelerate some of the stores which are not working out for Pizza Hut. So , you may not see this coming down for the next two quarters or so.

Devanshu Bansal: And the tax rate for coming quarters as well if you could.

Vijay Jain: So, right now , again to clarify on tax we don't have a tax payout. So , the tax expense which you see is deferred tax impact which you are taken in the P &L because if you remember last year Quarter 4, we created a deferred tax asset on all our past losses. We don't have any tax outflow. The rate is th at same 25% what you see largely would remain in the P &L but without a corresponding cash outflow. This gets knocked off against the deferred tax assets which we carry

in our books.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: I just have one fundamental question. Sanjay, in your experience, you have been a marketing guru and the reason why I'm asking this question is that candidly the pizza pie is getting shrunk. I have got three observations. One is that either the entire category is getting shrunk, and people are moving away from pizza consumption or it could be a situation that you have been saying that the competition has become aggressive and they are taking share from the organized top 2 - 3 players or there could be a reason that the traffic is there but the platforms are taking away your traffic and giving it to somebody else. So, what is the realistic thing? Is it a structural decline

story or do you think the consumption is still resilient? But I think this time will sell and then people will come back and start eating dine-in.

Sanjay Purohit: Shirish, if it is a long-term structural issue on a country like India, I think it'll be very surprising.

I have said this in the past also. Typically, you see sinusoidal growth curves on India. There are periods when growth is fantastic and then there are troughs also. But in general, those sinusoidal curves are pointing upwards. So, it is still growing over a medium to long term perspective. Now having said that on pizza if you speak to the platforms also, they say pizza is growing. When we look at, I can't see any reason why pizza is not growing other categories are growing. So, in many of the year end reports pizza continues to be the #1 and #2 category. I don't think there are any issues with the category itself. Clearly when coming out of COVID when you had a strong momentum on eating out, you will find many people coming in and then whether they are sustainable or not is a different question. Sustainability is really a factor of, can they deliver the required sales and profitability. So, that we will see occurring over the next 1 or 2 years. But everyone or anyone can set up a cloud kitchen today at a much lower level of investment than an omnichannel store of ours. It delivers also significantly lower sales. It is far more difficult to differentiate the brand on an aggregator platform. A pure cloud kitchen brand I would believe will struggle significantly to establish what the brand is about and what its promise is about. But in the short run, a consumer who is willing to experiment will look at the name, will look at what they have to offer and it's quite likely that people will buy once or twice and then go back to Sapphire Foods

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brands that they trust. I think this is what we are seeing on pizza which really leads us to believe that surely our 310-315 stores that we have got and overall say 700-800 stores in the country that we have got on Pizza Hut actually is a big advantage, both from a physical presence, we can get consumers in to dine-in and plus deliver. And therefore, if we change the narrative on the brand build interest, I can't see any reason why we can't come back just as powerfully. There are many similar examples that you would have seen in other countries, for example in the US where there is enormous amount of competitive pressure on coffee how the leading brand came back. I think it's been done before. We are quite confident that through persistence and fundamentally perhaps change a couple of things that we have done in the past learn from what we have done in the past. I talked about what we have learned on innovation plus on marketing and continue the operational excellence. I think we should be able to bounce back.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjay Purohit: Thank you very much everybody for joining this call. It's been a tough quarter but relatively when I look at the performance of other players in the industry, we have much to feel proud of.

We continue to drive operational efficiencies and customer experience metrics at our end. We believe in the power of the Pizza Hut brand and while in the immediate term we will be a little more cautious from an expansion perspective, we are investing both innovation, in marketing and in customer experience improvement to really revive this brand. Thank you so much.

Moderator: On behalf of Sapphire Foods India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

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Sapphire Foods India Limited
CIN: L55204MH2009PLC197005
Date: 16th May 2024

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
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Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q4 FY24
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Friday, 10th May 2024, in relation to the financial results of the Company for the quarter and year ended 31st March 2024.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2023-24 Quarter 4 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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"Sapphire Foods India Limited
Q4 & FY '24 Earnings Conference Call"
May 10, 2024

MANAGEMENT : MR. SANJAY PUROHIT – GROUP CHIEF EXECUTIVE
OFFICER AND WHOLE TIME DIRECTOR – SAPPHIRE
FOODS INDIA LIMITED
MR. VIJAY JAIN – CHIEF FINANCIAL OFFICER –
SAPPHIRE FOODS INDIA LIMITED
MR. RAHUL KAPOOR -- HEAD, INVESTOR RELATIONS –
SAPPHIRE FOODS INDIA LIMITED

MODERATOR : MS. SHIVANI KARWAT -- ORIENT CAPITAL

Sapphire Foods India Limited
May 10, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '24 Earnings Conference Call of Sapphire Foods India Limited, hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shivani Karwat from Orient Capital. Thank you, and over to you, ma'am.

Shivani Karwat: Good evening, everyone. Welcome to the Q4 and FY '24 earnings concall for Sapphire Foods India Limited. From the management, we have with us ; Mr. Sanjay Purohit , Group CEO and Whole-time Director; Mr. Vijay Jain, CFO; and Mr. Rahul Kapoor, Head, Investor Relations.

I hope everybody had a chance to go through the results and investor presentation, which was uploaded on the exchange earlier today. Before we proceed, a reminder that this call may contain some forward-looking statements which do not guarantee future performance and involve unforeseen risks. A detailed disclaimer has also been published in the presentation. I will hand over the call to Mr. Sanjay. Over to you, sir.

Sanjay Purohit: Good afternoon, everybody. Great to have all of you all on this call. We are going to be talking about our quarter 4 and our full year FY '24 performance. I'll go straight to Page number 6, where I will -- let's first talk about our 3-year scorecard. In December '21, after we listed, we have guided that , our aspiration is to grow revenues by 25% year-on-year, grow EBITDA by 30% year-on-year and double the store count over a 3 to 4-year period.

If you look at 3 years since our listing, we've been able to achieve most of -- or achieve all our objectives. Sales has -- revenue has grown by 37%, EBITDA by 92%, and we've almost doubled our restaurant count. When I look at specifically performance for the full year FY '24, we've grown restaurants by 17%, restaurant sales by 15%. Adjusted EBITDA has grown by 3%, and adjusted PAT by -- has declined by 44%.

What are the highlights of the year? When you look at the entire QSR industry and you will take all 4 parameters into consideration, revenue, scale and growth, EBITDA margin and growth, and a fifth parameter of new restaurant additions, we believe that we've delivered the best all-round

performance, where revenue scale -- revenue has grown by 15%. Our EBITDA margin of 10.5% has grown by 3%, and we've added 129 stores. So from an all-round perspective, revenue, size, scale, EBITDA margin percentage and growth, we feel that we have delivered the best performance in the industry. Within that, KFC Sapphire has delivered our highest-ever annual rest. EBITDA margin of 19.7%, and we've had our highest restaurant additions at 88.

We are quite proud to say that underlying these financial results is a maniacal focus on execution and improving customer and operational metrics. We are ranked among the top 3 franchisees by Sapphire Foods India Limited

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Yum! on -- in both KFC as well as Pizza Hut on our customer metrics and our operating standards. We're also quite proud that we were ranked the number 1 QSR in India on our ESG score rated by Dow Jones Sustainability Index, and we are 95th percentile among all QSRs globally.

We also achieved -- this is an internal metric, but I'd like to share with you. We also achieved our best-ever employee engagement score since 2018 that we have tracked. And today, we have placed at the 88th percentile of all companies surveyed by the global Gallup Engagement Survey. All companies did this survey worldwide.

When I look at specifically the quarter 4 highlights, our consolidated

restaurant sales at INR 630

crores grew by 13%, EBITDA at INR110 crores grew by 7%. And really, the story as we indicated even in February was that demand across all consumer product categories remains constrained. And now we've got the private final consumption expenditure metrics released by the government over the last 6 quarters. It's been the worst it has been over the last 2 decades.

In quarter 4, we added 23 KFC restaurants, and our total count is 872 as of 31st March '24. Consolidated restaurant EBITDA declined 5% year-on-year and margin was 13.6%, down 260 basis points. Consolidated EBITDA at INR 110 crores, 17.5%, grew Y-on-Y by 7%. Adjusted EBITDA, that is pre-Ind AS 116, at INR54 crores in the quarter, 8.6%, declined by 3% Y-o-Y. Consolidated PBT of INR8 million or INR 80 lakhs, or 0.1%. Adjusted PBT was INR 8.3 crores or 1.3%. PAT was INR 2 crores or 0.3%. And adjusted PAT , that is the non-Ind AS 116, PAT was INR7.6 crores or 1.2%.

I'm going to quickly take you through KFC. KFC during the quarter also continued to perform well in a tough demand environment over the full -- over the quarter. I'm referring to Page number 20 here. Over the quarter, we grew revenue by 16%, and we added 23 new stores. Our

brand priorities continue to be those 6 priorities: increased fried chicken category relevance; build craveable taste; continue to expand on our value offerings; offer the customer a frictionless experience, both online as well as off-line; improve our operations; and improve accessibility. In the month of April -- sorry in quarter 4, we relaunched Chizza LTO that did well. And this quarter, we've taken our burger game to the next level by launching 5 new burgers: American, Caribbean, Mexican, Indian and Indian veg and Indian nonveg. We've re-launched also, which you will discover only at the store, the Indian veg option, a paneer Zinger. But the other 4 burgers are also, if I dare say so myself, absolutely outstanding. And we launched 23 stores in this quarter. So we are on track to double our restaurant count by the end of the year. I'll hand it over to Vijay Jain, our CFO, now for the financial numbers.

Vijay Jain: I'm on Slide 25, which covers channel-wise sales contribution. Our delivery mix remained steady at 39%.

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Moving on to the next slide. SSSG came at minus 3%. Our ADS is at INR114,000. Just to clarify, the ADS is also impacted by new store additions, which we're, over the year almost at 25% restaurant additions. And as we called out, generally, the new stores take time to scale up. And their ADS are generally lower initially the first year compared to the brand average. Overall, revenue grew by 16%. And while gross margins improved by 150 basis points, the negative SSSG meant that it impacted restaurant EBITDA, which came at 18.7% for the brand, down by 40 bps year-on-year.

Slide 28 gives you a 4-year annual performance and 5-quarter trend. You can clearly see Sapphire KFC delivered an industry-leading performance with 88 new restaurants, 18% revenue growth for the year and highest annual restaurant EBITDA at 19.7%.

Then let us come to Pizza Hut now. I want to first reiterate that Pizza Hut is our second pillar of growth in our multi-brand restaurant operation strategy. The quarter continued to be challenging on Pizza Hut, where revenue grown -- where system revenue grew by -- sorry, declined by 3% Y-on-Y, and SSSG declined by 15% Y-on-Y.

We have called out that we've got a simple and clear strategy on reviving consumer interest on the brand. In a tough demand environment, added pressure of high competitive intensity, we said there are 3 things that we want to do. One is, how do we stoke consumer interest behind the brand? And to do that, we've got to be able to launch relevant market innovation, which is backed by significantly higher marketing spend.

So in February, we had called out that you should be able to expect new innovation to come out in the next 1, 2 quarters. On February 29, we launched Melts. Melts is an absolutely unique product. It is a folded handheld pizza concept. And it is aimed at extending the pizza consumption to in-between meal locations. So it doesn't take on pizza directly, but it's trying to expand the number of occasions that pizza is consumed. And we backed that and have continued to back it with a multimedia marketing campaign.

Apart from Melts, I'm now looking at Slide number 31. You can see the other innovations also that were launched. We had a range of pastas, and we launched a very interesting Thin N Crispy Crust pizza also. All -- this is, I would say, the start of the journey on the brand. We are quite excited with what is in store on the brand over the next couple of quarters.

The second part of our plan, we said is, how do we improve our internal -- continue to build on our customer scores as well as our operational metrics? Our Dragontail kitchen planning tool rolled out in 100% restaurants. We have seen improvement in service levels, especially on delivery. The Dragontail is integrated with the aggregator platforms. It's an ever -- it's a first-time-ever kind of an integration. And we believe that this muscle is a unique muscle that we are building. Our lunch daypart activation also was rolled out, and now 90% plus high-speed restaurants are open for late-night deliveries. And in line with what we said, we'll be cautious -- I don't know where we lost each other. But perhaps I'll just cover the last part of what I discussed

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on Pizza Hut. In line with our cautious expansion strategy, we did not -- we had net -zero store addition in the quarter. And now I'm going to ask Vijay to please share the Pizza Hut financials.

Vijay Jain: I'm on Slide number 35. Delivery mix came at 50% for the quarter, and dine-in mix improved to 35%. SSSG was minus 15% for the quarter, and overall revenue declined by 3% for the quarter. And while gross margins improved year-on-year by 120 bps, the impact of negative SSSG and higher marketing spends meant that the restaurant EBITDA came at negative 2.7%.

If we exclude the additional marketing spend done during the year -- during the quarter, the brand broke even at the restaurant EBITDA level.

Slide number 38 gives you the 4-year trend. Clearly, the brand is facing the challenging time.

With the initiatives planned on the product, product side, which is backed by investments, both in marketing and improving or strengthening the consumer experience, we are confident the brand will emerge stronger in the medium term.

Sanjay Purohit: A quick update on Sri Lanka. So we are seeing green shoots of revenue growth. So SSSG grew by 4% and system growth of 8% in Sri Lankan terms. However, store operating cost inflation was a drag on profitability, and it is a challenge. But we remain confident that FY '25 should be better.

And then when you look at the brand strength, and I'm referring to Slide number 41, it is undoubtedly the number 1 QSR brand in the country, both from a name recognition perspective, from an accessibility perspective. So as the economy improves, we have great faith that our Sri Lanka business, also that we are seeing revenue starting to improve, will come back on track.

Vijay Jain: Slide 42, Lanka business channel-wise mix. The delivery was largely stable at 37% for the quarter. The SSSG, which was the heartening piece, for the quarter was 4%. Overall revenue, in Lankan terms, grew by 8%, and Indian rupee, it grew by 22% for the quarter. And while gross margin saw also an improvement even in Lanka business by -- up by 90 basis points quarter-on-quarter, restaurant EBITDA came at 12.3%, impacted by, as Sanjay mentioned, the cost inflation which we experienced on the operating

expense side of the store.

Slide 46 gives you a 4-year trend. We can see the green shoots of demand recovery in the country, which is reflected in form of SSSG. The quarter 1 has also started well for Sri Lanka in terms of SSSG. So we expect FY '25 to have an improved performance over FY '24 for the business.

With this, we can open the floor for questions, Poojah.

Moderator: The first question is from the line of Jay Doshi from Kotak.

Jaykumar Doshi: My question is, over the last 45 days or 40 days or days in this quarter, are you -- directionally, are you seeing any stabilization of same-store sales trends for KFC? Is it decelerating? Or is it

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improving? Can you give us some idea in terms of how the year has started? And based on what you see right now, how do you sort of -- what's your outlook for the first 3 to 6 months?

Sanjay Purohit: Jay, good to hear from you. As you know, I think generally, we won't give you guidance for the quarter. But however, having said that, if I look at how the first 40 days or so have started, April is not a comparative month for us from a KFC perspective because this year saw the full impact of the Chhota Navratri. And during this time, both our North and West businesses get impacted significantly.

May has -- May is significantly better than either Jan, Feb, March quarter. But I mean, it is more or less in line with the improvement that we see on a year-on-year basis. Sequentially, this quarter -- so sequentially, this quarter is a better quarter if I remove Navratri, and we are seeing trends along those lines. We are not seeing even further -- or we are not seeing further improvement in -- on KFC.

On Pizza Hut, we are seeing improvement compared to what we saw last year. But because the brand is -- has undergone a fragile few quarters, I'm still wanting to see how it pans out. And perhaps before the next -- or during the next quarterly results, we should give you concrete evidence that indeed we are starting to turn the corner on the brand.

Vijay Jain: Just to clarify, Sanjay meant a sequential improvement, which we traditionally see. In this quarter, we're seeing on the KFC brand, and we're seeing that better upliftment compared to last year in Q1 versus Q4 on the Pizza Hut brand. I think you referenced somewhere year-on-year remains sequentially.

Jaykumar Doshi: Understood. So basically, the March to June seasonal update is in line with the usual seasonality this year so far. And in Pizza Hut, it's a little better than what we saw last year.

Sanjay Purohit: Yes. Perfectly said, Jay.

Jaykumar Doshi: One more question, if I may. In our new -- sort of in your conversations with aggregators, what is your reading of the fact that aggregator seems to be doing fairly well in terms of Y-o-Y growth rate. And overall QSR industry is started lagging meaningfully. Even the brand that used to be much better about a year ago, that gap is widening. So how do you see this? Is this more of a structural trend? Or is this a temporary phenomenon? And how do you interpret this?

Sanjay Purohit: Yes. So one is that right now, we get only data from one of the aggregators. And undoubtedly, their growth rates have been higher. When we drill down from a QSR, so there are 2 parts that they seem to be saying. One is there has been expansion of options and restaurants that they have taken on board. So there are more restaurants that are being served today. That is number one.

And secondly, they're getting better growth out of high-value transaction, and that is largely happening through the earlier casual store, fine dine restaurants who come on board and now are
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looking at delivery in a meaningful manner. Having said that, if I just look at our 2 brands, KFC's performance also is in line with the kind of

growth that we are seeing, the -- one aggregator, delivery.

Jaykumar Doshi: Exactly. So what I understand from you is the growth for aggregators' outperformance that -- versus QSR is largely a function of, if I were to sort of -- at a higher price point, premium restaurants, luxury restaurants are seeing more -- the growth is driven by that and not the mid-priced restaurants or QSR fall.

Vijay Jain: Yes. So you have latched onto only 1 of the 2 reasons. One is, yes, we're suggesting that SSSG is driven by whatever components. So if I look at the Q3 results of one of the aggregators, 27% is what -- they grew by 7% SSSG, which is largely driven at a premium, and the 20% came through restaurant additions. And if you look at the comparable number, KFC also grew at 18% for the year. So yes, it's largely driven through addition, and a component of SSSG is driven through premium restaurants.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I just had 2 questions. One was on Pizza Hut. So in light of the changes that you're making and you also said you kind of relook at stores, et cetera, could this be a fairly muted year in terms of expansion? Is that the fair way to look at it? And if there is any number, if you could share on that.

Vijay Jain: So again, we won't give out annual numbers, or we have given out a guidance December '21, where we said we could double the count of both the brands over 3 to 4 years. You could clearly KFC tracking on that for 3 years, in fact, rather than 4. Pizza Hut, I think, we are taking an extremely cautious approach.

So yes, it would be muted. Now what is muted would be subjective, but yes, it would be fair to say it would be muted.

Harit Kapoor: Got it. Got it. And the second question was on inflation. So are -- some of our trackers suggest that you've seen some reduction in the overall inflationary environment in Q3 and Q4. Just wanted to get your sense of what's the kind of scenario you're seeing going into FY '25. And is there a potential price increase likelihood? Or in the current environment, that's a bit too far - fetched?

Vijay Jain: So whatever benefit had to come in into the P&L in terms of gross margin improvement, I think that's locked largely starting Q3 of last year. And if you see sequential gross margin, we had called out that it will be ranged from plus/minus 2 basis points. I think going forward, we expect that the gross margins would be ranged about plus/minus 2 basis points. And we don't see any price increase -- material price increases happening. That would always be small revisions. But we don't see any material price increases happening at least in the H1.

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Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: I was just referring to your initial comment that competitive intensity is there. So I just wanted to see that -- and your comments specifically, is it gone up substantially in Pizza Hut and lowered in KFC or it's similar? That's my question. Basically, I wanted to understand whether these new innovations, what we have launched in the market, will it drive the consumer occasion, what we've been planning to bring them to more footfall to our stores.

Sanjay Purohit: Yes. So the competitive intensity is not a quarter phenomenon, but a 2-year phenomenon. And last quarter also, I mentioned that we look at a 2x2 grid to determine competitive intensity. One is the size of subcategory within QSR. The larger the size, greater the competitive intensity. And the ease of kitchen operations, the easier the kitchen operation, the easier -- or perhaps the greater the competitive intensity.

So if you look at the 2x2 metric, perhaps, pizza is the largest category. And relatively, kitchen operations are easy. Relatively, it is easy. And therefore, that is

why we are seeing competitive

intensity. I also called out that it's not as much physical infrastructure that is put up. So brands don't have omnichannel presence rather than we are seeing a multitude of cloud brands.

And when we look from a fried chicken category perspective, while now it is almost a second -- or it's a large category, the

complexity of kitchen operations means that to produce great product is so much more difficult, and therefore, competitive intensity there is lower. Perhaps if I look at burgers, the competitive intensity is significantly higher than fried chicken and perhaps even coming close to now, pizza.

Having said that, I think the idea behind Melts and, in general, innovation on the Pizza Hut brand is to both revised consumer interest and, therefore, pull a little bit of market share from all the other pizza players. Also through Melts, there's an additional benefit of increasing the number of pizza occasions beyond meal time occasion. And therefore, in-between meal snacking occasions also, the brand or the -- this launch is meant to do that.

Shirish Pardeshi: Okay. And the second question is that in the mid- to long term, maybe another 2 quarters...

Sanjay Purohit: Shirish, your voice is very soft.

Shirish Pardeshi: No. My second question is on the SSSG. Though we have now taken a pause for opening more stores on Pizza Hut, do you expect that next 2 quarters, the revival will happen, positive SSSG, for Pizza Hut business?

Sanjay Purohit: I think it's no -- there's no silver bullet on the brand, Shirish, much as I would like to give you a very optimistic outlook. But I think we are optimistic about the direction that we are taking, but it is going to take time. There's no doubt about that. It's going to take time. And it is not helped

by a demand environment that is so soft. And again, when we look at all the quarter 4, many of Sapphire Foods India Limited

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the consumer product companies also that have come in, I think some of them are in -- some of their results are indicative of the pressure that we are seeing on consumer demand.

Moderator: The next question is from the line of Karan Taurani from Elara Capital.

Karan Taurani: My first question was on KFC EBITDA margin. I think despite the improvement in gross margins, frankly, the margins have been stable as compared to peers maybe in the burger and the pizza category where we're seeing margin disruption. So what's your take on margin going ahead? Do you believe that margins will remain stable? Or do you believe that there's a potential for expansion as well?

Sanjay Purohit: Karan, are you complimenting us? Or are you saying our margins in KFC has not been as good so...

Karan Taurani: No, I'm complimenting it has been stable. I'm complimenting being stable. But are we expecting too much that -- what is the potential for an expansion, if at all? Yes.

Vijay Jain: Yes. So Karan, again, the overall long-term guidance on KFC margins we have called out that we would like to be in that 20% zone. If it goes higher, the idea would be, can we expand even faster and invest in the new stores? Because we are quite comfortable with the ROCE, which we generate at a 20% margin level. That's the long-term guidance you have always called out.

Right now, it's come down to 18.7% because the SSSG is not helping. So if the SSSG remains challenging, then yes, the margins would be under pressure. But the moment SSSG is back and this is positive in the range of 3% to 6%, we expect the margins to be, a gain, going near to 20%. But no, we don't intend to take it beyond 20%. In that case, we will expand this faster.

Karan Taurani: Got it. That's really helpful. My second question was on competitive intensity. So there have been players like Popeyes who are now looking to expand on a pan-Indian basis. I think [Wow Chicken] is also somewhat scaling up in metro cities

. So do you foresee that because of potential competitive intensity, this could lead to prolonged pressure and growth, which could, in turn,

lead to more margin pressures over the medium term? I mean what's your sense on competitive intensity in general?

Sanjay Purohit: Yes. So 2 parts to the answer. Number one is, if you saw what we are trying to achieve on KFC, how do we grow KFC is to enhance the relevance of the fried chicken category. So from that perspective, competition actually creates positive noise around the category, and we should see

greater adoption of fried chicken going forward. So in that sense, competition is only good. Now the second part to that question is that however, at the scale that KFC operates, we undoubtedly have economies of scale also. So it is difficult for any competitor to come in and be a cost leader and, therefore, impair margins. So I don't think that should happen, point number two.

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The bigger question to ponder over is similar to the scenario that Pizza Hut is in. Pizza Hut, over 25 years, has got a very strong equity in the consumers' mind. But as a number 2 player in the large pizza category, it still needs to clearly differentiate itself from the market leader. And that's our attempt, and we can see as to -- it's not -- even then, it's not easy, even with the size and scale that Pizza Hut has. The important part, therefore, to see is that other upcoming brands offering

anything that is different to KFC from a consumer proposition perspective, I'll leave the judgment to you. If you ask me, I would say no.

Karan Taurani: But some of them can undercut in terms of pricing, which could lead to pressure on growth, which could lead to pressure on your margin. Just trying to get better understanding, can that scenario play out?

Sanjay Purohit: Yes. In fact, I mentioned that in my second point that to be able to do that, either you're going to take a significant hit on your margins, and therefore, you're going to be out of pocket. And even for a large player like the number 1 player in pizza, it's going to impair their margins. So - and because they don't have the economies of scale, the economies of scale are at 2 levels. One is not only the sourcing economies, but also at a store level, if you don't have a critical ADS, critical sales per store, then also your store operating costs as a percentage of the store P&L go up quite high.

So again, in this entire, I don't think, the QSR category, generally, we have seen someone coming in and being price leader because in food, people play the opposite game, can be perhaps INR1 or INR2 more premium and show quality rather than the opposite way. So I think, Karan, it's unlikely.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: I want you to check within...

Moderator: Sorry to interrupt you, sir. Your voice is a little less. Can you please use your handset?

Devanshu Bansal: Sure. I'm already using my handset. I'll be a bit louder. What is the -- within the 3% SSSG decline for KFC, what is the kind of transaction growth or decline that we have seen this quarter?

Vijay Jain: So again, we have seen a transaction decline as well. We have not given out a specific transaction growth number even previously. But yes, it's safe to say that transactions have also declined, generally, in the similar range, I would say, single digit, low single digits only.

Devanshu Bansal: Got it. Vijay, I wanted to check, how aggressive are we going to protect our order count share here? So like this, we are seeing that the leader in the pizza segment at least has raised up delivery charges just to, in my opinion, gain the order count share. So I wanted to check how KFC view people as the leader. How aggressive are we going to protect our order account share here?

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Vijay Jain: How aggressively you're going to protect what?

Devanshu Bansal: Our order count share, I think how...

Sanjay Purohit: Transactions?

Devanshu Bansal: Yes, transactions here.

Sanjay Purohit: Yes. So today, we are not finding too much of a difference between our same-store sales growth and our transaction growth. Our pricing has been largely stable, Devanshu. So the specific example that you took off is one tactic that one player has used, not necessarily that tactic works for everyone else. Suffice to say that our -- the biggest play that we are making is in ensuring that pricing is kept to an absolute minimum. That's the front foot batting that actually we are doing. And then our launch of our snackers range at INR 99, we've got a full lunch range at INR 149. So there are enough and more value option that will drive transactions. So I think we are being aggressive in trying to grow SSSG of the brand undoubtedly.

Did that answer your question, Devanshu?

Devanshu Bansal: Yes, it did, Sanjay. Second, I wanted to check our CapEx at about INR 385 crores. It's similar in FY '24 while we have added lesser number of stores in the year. So just wanted to check, what is the reason for that?

Vijay Jain: So again, it's a combination of a couple of things. It also depends upon what kind of refurbishments you have taken this year versus previous year, what kind of other CapEx on tech investments you have done this year versus previous year, the number of closures this year versus previous year. So all those factors come into play when you're comparing the CapEx this year versus last year. As I called out previously, if you look at the CapEx per store per format, so KFC CapEx is generally in the range of INR 2 crores per store for around 1,500 to 1,600 square feet. Pizza Hut, we are seeing it in the range of INR 1.42 crores to 1.45 crores per store on Pizza Hut.

Devanshu Bansal: Got it. And Vijay, can you call out as in where a major part of the difference has gone in, in terms of refurbishment or technology?

Vijay Jain: Devanshu, if we can come back to you on that particular thing and exact details of it.

Devanshu Bansal: Sure. Sure.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

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Gaurav Jogani: My question is with regard to the Pizza Hut margins. Now despite the lower demand scenario and negative leverage, we decided to go for an aggressive marketing campaign, leading to actually an EBITDA loss. So in this scenario, given that the near-term demand also looks weak, how are you looking at the overall margins for Pizza Hut for the coming couple of years?

Vijay Jain: So again, without the additional marketing investments, we have broken even and with the kind of uplift we are seeing. And again, as Sanjay said, too early in the quarter, but the kind of uplift we are seeing, combined with the seasonal uplift, we don't see the brand going into negative on a full year basis in the coming quarters as we move forward. However, we do expect the restaurant EBITDA to remain in a single-digit restaurant EBITDA, what we experienced prior to this quarter. Until the ADS level goes back to that INR 50,000, INR 55,000 levels, we expect the restaurant EBITDA to be in single digit.

Sanjay Purohit: Yes. And if I just add more colour here, Gaurav. On the brand, the issue is improving -- or the answer is improving demand. And we have been quite forceful in saying that we are not going to be victims of the low demand environment. But we are going to try and put ourselves out there and actually change the trends and change the trajectory of the brand. And hence, the emphasis on greater level of innovation and, hence, marketing investments. So I'm -- this is indeed the way to go on the brand. And now you look at how many brands will

be able, in a scenario like this, to actually put in the additional investment. And this is a great opportunity for Pizza Hut rather than the -- looking at it in a negative manner.

Gaurav Jogani: Sure, sure. No, so just wanted to get a perspective at what level the tolerance level is for the margins. I mean what is the balance that you would like to see between the marketing spend and the margins? So that was the broader question.

Vijay Jain: Yes. So as long as -- I think they're quite comfortable as long as the brand is not losing money on an annual basis. And can't look at the quarter in isolation, we are quite comfortable spending that kind of money because at the end of the day, idea is to get the ADS and the SSSG up. It doesn't really matter if we're hitting 5% restaurant EBITDA mark or 3% or 7%. How do we get the ADS up and get the restaurant EBITDA back to double digit, that's the objective.

So yes, it will be a single-digit restaurant EBITDA. And as long as we are not losing money on the brand on an annual basis, I think we're quite comfortable.

Gaurav Jogani: Sure, sir. That helps. And my second and the last question, sir, is with regards to if you look at the absolute ADS numbers also, I mean, for the year, I mean the ADS numbers are actually lower versus even the COVID impacted year as well. So what should we gather from this? I

understand that it is impacted because of the lower -- this tepid demand scenario. But do you also think it is also a concern of the store sizes that we have cut down and now somehow it is impacting us because the pent-up has gone down, the delivery has also resumed to normalcy?

So how should we look at these ADS numbers?

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Vijay Jain: You're referring to KFC or Pizza Hut or both of these in general?

Gaurav Jogani: Both in general, sir. Both in general.

Vijay Jain: Let me take the second part first. So it's not impacted by us cutting down the size of the restaurant. A lot of our restaurants would still be delivering significantly higher ADS than the brand average. So capacity is not at all an issue. The ADS reduction is a function of 2 parts. As you keep adding 20%, 25% restaurants every year, typically, as we have called out earlier, the new restaurants come at 70% to 80% of the brand average in year 1. They will take 3 years, 4 years to mature and move towards the brand average.

So our 25% additions would typically take down the ADS by 5%. However, generally, that gets offset by a 5% to 7% SSSG, which the brand could generate in a general scenario, which keeps the ADS steady. So if you are not getting the SSSG as has been the case with Pizza Hut for last 6 quarters and KFC for last 1 year, the additions are diluting the overall ADS. But the balance in terms of new store additions, combined with the overall cost management, meant that we have still improved on our profitability for the KFC business and delivered the highest-ever restaurant EBITDA.

Gaurav Jogani: Sure, sir. Just a follow-up on this. I mean so if we continue on this 25% kind of store addition for both the formats, that is, and as you mentioned, that the usual impact is around 5% on the overall system...

Vijay Jain: Additions would lead to 5% impact that can be offset if you have SSSG of 5% to 7%. Then the ADS remains steady. That's broad thumb rule.

Gaurav Jogani: So even if we, for example, do a 5% kind of SSSG going forward, it will still be fair to assume that then the ADS could remain flat, and to drive higher ADS per store, we would write -- I mean we would have to do a higher kind of SSSG? Would that be a ...

Vijay Jain: It would not be required because if we saw additions, which are planned, and SSSG of 5% to 7%, which we are quite comfortable with to deliver the margins of 20%, those ADS levels are

fine. While we always love to have higher ADS, but those levels are completely fine

for us to

deliver a targeted number or aspired numbers.

Gaurav Jogani: Yes, yes. So my question is not on margins here. It's largely on the ADS bit only. So I mean, as you said, that 25% addition...

Moderator: Sorry to interrupt you, sir. May I request you to please rejoin the queue for your follow-up question.

Gaurav Jogani: Ma'am, just completing this point.

Vijay Jain: Gaurav, maybe we can connect again off-line.

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Gaurav Jogani: Okay. Sure, sir. No worries.

Moderator: The next question is from the line of Akshen from Fidelity.

Akshen: Most of my questions have been answered. Just one question on Pizza Hut. I saw that there are no store additions this year. And I think you had flagged that that's something that you would do if you see ADS going below a certain level. So just when we think about getting back on to store addition for Pizza Hut, what are the markers you would have us look at? Should we be looking at a certain level of ADS? Should we be looking at a certain level of margins before which we start having capacity on the storefront?

Vijay Jain: Yes. So we have no additions for the quarter because we somewhere called out for the year. So for the year, we still have the addition. Last -- with the year gone by, we added 33 restaurants for Pizza Hut. Yes, for the quarter, 0 additions. And for the previous quarter, it was 8. As we called out, the expansion will be cautious. We are not saying we are going to be 0 or pausing completely. It will be extremely cautious, suffice to say that.

The markers, I would say, 3 markers which we'll track internally. One is certainly looking at can the SSSG come back on the brand. That's the first. Reasonable ADS at a store. So moving towards INR50,000 ADS level marks again gives us some comfort, which helps us to manage costs more efficiently and deliver some sensible level of profitability.

And the third would be the profit itself. I think moving towards 8% to 10% mark restaurant EBITDA gives us confidence to increase the pace of expansion significantly. Till that time, I think we would be cautious on store expansion.

Akshen: Okay. Great. And then last year, we had -- quarter by quarter, things were a little noisy because demand was slowing down and then you had impact of festive, Adhik Maas, all that sort of stuff. Now when we look at '25, what would be the best way to gauge underlying trend? I'm not asking for a guidance at all. I'm just trying to say, would a year-on-year metric be a better way to look at it? Would be a sequential build-out be a better way to look at it? Because -- you follow what I'm saying, right? Like last year...

Vijay Jain: So I'll just answer like in combination of this because unfortunately, over the last 3 to 4 years post COVID, every year and every quarter that there has been some of the other exceptions. As a result the trends, which are sequential trends or year-on-year trends, some quarters where it gives out a good picture, some quarters, they are not strictly comparable. So this year, if I look at quarter 1 has Navratri falling in April. Last year, it was across 2 quarters. Adhik Maas would not be there this year, which should help the quarter 2. But quarter 3 last year had some impacts on Shravan, which has moved to quarter 3. This year, it probably will be in quarter 2. Definitely, it will be negative.

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So yes, especially for KFC, those seasonal impacts, unfortunately, quarter-on-quarter, we'll have to judge. Looking at annual, nothing like it, but that's the best way to look at it. But yes, some people may not be comfortable in judging the brand annually. But quarter-on-quarter, there will be exceptions, which have to be carved out to come out at a real SSSG for third quarter.

Moderator: The next question is from the line of Dhiraj Mistry

from Antique Stock Broking.

Dhiraj Mistry: Congrats on good performance of KFC. So my question is on Pizza Hut. So if I look at this SSSG decline, can you divide that between AOV and transaction value for this? And whether the Flavour Fun Pizza and the other value innovation which we have done, has that really led to the transaction growth?

Vijay Jain: So again, while we're not giving out specific numbers, we have seen double-digit SSSG impact.

And yes, the transaction impact has been also close to double digit. So largely, you can say it's a transaction-driven impact, which we are seeing on the brand. The Flavour Fun, the growth

which we saw on the both ADS levels and transactions level in the initial period, what we have seen right now, we have not been able to sustain that upside, which we gained in H1 of FY '23.

Right now, I wouldn't see a ny particular impact coming from Flavour Fun after it has lapped that last year. If anything, we saw degrowth in transaction year -on-year.

Having said that, again, it's not been a reason why the brand is losing SSSG or transaction. When we look at our analytics and the customers who have actually bought Flavour Fun vis -à-vis the customers who have not bought Flavour Fun, I think that first step is doing better relatively vis -à-vis the other step. So this definitely helped the overall brand. Without Flavour Fun, the numbers could have been far worse for the brand.

Dhiraj Mistry: Got it. Okay. And second and last question on the Slide number 30, which you have mentioned on real estate of Pizza Hut that 3% to 5% portfolio correction you will be taking in next 2 quarters and 10% refurb. Can you elaborate on that? What kind of correction you will be taking and which stores basically? Is it related to signs, or...

Vijay Jain: So what we meant by portfolio correction was basically closure of loss -making stores, which have been there. And if we have carried them for a long time, we will use this opportunity to close down some of the stores. The action has already started. And we believe by H1 of next year, these actions will get completed -- H1 of this financial year, sorry, the actions will get completed on portfolio correction, which is essentially closure. Refurbs basically mean that stores which have gone old beyond 5 years, we will do a refurb so that consumer experience doesn't take a hit. So that's what we meant by refurbs.

Moderator: The next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: My question is on...

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Moderator: Sorry to interrupt you, sir. Your voice is very less. Can you come near the mic and speak, please?

Saurabh Kundan: Yes. Can you hear me now?

Moderator: Yes.

Vijay Jain: Yes, Saurabh, loud and clear. Go ahead.

Saurabh Kundan: Yes. So my question is on Sri Lanka. What is now the aspiration on ADS as well as margin in that business? If you could give us something like you gave for the Pizza Hut India business that ADS needs to reach about INR 50,000, INR55,000 for margins to sort of recover?

Vijay Jain: So again, for the -- I think the upcoming year, the key would be whether we can deliver the SSSG of that 5% to 7% range that could help us take care of the cost inflation. Hopefully, there are no further shocks on the cost inflation and from the economy side. We have seen it quite steady.

I think the last piece was on the operating cost inflation, which happens between Q3 and Q4 of last financial year. So if we are able to see that kind of SSSG, we believe we should be, in terms of margin, in mid -teens on that particular brand. Post that, if that's a steady state, we can take a call on how we will go about our expansion. Until then, we'll be again very cautious on our expansion. You could see it as single digit in terms of a store count addition for the financial year.

Saurabh Kundan: Right.

And what is that comfortable margin level? Like for Pizza Hut India, it is 8% to 10%. For Sri Lanka, it would be 15%?

Vijay Jain: For Sri Lanka, actually it's getting it back into those -- hitting those mid -teens level, I think, will be key. So being at 15%, I think -- in and around that 15% would be good place to again look at expanding aggressively.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjay Purohit: Thank you, everyone, for joining. Just to reiterate, from a 3- year perspective, we have called out revenue. We have said our aspiration was to grow revenue by 25%, EBITDA by 30% and double the store count. Over a 3 -year period, currently, we have clearly beaten those -- beaten that aspiration. A year might be up and down, but we hope to continue at least our revenue and EBITDA trend line.

And given a tough year in FY '24, yet we believe that all factors put together, which means a combination of revenue scale growth, EBITDA margin growth and net new restaurant additions, on an overall basis, Sapphire clearly is the best -performing QSR company. So with that, I hope to see you all next quarter and have a good summer vacation, and thank you for joining us again.

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Moderator: On behalf of Sapphire Foods India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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CIN: L55204MH2009PLC197005
Date: 6th August 2024

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q1 FY25
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Tuesday, 30th July 2024, in relation to the financial results of the Company for the quarter ended 30th June 2024.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2024-25 Quarterly 1 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited
Q1 FY '25 Earnings Conference Call ”
July 30, 2024

MANAGEMENT : MR. SANJAY PUROHIT – GROUP CHIEF EXECUTIVE
OFFICER AND WHOLE -TIME DIRECTOR – SAPPHIRE
FOODS INDIA LIMITED
MR. VIJAY JAIN – CHIEF FINANCIAL OFFICER –
SAPPHIRE FOODS INDIA LIMITED
MR. RAHUL KAPOOR – HEAD INVESTOR RELATIONS –
SAPPHIRE FOODS INDIA LIMITED
MODERATOR : MS. SHIVANI KARWAT – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY '25 Earnings Conference Call of Sapphire Foods India Limited, hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shivani Karwat from Orient Capital. Thank you and over to you, Ms. Karwat.

Shivani Karwat: Good evening, everyone. Welcome to the Q1 FY '25 Earnings Conference Call for Sapphire Foods India Limited. From the management, we have with us Mr. Sanjay Purohit, Group CEO and Whole-Time Director; Mr. Vijay Jain, CFO; and Mr. Rahul Kapoor, Head Investor Relations. I hope everybody had a chance to go through the results and investor presentation, which was uploaded on the Exchange earlier today.

Before we proceed, a reminder that this call may contain some forward-looking statements which do not guarantee future performance and involve unforeseen risks. A detailed disclaimer has also been published in the presentation.

I will now hand over the call to Mr. Sanjay. Over to you, sir.

Sanjay Purohit: Good afternoon, everybody. Welcome to the Sapphire Foods Quarter 1 FY '25 financial highlights. This quarter has been a steady quarter of performance for us. KFC, like I said, saw steady performance and we had marked improvement in the performance of Pizza Hut and Sri Lanka, more details to follow.

Our quarter 1 FY '25 consolidated restaurant sales grew by 10% to INR 717 crores, and our EBITDA increased by 1% to INR 124 crores. While we have seen discretionary consumer spends at the same subdued levels as the past few quarters, specifically, Sapphire KFC has been impacted by the shift in dates of the Navratra festival compared to last year. This year, Navratra was entirely in April, where last year it was entirely in March. In quarter 1 FY '25, we added 13 KFC stores and 1 Pizza Hut restaurant in India. Our total count is 886 as of 30th June. Our consolidated restaurant EBITDA margin was 15.1%, down 210 basis points. As I said earlier, consolidated EBITDA grew year-on-year by 1%. It was down 150 basis points versus last year, and our consolidated adjusted EBITDA of INR 71 crores or 9.9% declined year-on-year by 8% or 190 basis points.

Our consolidated PBT at INR 12 crores or 1.7%, consolidated adjusted PBT was INR 24 crores or 3.3%, consolidated PAT was INR 8 crores or 1.1% and consolidated adjusted PAT was INR 17 crores or 2.4%. With this, I'll take you to the KFC page. I'm referring to Page 17 and 18 of the investor deck that we had published. KFC delivered a revenue growth of 11% with minus 6% SSSG, and a large portion of this minus 6% SSSG was in the month of April itself.

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As you know, among all QSR brands, KFC is impacted the most during vegetarian festival days because more than 95% of our menu contribution comes from non-veg and Navratra, Shraavan, Shradh do impact the brand substantially. We are focused on 4, 5 areas to grow our business. One is we continue to enhance fried chicken category relevance through building the lunch occasion. We had lunch special menus at INR 149 and INR 199 and INR 249. And these were advertised meal bundles. So that's one area of focus.

The second area of focus is value and addressed through the INR 99 and the INR 149 price points, both individual and group meal offerings. We then launched the international Burger Fest, which was a range of 5 burgers in different sauces. One of the interesting new additions to this burger range was the vegetarian paneer Zinger also. In July, we have launched additional

variants to our range of chicken rolls and we believe that this is an important new addition -- new permanent addition to our menu. It gives us an option to play in the snacking daypart also. We opened about 13 stores to take the total KFC count to 442 stores.

And now I'll just hand it over to Vijay to talk us through the financial numbers.

Vijay Jain: I'm on Slide 23. KFC had delivery mix of 40% versus 36% last year. The SSSG was minus 6% and the ADS came at 1.22. The ADS number includes the 23% restaurant additions, which we had over the last 1 year or so. Overall revenue grew by 11%, gross margin improved by 10 basis points. The restaurant EBITDA came in at 18.8% vis-a-vis last year, it had a drop because of the operating deleverage, which we had.

Slide number 26 gives you 4 year and a 5-quarter trend. That can be seen at 18.8% for the quarter

despite Navratra is quite a steady performance for KFC. And the overall brand still remains quite strong. We had called out in December '21 that we would double the store count in 3 to 4 years' time. Quite happy to say that we are on track to double the count in 3 years' time. So by end of December '24 we should be close to 500 restaurant count.

Over to you, Sanjay.

Sanjay Purohit: Yes. On Pizza Hut, we have seen 6 to 7 quarters of declining ADS trend and we had said that in the light of this performance, which has been exacerbated by competitive pressures. We need to up the ante on the brand revive consumer interest through products, innovation, marketing and customer service and operations.

In line with the above, we launched a differentiated folded handheld pizza concept called 'Melts' in March '24, along with a strong mass media advertising campaign in the month of -- starting in the month of April, right through the quarter. And this has helped us improve consumer interest and has reversed the ADS decline of successive quarters, typically from the Jan -Feb-

March quarter to the April, May, June, we see a seasonal uplift in the region of 6% to 8%. This year, the uplift that we got was close to about 17% or so. But this is just the start of the battle on Pizza Hut. We need to continue this as we have said earlier, over -- and sustain it over a much longer period of time.

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We opened one store to take our count to 320 and if you can see the Slide number 29, that gives you a screenshot of the mass media, television campaign that we ran on Melts, perhaps where the brand came back on television after many, many years and this has enabled us to lift initial momentum on the brand.

Quickly, Vijay, could you talk us through the financials.

Vijay Jain: Slide 31, delivery mix remains same as last year for Pizza Hut at 50%. In terms of SSSG, minus 7% for the quarter, the ADS came in at INR 48,000, as Sanjay called out, big improvement sequentially 17% over the previous quarter. Overall revenue grew by 3%. So again, previous quarters, we had seen brand decline at overall revenue level. So this was a positive for the quarter for the brand, where we grew by 3%.

Gross margin improved by 100 basis points, and overall restaurant EBITDA came in at 4.6%, again, compared to the previous quarter, where we actually had a loss, 4.6% was quite a healthy margin compared to the previous quarter. And just to call out that is 4.6% includes additional marketing investments as well.

Slide 34 gives you 4 quarter -- 4 year and 5 -quarter trend. As can be seen that even after the low ADS in the previous quarter, which was Q4 of last financial year and a loss, the brand has come back quite strongly with the ADS of INR 48,000 and restaurant EBITDA of 4.6%.

Over to you Sanjay.

Sanjay Purohit: Our Sri Lanka business also continues to improve. This quarter, we've had really strong SSSG performance of 11% growth, backed by even higher transaction growth. This transaction growth rea

lly bodes well for the business going forward. The brand and the company, we continue to lead the QSR industry. And as you can see in the Slide 37, the readers of the business magazine LMD, which is Sri Lanka's biggest business magazine, has voted Pizza Hut and our company there as the best and the most loved brand and store company in the country.

Vijay Jain: Slide 38. Delivery mix came in at 38% for Lanka business, again, similar to last year. SSSG was 11%, backed by double -digit transaction growth. Overall revenue increased by 13% in LKR

terms and 19% in Indian rupees. The gross margin improved by 10 basis points and overall restaurant EBITDA came in at 13.2%, which is a 20 basis points improvement over last year.

Slide 42 gives you a 4 year and 5- quarter trend. As can be seen that because of the double- digit growth on SSSG as well as the transaction growth, we were able to deliver a small improvement on the margin as well, 13.2%. And this SSSG and transaction growth augurs well for the brand as we move forward.

Sanjay Purohit: In closing, I just wanted to also talk about our ESG initiatives. And on Slide 43, you can see that we published a third ESG report under GRI, SASB and BRSR standards. We're really the only Indian QSR company to publish a full -fledged ESG report. And this year, we also obtained limited assurance on our BRSR and ESG report on a voluntary basis.

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The other achievement we are quite proud of is to receive Indian Green Building Council Gold Certification for one of our KFC restaurants. We believe this is the start to build far more sustainable stores. We are the only company in the Indian QSR in the retail segment to achieve

this feet. Both the ESG report and now the annual financial report for FY '23-'24, both of them are now available on our website, sapphirefoods.in.

And with this, we will open the discussion to question and answers.

Moderator: Thank you very much. The first question is from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: I have 2 questions. The first one is around KFC. The SSSG trend has been worsening in the last 3, 4 quarters. Minus 6% is quite a large decline. I understand the impact of Navratra calendar shift. But are you getting a sense that adjusted for Navratra, is the trend improving? Or is it stable or deteriorating?

Sanjay Purohit: Yes. So apart from April month, I would say it is still steady -- still a little bit negative, but marginally negative. It's in April when those 10 days impacted -- or those 9 days impacted the brand significantly.

Vijay Jain: And even if you adjust for Navratra and if you take this Navratra impact into a quarter earlier, the 2 quarters, which would be Q4 and Q1 would be similar. So that would give an indication that it's steady. It's neither improving, not worsening.

Saurabh Kundan: So Q4 and Q1 average is roughly minus 4%. So is that something that would be representative of what's happening?

Vijay Jain: Yes, broad representative. We have not done the exact math, but yes, it can be representative. Marginally better perhaps.

Saurabh Kundan: Understood. Understood. Fair enough. And sir, for Pizza Hut, the sequential improvement is quite encouraging. And I just wanted to double check with you, after fourth quarter, you had mentioned that there will be no step up in the store additions until you reach 8%, 10% margin.

So I hope -- I mean, does that still hold? That guidance holds?

Vijay Jain: So what we had called out there are 3 parameters which we are looking at before jumping into an aggressive store expansion or a huge store expansion. One we said was SSSG; second was, can the ADS move towards INR 50,000 mark and the third was, can the profitability move towards 8%, 10% mark.

So it's not that each of the 3 has to actually hit and then only we will start the expansion

because

there could always be opportunities to open a few stores. Having said that, the current status remains the same. We are going to be extra cautious in store opening. And we don't see a big chunk being opened in this particular financial year.

Sanjay Purohit: Yes. But it's not going to be 0, Saurabh. I think there are opportunities to open a few stores, but we'll be far more cautious with our store opening. In the first 6 months of the calendar year, it

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has turned out that we have opened just 1 store. I'm just looking at Jan to June. But the idea is to be cautious, and I don't think we've ever said that we will not open any store.

Moderator: The next question is from the line of Nihal Mahesh Jham from Ambit Capital.

Nihal Mahesh Jham: Three questions. First is, if I look at the dine-in revenues for KFC, that has seen a sharp deceleration. What explains the trend? Just to get your thoughts.

Sanjay Purohit: Yes. So first, Nihal, welcome in a different avatar I hope you're doing well. So I think you're right that in general, across the industry, we are seeing a decline in dine-in. Overall delivery still seems to be holding up, and that's perhaps a consumer trend that we are seeing. So I think this is across the industry, not only related to us.

Having said that, there are many steps that we are taking to improve dine-in including specific menus, value offerings. Our lunch advertising is all around getting people to come into our stores during this important dining occasion. We are also -- there are very early experiments with the coffee that are taking place.

So there are -- we are not sitting back and allowing macro trends to overwhelm us. We are trying to do our best to get consumers back into our stores, including some of our refurbishments that we have done, make just these stores far more attractive also for consumers and give them a good experience.

Nihal Mahesh Jham: Just a clarification, when you mentioned coffee, is that an indication to look at Cafe as an offering in KFC?

Sanjay Purohit: Yes. So perhaps the expression of it might be very different from what competitors do. This is just very early days really.

Nihal Mahesh Jham: Got that. Second question was on KFC itself. We do know that last year, in Q2, you had the impact of an extended Adhik Maas. So is it that you expect the base turns favorable and that could be at least optically giving you a better SSSG in Q2.

Sanjay Purohit: Yes. So that Adhik Maas was actually impacted us in July last year, and in July, it was about 18 days or so that we got impacted, the North region, especially got impacted. I think, therefore, like I said earlier, to Saurabh, I think, the underlying trends remain similar, if adjusted for all

these plus minuses.

Nihal Mahesh Jham: Got that. Just if I could take 1 final question is on Pizza Hut. The sequential improvement in ADS is encouraging. If I just try looking at the Q3 -- Q2 quarter of last year, which is similar in terms of ADS and top line, versus that, margins are still like 300 bps lower. So is this the incremental marketing spend that is leading to this? Because at least stores wise, there is not that much of a difference, just to comment on that.

Vijay Jain: Broadly, but we are not giving out exact number, but broadly, yes, there is a big impact of marketing over there.

Sanjay Purohit: Also from a year -to-year basis, costs also changed Nihal, you have new minimum wages.

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Vijay Jain: So you won't have a similar flow-through of INR 48,000 ADS in the previous year and an INR 48,000 ADS a year later with the cost inflation spread, specially the wage inflation, Nihal. It's a combination, a big portion would be marketing -- additional marketing investments and partly would be the wage inflation impact as well -- wa

ge and other cost inflation.

Moderator: The next question is from the line of Tejas Shah from Aventus Spark Institutional Equities.

Tejas Shah: Just 1 question. I wanted to know what will be the contribution of nonvegetarian in our Pizza Hut franchise?

Sanjay Purohit: So roughly, I would say 75- 25, veg, non -veg.

Tejas Shah: So then from that perspective, if we extend the headwind that impacted the KFC, the vegetation portfolio of Pizza Hut would have done much better than what it appears at aggregate level. Is that so?

Sanjay Purohit: Much better is perhaps not a right correlation. The way that I look at it is in Navratra, non -veg consumption gets impacted. Normal food continues. It doesn't increase or anything.

Tejas Shah: No, Sanjay, why I meant that, that let's assume that, that 30% of business would have got impacted in Pizza Hut also. So the 70% would have done much better than what the aggregate number suggests, right?

Sanjay Purohit: I don't have the exact answer to that. But yes, you could be right there, Tejas. I don't have the numbers.

Tejas Shah: Perfect. And second, your peers have actually called out some geopolitical issues still hurting sentiments on some of these brands. Any read-through there?

Sanjay Purohit: So, the fact of the matter is that there is an impact. There's -- I don't think -- we have not called it out in the past because these are things that perhaps we just have to live with. It's not right across the country, but there are pockets where we have got impacted. We continue to get impacted. There is no let up -- there's no let up or no bounce back that we see in some of these pockets.

Tejas Shah: All the best for coming quarters.

Sanjay Purohit: Thank you, Tejas.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Yes. I'm just reading out 2, 3 data points. So if I look back, quarter 4, we had a monthly active users of about 1.25 million for KFC and Pizza Hut was 0.89 million. This quarter, we have moved to 1.5 million. And when I look at the store addition on a Y -o-Y basis is about 23%. For right now, we have 442 stores. Last year, we had 358 stores. But then question is that the ADS has declined almost 12%. Understandably, partially you have mentioned about Navratra.

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So the question here is that if the monthly active users has gone up, could be the fraction because of the number of stores which has got added. But do you think over next 2 to 3 years, KFC will become in a positive SSSG territory?

Sanjay Purohit: So that is the -- so there are 2 separate things. When you look at our overall ADS that we report, that overall ADS is inclusive of new stores. And like we have said in the past, new stores start at much lower than the average of the brand. And then over a period of time, they catch up to the brand average.

So if you see the pace of expansion that we have had and we have doubled the number of stores roughly over the last 3 years, if the new stores are going to come in at much below brand average, then the brand average is unlikely to see any growth in -- at an overall basis.

Having said that, SSSG is absolutely important, and we don't think that this environment of negative SSSG should continue into the future. And we are -- we believe that we are taking all the necessary steps to improve brand salience. So 2 separate parts to the -- 2 separate answers to your question.

Shirish Pardeshi: Okay. The reason I'm asking because you said that we are bringing a lot of occasion to improve

the consumption and therefore, rightfully, you brought the burger range and even INR 99. So I was more curious, is this enough to drive the traffic and that would, at some point of time over next 2, 3 quarters will lead to a positive SSSG, because I'm giving the benefit in this quarter that Navratra h

as eaten up some SSSG.

Sanjay Purohit: Yes. So I guess there are 2 parts to this. One is we are doing everything that we can. And sometimes it is not about doing 100 things but doing 3 or 4 things that we feel are impactful and really putting marketing muscle behind it. So in our mind, we are quite happy with the initiatives that we are putting out.

Having said that, there has to be some improvement also in the macros and I don't think the macro, especially the private final consumption expenditure is going to be muted for eternity. It has to start improving in the next couple of quarters.

Combined with the efforts that we are taking, I think we should be positive about same -store sales growth on KFC. All these are in the end cycles, I believe, so you go through periods where you've got really strong SSSGs and then periods when you've got a little weaker same-store sales growth. I think we are in one of those cycles. In such a cycle, what we do and what we put out in the market that I think is far more important. And I think we are taking the right steps there, Shirish.

Shirish Pardeshi: I got that. And we just heard the other -- not directly, but other player in the morning. Now they are offering 2 burgers at INR 79. So I think if the market conditions are not yet looking right? So that's why this question I made. Anyway, I'll take it offline.

My second question and last question to Vijay. What are the margin levers, because I was expecting some bigger margin expansion, because though gross margin has improved only by 10, 20 basis points, but that is not reflected into the EBITDA..

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Vijay Jain: And you were expecting expansion for KFC?

Shirish Pardeshi: The overall company?

Vijay Jain: So again, if I break it down, the KFC got impacted by the negative 6%, right? So typically, a negative 6% would lead to a bigger drop at a restaurant EBITDA level with the kind of flow through our business has in terms of the operating leverage. We were able to actually limit that downside actually delivering quite a bit of cost efficiencies across our labor cost, the operating cost, electricity cost, the gas cylinder cost and that helped us deliver this 18.8% despite a negative 6%. Otherwise, typically a negative 6% could lead to a bigger erosion on the margin.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: I congratulate you on a resilient margin performance in a difficult time. My first question is with regards to the gap between the SSSG growth and the ADS growth in the Pizza Hut segment. Now that gap seems to be narrowing. And this seems to be also narrowing because of the store -- the muted store opening that we see. So in that context, how should we looking ahead, given the fact that the SSSGs are still negative and we might expect a muted store opening for the year? How do you look at this metric going ahead?

Vijay Jain: So again, while we don't give out specific guidance on quarter or a year, we have always called out the general trend, how the ADS movements are likely to happen. We -- typically at a 5% to 7% SSSG and a 20% kind of a store additions, we expect the ADS to remain stable. Now if either of the parameters goes up and down, it will have an impact. So if you have a negative SSSG and you continue to open stores, it will actually bring down the ADS.

Right now, what we are seeing, you are seeing stable ADS because you are not adding stores. So to hold on to the ADS levels, 5% kind of SSSG and a 20% kind of store additions would help you actually deliver a muted or a stable ADS, not the muted, a stable ADS. Having said that, in Pizza Hut all attempts are in terms of product innovation and the marketing investment is to get the ADS levels up because these current ADS levels are not sufficient enough for us to move towards double-digit SSSG

mark.

And as Sanjay said, you are looking at investing behind product innovation and marketing over several quarters and this is not just a couple of quarter activity.

Gaurav Jogani: Sure, sir, just a follow-up on the marketing bit. As you've already mentioned that it is elevated. So can we expect this to elevate further the marketing spend as we approach the festive season or at least it is expected to remain at this current level?

Vijay Jain: We expect it to remain at the current levels for quite a few quarters -- several quarters, but I think we are quite happy with the current level of spend, which we are incurring, and this allows us to go on mass media.

Sanjay Purohit: I think the idea is to be consistent there, Gaurav, over a period of time.

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Gaurav Jogani: Sir, in addition to this question, Pizza Hut what kind of store opening one should build? While the 3 - to 5-year targets for you might remain the same, but in the near term, given that we have only opened 1 store in this CY, what kind of store numbers at least you can help us guide for at least for this year, particularly?

Vijay Jain: So again, this year, it will be a muted store opening. We have called out that we are not comfortable giving a 3- year or 5 -year projections right now when we are -- where for the last 6 months, we haven't opened a single store in that sense or over the last 1 year, we opened 18 restaurants.

So I think we'll take it quarter -by-quarter. Once we become more comfortable on the brand margins and the ADS, I think that's the time we'll engage in the conversation on how the store openings are likely to be over the next 3 to 5 years. For the time being, you can just assume the way we have operated over the last 1 year, and I would ask you to take a trend over the last 1 year or so. to build in how the next year could look like. But that's a very broad answer I'm giving you. The right way would be to wait for a couple of quarters and then we can give you more definite guidance.

Sanjay Purohit: It's not going to be 0 is the point Gaurav.

Gaurav Jogani: Yes. Sir, just the only thing was if not 0, I mean, whether it be 10 or 20? Because generally, we have been opening 35 to 40 stores.

Vijay Jain: So, it will be lower than that. That's why I said out in the last 1 year, we opened 18. So maybe that can be active as -- that can be taken as a reference point maybe.

Gaurav Jogani: Got it. Got it. Got it. And sir, the last bit on the KFC now. KFC though we can understand the impact of the Navratra in this particular quarter. But any sense in the remaining period, that is the way in the 2 months, are you seeing any uptick in the core consumer consumption in terms of, say, either the ticket size or in the footfall, any which way you are seeing any improvement?

Vijay Jain: No. Sanjay called it out, right. So we are largely at the similar position. We are not seeing a trend which is either moving in a positive direction or deteriorating further. I think we are in a steady situation. which is if I look at the quarter 3 -- quarter 4 of last year and quarter 1, I think both

were negative. We are in a similar trajectory. There could be slight up and down in terms of numbers, which is where the festival falls. But again, Q3 -- Q2, again has Shravan while it's 1 less this time you are not really seeing an uptick. You are at the same situation.

Moderator: The next question is from the line of Jaykumar Doshi from Kotak Bank. Please go ahead.

Jaykumar Doshi is not on line. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sanjay, I'm not sure if these are right macro indicators, but just wanted to check if employment growth in the country or wage hikes sort of relevant metrics that you track internally for sort of tracking improvement in demand? Any sense on these m

etrics for FY '25 if you're tracking these metrics?

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Vijay Jain: Devanshu, we haven't really tracked these 2 metrics in specific. I think the broader metrics which we tracked is private final consumption expenditure metrics along with the GDP data. So that gives an indication. Over the last, I think, 6 odd quarters, the private final consumption expenditure has been below the GDP growth rate. And something like this happened for such a long period was maybe a couple of decades ago, if I recollect correctly, 2003, 2004 period. And it took a couple of years for things to turn around. So we are just hoping that maybe we are probably closer to the turnaround rather than later. But if you have any indications on these 2 data points, maybe you can share with us.

Sanjay Purohit: And many of these data points, Devanshu, are also hindsight data points. So it doesn't help us in the moment. In the moment, and I think I said this in the past, all that we can do is try and put the best possible(37:57) marketing plan in front of consumers and back it up with great customer service. So that's all that we can do. And then I think what we see in our stores perhaps plays out when the government releases some of the metrics, but it doesn't help us in foresight.

Devanshu Bansal: Got it, Sanjay, very clear. Second, I wanted to check, typically, so we are at 122 in KFC ADS, which was 135 in '23. So is this entirely due to weak macros or there is some bit of bill size reduction also because there has been a focus on value launches? Or there is some increase in competition from that perspective. So any color on this, please?

Vijay Jain: So largely, it is because of the new store additions. We have called out our new stores actually come at 75% to 80% ADS levels of the brand average. And our run rate, if you have doubled it

over last week -- largely over 3 years, which means 25% additions, so that's one prime reason why the ADS gets pulled down.

Typically, what happens when you are doing the additions at such a large scale of 5% to 7% SSSG helps you to balance that particular ADS drop caused by the new stores. And that kind of SSSG, we have not seen over the last 5 quarters or so. In fact, the last 2 quarters -- last 3 quarters have been negative. So that's what has caused down the overall ADS to come down, primarily new store and second, not helped by the fact that the SSSG has been flat to negative.

Devanshu Bansal: Got it. So does that indicate at least for mature stores bearing the impact of new store additions.

It is -- okay. So the SSSG you are saying it is negative, so that includes mature, sorry, my bad.

Vijay Jain: Yes. SSSG is an indicator of mature store performance.

Devanshu Bansal: Okay, okay. And Vijay last question from my end, I wanted to check, there's no sequential improvement in margins for KFC despite a healthy pickup in the revenue. What is the reason for this? Because gross margins are also stable sequentially.

Vijay Jain: While gross margins are stable, what you don't see is that when you typically get into a new year, there is a wage inflation which comes into the picture. Also, when you compare Q4 versus Q1, the seasonality kicks into the picture. So Q4 typically from a utility cost, electricity cost, it's quite a soft month in terms of those costs because the winter across the country. And this year, April, May, June, from a utility cost point of view has been brutal, add to that wage inflation. So these are the 2 areas which primarily causes gap vis-a-vis quarter 4.

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A third point, which I can add to it is the delivery mix. When you look at the delivery mix of quarter 4 versus quarter 1, the quarter 1 is slightly higher than quarter 4 and delivery is definitely while profitable, it's slightly lower profitability compar

ed to other channels. So these are the 3 prime reasons.

Devanshu Bansal: Okay. Out of these 3, I guess, utility, you may see some moderation in the coming quarters. But other than that, these are more structured, right?

Vijay Jain: The wage cost and the delivery is yes.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu: This is Prolin from Edelweiss Public Alternatives. One of the question is on marketing spend, right? So what we have seen is that some of the mature consumer brands would spend on marketing when the environment is right in terms of macro environment, right, in some sense. But we have continued to probably spend on marketing maybe slightly higher than what we had been doing in the past.

So I mean, just wanted to understand, is it still that QSR as a category or KFC as a brand is yet to reach that maturity and it still needs those marketing spends to bring in the kind of footfall or sales number that we are witnessing? Or how do you look at marketing spend continue to be at a higher level in a weak macro environment?

Sanjay Purohit: So in a weak macro environment and especially if a brand is not performing as well as it should.

Then there have to be some intervention on the part of the brand to regain consumer interest. In such circumstances is when additional marketing, but however, spend behind relevant areas of interest for the consumer will help the brand.

So I don't think there is a generalization that we can make a mature brand spend less in difficult environments and more in better environment. I don't think that's the generalization that holds.

In the case of KFC, we have continued with the same level of spend, it is in Pizza Hut where we have increased the advertising spend.

Prolin Nandu: Sure. So I mean this question was more to understand this macro slowdown, right? So maybe the other way to put that -- put this is that especially in KFC, is it fair that whatever numbers that we are getting is because of the marketing spend and things could have been quite worse if we had not been spending the same amount of money?

Sanjay Purohit (44:10): It's a hypothetical question really. I don't know how to answer it. We are -- our level of spend on KFC is similar, but there are macro headwinds that we are facing.

Moderator: The next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: My first question was, do you take the price increases on KFC during the quarter?

Vijay Jain: So we have taken a very small price increase of 1%. And it was not across the board. There was some opportunity of price corrections on some of our SKUs, that's what we did. So it was close to 1%.

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Sanjay Purohit: And nothing on Pizza Hut.

Vijay Jain: Nothing on Pizza Hut.

Sanjay Purohit: If that's your next question.

Latika Chopra: No, that was not. Considering we are trying to get the -- turning it around. The second question was on the dine -in weakness. Could you elaborate a bit more on the nuances of this?

Sequentially, have you continued to see this deteriorating stabilizing improving (45:17)

[inaudible 0:45:17]? And how you kind of cut it or dissect it away from probably a structural move of consumer more towards delivery versus macro factor. Any nuances, any region-wise disparity, large versus small amount, anything that you could throw more color on?

Sanjay Purohit: So I think there are 2 parts here. One is on a structural basis, yes, there is a move, but that move is a very slow move, I would say, from dine -in to delivery. There is another important part that is -- has improved our delivery contribution, which is that today, most of our stores in both KFC as well as Pizza Hut are open beyond the 12 hours. They're actually open for late night and that's the time of the day part that we don't do a

ny dine -in sales and it's only delivery.

So we've added this late-night day part, which is 100% delivery and that has also contributed to the increased relevance of delivery in our mix. I would say that, that has had a bigger impact than a structural change between dine-in and delivery.

Latika Chopra: Okay. And last question was any sense of further (47:12) [inaudible 0:47:13] openings for KFC this year?

Sanjay Purohit: Could you come again? Latika, please?

Vijay Jain: Your voice is breaking Latika.

Moderator: The next question is from the line of Chirag Lodaya from Valuequest Investment Advisors.

Chirag Lodaya: Sir, my question was on cost containment. Overall, what we see in KFC is despite 6% negative SSSG, our restaurant margins are pretty healthy 18.8%. And you mentioned a few of the cost control measures, et cetera. But going at how to see if suppose hypothetically minus 5%, minus 6% SSSG for more 2, 3 quarters. Will we be able to maintain this kind of restaurant operating margins?

Vijay Jain: The answer is no. So there is a limited opportunity, which can be available on the cost efficiency, right? So if the environment continues to be minus 5%, minus 6% for a long period of time, we will certainly see an impact on the margins. We saw that in case of Pizza Hut. So it's -- we would hope that our initiatives, which we are taking to get the SSSG back actually fructifies in the next few quarters.

Chirag Lodaya: Right. And if I want to understand what percentage of store operating cost would be fixed in nature?

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Vijay Jain: So typically, the way we call out our business model flow through. So roughly -- and what we mean by flow-through is that for every INR 100 of sale, we end up getting INR 35 to INR 40 to the bottom line and vice versa.

Chirag Lodaya: Okay. Okay. I'll take it offline in detail later. And second was on store opening plan. So just wanted to understand from KFC point of view, how do you look at this? If say slowdown persists, will we change trajectory in terms of store opening or we will be opening the guided number of stores?

Vijay Jain: So we have always called out our Sapphire way of how do we approach those store opening. So that's paramount. So if there is a persistently negative SSSG and there is a huge impact on the EBITDA or the restaurant EBITDA, certainly, you have to revisit your pace of expansion. And we had called this out quite early in case of Pizza Hut also. First, we went slow and then we became extremely cautious. So the same stands true for KFC. So if you are going to see a persistently negative SSSG and impact on restaurant EBITDA, which is significant, then you

will have to and we will reapproach or revisit the store expansion plan.

Right now, we are still in an okay zone or we are still in a comfortable or reasonable zone. We have always called out we would like our KFC margins to be 19%, 20%, near to 20%. If it goes significantly below that, yes, we will revisit our expansion strategy.

Chirag Lodaya: Right. And just lastly on overall consumer slowdown. So as we were discussing in the previous participant's question that what we see is delivery across all QSR format is doing pretty well.

The issue is with dine -in. So at a consumer level or consumer behavior is -- again, it's aggregate, is there that shift in consumer is happening from dine -in to delivery for formats like us? Is it where that overall weakness is? How do you read the situation?

Sanjay Purohit: Quite clearly on the previous question, in our case, there is a shift, but there is also an additional daypart that has opened up over the last 12, 15 months, which is only delivery. So from a contribution perspective, the impact of that is a little more than perhaps the consumer shift from less dine -in.

Vijay Jain: This is operations after 11 p.m. in the night.

Chirag Lodaya: The r

eason I was asking that question again was, if I look at per store delivery revenue, it is a ballpark 1.6, 1.7. So even if there is a positive delta of that, there is no significant uptick in there.

Vijay Jain: And the other way to look at is probably the additional time period or operational period wouldn't have been there, you would have seen even the delivery sales probably degrowing. So...

Moderator: The next question is from the line of Jaykumar Doshi from Kotak Bank.

Jaykumar Doshi: My question is just a follow-up on the previous question itself, but a very brief one. Do you think that there was an impact on dine-in because of extremely hot summer this season? Or do you see this dine-in delivery trend continue in July as well?

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Sanjay Purohit: I have not looked at -- I have not compared to the 2 numbers, Jay. So let me not try and answer something that I'm not sure of. But we can get back to you, if necessary.

Moderator: The next question is from the line of Dhiraj Mistry from Antique.

Dhiraj Mistry: Sorry if I missed out on this like(53: 15). Can you give the similar trend what you witnessed in KFC, that underlying demand, excluding of this one-off like Navratra and an Adhik Maas remained stable at minus 3% to 4%. How do you see month-on-month SSSG for Pizza Hut? Is there -- on a month-on-month basis there is some improvement in Pizza Hut or whether it remains same across months?

Vijay Jain: So again, the way to look at would be that how are you looking at the ADS improvement because SSSG, depending upon the base, it can go really up and down. And last year, Pizza Hut ADS was on a declining trend. The 48,000 ADS, the idea is that there could be a small impact in Q2 because of the seasonality. Otherwise, Q2 for us is largely similar to Q1. So if it stays there, you could see still a slightly negative SSSG even in Pizza Hut, because of the base effect.

Dhiraj Mistry: Got it. Got it. And second on a -- question on delivery and dine-in channels. But if I look versus last year for Pizza Hut, the contribution from delivery and dine-in channel is broadly similar. So we have not witnessed any major difference between dine-in and delivery channel. Am I reading it wrongly or it's the same case?

Vijay Jain: You are right there. So a big jump, a 17% sequential improvement and the improvement vis-a-vis last year has been across the channels. The benefit which we have seen in the upliftment on account of marketing promotions backed by the product innovation, the Melts launch, we have seen upliftment across the channel for Pizza Hut.

Dhiraj Mistry: No, sorry, I meant I was comparing with the last year versus this year. Not on a sequential basis for Pizza Hut.

Vijay Jain: So the answer is true for last year versus this year and even in the sequential. So it's largely remained at 50%, and yet we have improved our ADS by 17%, which means across the channels, the improvement has been similar.

Dhiraj Mistry: Got it. Got it. And the trend would be similar for KFC as well?

Vijay Jain: So KFC, we have seen it other way round, right? KFC, we have seen delivery mix improved sequentially as well as over last year, and so which means that dining has dropped a bit and delivery has performed better than dine-in.

Moderator: The next question is from the line of Ashutosh Parashar from Mirabilis Investment Trust.

Ashutosh Parashar: So just a couple of questions. Sir, first question is on the line of corporate costs. So in the last few quarters, this has ranged between like INR 32 crores to INR 34 crores of quarterly run rate which jumped to like INR 38 crores, INR 39 crores this quarter. So any sense on the progression of this in the coming quarters? How should we see this going ahead? And what sort of leverage can we get on this front?

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And second question would be on the Pizza Hut store addition front. So like we understand that the addition will be quite muted over the next couple of quarters, at least, given the demand trends and this would be true for both the franchises in India. So given this muted trends of store addition, how is Yum! thinking about its growth strategy in India based on your conversation with the brand owners? So any sense on that would be helpful.

Vijay Jain: Yes. So on corporate costs, what's actually comparing is the previous quarter versus current quarter, you are not factoring in the wage inflation, which would typically happen in April when you give an increase in salaries. So that's the increase along with a slight increase in additions of the account because of the increase in the overall store base. That's the only increase.

Now from year onwards, quarter -on-quarter, you should see largely a similar number for corporate costs as was seen in the previous quarters as well. So once the Q1 base has established, typically, that remains largely the similar across the year. And coming on to our Pizza Hut question.

Sanjay Purohit: Yes. I think -- so Yum! and us we are completely aligned on what needs to be done on the brand and the need to improve the brand before going on the same pace of store expansions as earlier.

Vijay Jain: So these conversations are not a unilateral decision. So this store opening call, typically our conversation which happens with Yum!. We are also guided by a development agreement, how do we renegotiate that agreement and how do we go about the next few quarters, this is a joint conversation which happens along with Yum!. So Yum! is fully cognizant of the current settings of the brand performance and they are fully on board.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to the management for the closing remarks.

Sanjay Purohit: Yes. Thank you everyone, for attending. Like I said, it's been a steady quarter for us, steady on KFC, if I exclude the Navratra impact and material improvement in Pizza Hut as well as Sri Lanka business. We continue to make our own destiny, continue to focus on improving consumer interest in our brands. And with change in the macros from a consumer spend perspective, I think we are well positioned for the future. Thank you very much. I look forward to speaking with all of you all next quarter.

Moderator: On behalf of Sapphire Foods India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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Date: 4th November 2024

To,
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Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q2 FY25
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Monday, 28th October 2024, in relation to the financial results of the Company for the quarter and half year ended 30th September 2024.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2024-25 Quarter 2 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited Q2 & H1 FY25
Earnings Conference Call”

October 28, 2024

MANAGEMENT : MR. SANJAY PUROHIT - GROUP CEO & WHOLE -TIME

DIRECTOR , SAPPHIRE FOODS INDIA LIMITED
MR. VIJAY JAIN - CFO, SAPPHIRE FOODS INDIA LIMITED
MR. KAUSHIK VANKADKAR - HEAD OF INVESTOR RELATIONS , SAPPHIRE FOODS INDIA LIMITED
MODERATOR : MS. SHIVANI KARWAT - ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day and welcome to the Sapphire Foods India Limited Q2 & H1 FY25 earnings conference call hosted by Orient Capital. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Ms. Shivani Karwat from Orient Capital. Thank you and over to you ma'am.

Shivani Karwat: Good evening, everyone. Welcome to the Q2 & H1 FY25 Earnings Concall for Sapphire Foods India Limited.

From the Management we have with us, Mr. Sanjay Purohit – Group CEO & Whole -Time Director ; Mr. Vijay Jain, CFO, and Mr. Kaushik Vanka dkar – Head of Investor Relations. I hope everybody had a chance to go through the Results and the Investor Presentation which was uploaded on the exchange earlier today.

Before we proceed, a reminder that this call may contain some forward -looking statements which do not guarantee future performances and involve unforeseen risk. A detailed disclaimer has also been published in the presentation. I will now hand over the call to Mr. Sanjay. Over to you, sir.

Sanjay Purohit: Good afternoon, everybody. My name is Sanjay Purohit. Welcome to our Quarter 2 and six - month F Y25 Consolidated Financial Highlights .

As usual, between me and Vijay Jain – our CFO, we will share with you the results. These are already up on our website, plus have been filed with SEBI.

Our Quarter 2 consolidated restaurant sales at Rs. 694 crores grew by 8% year -on-year with EBITDA of Rs. 115 crores at 16.6%. As you can see growth conditions have been difficult. Our consolidated restaurant EBITDA declined 8% year-on-year and restaurant margin was 13.7 % down to 140 basis points.

Our consolidated EBITDA I spoke about was Rs. 115 crores, 16.6%. This declined year -on-year by 1%. Our consolidated adjusted EBITDA was Rs. 59 crores, which declined year -on-year by 13% or 210 basis points. Our consolidated PBT before exceptional items was 5.3 million or 0.8% whereas the adjusted PBT before exceptional item was about Rs. 14 crores or 2.1%. The exceptional items impairment came from our Maldives business where we have got two KFC and 2 pizza hut stores each and the Maldives business contributes 0.4% of our overall revenue. This business has struggled over the last one year. After the Middle East geopolitical situation, when we saw sales down by nearly 60% year -on-year and over the last one year this has not improved. This sharp reduction in the sales of those four stores resulted in the business incurring

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losses, and hence, as a prudent approach we have taken a non -cash impairment of Rs. 11.4 crores in the quarter as an exceptional item in our consolidated financials.

Now let me go to slide #19 and speak about KFC :

Typically, Quarter 2 , as all of you would know, is the softest quarter for KFC. And this is because we have got a number of vegetarian -only festival days. Interestingly, this year, we have seen a greater impact, greater negative impact during such festival vegetarian days. Because SSSG was (-8%), because of the resultant deleverage, restaurant EBITDA came at 16.5% or down 270 basis points year -on-year. Part of this is reflected in the muted demand conditions. And as I've said in the past, our response for SSS G revival revolves around focusing on increasing occasions of consumption through product innovations like chicken rolls variants, Zinger burger variants, snackers. We focus on day part extensions like lunch, late night, and Wednesdays. And we drive value at three different price

points of snacking, individual meals, and group meal occasions.

From a store opening perspective, we opened 19 stores in the quarter. And as we have been indicating, by the end of this calendar year, we should roughly be doubling our store count that

existed in December 21, as we had indicated. What we are seeing of KFC in quarter three is a continuation of what we have seen perhaps over the full calendar year where SSS G is roughly in the region of minus 5 %-minus 6 % and as we come out of Navratr i and post Dussehra, this is the kind of inherent business demand that we are seeing.

I'll now hand it over to Vijay to talk about the specific numbers.

Vijay Jain: I am on slide # 23, which gives channel -wise sales contribution. Dining plus take-away mix was at 58% for the quarter, and delivery at 42%. This largely remained in line with the previous quarter, Q1FY25. The SS SG came at minus 8% with ADS at 111. We added roughly 80 restaurants in last one year and the overall revenue growth came at 9%. Gross margin improved by 40 basis points year -on-year. And while gross margin improved by 40 basis points due to overall restaurant EBITDA came at 16.5%. This was impacted on account of the operating deal average caused by minus 8% SSSG. Slide # 26 gives you four -year trend and five -quarter trend. The overall brand still remains quite strong. And with the measures Sanjay spoke about just a minute back and the vegetarian festival days out of our way, we hope for a better H2 as we move forward. With respect to Pizza Hut, we have seen a 17% sequential quarter -on-quarter upliftment in average daily sales in the April, May, June quarter versus the Jan -Feb-March quarter. So, our ADS levels have reached 48 and this has remained more or less stable in Quarter 2 also where ADS levels have been in the region of 47 Our restaurant sales increased by 3% with SSSG being minus 3%. In line with our strategy that we called out, we will continue to invest behind marketing. And that marketing investment first went behind Melts between April and September. And now in October, we have launched the exciting Momo Mia range of appetizers and pizza. We are quite confident that as we continue to i nvest behind marketing and our in-store execution improves today. O n an average all our stores are above 4 rating on Swi ggy, Sapphire Foods India Limited
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Zomato as well as on Google. So, clearly the emphasis that we have put on improving operations has also helped. So, we are quite confident that in the medium term, the brand will revive. We continue to be cautious on store openings, but while we open only one store in the quarter, we should open roughly 20 to 25 stores, new stores this year. Sorry, we opened three stores in this quarter, and we should open between 20 and 25 stores in the year .

Vijay Jain: So, on Slide #33, sales channel wise sales contribution, dining plus take away came at 48% and delivery at 52%, again in line with quarter one of FY25. Overall SSS G was minus 3% at 47,000 ADS and the overall revenue was 3% with gross margin of 40 basis points. The negative SS SG led to operating deleverage and combined that with the additional marketing investments impacted the EBITDA which came at 4.1%. Slide 36 gives you the four year trend and five quarter trend. It can be seen that last two quarters, the ADS has parti ally recovered. And even Q4 last year, we actually incurred losses. So, even from a profitability wise, we are in the range of 4%, 5%. So, if we continue to focus on the brand revival through the product innovation and the marketing investments , we believe the brand will emerge stronger in the medium term.

Sanjay Purohit: Our Sri Lanka business continues to recover well with both sales and profit improvement. Restaurant sales grew by 10% in LKR terms, while SSSG here was 9% and transaction growth was also very healthy. In rupee terms, res

taurant sales increased by 19%. Restaurant EBITDA

margins were also the best in the last 4 -5 quarters but let Vijay take the specific numbers .

Vijay Jain: Slide #41 channel wise sales contribution dining plus take away for Sri Lanka business came at 62% with delivery at 38% , exactly same as quarter one. T he SSSG was 9% backed by positive SSTG, so it's driven by transition growth . From ADS point of view, 335,000 ADS in LKR and 93,000 in INR. Overall revenue grew by 10% in LKR and 19% in INR. In terms of gross margins, while we dropped by 110 basis points in Sri Lanka, the restaurant EBITDA grew by 20 basis points to 15.5%.

Slide #45 gives four-year trend and five -quarter trend. And the last two quarters, in fact, last several few quarters of positive SS SG backed by transaction growth, both well as we move forward into H2.

Sanjay Purohit: So, in conclusion, it's been a difficult quarter and a difficult six months, but we continue to focus on what we can control on the basics of improving store operations. Our cost management has been really good. Gross margins as you can see we have been able to get some benefit right across. The nature of channels has changed a little bit more in favor of delivery. Now with most of the vegetarian days over, we should get a better read by the end of say November on how the second half is progressing. But we are still confident that if we stick to the basics, we will get out of this in a much better position.

Now with this, I will hand it over to all of you all for question for the question-and -answer session.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vishal Gutka from HDFC Securities. Please go ahead.

Vishal Gutka: Three questions from my side. First on KFC, we have gone for massive expansion in the last three years. I think three years back, the store count was 200, now it's around 460. At the same time, the market might not have expanded in the same rate with regards to store expansion, what is there. I just want you to check in the wake of current slowdown, where are we exactly expanding? Are we expanding more into existing cities or it's completely virgin markets? And do you think there's a need to recalibrate expansion at least in existing cities because that will provide the buffer time so that store expansion catches up with the market growth rate? That's the first question. Second question on Pizza Hut. Domino has gone very, very aggressive on the NPD or innovation calendar. Although we also made some launches. Melts and I think Momo Mia that's coming up. But I believe that we really need to push the pedal on the innovation front is concerned. What kind of ADS will be required to achieve low teen margins in the context of increased competitiveness from various players? Because earlier ADS might not be relevant in the current context given the competitiveness has gone up in a significant manner. And last question on M&A front, given that we'll be generating decent amount of cash flow over the period of next 2-3 years, any thoughts on M&A and are you open to acquiring a minority stake in any cloud-based kitchen kind, whichever who are compliant with the 7 rules that we have on that front. And the last I would like to wish the entire team Happy Diwali. Thank you.

Sanjay Purohit: Vishal, can you elaborate on your question to which you said on Pizza Hut innovation and what is the question?

Vishal Gutka: Domino's have gone very aggressive in terms of innovation. Four to five innovations they have launched in the period of six months kind of basket. We have done Melts and I think recently we have come up with Momo Mia. So, I just wanted to understand sir, can we go aggressive on innovation trend as well, NPDs and innovation. And the question is that ADS, what ADS

numbers will be able to achieve low teen margins? Because early ADS numbers might not be relevant given that the competitive intensity has gone up significantly in this category.

Vijay Jain: Very well. So, I take the first question on KFC expansion. Over the last 3 to 4 years, 85% of our restaurants have come in towns where the population is more than 1 million. I don't see this trend changing as we move forward as well. And within that 85%, the 50%-60% of restaurants would have come in the top metros. So, that trend would remain even as we move forward. In terms of overall count, we called out that we would double the count by December 24, and we should be close to 500, so that's on track. Post that, we will again revisit what the guidance should be for the future expansion. But that's how the mix will play out between the metros, the tier 1, and the proper (17:28mins) towns where the population is more than 1 million.

Vishal Gutka: Vijay, just wanted to check, KFC you are telling that existing will be expanded, right? Virgin market, the expansion will be lower, right?

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Vijay Jain: 15%-20% of our store expansion comes in probably virgin market.

Sanjay Purohit: I just want to add color here. Even in existing cities, there might be parts of existing cities that are not served. And we typically have a certain way to look at distance from an existing KFC store that we could look at a new store. Now that varies according to the development of the brand in a particular city. So, it will vary a little bit. So, even if we are expanding in Mumbai, we are expanding in Mumbai into newer trade areas that might have been less well served than earlier on. So, that's one. On the innovation part, I think our belief on innovation is, first of all innovation never ever will come at the cost of the core product. So, the core product itself has to do really well and typically innovation appeals to a set of consumers who quite likely are your loyalists and for them you give a new reason to come back to the store. In some cases like Melts, you are actually pulling the consumer into a new occasion of snacking also. Now the big part of innovation is to be able to land it with every single consumer of yours and typically this takes time. So, to do an innovation, to do 4-5 innovations perhaps in a short period of time, it's actually quite counterproductive because your consumer is unlikely, all your consumers are unlikely to have sampled the innovation. With Melts, we have seen roughly anywhere between 4 to 9 months is the ideal time for innovation, after which you decide whether it should be part of your core menu or not. I think our pace of innovation we are quite happy with as of this moment. You spoke about what level of ADS will get us to low teen level margins. I would say in the region of about 55 is where we would get to double digit margin. Finally on your M&A and cash flow, right now, what we generate through the year is marginally short of what we spend on CAPEX but there will be a period, there will be a time when, very soon when this, our generation will be higher than our requirement. We will continue to look at M&A, at this moment there are no great

opportunities that we see. Also we have defined our criteria in terms of dos and don'ts and that's clearly part of our annual report. We have called out the seven mantras which we believe are key to success at scale in a food business. So, those are the features which we keep using to evaluate the opportunity. There is no hurry, there is enough and more runway for both KFC as well as Pizza Hut. So, if not in the short term, in the medium term, we would love to add a third brand using those criteria. And at that point in time, we'll figure out what's the right mode of structuring in terms of cash flow.

Moderator: Thank you. The next question is from

the line of Nihal Mahesh from Ambit. Please go ahead.

Nihal Mahesh: My question was, I do find the kind of slowdown that the entire QSR space is seeing. But just as a devil's advocate, given KFC is an undisputed leader, has a value offering, is there a case where maybe the brand is not having enough appeal? I am coming from maybe looking at this SSSG number which seems generally weak for a strong and a brand like what I would expect out of KFC. So, that's my first question.

Sanjay Purohit: Please repeat that question because we got the last part of the question. What do you want us to address on KFC? Just help us.

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Nihal Mahesh : Sanjay, just trying to understand if the weak SSSG for a brand like KFC which has such a high market share, more a case of a lower appeal with the brand rather than the overall slowdown?

Just trying to understand that. I would want to hear your comments on that ?

Sanjay Purohit: So, a strong brand and weak appeal are perhaps two opposite ends of the spectrum. I agree it's a very strong brand and largely competitive intensity will not, first of all in fried chicken itself there is reasonable competitive intensity. But overall I also it plays in the general outside food

occasions, in the general restaurant category . So, competition comes from other sources also.

And when you've got a weak demand environment, it also will impact even a brand as strong as KFC. Having said that, I must say that this year we have been quite surprised by the intensity of the drop that we have seen on the brand during the vegetarian days. I think it's even in the North, West and even in the South where we have a festival called Purattassi in Tamil Nadu, there also we have seen drops. So, I think now post Dusshera for the next 3 or 4 weeks is when we really

should look at we'll get an assessment of how the rest of the year is panning out. Having said that, like I said, we continue to invest significantly behind the brand. And when I look at how we do in direct competitive environments, we continue to do really, really strong, even with a

direct even with a direct competitor who's come up in the last, say, one year or so. And then

finally, I think we must call out that there is an impact of the Middle East tension that we are seeing. There's some geopolitical impact that we perhaps can see on the business. Not now , it's existed under the surface for perhaps in the last 2 -3 quarters.

Nihal Mahesh : Got that. My second question was on the delivery dine -in mix. That is obviously something that for the last many quarters is seeing a trend towards delivery. Just wanted to understand anything to do with the scale up of aggregators or certain consumption patterns you want to highlight. And Vijay, if you could just quantify the financial impact in terms of margins as the mix shifts more towards delivery.

Sanjay Purohit: Yes. So, one part of the delivery contribution increasing is the fact that we are open late night, in occasion. This was very little, say, even a year ago. And today, it's a reasonable part of our business. And that's the only purely delivery. So, that's one. Second is we are also seeing pressure in malls. Typically, the footfall pressure in malls has translated into our dine in malls suffering a bit. So, these are the two large trends that we have seen that have favored delivery versus dine in.

Vijay Jain: Nihal, in terms of the impact on shifting the mix from dining to delivery in a P&L , we typically see a 10 to 15 basis point impact for every 1% shift. While this is not the entire impact for our delivery cost, we mitigate to some extent through the pricing. So, our gross margins are better on the delivery platform as well. So, the net impact what we look at is 10 to 15 basis points.

Moderator: Thank you very much. The next question is from the line of Tejas Shah from Av

endus Spark

Institution Equity. Please go ahead.

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Tejas Shah: First on KFC, could you break down the nature of the slowdown specifically? Is it driven by reduction in transaction volume or are we observing down trading in the average ticket size also.

And also in the same answer, if you can comment on the market share on both KFC and Pizza Hut, how we are observing that ?

Sanjay Purohit : SSTG and the SSSG decline is virtually the same. Perhaps, the ticket size might have gone down 0.5% to 1%, that's it. So, it is a transaction drop. It is not so much of a ticket size drop. From a market share perspective, I think once the rest of the companies present their numbers, then we will get an idea of how our market share is. But I think just indications that we are getting seem to suggest that we're still perhaps doing better than most of the industry, including on Pizza Hut. Tejas Shah: And given the existing demand environment and competitive dynamics, how are you approaching store expansion guidance for KFC and Pizza Hut in the near term? And what are the specific markers apart from private final consumption that you spoke about in earlier calls? What are the specific markers that you are kind of monitoring to kind of turn the momentum on expansion as well?

Sanjay Purohit: On KFC, I think we will let this quarter play out and then by the next quarter's investor call, we should be able to give a guidance on how 25 will pan out. If I have to hazard an answer today, I would say that we will be a little more cautious than we have been over the last 3 years in terms of our expansion on KFC. On Pizza Hut, we already called out that we were expanding anywhere between 50 and 60 stores. So, this year we believe that it will come down to 20-25 because there are still opportunities that exist and our pipelines are built over several months and perhaps a year or two also.

Vijay Jain: Just to clarify Sanjay, meant cautious compared to what we have been doing over the last three years on KFC, where we doubled the count. So, that's a relative term we used cautious.

Otherwise we still believe that we will continue to expand pretty much on KFC and two or three quarters of negative SSSG should not be a cause of worry to expand a strong brand. So, yes, you will still see pretty healthy additions on KFC as well.

Moderator: Thank you very much. The next question is from the line of Jai Doshi from Kotak. Please go ahead.

Jai Doshi: First of all, in the opening remarks you mentioned, you will double the store count by December 24, which probably means that some 40 store additions. Did I hear it correctly or were you trying to say by FY25?

Vijay Jain: No, you heard it correctly, Jai. So, close to 500 plus minus here and there, close to 500 stores for KFC.

Jai Doshi: For KFC, understood. Second is the last couple of quarters with 114,000 and 122,000 ADS for KFC. Profitability was still holding very well at around 18.5% brand contribution margin. This time around it dropped by 200 basis point and while I know ADS is slightly lower, but still the Sapphire Foods India Limited
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drop is, it appears that you're handling, managing operating leverage much better over the past six months than in September quarter. So, if you could explain in terms of what has changed and how should we think about this going forward? And final one again on KFC. So, all these are KFC related questions. The final one is that if you look at the last 2 years, the seasonality from September to December, ADS tends to be broadly similar levels that September and December while we have always maintained that September is a seasonal weak quarter and December is a better quarter, but because maybe you have more store additions in December and hence ADS tends to be similar. So, in this time around if you are

adding 40 odd stores, will ADS potentially

decline in December versus what we are seeing in September quarter? That's it from my side.

Vijay Jain: The first part of the question on restaurant EBITDA, last year we also had the benefit of gross margin going our way. So, that helped us a lot in managing the overall restaurant EBITDA margin. When you are trying to compare this year's ADS levels and you compare with previous year, what you are missing is the inflation impact in terms of the cost, wages, the energy cost and all those things. The ADS is marginally lower. The overall cost increase is also an impact which needs to be considered when you move beyond a year. So, that's the first part. Second, the gross margin remains range bound for us. Last year if you see the gross margins actually we had a benefit was that is a year ago in terms of gross margins and having said that at minus 8% and at 111,000 ADS, we believe 16.5% restaurant EBITDA. Considering these levels of sales is pretty healthy EBITDA, if you wouldn't have managed cost better this could have gone down much further. Hence it has to be looked into the relation of this 111,000 ADS and minus 8%. The second part of your query, which was on Q2 versus Q3, ADS levels, again, year-on-year, they may not be exactly comparable. Last year, September probably was one of the best months in the year because it came after two months of Adhik Maas. And then the Shradh moved into October. And the 29th September is when I remember the Shradh started. So, it moved entirely into October. So, the previous year's number may not be entirely comparable. And a year ago that, we were coming out of COVID. So, to be fair, if I look at 6-7 years history, yes, we do experience Quarter 3 to be better than Quarter 2. And we don't see any reason why this year the Quarter 3 should not be better than Quarter 2. Now by how much it would be, maybe couple of months pass and then we'll know better. But yes, Quarter 3 should be better than quarter.

Jai Doshi: Vijay, just one thing. On brand EBITDA contribution margin, I was referring to March 24, June

24, and September 24, where there is no difference in gross margin. However, EBITDA margin brand contribution has dropped by about 200 basis points versus March 24 and June 24.

Vijay Jain: That's where the drop in ADS of 3%, sometimes the drop in ADS of when you look at 3, you think 3000 is a 3% ADS with the kind of operating leverage that 3% can impact you by almost 150 basis points in terms of operating leverage, isn't it? Because the flow through for a business like KFC is as high as 40%, right? And to add to that, the inflation on minimum wages, wage cost, energy cost, that adds up.

Sanjay Purohit: So, from a Jan -Feb-March quarter to a July , August, September quarter, operating cost inflation coming in Jai.

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Moderator: Thank you very much. Next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: My question is on KFC. So, I understand that Q2 was marred by the vegetarian days and the decline being higher than usual. So, what has been your experience in October? For October, are you in positive SSSG territory on a Y oY basis?

Sanjay Purohit: Even October Navratra happened and we also count Navratra last year also. The way that we look at it is that if we see the calendar year and if we see the financial year till date. So, whether it is Jan to September or April to September , we are in the region of minus 5 -6% negative SSS G and this is what we think the quarter also will come out at.

Percy Panthaki: Okay, understood.

Vijay Jain: The seasonal impact which we had because of the vegetarian days, the festival days, we don't anticipate that in quarter 3 . So, hence we believe this may be the range we are looking at, but again, too early, we are jus

t three weeks in October.

Sanjay Purohit: And we are assuming that there is no change in the macro environment. That's an important assumption.

Percy Panthaki: But like, are you seeing any kind of green shoots, I mean post, I know it's been very few days, but post Navratra etc. with the vegetarian days out of the picture in the last couple of weeks or so, are you seeing any green shoots of improvement in the underlying demand?

Vijay Jain: Currently, we are not seeing as high as minus 8% , that the trend which existed prior to Quarter 2 is what the trend is it has come back to.

Sanjay Purohit: Actually, only last week, Percy, was a clean week. So, the week that ended yesterday was the first sort of clean week without... Monday to Sunday week that went without any sort of vegetarian disruption.

Percy Panthaki: So, just wanted to understand what's happening on a demand front. I mean, if we look at, and you are not alone, right? All the listed QSR players are seeing weak demand. But if we look at the results of, let's say, Zomato, there the growth is very high, overall I like 20% plus kind of growth, even if I remove the restaurant additions that they are doing on their platform and look at the sales per restaurant, that is also growing for them. So, is it that this is like competition not amongst the QSR players but amongst the larger industry itself where smaller restaurants etc. which were not really reaching the consumer earlier are now being able to reach the consumer much more easily through these aggregator apps. So, is that what is happening , do you think ? I

mean, just trying to hypothesize here, because again, as I said, this is overall QSR industry issue of weak demand, it's nothing to do with you particularly, but I am just asking you as well as other companies as well.

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Sanjay Purohit : The weak consumer demand environment does not limit itself to QSR industries, but I feel looking at other FMCG companies also their results , it extends to virtually every other consumer product category. My own take on this is while I don't think there's a big reduction, so GDP growth is still reasonable. However, in most competitive categories over the last two, three years, we have seen significantly heightened competitive intensity. Certainly in QSR, today, if I look at high street, if I look at malls, and if I look at online or digital stores, in high street, if you have, say, 7, 8 competitors, in a food gully, in a mall you will have competition from perhaps 20- 25 restaurants and in the digital space you will have competition with say 100 banks. So, I think competitive intensity has gone up and this competitive intensity is significantly higher than any rise in private consumption expenditure. This is a perhaps short medium term impact that we are seeing. Having said that, also at times, perhaps we have expanded also and made the brand available significantly higher than earlier. So, that's perhaps one also reason. So, I think all of this we have got to put together when we look at the next coming year or so.

Percy Panthaki: And my last question on Pizza Hut. So, just like in KFC, I asked, are we seeing any kind of positive signs in October for Pizza Hut and this 55,000 ADS that you said would be required for double digit margin. I mean, is there...

Sanjay Purohit: So, on the Pizza Hut also it is similar. I think we are holding. After we saw the bump up in quarter one, we are holding in Quarter 2 and currently, Percy. So, I think they're also muted. demand conditions are not helping. Having said that, at least we are stable and that itself is green shoots.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global Finance Services. Please go ahead.

Devanshu Bansal: Particularly delivery we are still doing okay, but challenges are more in dining channel, even

in absolute terms when we see KFC is largely flagged and Q2. So, do you see this as a structural change in the industry and is there a need to sort of change our stored format strategy as well?

Sanjay Purohit: Yes, so undoubtedly over the last 3 years, there's been some amount of channel shift from dine-in to home service. When we look at other markets internationally, we see that there is a certain limit to how much this channel shift will occur. Having said that, we have always believed that an omni-channel store is best suited to deliver the financial results that we want. A large portion of the capital, to put up a store, goes in the kitchen. And only a smaller fraction is spent on the front of house. And hence, I mean, it is always better to have dine-in, takeaway and delivery all three channels open so let the consumer choose what she wants, how she wants us to serve her.

So, it continues to be omni channel rather than only delivery. In only delivery I just want to call out that unless you have unless a brand has the capability of delivering 100% through their own system, having 100% otherwise, having a large portion of sales go through the aggregator does not make too much of financial sense for a brand.

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Devanshu Bansal: So, two quick follow-ups here. So, you mentioned that global studies, what is the extent of shift that typically is happening across the globe between off premise and on premise, if you could just highlight?

Sanjay Purohit: I won't have very specific numbers, but if I just look at businesses in the US, etc., where the cost of product on delivery is substantially higher than what is on dining because of the delivery charges. So, their consumers seem to be coming back strongly to both dine-in and take-away. It's also convenient. I think that's the point that I am making.

Devanshu Bansal: And between front end kitchen, what is the CAPEX segregation for you?

Vijay Jain: 70% of the CAPEX goes into the back of house and the balance 30% is front of house.

Devanshu Bansal: And last question from my end. You mentioned that our transaction size has broadly remained flatish versus last year. The competition at least has been very aggressive and focusing on transaction growth. So, what's your view here? Because our ADS has remained flat, are we losing transaction share to the competition?

Sanjay Purohit: So, I just want to highlight here that when SSSG has been minus 8%, transaction decline also has been in the same region. When KFC overall system growth has been 8%, our overall transactions have also increased in the same proportion. So, there's been very little ticket size improvement or otherwise that we have seen. So, KFC as a brand has still grown transactions. The same store transaction growth might be in the same realm of SSSG.

Devanshu Bansal: So, you're saying that with your store expansion that is leading to decline in transactions at your existing stores, right?

Sanjay Purohit: No, I never mentioned that. I just said that there is an SSSG decline. However, at the brand level, transactions are still growing. I think that's the only statement that I was making.

Vijay Jain: (49.15 mins) And the other part which you were referring whether we're degrowing because there are other players who are gaining, we don't see that other player's SSSG any better than probably ours, so I don't think that sense true, that hypothesis is true.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: I just have one question. In terms of pizza, given that the margins are now in mid single digits and we would require in ADS of at least 55,000 or to reach to that double digit, so how does this impact our unit economics at the store level? And also given that you will also have inflation

going in the future years in terms of the other expenses, So, would that also push the ADS requirement higher to get to the double digit and then justifying the storage and economics?

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Vijay Jain: So, Gaurav, the first part that how does it impact, I was not clear because what we called out is that 55,000 ADS or near thereabouts should be good enough for us to move towards double digit. So, what exactly you mean that how does it impact?

Gaurav Jogani: My question was because this is a 50,000 ADS right now, that will lead to a double -digit kind of an ADS. But going ahead there would be also some inflation in terms of rent and other expenses. So, would that also mean that you would require a higher ADS then to get to the double digit and then on the unit economics part given that because we are not doing the double digit kind of margins right now, so how does that impact the overall unit economics spread in terms of the ROE, ROCE profile for the stores?

Sanjay Purohit: So, the first part of the question is there is an inflation, which does not actually lead to a parallel ADS growth and only in a cost certainly you will require a higher ADS. But then it's a very hypothetical question. Typically, we have been able to manage inflation quite well, even the cost inflation quite well. When you look at the last three years of Pizza Hut, even right now at a 4% EBITDA margin, restaurant EBITDA margins, if you actually do the math, the drop in the revenue has been quite significant. We were looking at one point in time, 60,000 ADS levels and despite dropping to 47,000, the impact on EBITDA has not been quite there. So, we have been able to manage the cost inflation quite well. So, it will all depend in what form and shape the inflation hits us as we move forward. But yes, just mathematically, there's an inflation on cost, you will certainly require a higher ADS. So, that was the first part of the question. The second is how does the ROI and all those get impacted? Again, we are looking at a brand in a very different manner. The Pizza Hut brand for us is a second pillar of growth which we need to work upon. Right now, the brand is at a stage where we need to build the interest in the brand from the consumer point of view. We don't want to be in a situation that after a few years we are only left with one leg of growth in terms of KFC. And hence right now it's a phase where we need to invest behind the brand. If you do the math at this stage of course the ROI and the ROCE will not work out. But this was not the question, let's say, two years ago when we were delivering 60,000 ADS, when the ROI was pretty decent. So, I think first stage first, let's move towards that 50,000 plus mark, start moving slowly towards that double digit mark, and then we can discuss that ROI and ROCE conversation.

Moderator: Thank you very much. The next question is from the line of Shirish Pardeshi from Centrum broking. Please go ahead.

Shirish Pardeshi: Just one quick question. Out of 461 stores in KFC, Sanjay you mentioned that we have stores in malls. So, what percentage of stores and what percentage of revenue from these mall stores we get?

Sanjay Purohit: Well, I may not have exact number right now, but the revenue from mall would be anywhere between 40%-45%. And of course, in terms of the count, this probably would be slightly lower.

So, it would be anywhere between 30% to 35%.

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Shirish Pardeshi: So, here your understanding is that, the revenue in the mall stores has been punished very strong.

Sanjay Purohit: So, what they're saying is that dining mall typically has a very high mix on dining, and very small amount of takeaway, and very small amount of delivery as well. So, it's not that we don't deliver out of a mall. But yes, the mall dining

has taken a definite impact over last 6 months.

Shirish Pardeshi: That's what my understanding because malls dining would be much stronger, so I don't think the delivery would have affected. So, you mean to say that the dine-in and ticket size is under stress?

Vijay Jain: Not the ticket size, just the transactions. Because of the footfall at the malls, the kind of probably footfall the malls are seeing and again even what we're seeing at the movies, the kind of movies which we are seeing I don't think the first six months have been great in terms of mall footfall because of the movies as well. So, yes, the mall dining has definitely been impacted.

Shirish Pardeshi: On the flip side, if we had a non-vegetarian issue with the KFC portfolio, Pizza Hut should have surprised you positively in the mall stores and sales?

Vijay Jain: So, the mall impact was nothing to do with because of non-vegetarian. The mall impact is just the mall footfall and the movies what we're talking about. So, it's nothing to do with the cuisine whether it's vegetarian or non-vegetarian. The vegetarian impact which we are talking about on the KFC is just the overall impact which has been across malls and high street stores. So, that impact is irrespective of the format.

Shirish Pardeshi: Okay, got it. My second question is on Slide #29, you have given Momo Mia Pizza. But I guess why this is an LTO and when this was launched and how long it will be there in the market?

Sanjay Purohit: So, this is part of our menu right now, Shirish. I think when we look at, we typically evaluate it after 3 to 4 months and then we see whether it needs to be a continuous part of our menu or not or LTO.

Shirish Pardeshi: So, it has gone before Navratri if I am right.

Vijay Jain: We launched in October, first week of October.

Sanjay Purohit: Yes, before Navratri, you are right.

Shirish Pardeshi: Okay, no I saw that, so that's why I was saying, but I was more curious why it is LTO.

Sanjay Purohit: No, I never said it's an LTO.

Shirish Pardeshi: No, it's written in the slide, limited time.

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Sanjay Purohit: It's part of our innovation pipeline. Typically, we evaluate it after three or four months. And after three or four months, we take the call, whether we need to make it as a continuous part of our menu or perhaps withdraw it at that time.

Shirish Pardeshi: That I understood, Sanjay. What I was trying to understand to allude, you said that we are trying to build the occasions for the excitement for the consumers. So, Melts has given some fillip, but then is Momo Mia is also giving you the occasion and footfall increase?

Sanjay Purohit: Yes, so did I hear you say that Melts has given you some fillip? Momo Mia should give you a further fillip. Is that what I understood?

Shirish Pardeshi: Yes.

Sanjay Purohit: Yes, so it should give you, it should give us additional fillip. I think we'll wait for the quarter to play out to understand how this works.

Moderator: Thank you very much. The next question is from the line of Harish Advani from Investec. Please go ahead.

Harish Advani: I just had one question when it comes to the KFC that we are trying to do in terms of increasing the day part occasions through rolls and biryani bowls etc. So, I just wanted to understand, since you've been doing this from the last 2 to 3 quarters, how has this been trending? And if you can share any percentages of how this is contributing to our overall ADS. That was my last question.

Sanjay Purohit: At this moment, while we are pushing lunch, we are pushing rolls and so on, at an overall basis the bold truth is that our SSSGs have continued to be negative. So, one can say that it has had a limited impact on improving our sales trajectory.

Harish Advani: Okay, and is it possible to quantify in how much it's contributing to ADS at the

moment? So,

contribution, typically we don't give out Harish.

Moderator: Thank you very much. The next question is from the line of Jiganshu from Bernstein. Please go ahead.

Jiganshu: I just had one question in the interest of time. For the Sri Lanka business, now that contributes roughly 15% of our EBITDA at overall level. What kind of growth prospects do you see there from a medium to long term perspective?

Sanjay Purohit: So, we have just got out of perhaps about six to eight quarters of a really difficult time in the country. And nothing that, I mean it's all macro conditions that sort of nosedived. We believe that Sri Lanka would give us similar kind of growth opportunities as India. We should be able to open, say, anywhere between 7 and 10 stores a year. And that's what we would have thought earlier. At this moment, we'll be just a tad cautious still and wait for another quarter or so before we accelerate. Having said that, stores will continue to open, but it will be in single digit.

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Jiganshu: Just one small additional question, this is on the CAPEX related to India. So, we see the CAPEX per store added has dropped by 10%. Is this largely due to non-store CAPEX being lower than past or is it also because we are making some changes in the configuration of the stores as we open them?

Vijay Jain: So, again, because I think you're working out CAPEX through backward calculation by looking at the cash flow, right?

Jiganshu: Right.

Vijay Jain: So, sometimes the cash flow vis-à-vis the actual CAPEX that could be always a mismatch. To be fair, I don't think our CAPEX have dropped. It continues to be in the same region, which is roughly Rs. 2 crore for KFC, Rs. 1.35 to Rs. 1.4 crore for Pizza Hut, that remains. Sometimes the cash flow, depending upon when have you ordered, the cash flow can be very different. So, there is no change in the CAPEX. It's neither increasing nor decreasing.

Moderator: Thank you very much. Due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments. Thank you and over to you.

Sanjay Purohit: Thank you very much all of you all for having joined this. I am happy that we have done it just before Diwali and I wish you, your families a wonderful Diwali and a wonderful rest of festive season till the end of the year. Thank you very much for supporting Sapphire Foods.

Moderator: On behalf of Sapphire Foods India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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CIN: L55204MH2009PLC197005
Date: 13th February 2025

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q3 FY25
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Thursday, 6th February 2025, in relation to the financial results of the Company for the quarter and nine months ended 31st December 2024.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2024-25 Quarter 3 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited
Q3 & 9M FY25 Earnings Conference Call ”
February 06, 2025

MANAGEMENT : MR. SANJAY PUROHIT – GROUP CEO &WHOLE TIME
DIRECTOR , SAPPHIRE FOODS INDIA LIMITED
MR. VIJAY JAIN – CFO, SAPPHIRE FOODS INDIA
LIMITED
MR. KAUSHIK VANKADKAR -- HEAD, INVESTOR
RELATIONS – SAPPHIRE FOODS INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Sapphire Foods Earnings Conference Call for

Q3 FY25. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to the management for the opening remarks. Thank you, and over to you, sir.

Sanjay Purohit : Good afternoon, everybody. My name is Sanjay Purohit , and I'm the Group CEO for Sapphire Foods. And I'm joined, as usual, by Vijay Jain, who is our CFO. Firstly, apologies for this delay. We were having technical glitches in being able to connect to you all, but we should now be able to start the conference immediately. We are going to be talking about our Q 3 and 9M FY25 consolidated financial highlights.

In Q3 FY25, Sapphire Foods has delivered a healthy good quarter and the way that I like you all to remember it is double digit everywhere. So we've had double -digit revenue growth at about INR 755 crores, 14% revenue growth. We've had double -digit growth across all 3 verticals : KFC, Pizza Hut , and Sri Lanka. Our adjusted EBITDA growth has been at INR 81 crores or 12% growth . And we have delivered double -digit adjusted EBITDA margin also of 10.7%. Like I said, all 3 business verticals have delivered double -digit revenue growth. Restaurant EBITDA increased 9% year -on-year, and restaurant EBITDA margin was 15.4%, down by 60 basis points year-on-year.

Our Consolidated EBITDA of INR 140 crores at 18.5% increased year -on-year by 14%, up 10 basis points , and consolidated PAT of INR 12.7 crores or 1.7%, and adjusted PAT was INR 19.4 crores or 2.6%.

In the quarter, we added 54 restaurants , taking our total to 963. We added 35 KFC, 16 Pizza Hut stores in India. We added 4 Pizza Hut and 1 Taco Bell stores in Sri Lanka, and we had 2 closures in Maldives. While we closed 2 stores in Maldives in the quarter, the balance 2 stores have been closed in the month of January. And therefore, as we intimated to you in the last call, we have closed all the 4 stores in Maldives.

Let me take you through the KFC details. Our KFC SSSG trajectory improved slightly versus our previous 2 quarters. SSSG came in as negative 3%. The heartening part was SSTG was 0% in this. And our strategy of focusing on value offers on core products is enabling us to get TG momentum. Our recipe for SSSG revival over the short and medium -term revolves around increasing occasions of consumption. Now late night, for example, is nearly 10% of our business in the stores that we operate late night. We want to drive value on core products. We want to drive product innovations like Chicken Rolls, Zinger Burger , and apart from late night , focus on other day parts like Lunch and Wednesdays.

The brand priorities, and I'm referring to Slide #18, remain s consistent . The activities that we undertake under each of them are slightly different. So , the biggest opportunity on KFC is for us to enhance the Fried Chicken category relevance, thereby increase the consumer base of KFC.

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And that we will do by popularizing our core variety offerings , and our Taste The Epic campaign, which is a start in this direction . You would have already seen it being on air January onwards.

From a craveable taste perspective, we want to increase frequency of consumption by building day parts and product innovation. On value, we've got now a sharp 3-tier value structure in core at INR 99, individual meal offerings at INR 149 and then group meals at INR 399. We are accelerating our rollout of digital kiosks. On operation

al excellence, we have made big progress. 98% of our stores on Swiggy have 4-plus rating, and nearly 80% on Zomato have 4-plus rating.

And we have implemented a dynamic kitchen planning tool to improve product availability and reduce wastage. And in the last quarter, we called out that we will give a guidance on further openings. While we have doubled the store count in 3 years from December 2021, going forward, we believe that we should be able to continue our current pace of expansion, about 70-80 stores per year. Vijay, the financial highlights.

Vijay Jain: I'm on Slide #23, channel -wise sales contribution. Dine -in and takeaway came at 59% for the quarter, delivery at 41% , similar to previous 2 quarters. In Slide #24, the SSSG came in at minus 3%. Trend improved over the last 2 quarters. The ADS was INR 115,000. This includes 90 stores which we opened in the last calendar year, that's 22% store growth.

Overall revenue grew by 12%. Gross margin was largely stable and restaurant EBITDA came at 18.2%, drop of 190 basis points. This was primarily because of the operating deleverage. If you look at Slide # 26, it gives you a 4- year and a 5 -quarter trend. While SSSG has remained negative for KFC, the brand over the last 9 months have delivered double -digit revenue growth and with that growth, a reasonable level of profitability as well.

Sanjay Purohit: Let me now take you through Pizza Hut. Pizza Hut delivered a sales growth of 10% and positive

SSSG of 5% after 8 quarters. ADS has remained stable in line with the previous 2 quarters at INR 48,000. And our priorities remain as enumerated in Slide #28. We want to drive taste superiority, a differentiated dine-in experience, continue to improve our delivery experience. Value is important.

We will continue to invest higher marketing spends behind the brand and that's what has caused the uplift on the brand from Jan, Feb, March 2024. And we will continue to be cautious on store expansion till we see sight of double-digit store level EBITDA. The consumer promise is quite simple. It's a dine-in-led omnichannel customer promise built on superior product and built on great value and great experience. Over to Vijay on the financials.

Vijay Jain: Slide #33. Dine-in and takeaway mix came at 50%. So largely, 50-50 between dine-in, takeaway and the delivery. The mix has remained similar to the previous 2 quarters. On SSSG, it was positive 5%, with stable ADS of INR 48,000, same as H1 FY25. Overall revenue grew by 10%, so double-digit growth for the brand. Gross margin largely remained stable, and the restaurant EBITDA came at 4.7%, which was 10 basis points higher than last year.

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Slide #36 gives you a 4-year and a 5-quarter trend. And, while the performance has largely remained stable over the last 6 months, as mentioned by Sanjay, we continue to back the brand with additional and increased marketing spends, put behind product innovations.

Sanjay Purohit: Let me take you through the Sri Lanka performance. The Sri Lanka business delivered a very strong quarter. In fact, our best quarter after 10 quarters. We've delivered double-digit SSSG of 14% and strong double-digit SSTG also. And our focus on operations, product innovation, value strategy has helped deliver superior performance. So, our belief is that if we do the right things in ensuring customers get great product, great experience, value, and we are cautious with our store opening strategy, get our size of assets right, then even in a challenging demand environment, once things start to turn, we should get a large proportion of the benefit and that's exactly what we are seeing in Sri Lanka. Vijay will just talk about the numbers.

Vijay Jain: Slide #41, channel-wise sales contribution. Dine-in and takeaway mix at 63%, similar to previous 2 quarters. So, delivery steady at 37%

mix. The SSSG was 14%, backed by double-digit transaction growth. So that was the heartening part of the transaction, double-digit same-store transaction growth. Overall revenue grew by 15% in LKR and 30% in INR. The gross margin was up by 30 basis points. Restaurant EBITDA came in at 17.8%, which was up by 360 basis points.

If you look at Slide #45, which gives you a 4-year and 5-quarter trend. This has clearly been the best quarter for us in the last 2.5 years, and we remain confident of the growth prospects as we move forward. Slide #46, update on ESG, which we would have given previously as well. DJSI ratings, we scored 50 and this actually allowed us to be ranked No. 1 amongst all QSR brands in India for second consecutive year.

We were ranked No. 7 amongst global QSR companies, placed in 97th percentile amongst global QSR companies and the only Indian QSR company to publish ESG report under GRI, SASB and BRSR standards for the third consecutive year. With this, we can open the session for questions.

Moderator: The first question comes from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Congrats on a good set of numbers. On KFC, the SSSG is still in negative territory. Do you have any visibility or any initial signs of it turning positive? And if so, over what time period do you think this can happen?

Vijay Jain: So again, as you can see, the trajectory has improved over the last 2 quarters. We had minus 5% in Q1 and minus 8% in Q2. So, trajectory has definitely improved. But we would still say the overall consumer sentiment remains soft. While from an SSSG point of view, because of the base effect, you may see that it will still improve further as we move into Q4. But we don't see the environment changing materially any sooner.

Sanjay Purohit: And having said that, for a brand like KFC, you have to look at both SSSG as well as SG. We have still added a substantial number of stores. Our SG at 12% still is very strong.

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Percy Panthaki: Got it, Sanjay. Vijay, because of base effects also, there are many companies in the QSR business who are reporting SSSG because of base effects. So, I think that's an accepted outcome now. So, even if it is because of base effects, but do you see that visibility that at least in Q1, it will turn positive?

Vijay Jain: That's what we hope for because of the base effect. But again, while few companies would have

reported positive SSSG this quarter because of the base effect, but fortunately, for KFC last year, we did not fall down by much. I think our SSSG last year was minus 2%. So we didn't have a big advantage of base effect and that's a positive in a way.

Percy Panthaki: Secondly, just wanted to understand on Sri Lanka. I mean, you had earlier, 1-2 years ago, problems in the economy and sales and margins had fallen. And now it is sort of reverting back maybe on a little bit of a lower base. But sustainably, let's say, over the next 3-year CAGR, what kind of top-line growth do we expect assuming a stable currency?

Vijay Jain: So again, we have called out our medium-term to long-term ambition. So, I think we should be at least aiming for a 15% revenue CAGR over there.

Percy Panthaki: And is there a decent amount of store opening opportunity remaining in Sri Lanka now?

Sanjay Purohit: Yes, there is Percy. So, typically, this 15% might be half and half store opening, or perhaps slightly higher SSSG and marginally lower store opening. But we continue to expand the brand. And I think for the next 5 years at least, we can see visibility of areas where we will open stores.

Vijay Jain: It's about just getting the unit economics back where they were. I think they are already in the right direction, so we have been cautious over the last 1-1.5 years. If the unit economics continues to remain healthy, I think you can see a

n increase in our store opening plans.

Sanjay Purohit: I think what's happening when we look at Sri Lanka is transaction growth. See, with the kind of inflation that happened 2 years ago, and then it's taken 1 year for us to bed down that entire inflation. Today, again, consumers are voting with their wallets and coming back to Pizza Hut.

We remain the strongest QSR brand in Sri Lanka.

Percy Panthaki: And my last question, again, on KFC. Assuming that starting from the beginning of FY26, you do go into a positive SSSG territory, what kind of restaurant operating margins is your target?

Because on the higher side, you touched like 22% or something, and on the lower side, it's been like 17-18%. So what is the kind of margins you would target, which are not so high to affect sales or encourage competition, but at the same time are respectable enough and acceptable for us in the medium term?

Vijay Jain: So again, Percy, while we don't get into a quarter-on-quarter margin conversations. Over a longer period, we require a 5% SSSG just to take care of the inflation. And the current level, the floor is around 18%. So if you're able to get an SSSG of flat to positive, I think that should be the range. And to drive a margin expansion from there, you will require a SSSG which goes beyond 5%.

Moderator: The next question comes from Avi Mehta from Macquarie.

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Avi Mehta: Just 2 quick questions. First, have we seen any change in the competitive intensity on the ground or in our terms of traders, aggregators in the last few quarters? And two, if you could give us a sense on how do you see the recent announcement in the budget and that benefit panning out in same-store sales growth?

Sanjay Purohit: We are not seeing tangibly any major difference in reduction, or tangible reduction, in competitive intensity at least for now. I'm not too sure, but I don't think capacity is being added also. So right now, it seems to be a little stable. So that is point one.

Avi Mehta: Sorry, sir, this is across KFC and Pizza Hut both, right? Or would you say it's different?

Sanjay Purohit: This is across QSR, I would say, KFC, Pizza Hut, Burger right across. And the fact that there is INR1 lakh crores that has been given back to middle class consumers is only a positive. We are hoping and wondering as to how soon we will see that reflect in consumption, but that can only be a positive.

Avi Mehta: But your guess is this should flow through in the next few quarters. Is that a fair expectation to have?

Vijay Jain: That's a fair hope to have, yes.

Sanjay Purohit: That's a fair hope to have. Avi, but we have not had any immediate past experience of this. So to say that how soon it should trickle down, we would not be able to.

Avi Mehta: And sir, just a clarification to the earlier participant, what he said does suggest that the pace of recovery is gradual and has not changed materially even as we speak. So it's more at the same pace status quo?

Sanjay Purohit: Yes.

Moderator: The next question comes from Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: My question is around on Sanjay's comment on popularizing core offerings menu in KFC. I believe you have been piloting such experiments in some geographies. If you could share your learnings from there on how it impacts frequency or footfall. If you could share any color on that, that would be useful.

Sanjay Purohit: Yes. So I'll take 2 minutes to perhaps explain the thinking behind this. So the brand today is large enough that we actually see that there are 2 types of consumers, one who are brand loyalists and who are aware of all the offerings of the brand. And the second lot will be non-users or

infrequent users of the brand, who most likely are still aware of the brand, but they use it infrequently.

One, while we drive accessibility to such customer

s, that's an important enabler. But as we scope out the market opportunity for the brand in a category that is still underpenetrated, increasing the base of consumers, we believe is the larger opportunity for a brand like KFC.

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Once you do that, over a period of time, you will also increase frequency. And in any case, we have got a lot of frequency increasing initiatives I talked about, day parts and so on. So, once the consumer insights behind what will make an infrequent and non-trial to come to the brand is really to present the brand as it might have been presented perhaps 10 or 15 years ago. To refresh that these 5 products, as we call them internally, are the best of KFC and enables the consumer to start their or his or her journey with the brand through the core variety products. And our core variety products are chicken on the bone, Zinger Burger, rolls, wings and boneless, which is popcorn and strips.

Interestingly, a large portion of infrequent stroke non-trials of the brand don't even know that we have got a very, very strong boneless portfolio. So that's the intention. I hope I've been clear here. Now, we have been running pilots. Those pilots are both from an advertising perspective as well as ensuring value with core variety.

While I can't give you specifics of what kind of results we have had in the pilots, it is sufficient to say that really this is one of the important levers that we will use to drive brand growth in the next coming years.

Vijay Jain: Saurabh, just to add to that, while footfall is getting represented by transaction growth, what we have called out this quarter is that SSSG is negative, but transaction growth has been flat. In the previous quarters, even the same-store transaction growth was on decline. So sufficient to say that the early results have been encouraging on the value piece.

Saurabh Kundan: That was very helpful. The interpretation here is that eventually this pilot actually turns into a full pan-India.

Sanjay Purohit: See the Taste the Epic campaign that, we have just launched, is saying try the epic core varieties of KFC. So you can see already the expression of what I enumerated as the key driver we believe in future growth. Already, you are seeing that in our advertising message.

Saurabh Kundan: All right. One last question. Are there any margin implications of this strategy?

Vijay Jain: So Saurabh, again, when we do such experiments or pilots, we typically have a revenue upside target. So while there could be a marginal gross margin impact, they typically end up compensating at a restaurant EBITDA level.

Sanjay Purohit: Yes. So like I said, gross margin is one of the things that we look at. Finally, we look at restaurant EBITDA margin. And if we are able to use all of this to drive healthy SSSG, restaurant EBITDA margin will also be taken care of.

Saurabh Kundan: So your earlier guidance to the previous question that if the SSSG is at a certain level, then 18% is maintained, and it goes up if the SSSG is higher than 5%, right? So that guidance remains?

Sanjay Purohit: Yes, yes.

Moderator: The next question comes from Tejas Shah from Avendus Spark Institutional Equities.

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Tejas Shah: I joined a bit late, Sanjay. Just wanted to know what is the new store expansion guidance for both KFC and Pizza Hut? And 2 associated questions. Some retailers are calling out headwinds pertaining to unsustainable rentals, not in QSR, but in general. So any read there? And what markers you will actually monitor because SSSG seems to be now not giving a right lead indicator. What markers you'll monitor to ramp up the store expansion?

Sanjay Purohit: Yes. So right now, from a store guidance perspective, on KFC, we are saying anywhere between 70-80, which has been roughly a pace of

expansion over the last 3 years. We should be able to continue this. On Pizza Hut, again, we'll be cautious, perhaps 20-25 is what we are looking at. From a rentals perspective, we are not seeing any extraordinary pressure on rentals.

Vijay Jain: Especially, we have a long-term lease period. So our lease period range anywhere from 18-24 years. So we are not seeing any additional pressure on rental front.

Tejas Shah: No, Vijay, for new store expansion, I meant.

Vijay Jain: Even from a new store expansion point of view, we are not seeing rentals, which have gone through the roof. So I don't think the trajectory has changed materially or dramatically to call it

out. From a markers point of view, yes, SSSG would be one important parameter and continues to remain an important parameter. So that along with the ADS as well as the restaurant EBITDA, these are the 3 typical lines which we look at from a financial perspective.

Having said that, Tejas, previously also, we have called out that the more important marker which we look at for a new store expansion is the strike rate. And how many stores you have opened in the past, how many of them are hitting the required ADS level, whether at the cohort level, they're hitting the ADS mark. That is again a more important marker which we track internally, apart from this SSSG and profitability markers.

Tejas Shah: Very clear. Second and last question. So you guys were very honest about the base effect of Pizza Hut on SSSG, which will actually show up improvement in numbers. So at least for now, SSSG does not seem to be any guidance value even for margin expansion or margin movement. So how should we think about SSSG margin relationship? Or should we monitor, as you said, more of an ADS journey to understand how margins will play out?

Vijay Jain: For Pizza Hut, absolutely true that SSSG may not give you a direct indication on margin. It's the ADS level. And we called out previously that if it's in the range of INR 47,000 -48,000, you are at where you are, that 5% range, which include additional marketing spends as well by the way. If you fall below that, you go towards that breakeven or even loss making. And you move towards INR 50,000, maybe you are high single digit. You need to move towards that INR 55,000 mark to go towards double digit. So that's the range of ADS at which what the various margins are likely to look at. You're right, SSSG after the point may not give you a direct indication on the margins.

Moderator: Next question comes from Gaurav Jogani from JM Financial.

Gaurav Jogani: Congratulations on the resilient performance, both on the Pizza Hut side and even on the KFC bit. Sir, my first question is with regards to KFC. While we have been having this negative base Sapphire Foods India Limited
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for some time now, what could be your sense, when possibly could we turn positive here? And like you mentioned for the ADS for Pizza Hut, which is a more actually trackable format, what should we track here in KFC also, in terms of margins?

Sanjay Purohit: Sorry, your first question was Pizza Hut, right?

Gaurav Jogani: KFC sir.

Vijay Jain: So again, as I called out previously, maybe the base effect itself will probably put the brand into a positive territory. But that is not sometimes good enough to drive margins. As I called out, whether we can actually see, not a base effect, genuine increase in the sales, which is ADS. So hopefully, the brand will get into positive territory over the next 2 quarters.

Sanjay Purohit: What was your second question?

Gaurav Jogani: The second question was relating to the same corollary you gave for Pizza Hut that the INR 47-48,000, range would be 5% margins, INR 50,000 would be these margins. So similarly, if you can highlight this for the KFC bit as well.

Vijay Jain: KFC, again, I called out, so while Pizza Hut, we have called out

ADS specifically because over

the last 2 years, there have been significant erosion on our ADS. We were at INR 62,000 levels and came down to INR 41,000-42,000. Hence, it's easier to look at it that way. On KFC, I would say if we are currently trending at 18% margin, if we are able to drive a 5% growth from here, let's say next year, then it will take care of the inflation. So at that level of SSSG, our margins should remain stable.

Gaurav Jogani: Stable, you mean to say 18%, right?

Vijay Jain: In and around 18% plus/minus.

Gaurav Jogani: Okay. Sure. And sir, my second question is with regards to how should one look at the impact on the ADS right now? Do you think it is the impact because of the new store openings that are happening and they are not scaling up, which is having an impact on the ADS recovery? Or is it largely the footfall or the transaction that has a higher impact? Which one you would accord more in terms of the ADS recovery impact?

Vijay Jain: It's SSSG, the negative SSSG for over the last 4 quarters or so, which is causing the bigger one. The new store ADS diluting the overall brand ADS is anyways, if I may use the word, budgeted for in a way. It's anticipated. Because the new stores would come at anywhere between 75 -80% of the brand average ADS. The existing stores, if they grow by 5- 6%, it neutralizes the impact of the new stores, which helps you to maintain the ADS level.

Right now, the ADS is dropping because while you're opening the new stores, your existing stores are not growing by that 5- 6%. So, I would not blame the new store expansion over here because for new stores, we continue to monitor strike rate. Those strike rates have been pretty healthy for us. Hence, we continue to expand. So I would say the drop is more because of the existing stores not delivering the SSSG.

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Gaurav Jogani: So sir, just to ask this other way around. My question was more on because the system average has also come down and you generally mark that the new stores should be at 75- 80% of the system average. So are the new stores, what they were performing earlier, are they at least performing at those levels?

Vijay Jain: We continue to perform at the reasonable expectation. The payback model, which we try and track on, the new stores continue to track on those lines. So our strike rates have been pretty healthy over the last few years. And that's why the expansion continues, those 70- 80 stores expansion continues.

Moderator: Next question comes from Jay Doshi from Kotak.

Jay Doshi: Pizza QSR category was impacted more than the other QSR categories during the slowdown, at least in the earlier phase. And now, we have seen a strong recovery at least from the market leader, and even your performance has improved. So fundamentally, has anything changed for the category per se? Are you seeing either the competition from fragmentation of category has stopped? Is the traffic moving towards national players or anything at all?

Sanjay Purohit: Yes. So in a general slowdown, first you see everyone gets impacted. Perhaps the listed category, listed brands, you are able to see their results. But I would have thought that everyone especially, given the high competitive intensity, everyone would have got impacted. Once everyone gets impacted, then it depends on who is staying in the game and who is doing the right things with the customer to get out of that situation.

And we have got brands that operate single franchise, large number of stores with single store franchisees. Always you find that in a worsening sales situation, in such places, the customer experience actually starts to go down. And what we have done is to double down, despite the slowdown, on customer experience, still ensure great product, great experience, good value. And therefore, we'll be seeing the gains accruing first to the market leader and then in some cases to us also.

Jay Doshi: Do you think that this is a more sustainable trend that the organized players will probably make a comeback in some form? We've seen this in cycles in the past, but based on your experience, do you think that, that cycle has also played out and now it's probably likely to play out in your favor?

Sanjay Purohit: Yes. So Jay, I have said this in the past also that I have great belief that if we continue to do the right things, we will get a larger portion of the gain when the market starts to turn. And in downturns, you have to focus on what you can control. And therefore, if you've seen our presentation also, we talk about the brand priorities. Those brand priorities are a combination of what we will do from an advertising perspective, both message as well as quantity of advertising. Now, that is not replicable by everyone. Then what will we do to improve operational excellence, how will we look at store expansion. So I think going back to fundamentals is absolutely important. And given past experience and also here, I'm quite confident that brands like KFC and Pizza Hut should do well as the market starts to improve.

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Jay Doshi: Sure. One question on KFC. I know it's early days, but in the markets where Popeyes has scaled up or at least opened a few stores, are you seeing any divergence in your SSSG performance versus other areas where they are not present? I mean any impact at all from competition?

Sanjay Purohit: No, nothing at all. And it goes back to the immediate question that you raised. And so first of all, gains accrue to the largest brand. So, we have seen that in the pizza category also first gains accrue to the largest brand, if the largest brand does the right thing. That is number one.

Also, it is important for the Number 2 brand to differentiate itself clearly from the Number 1 brand. Otherwise, what is the use, why will consumers go to that Number 2 brand. Now in Pizza Hut, we are articulating how will we be different and we are also putting in the marketing rupees behind it. And we've got a legacy of 20-25 years of consumer goodwill. That will enable the brand.

I mean in the case of KFC and the competitors, we have to ask the question, why will a consumer go to the smaller brand? Is there anything differentiated that is being offered? And if it isn't, then the smaller brand will suffer. And this is exactly what you're seeing. There's no impact at all on KFC, even in markets where we operate side by side.

Moderator: The next question comes from the line of Priyam Khimawat from ValueQuest.

Priyam Khimawat: In KFC, our margin used to be around 19-20% levels when we used to achieve an ADS of INR125,000- 130,000. Now considering the competitive scenario, which is there and also considering our ADS has dropped, I believe that 18% margin is what we should assume for the

next 3- 4 quarters? Or you believe that if and when we start achieving that ADS of INR 125,000-130,000, there is possibility that we go back to the 20% margin level?

Sanjay Purohit: So at the current level of ADS and if the SSSG remains in the near term, let's say, in the range of 0-5%, I think that's the range of margin to be taken. For us to break out from this particular margin zone, you require a really high level of SSSG, which could be towards double digit. So , unless we hit that double -digit SSSG, I think the margins are likely to be in this range.

Priyam Khimawat: Okay. So double -digit SSSG is any which way a tall task considering the demand scenario , so 18-18.5% margin is what we should assume at least for the near term in this business ?

Vijay Jain: I would say 18% plus/minus.

Priyam Khimawat: Got it. And what would be our capex number for this 9 M FY25?

Vijay Jain: So again, we have not called out an overall cap

ex number. But yes, we have called out previously

that KFC continues to be in the range of INR 2 odd crores per store , and Pizza Hut is in the range of INR 1.35-1.4 crores per store.

Priyam Khimawat: Okay. And next year, any capex number which you would like to call out on a cumulative basis that 80 stores we opened KFC and 25 -odd stores in Pizza Hut?

Vijay Jain: So basis the store guidance which we have given and the per store, we can do the math. But on top of that, there are always the refurb cost, the IT investments. So I would like to avoid a capex

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guidance separately for the year specific. Let us just come out with the annual numbers, and that would give you some indication on what kind of overall capex looks like.

Priyam Khimawat: Got it. And there was a rise in other income in this quarter. Any material reason behind that? Or it was just regular business activity?

Vijay Jain: Regular, regular. So nothing that is very specific different.

Moderator: Next question comes from Dhiraj Mistry from Antique.

Dhiraj Mistry: Congratulations on very good set of numbers. Sorry if I missed out this, but can you tell us like month- on-month, like how was the demand during festival period and after that? And now we are entering into Q4, how do you see that demand has been panning out?

Vijay Jain: So again, we typically don't give out the month-on -month trend. Suffice it to say that the Q3 was definitely better than the H1. H1, which was minus 5% in Q 1 and minus 8% in Q2. Definitely, Q3 trended a bit better. And the more heartening part on Q3 in KFC was the transaction growth was flat. So while we saw some transaction decline, which was SSTG, same- store transaction decline in H1, at least Q3, the trajectory improved and the transactions were flat.

When we enter into Q4, we still see the consumer demand environment being challenging. So, we don't see a big pickup from a demand perspective on KFC. On Pizza Hut, the SSSG has turned positive. Again, SSTG, which is the same -store transaction growth have also remained positive for Pizza Hut. But this is largely on back of the base effect, the ADS have remained constant over last 9 months. So it does not help really from a margin improvement perspective. What we need actually is the ADS improvement on Pizza Hut for us to improve margins from here on.

Dhiraj Mistry: Got it. And sir, second and last question from my end. So if I look at demand growth for KFC as well as for Pizza Hut across channel delivery, takeaway and dine -in format, correct me if I'm

wrong, that dine -in channel continues to decline in KFC despite our effort of driving footfall - led growth in doing menu innovations on that. Whereas for Pizza Hut, it has been positive 6% roughly which has been there. So what is driving this difference between dine -in channel

declining in KFC versus growth in Pizza Hut?

Vijay Jain: So again, first of all, both the brands, the channel performance of delivery has been better than the dine -in channel performance. It's just that when you're looking at the numbers for both the

brands, Pizza Hut has a huge base effect and KFC doesn't have that kind of a base effect. That's why you are looking at numbers where one channel has gone positive and other is in decline.

But if you look at the relativity for both the brands and I think that's true for most QSRs, in fact, not most , all QSRs where delivery continues to perform better than dine -in at this point in time.

But again, when you look at medium to long term, we don't think this differential performance is going to remain infinitely there. The dine -in should come back eventually. And all our measures in terms of product innovations and product promotions are focused to get the dine -in channel back in positive trajectory.

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Dhiraj Mistry: Yes. Just one question related to that. Is there any material difference in terms of margin between delivery and dine-in channel for both the format?

Vijay Jain: From a gross margin perspective, no. But from a net cost flow-through, which is a variable contribution margin, the dine-in definitely has a higher flow-through than delivery because delivery has a cost associated with it. While the dine-in flow-through, fixed cost remaining fixed, every INR100 I sell, the flow-through is significantly higher vis-a-vis the delivery.

Moderator: The next question comes from Vishal Gutka from HDFC Securities.

Vishal Gutka : Excellent set of numbers, sir. Sir, 2 questions. First is on anti-U.S. sentiment towards certain brands. Sir, are you seeing those trends mellowing down a bit during the quarter? If you can throw some light on that?

Sanjay Purohit: I don't think we are able to see either positive movement or negative movement. So I think it is just the same, Vishal.

Vijay Jain: And even when there was an impact, there was an undercurrent impact, we were not able to really quantify that impact what we had on our business, especially because KFC is 95% non-vegetarian. We were not precisely able to quantify. But there was some impact, but I would say neutral. I don't see, as Sanjay said, positive or negative movement.

Sanjay Purohit: That it continues is certain. Its neutral from where we were, I don't think it has improved or worsened off.

Vishal Gutka : Got it. And sir, in case of Pizza Hut, any scope for reducing capex per store or opex, so that we are able to achieve margins despite ADS remaining in this range around INR 50,000-52,000. So broadly any further scope left or we have already achieved the optimum possible?

Vijay Jain: If you look at probably our capex 2 or 3 years ago used to be at INR 1.5 crores and that itself has come down significantly from a number which used to be INR 2 crores several years ago. INR 1.5 crores was on back of 1,200 -1,300 square foot model. We did introduce a year ago a 1,000 square feet model, where there was no compromise on the front of house, which was the covers. It was all about the backward integration and getting the kitchen tighter.

So now we have a combination of 1,000 square feet and a 1,200 square feet. 1,000 square feet typically in a Tier 1 or a metro town, where we have enough number of stores where the delivery cycles are higher, you can crunch your back-end storage. So that the capex is low for 1,000 square feet. So with a combination of 1,000 and 1,200, we are now at INR 1.35-1.4 crores. That itself is a reduction of 10% over the last 3 years.

In an inflationary scenario, I think we have done a really good job of that INR 1.35 crores. Cutting down it any further would mean that you are then compromising on the consumer experience.

So I don't see there is any much room left from a capex reduction point of view.

Moderator: Ladies and gentlemen, we take that as our last question for today. I now hand the conference over to the management for closing comments.

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Sanjay Purohit: Yes. Thank you very much, everyone, who's joined in. Just to reiterate the big messages, we have had a healthy good quarter in Q3, double-digit revenue growth at a consolidated level and all 3 business verticals, double-digit adjusted EBITDA growth, double-digit adjusted EBITDA percentage margin also. That's it from me. We'll hope to see you in a quarter's time. Thank you very much. Good evening.

Moderator: On behalf of Sapphire Foods Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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Date: 14th May 2025

To,
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Exchange Plaza, Block G, C/1, Bandra Kurla
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Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q4 FY25
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Wednesday, 7th May 2025, in relation to the financial results of the Company for the quarter and year ended 31st March 2025.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2024-25 Quarter 4 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited
Q4 and Full Year FY25 Earnings Conference Call”
May 07, 2025

MANAGEMENT : MR. SANJAY PUROHIT – WHOLE -TIME DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – SAPPHIRE
FOODS INDIA LIMITED
MR. VIJAY JAIN – PRESIDENT AND CHIEF FINANCIAL
OFFICER – SAPPHIRE FOODS INDIA LIMITED
MR. KAUSHIK VANKADKAR –HEAD, INVESTOR
RELATIONS – SAPPHIRE FOODS INDIA LIMITED

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Moderator : Ladies and Gentlemen, good day and welcome to the Sapphire Foods Q4 and full year FY25 Earnings Conference Call hosted by Vogabe Advisors .

As a reminder all participant s' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.

Sanjay from Sapphire Foods. Thank you and over to you sir.

Sanjay Purohit: Welcome to Sapphire Foods Q 4 and Full Year FY 25 Consolidated Financial Highlights . I am joined by my colleague Vijay Jain, who is our CFO .

First, a quick briefing on the full year performance highlights :

In what was a difficult year we still delivered double digit restaurant count and restaurant growth.

Number of restaurants grew at 10% , we added 91 restaurants during the year to close at 963 restaurants. Our sales grew at 11%. Adjusted EBITDA declined by 4% in the entire year. KFC for the full year was at negative 4% SSSG and with negative 4% SSSG with our store openings we delivered a double -digit revenue growth of 11% and despite the negative SSSG and the operating leverage as a result, still our EBITDA margins were healthy at 17.3% and we crossed a significant milestone of 500 restaurants during the year, thereby doubling our count over 3 years. Pizza Hut had very good three quarters from April to December and then we slid back in the 4th

Quarter, which we will talk about a little later. We ended the year at -1% SSSG , in the quarter we were +1 % SSSG. Sri Lanka had a very strong turnaround in the full year. We grew revenue in LKR terms by 14% and restaurant EBITDA margins were healthy at 15.4% first time in 3 years that we have been able to clock above 15% restaurant EBITDA.

We were rated the number one QSR in India for the second consecutive year on the Dow Jones Sustainability Index. It's a big achievement for the organization. And then in the recent Yum! Global Franchisee Convention we were recognized as the world's top four Pizza Hut franchisee. Among thousands of franchisees we were rated as " World's Top Four Pizza Hut Franchisee" , the "World's best Pizza Hut Franchisee" for people practices. And finally, the big award was of that of the " World's Best KFC Franchisee" . So, these awards mean a lot. As I said many years ago, we aspired to be India's best restaurant operator. Certainly, we are among the top 1-2 best global Yum! franchisees certainly .

Quickly the Q4FY25 highlights :

We delivered a revenue of Rs. 710 crores , 13% growth led by KFC , Indian Pizza Hut . Sri Lanka , we added 6 KFC restaurants and took our total count to 963 as of 31st March , 2025 also.

Consolidated restaurant EBITDA decreased 1% year -on-year and margin was at 12%. Adjusted EBITDA of Rs. 50.8 crores was a 7% decline year-on-year and our adjusted EBITDA margin

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was 7.2%. Consol EBITDA was 16% or 113 crores and increased year-on-year by 3%. Consol PAT was Rs. 2 crores or 0.3%. Adjusted PAT was Rs. 3.3 crores or 0.5%.

Let me now take you to the KFC slide :

In Q4FY25 our SSSG trajectory was continued to improve upon versus the last previous two quarters. However, on a base of last year where we had declined in terms of SSSG, our delivery mix continued to increase vis -à-vis dine in and take away. And our big campaign for the quarter was to focus on what we call new consumers of KFC and it centered around our epic core variety campaign with also value around our core offerings being called out. This is the going forward focus of the brand, how do we represent our core variety to consumers with value, Chicken Bucket, Zinger Burger, Boneless Chicken and Roll.

And apart from this, the other positive of the quarter was our own delivery business after 2 or 3 years of being stable or slight decline , actually improved and had the greater SSSG uplift in this quarter versus even the aggregator channel. It's still a small part of our business. The drop in ADS that you see from a quarter -to-quarter basis really reflects new store and some amount of seasonal movement from Q3FY25 to Q4FY25.

The brand priorities are quite clear. This is the Slide #21 and this is something that I have spoken about earlier. We have launched a premium burger called KFC Gold. Apart from being the premium burger, it has also been launched in our popcorn and in our boneless range. So, it's really a lot of sauces and a lot of dips that are very popular with younger generation.

On Slide # 23 you can see our emphasis on boneless that we are trying to drive. Digital kiosks continued to be rolled out. Now it's implemented in about 238 restaurants .

Over to Vijay for the financial numbers.

Vijay Jain: I am on Slide # 26 which presents channel wide sales contribution: Dine -in plus takeaway came at 57% and the delivery was at 43%. Sanjay mentioned about our own delivery growth. Our own platform growth was 3x the growth which we experienced on the aggregator platform so that was a big positive for us. In terms of SSSG, the trend continued to improve. We were at -1% and overall revenue grew by 12% on back of 73 restaurant additions which we had in last one year . Gross margin dropped marginally. However, restaurant EBITDA dropped to 15.7%. This was a result of operating leverage lower ADS which we experienced in Q4 FY25 compared to Q3 FY25 and a higher delivery mix. Slide #29 shows 4 year trend ; clearly seen that despite two challenging years now back-to -back two challenging years in terms of SSSG, the brand has still delivered a healthy bit of 17.3% in the last financial year.

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Sanjay Purohit: Let me now take you through Pizza Hut and I am referring to Slide # 31 in our deck: Our six pillars of the Pizza Hut strategy continue as articulated earlier to drive taste superiority through pizza and sides innovation, differentiated dine -in experience like casual dine -in restaurants and a hot and fresh delivery experience. We should offer competitive value for money , mass media advertising to drive consumer awareness and consideration and be cautious in terms of store expansion. So, this strategy actually resulted in improved performance in the nine months between April and December 2024 when our ADS moved from 41,000 to 48,000. However, starting JFM Quarter Q4FY25 , we have not been able to invest in mass media advertising and that's resulted in an impact on our transactions and that's really arising out of a difference of view between two franchisees, between us and o ur sister franchisee with respect to marketing strategy and the additional investment that we have been doing from April to December behind mass media advertising. Now while Yum! is aligned with investing similar to us, the difference in opinion has meant that we have not been able to advertise in markets which are common markets and so we still spent money, but we spend money below the line and that below the line advertising was not as effective. We believe that this difference we should be able to resolve in the next couple of months. Having said that, one of the pillars of our strategy was a continuous in novation pipeline. In accordance with that strategic pillar , we have had a really exciting refresh of our core pizzas which is the J uicylicious Pizza that we launched in April 20 25. Now while we are not able to do mass media advertising in parts of our market which are common markets between us and our sister franchise, at least in Tamil Nadu, which is a Sapphire exclusive market, we will be going behind mass media advertisi

ng and then we will spend money on below the line in other markets. And clearly, we see that Tamil Nadu is driving differential performance ver sus the rest of the market on because consumers are being aware of this range before they come and that's pushing them to come to our stores and that's driving them , that's driving transactions. Whereas in other markets without the help of mass media advertising, we are not able to address new consumers and not able to tell them about this innovation. Like I said, we expect this to get resolved in a couple of quarters and we will see it play out. You can see the pictures of Juicylicious Pizza on Slide # 33. We will get Vijay to talk about the financial numbers.

Vijay Jain: Slide #36 channel wide sales contributions; dine-in in takeaway mix at 48% and delivery at 52% in line with the previous quarters. In terms of SSSG ; positive SSSG of 1% for the quarter however the ADS dropped to 42,000 and overall revenue grew by 5%. Gross margin dropped by 70 basis points and on back of the increased value and promotional offerings , this combined with low ADS and increased marketing spends although below the line but we continue to spend behind additional marketing as well meant that the restaurant E BITDA was impacted which came in at 4.6% negative. Slide #39 gives 4 year trend , the gains made in the first nine months of the last financial year where were able to clock 48,000 ADS and hit 5% profitability clearly has been eroded in Q4 FY25 due to pullout of mass media campaign and as mentioned by Sanjay, we will need a slightly longer horizon on the brand and once we are able to resolve this in the next couple of quarters we are sure we will be again back on the path of recovery for the brand.

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Sanjay Purohit: Quick update on Sri Lanka , Q4FY25 has capped a year of a very impressive turnaround for this Sri Lanka business. We have grown SSSG and SSTG double digit and restaurant EBITDA has crossed 15% after 2 years of coming well below 15% . From new launch es perspective, we continue to support Melt s has come out in a singles form, we have introduced some really good fries, we opened one store in Enderamulla and for the numbers over to Vijay.

Vijay Jain: Slide #43; dine-in and takeaway mix at 62% similar to previous two quarters . The SSSG was 16% backed by a double -digit transaction growth. Overall revenue grew by 19% in LKR terms and 31% in INR terms. Gross margin drop ped however, restaurant EBITDA improved by 250 basis points YoY and came in at 14.8%. Slide # 47 which gives a 4 -year trend clearly seen the business has made a strong comeback and has delivered the highest restaurant EBITDA margin in the last 3 years at 15.4%.

Sanjay Purohit: That's the update for the quarter. It's been a difficult quarter, especially on Pizza Hut, but we expect that we believe that the strategy still is the right strategy to pursue and we will sort the differences in opinion that we have. The good part is that Yum! is aligned on what we plan to do and we should start we should see an uptick in performance in the coming months /quarters . I will stop here now and open this to questions .

Moderator : Thank you very much . We will now begin the question-and -answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Sanjay Purohit: We can start with Vidisha from Ambit Capital.

Moderator: The first question is from the line of Vidisha Seth from Ambit Capital. Please go ahead.

Vidisha Seth: Hi, good evening team. I hope I am audible. My first question was if you can give some color on the broader demand scenario and specifically on KFC S SSG. Although the momentum of SSSG has improved, it's still in the negative territory. So, if you could comment on whether with the high single digit decline in the base, is it logical to assume that SSSG would

turn positive in the first half of FY26?

Sanjay Purohit: Yes. So, the demand situation continues to be neutral. It's not improved or it is not worsened off over the last three or four quarters. So, it's still a tight demand situation and then coupled with heightened competitive pressures has meant that growth has been difficult to come by. You are seeing -1% SSSG in Q4FY25 on the back of I think again very low single digits the previous year. So, as we move forward certainly, we will see a more stable SSSG , but it is on the back of earlier low SSS G quarters.

Vidisha Seth: Understood.

Vijay Jain: The current trend is flattish SSSG . That's the current trend which we are experiencing.

Vidisha Seth: Got it, right sir. The second question was on your commentary on Pizza Hut. You have talked about the longer horizon required in terms of re-viving the brand. So, is the visibility on even

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early double -digit margins deferred given that attaining the 50, 000-55,000 ADS threshold would be difficult in the medium term? Basically, how should one think of margins when it comes to Pizza Hut ? Those are the two questions from my side . Thanks.

Sanjay Purohit: I think you got the intention right that once we move towards 55,000 ADS , that's when we will deliver double digit. We were expecting in a scenario when all of us were aligned, we would have expected this to happen between 12 and 18 months. I think perhaps that has got extended a bit.

Vijay Jain: In the immediate scenario when I look at the coming year, I think it would still be range bound to a flattish kind of to low single digit restaurant EBITDA which we experienced last year.

Because the first step would be how do we get the movement back from that 41,000 -42,000 level , we have reached 42 ,000 level. It's the same place where was probably a year ago. So, it's the same journey we have to start again. So, in the next 12 months I don't see this EBITDA moving beyond low single digit number.

Vidisha Seth: Thank you for your answers. I will get back in the queue for follow ups.

Sanjay Purohit: Thank you Vidisha.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, sir. So, my first question is with regards to the network addition guidance , in the current week in environment scenario, if you can help us how are you looking to now alter the store ad dition network both in the KFC and the Pizza Hut format?

Sanjay Purohit: I think our last guidance still stands. In the previous quarter call, we said KFC we can look at opening 70 to 80 stores or anywhere between 60 to 80 stores , that guidance still stands and that's a medium term guidance, not just for this particular year. I think we can continue to add 60 to 80 stores . For Pizza Hu t we said our restaurant expansion strategy will be extremely cautious and that's what we continue to follow. So, we don't see additions which are let's say beyond 20-25 stores in a year max.

Gaurav Jogani: And this would be the net additions or the gross a dditions that you would be guiding?

Sanjay Purohit: These are net additions.

Gaurav Jogani: Sure. And so the next question is with regards to K FC margins, we have been doing a very resilient performance when it is coming to the margins, despite that A DS remaining where it is, still the 17 .5% margin is very commendable. Now I just wanted to take your sense given that given the environment as you mentioned, this is where it is right now. What kind of margins can

we expect in the next 12 to 18 months going ahead?
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Vijay Jain: I think holding onto the current level margins would be a good achievement. And for holding the current level margins we will require some SS SG even if it means low single digit SSSG

And I think that's what our immediate task would be, to get back into positive SSSG territory. Currently we are experiencing flattish, but as we move into a territory which is positive SSSG, holding these margins would be important. So that's what I think the near term 12 to 18 month guidance would be.

Gaurav Jogani: So, sir, just to follow up here, given that I am assuming that you would have peaked your cost structures which would have helped you to achieve this kind of a margin despite a lower ADS.

Vijay Jain: Yes.

Gaurav Jogani: This would not mean, experiencing a better ADS then would flow through the margins and then could boost the margins slightly going ahead.

Vijay Jain: So, if we start getting SSSG of 5% and plus then definitely we can see improvement in margin.

So, it's all linked to the SSSG. I said that if we are experiencing flattish and maybe even low single digit, if we are getting a low single digit, we should be able to hold margins. If we are able to get beyond 5%- 6% we should be able to improve margins as well.

Gaurav Jogani: And sir just last question from my end on KFC only. If you can highlight what really is the problem that you are facing with the KFC franchise. I mean, is it the macro slowdown which is impacting the business here, is it competition or is it something else that is taking longer than expected for the brand to recover?

Sanjay Purohit: I think it's a combination of macros with the combination of also competitive intensity. So, I don't think, we were expecting in the coming financial year because of tax SOPs and inflation reducing, we are expecting discretionary spends to increase. However, Q4FY25, the earlier trend continued and that's reflected really in the SSSG that we saw and hence in the EBITDA margins.

Gaurav Jogani: Okay. So if I summarize it right, you are saying that it's a combination of slowdown and the competitive intensity which is kind of leading to this slowdown and you are still hopeful that these tax SOPs and inflation should, the reducing inflation should help to drive the demand improvement going ahead?

Sanjay Purohit: Correctly captured.

Gaurav Jogani: Sure. So, thank you for this.

Moderator: Thank you, ladies and gentlemen. In order to ensure that the management is able to address questions from all the participants in the conference, please limit your questions to two per participant. The next question is from the line of Saurabh from Goldman Sachs. Please go ahead.

Saurabh: Yes, thank you very much for the opportunity. My question is on the comment made earlier by Sanjay that you are confident that in the next 1 to 2 months the difference of opinion in Pizza

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Hut will be resolved. So just wanted to ask what gives you the confidence that in the next 1-2 months you will resolve that difference with the sister franchise?

Sanjay Purohit: No, I never said 1- 2 months. I said in the coming months it might take one to two quarters rather than 1 to 2 months. I guess what gives us the confidence is the fact that, so the difference of opinion really stems from our belief whether spending on or investing behind mass media advertising is resulting in increased transactions or not. We have certainly seen that joy and if there are questions in someone else's mind on that, that is perfectly alright. I think the only way to do that is through data and through actually proving that this can work. And therefore, we continue to invest behind mass media advertising in Tamil Nadu which is a Sapphire exclusive territory and being able to showcase differential performance there, should convince everyone that this indeed is the right strategy to adopt. And, therefore perhaps let's look at internal execution and see what we can do to actually capture the additional footfalls that this can offer us.

Saurabh: Understood. My second question is

on the CAPE X number. I am just looking at the cash flow statement. It appears that simply on a net store addition basis it is again close to Rs. 3 crores per store. I am taking on net basis. Now can that trend be expected to continue or were there any extra investments this year other than store additions?

Vijay Jain: Again, I don't think that's the right way to look at it. And even if I look at the net stores, we would have added roughly (+ 100) stores this year including our Lanka. And if I remember the number correctly, I think it's Rs. 265 odd crores which is reflected in the cash flow. So even if

you do the math on a gross basis, which the way you are doing it does not touch Rs. 3 crore s. So let me just clarify that. Having said that, the number consists of multiple things, not just new store additions. It also consists of the refurbishment of old stores which have completed 5 years or 10 years. It also consists of tech investments as well. So, there are a lot of components to it. If I come down to the breakup, in terms of the new store, the KFC is still in the range of Rs. 2.1 crore and Pizza Hut is in the range of Rs. 1.35 crore s for p er store .

Saurav: All right, thank you very much.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi. Thanks for the opportunity. Sir, question on KFC . Q1 typically is the strongest quarter with the last three quarters having some days where the consumption is weaker. This time around it was also preponed to Q4FY25 where I am suspecting that consumption may be lower. So, we have a relatively cleaner Q1 FY26 this time around versus last year. So how should we read this flat S SSG? Is there actually some demand improvement happening or it has further worsened in April so far ?

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Sanjay Purohit: So again, in April , we had Navaratra this year. So, on top of that, the flat SS SG really says that there is no material improvement or deterioration in the demand condition. So that's all that it says. And it's really too early. May -June are in the quarter the better months. It's too early to comment on May.

Devanshu Bansal: And sir, we are sustaining with this epic campaign for KFC which was launched last quarter also. So, what are the key benefits that we have gained during Q4 and what are the expectations from this campaign going ahead?

Sanjay Purohit: So, the campaign is really focusing on the variety that we offer in our core range. And through that we expect to get more consumers who are aware of the brand but not tried the brand to come into our stores that we have identified over the medium term as the biggest opportunity on KFC increasing consumer penetration while continuing to hold on to brand loyalists. So that is what really this campaign is aiming to do. Now this is not going to happen in one or two campaigns and one or two quarters. And we should sustain the intensity and the thought behind this idea that we present our variety in core and offer great value on core to pull new consumers in. This is the intention. You see this continue for over a period of time .

Vijay Jain: In terms of the benefit, we have definitely seen transaction improvement. So, while our SSSG was negative in H1 of last year, our transactions were also negative. And what we did experience in the last two quarters of last year, which is H2, that the decline in transactions was definitely lower than the decline in the overall revenue for the same stores. So definitely the focus on the value has helped us arrest the transaction decline. Now we are largely neutral on the transactions. Hopefully from here we can grow the transactions as well.

Devanshu Bansal: Sir, last question from my end.

Moderator: Sorry to interrupt you sir, but I may request you to rejoin the question queue.

Devanshu Bansal: Sure

. No issues.

Moderator: Thank you. The next question is from the line of Ashish Kumar from Infinity Alternatives. Please go ahead.

Ashish Kumar: Thank you, sir and congratulations, for a decent set of numbers in a very tough environment.

Sir, a couple of things which I wanted to understand that given the fact that Pizza Hut as a brand is changing, seeing some challenges, are we looking to add more brands to our repertoire? And secondly sir, when I am seeing the percentage of delivery from dine-in, even for KFC it's down to 30s and constantly declining. So is a pure takeaway or a pure cloud kitchen concept is something which you might want to think about for some point of time ?

Vijay Jain: The second question pertains to Pizza Hut or KFC or both?

Ashish Kumar: Both. Pizza Hut is at 26%. So basically, our business is starting to become more and more takeaway business.

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Vijay Jain: Okay, so let me just take it one by one . On multi brand retail strategy , we have always called out that our people , tech, process , investments over the years in a way to handle multiple brands. And while we believe both KFC and Pizza Hut has a multi decade runway, we would love to add a third brand at some point in time. However, the parameters and the benchmarks which you have laid out are quite high so that we don't end up wasting resources and the bandwidth behind the third brand which becomes inconsequential. So, the two key elements are that it has to be scalable or a scale brand which can give us success. So, we are only interested in success at

scale. Anything which is where either of the two stuff is missing, we will not be too keen to adopt that third brand or acquire that third brand. And to identify whether a brand can be successful at scale, we have called out seven specific filters or seven Sapphire mantras. I will not go into the details right now. You can refer annual report, or we can have a separate conversation. And each of those seven parameters are key for us to ensure that we achieve success at scale. So that's the view on the third brand. On your second part to do a takeaway or a cloud kitchen, we have always called out two things. First from a brand or customer propositions and especially this works in case of Pizza Hut. We want to be different compared to the number one brand. I think that the positioning of just a delivery brand is taken by somebody else. If we have to be relevant and relevant number two in the long run, we need to offer a point of view of difference and hence dine-in forward omnichannel strategy I think works best for us in the long run. And while currently we are seeing challenges on the brand, I am sure by having a differentiated positioning it will help us come out stronger or much stronger in the long run. That's first on the customer perspective. Second, from a financial perspective, even if you look at a cloud kitchen or a takeaway, we don't think the economics works clearly because 70% of our CAPEX goes into the back of house which is kitchen. And your delivery takeaway component, let's say is today 50%, profitability in those channels are lower compared to dine-in profitability. So, the economics doesn't work as far as we believe. So, the answer is no. We will continue with our dine-in forward omnichannel strategy on both the brands.

Ashish Kumar: Okay, thanks a lot.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: Hi, thanks for the opportunity. Just wanted to understand if you need to break down, slow down across conversion rates, bill cuts and ticket size, where are you seeing the highest pressure in terms of consumer sentiment?

Sanjay Purohit: Sorry Tejas, I was not able to understand your question because voice broke. Can you just repeat it?

Tejas Shah: Sure. I was asking if we have further

doubled down on the slowdown or consumer sentiment

seeing the max pressure, is it that footfalls have been compromised conversion rates or they are coming and they are not actually consuming more than in terms of ticket size or packs?

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Sanjay Purohit: Footfalls are more than anything else. But APC is all right and dine in footfalls especially have been challenging and delivery, while it's growing, it's not really growing to the extent that it used to also.

Tejas Shah: Got it, okay. Second, if I heard you correctly. I just wanted to know from your comment, do you believe that split franchise ownership structure in India is somewhere limiting our ability to drive with target to interventions to revive SS SG and sentiment?

Sanjay Purohit: So it's not ideal, but that is how it is and we have lived with it for 7-8 years and I think we can still deliver good outcomes even with a structure like this.

Tejas Shah: Those were relatively easier times. That's why I am wondering now when times are challenging in terms of consumer sentiment, of course not only for us, but other basket at large also.

Vijay Jain: To be fair, when we took over the brand, both the brand, I don't think the numbers were easy then if I remember correctly, KFC was low single digit or not low single 7%-8% restaurant

EBITDA, Pizza Hut was still 5%-6%. So even those were tough times. So, I think we have been

able to navigate quite well through the situation and we are confident that even right now we are hopeful of solution and we will be able to navigate through the situation as well.

Sanjay Purohit: And it's all right. We found great joy in this strategy. Someone else might have found little less joy. I think the only way, so fundamentally there is no major misalignment. It is how one wants

to spend money. We believe that this still is the best way to go forward. And as we continue to spend in our exclusive market, this will play out over the next couple of months.

Vijay Jain: Next couple of quarters.

Tejas Shah: Perfect. And if I may squeeze in one more, regarding the...

Moderator: I am going to interrupt you sir, but I may request you to rejoin the question queue for follow up questions.

Tejas Shah: Thanks.

Moderator: Thank you. The next question is from the line of Aditya from JP Morgan. Please go ahead.

Aditya: Hi sir. Thank you for the opportunity. My first question is on the delivery channel for KFC. It

was good to hear that your own channel grew much faster than the 3P aggregators. It would be great if you could highlight what will be the contribution of your own channel to either the

overall revenue of KFC or to the delivery revenue? And as an extension to the last question as

well, how do you think about scaling up the own delivery channel and is there any misalignment

in that strategy versus either Yum! India versus your sister franchise? Thanks.

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Vijay Jain: So, the contribution of our own channel is still small. It's closer to now double digit 10% I would say for KFC and I think that's a similar number for Pizza Hut as well. That's the first part of your question. The second part I was not very clear on the query, you were talking about whether there is any misalignment on the own channel delivery strategy between us and anybody else. That's what you are referring to?

Aditya: Yes. How do you want to scale it up aggressively? How important is this for you?

Vijay Jain: So own channel has always been a very important focus for us over the years. While the results wouldn't have been there because whatever, no matter whatever we do, I think the aggregator channel grew considerably faster compared to us. And during those times our own channel also performed very well. But yes, the aggregator channel performed much better. Especially of course with the kind of money and

the horizontal play sometimes could be a tough one to beat, but it has always been an area of focus. We have been always investing behind the app as well as a lot of product or promotional offers are sometimes unique to our own app. So those measures have always been there previously and will continue to work on the similar means going forward as well.

Aditya: Thanks. My second question is a bookkeeping question. On the depreciation charge. It was lower sequentially and year-on-year this quarter. Is it because of accelerated depreciation because you had some store closures for Pizza Hut and do we expect it to revert to the Q3 run rate in the next quarter?

Vijay Jain: So, the depreciation charge was lower. That charge was lower because we had reversals on some of the, this is now post -Ind-AS accounting could be difficult probably to understand over a call, I will try it. So, when you do a post -Ind-AS accounting, you basically book higher amount during the initial period of lease under depreciation and the finance cost. And if there are store closures or you have taken a provision for store closures, those provision gets reversed. So, what we have seen is benefit of some reversals coming in this particular quarter. So, you are right, we will go back to the earlier quarter trend. You are right, we will go back to the earlier quarter trends.

Aditya: Thanks. That was very clear. I have a few more questions but I will come back in the queue.

Moderator: Thank you. The next question is from the line of Subrata Sarkar from Mount Int ra Finance. Please go ahead. Mr. Subrata, please go ahead.

Subrata Sarkar: Yes, so my question is more so from our industry perspective. Since we have observed that the emergence or development of this industry in other western countries. So, this particularly this western QSR, what is our observation, its consumption generally goes up at what rate to that of a let's say premiumization or increasing the per capita income. So, is there any study like when it moved to let's say \$2500 to \$5000 per capita bracket, what is the elasticity of QSR generally to that of the income?

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Vijay Jain: I will try and answer the question to the best of our understanding. So, \$2,500, when it moves towards \$3,000 per capita income. That's the time when we see exponential growth in the QSR industry. That's what we observed across various economies. And that's one parameter which is on per capita income. On especially in case of KFC, there's another angle which is a protein consumption increase, and we have seen that especially in Asian economies where chicken is a preferred source of protein compared to western economies where beef is more preferred. That's another angle which is a tailwind which actually helps us as the per capita income grows, the protein consumption also grows. And for QSR veg operates in a chicken segment KFC this is another area which helps grow the number of restaurants count and the brands faster. So, these are the two angles which we have seen in the Asian economy especially.

Subrata Sarkar: Okay and sir again your thought on that. Let's say the way we derive this kind of analysis. Is there do you think that the market which used to which we have observed let's say in developing country, that discretionary consumption bucket and right now the discretionary consumption bucket which India will experience is there a change in that like with a QSR like the way it was at that point of time the discretionary consumption out of that QSR used to get a one of the primary consumption was increasing QSR, is it still relevant in today's context sir? I think I am clear with my question?

Vijay Jain: Not too clear. I will still give it a shot. Discretionary income is always a component which we are industry like as dependent on. And as the per capita income goes that's the bucket

of the

consumer which grows faster and that's where we tend to benefit and grow faster along with it.

Subrata Sarkar: Let me reframe my question. Maybe it will help you, what I mean to say like let's say 20 years

back or 25 years back when you let's say 30 years back when you have observed the increase in per capita income and because of that lead to a higher discretionary expenditure and QS R data one of the prime share of that , what my only question is like assumption holds. If the assumption hold good with the increase in per capita income discretionary expenditure will go up. But my only point to underst and from you like the way QS R was relevant in terms as a one of the proponent one of the component of discretionary expenditure does it still hold good in terms of share of discretionary consumption QSR expenditure or there are other expenditure which will now become more relevant in the bucket of discretionary consumption and that's why QS R growth may get hampered.

Sanjay Purohit: I don't think we have done such detailed analysis of one category versus another category. I think in general when we observe the correlation of per capita income and eating out occasions you will find as Vijay was saying that once you go above a certain threshold there is exponential growth that starts to happen. I think we should just leave it at that for the moment.

Vijay Jain: Subrata, maybe we can connect offline again so that we can understand your query better as well.

Subrata Sarkar: Okay sir, no issues.

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Sanjay Purohit: Thank you so much Subrata.

Moderator: Thank you. The next question is from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: Thank you for the opportunity to ask question again. I just wanted to double check that we have generated positive free cash this year, right , if I am not mistaken ?

Vijay Jain: Yes.

Saurabh Kundan: And this should continue I believe because margins, let's say even at a low single SSSG margins you said will be more or less stable and your CAPE X requirements are only coming down because you are adding fewer stores than last year. So free cash generation should continue into the next year at least also , right ?

Vijay Jain: So, the current year we generated so our CAPE X and our EBITDA was largely similar this year.

Again, this was a year where from a financial year perspective we opened 70 stores only for KFC and Pizza Hut was 15 stores only. Apart from that there were a couple of other components. For example, we had a loan which was made to our Sri Lanka subsidiary during tough times when they were facing macroeconomic crisis and there was dollar shortage. So, there was a repayment of that loan which came in that's roughly Rs. 25 odd crore s. We were able to generate huge positive on a working capital cycle as well and that gave us Rs. 30 odd crore s. So, there were a couple of other factors as well. But yes, we don't anticipate our cash flow vis-à-vis EBITDA , to be I would not say neutral next year. But yes, we may have to dip into small amount of our cash reserves.

Saurabh Kundan: Okay, you might have to dip into some cash reserve next year ?

Vijay Jain: Yes, because apart from let's say there could be renewal fees which are coming off as Sapphire Foods, we would be now completing 10 years since our acquisition of the stores. So, there would be a renewal fees which would be coming up for Yum! payment coming here. And apart from new stores there are always agenda on refurb and typically when you try and complete, when you complete 10 years there are a lot of refurb which are on major sites, major refurb other than minor. So, we don't expect the cash flow to be positive coming here. We expect will marginally dip into our resources of cash.

Saurabh Kundan: Okay. May I know about the

Moderator: Sorry to interrupt you sir

r, but I may request you to rejoin the question queue for follow up questions. The next question is from the line of Ashutosh Parashar from Mirabilis. Please go ahead.

Ashutosh Parashar: Yes, hi, thanks for the opportunity. Just a couple of questions. Firstly, on the Sri Lanka now that the SSSG turnaround has sustained over the last few quarters, what do we see in terms of store additions? Do we have the opportunity to accelerate from high single digits to maybe early

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double digits over the next couple of years. So, any outlook on that? And QoQ we saw a bit of moderation in both Pizza Hut India as well as Sri Lanka in the gross margin. So, any comments on that? And secondly on the corporate cost side we have shown a remarkable constraint like last 2 years we have grown only by single digits. So should we expect that victory to continue , those were my two questions . Thanks.

Vijay Jain: I will try and remember all the three questions. So, the first was on the Sri Lanka store additions

which was I think yes, now that it's more stable. Earlier we were looking at a low single digit restaurant addition. I think now we can look at high single digit restaurant addition at least in the coming year, maybe next 2 years as well. That's on the Sri Lanka store addition. On a gross margin perspective, you refer red to both Sri Lanka as well as P izza Hut India. I think our focus on driving va lue and our promotions are also tailored accordingly and that's what has led to the decline in the gross margin for both the brands . Sri Lanka, we have been able to see the joy which has come along with it which is double digit SSSG backed by transaction growth. Hence despite the dip in the gross margins , we were able to deliver a 250 basis points improvement in restaurant EBITDA. Unfortunately, while gross margins dropped in India for Pizza Hut we were not able to see SSSG and that has led to a deterioration in our restaurant EBITDA . We believe the current level of gross margins are stable level and we don't anticipate this either going upward or going downward materially. There was a third question which was I guess that I missed out third one .

Ashutosh Parashar: On the corporate cost side.

Vijay Jain: Yes, the corporate cost was single digits. Typically, the kind of thumb rule which we use is can the corporate cost grow at a two -third to three -fourth of the overall revenue growth. Our revenue growth last year was at a consol level 13 %-14%. And yes a single digit growth was a good outcome . I would say if the brand and we don't target to grow revenue at low single digit or low double digit. We typically target whether revenue can grow towards 15 %-20% and typical target would be then to grow , the corporate cost would grow at double digit. Let's hope this year we don't see a situation where the revenue grows in low single digit or low double digit.

Ashutosh Parashar: Got it. If I may a follow up on the value offerings. So, on the Pizza Hut it is very evident that the gross margins --

Moderator: Sorry to interrupt. I may request you to rejoin the question queue for follow up question. Thank you. The next question is from the line of Aditya from JP Morgan. Please go ahead.

Aditya: Hi. Thanks again for the opportunity. My question is on any regional or state wise, city wise divergence you are s eeing in terms of SSS G and in the coming financial year , do you expect to shift your store expansion in any meaningful way in terms of city tiers or regions or states versus say what you did in FY25? Thanks.

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Vijay Jain: So, we are not seeing too much variance between various cities and state in terms of the SSSG performance. Yes, in case of Pizza Hut we are investing as Tamil Nadu is an exclusive territory, we said we will invest there heavily and through a mass media

campaign as well there. And it's

very initial days we are seeing slightly differential performance in terms of SS SG for our Tamil Nadu territory. But again, as I said initial days . On coming to store expansion, 70% of our stores which we added even in the last 2 years are in Metro and Tier I cities. I think that ratio and mix will continue even going forward at least for the next 2 years.

Aditya : Thank you.

Moderator: Thank you. We will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Sanjay Purohit: There's one person we can take that one question.

Moderator: So, the next question is from the line of Ashutosh Par ashar from Mirabil is. Please go ahead.

Ashutosh Parashar: Thanks for the follow up. Just a question on the value offering. So, while the impact on gross margin of the value offering is visible in Pizza Hut, the same is not there in the KFC . We have held up the gross margins there pretty well. So, any comments on that?

Vijay Jain: Actually , when you look at QoQ there we would have dropped very small amount of gross margin over there in case of KFC . Also, there are always an opportunity where on few product compositions or can we do some tweaking so that we can hold on to gross margin. So, some of the value offering impact has been negated by small tweaks here and there in terms of our product composition. But there is certainly a drop even in KFC when you compare Q4FY25 versus Q3 FY25 .

Ashutosh Parashar: Got it. Thanks a lot for the follow up. Thanks.

Vijay Jain: Thank you.

Moderator: Thank you very much. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sanjay Purohit: Thank you everybody for joining our conference and being patient with your question. We will see you in three months' time to announce our 1st Quarter Results . So, thank you very much.

Moderator: Thank you. O n behalf of Sapphire Foods , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

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CIN: L55204MH2009PLC197005
Date: 30th July 2025

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q1 FY26
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Wednesday, 23rd July 2025, in relation to the financial results of the Company for the quarter ended 30th June 2025.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2025-26 Quarterly 1 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited Q1FY 26 Earnings
Conference Call”

July 23, 2025

M
MANAGEMENT : MR. SANJAY PUROHIT – WHOLE -TIME DIRECTOR &
GROUP CHIEF EXECUTIVE OFFICER , SAPPHIRE FOODS
INDIA LIMITED

MR. VIJAY JAIN – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER , SAPPHIRE FOODS INDIA LIMITED
MR. KAUSHIK VANKADKAR –HEAD, INVESTOR
RELATIONS – SAPPHIRE FOODS INDIA LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Sapphire Foods India Limited Conference Call .

As a reminder all participant s' line will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Sanjay Purohit. Thank you and over to you sir.

Sanjay Purohit : Thank you everybody. Welcome to the Sapphire Foods Q1FY26 Financial highlights presentation. I am joined by Vijay Jain; our Executive Director and CFO. As always, the two of us will play a tag team and take you through our results for Q 1FY26 .

Let me just jump in straightaway; we delivered a revenue of Rs. 7 75 crores which was 8% growth over last year. In this quarter we added 8 KFC restaurants , 2 Pizza Hut in India and 1 Pizza Hut in Sri Lanka. Our total restaurant count is 974 at the end of the June quarter.

Our consolidated restaurant EBITDA declined by 13% year -on-year, margin was 12.2% which is 290 basis points down. Our adjusted EBITDA was Rs. 55 crores. It declined 22% year -on-year and adjusted EBITDA margin was 7.1%. Our consolidated EBITDA post -IndAS was Rs. 113 crores or 14.6% and this declined 9% year -on-year, 270 basis points below last year. Our consolidated PAT was (2) crores or (0.2%) and our consolidated adjusted PAT was positive at 6 crores or 0.7%.

Let me dive into the KFC brand priorities ; this is on Page # 20. We drive six priorities on the KFC brand :

One is to increase penetration and therefore increase the consumer base for KFC and drive frequency. We want to be known for craveable taste. Value is an important component of strategy. Operationally, how do we deliver a frictionless customer experience and operational excellence whether it is customer service in the store or through the aggregators and finally how do we improve accessibility. This quarter KFC had SSSG which was flat over last year.

However, transaction growth was positive, which is encour aging, and transaction growth was positive because gross margin also was negative.

We invested behind the Epic Savers campaign. This Epic Savers campaign of abundant value for 9 for 299 has given us positive transaction growth. The results on SSSG are still yet to come.

Apart from that we launched the gold premium range of Zinger Burger and Chicken Strips. Our kiosks are now implemented in 259 stores. There are some pictures of the new restaurants that we have launched. For the channel wise mix and other financial numbers, I will hand it over to Vijay now.

Vijay Jain : I am on Slide # 24. It gives channel wise mix :

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The dine-in and takeaway came at 57% and delivery at 43%. Delivery mix w hile it was similar to the previous quarter, but if you look at year -on-year, there is a 300 basis points increase in delivery mix. The SSSG was flat, however, the same store transaction growth, SSTG was positive low single digit, which was very encouraging.

Overall , revenue grew by 11% and gross margin dropped by 90 bps. This was result of the investment which we did behind the various value offers and promotions. From an inflation point of view, while there was some inflation, we were largely able to neutralize th ose inflation with the cost saving initiatives. The entire impact on gross margin you see is because of the investment behind the value campaign and the value offers. The drop on gross margin along with the higher delivery mix and operational delever age because of the flat SSSG meant that restaurant EBITDA came at 15.7%.

Slide # 27, which gives you a 4-year annual view and 5 quarter trend. We continue to inve

st

behind our strategy of value campaign and we are confident that this would help us drive transactions and ultimately the SSSG.

Sanjay Purohit: Let us go to Pizza Hut ; the Pizza Hut, I am talking about Slide # 29. We hav e given a clear path on revival of the brand, which apart from driving taste superiority, also had a component of investing significantly higher amounts of marketing monies behind mass media advertising to drive consumer awareness and consideration. From a number's perspective, Pizza Hut had a

(5%) overall revenue growth and a (8%) SSSG.

Let me try and give you some details of what happened during the quarter :

First, we launched the Juicylicious Pizza range in April '25. This has received really positive feedback from consumers who have tried it. However, the Juicylicious Pizza campaign was

supported by mass media differently in Tamil Nadu, which is an exclusive Sapphire state and the rest of the market. In the rest of the country, including the common markets of Sapphire, we supported it largely through below -the-line advertising, which means that proximity advertising in malls or in hoardings around our stores. We know that that is suboptimal. In Tamil Nadu, however, we supported it with mass media advertising. There is a YouTube link that we have provided on our presentation that will enable you to see the ad vertisement .

So, Yum! and Sapphire put money behind creating consumer awareness. There, the brand did well. In fact, there is a double-digit SSSG difference between Tamil Nadu and the rest of our market. In Tamil Nadu, we delivered low positive single-digit SSSG when compared to last year. If you remember, we had got a 17% sequential uplift from Jan -Feb-March 2024 to April -May - June. On top of that April -May -June 2024, Tamil Nadu delivered a low single-digit positive SSSG. It gives us confidence that this is the strategy to revive the brand, which really is a replica , and I have said this many times , of the successful strategy that we run in Sri Lanka, where omnichannel, great product, great value, and strong advertising enables the customer to choose us versus other pizza brands. A quick look at the numbers.

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Vijay Jain: I am on Slide # 35, channel -wise mix :

That has largely remained steady quarter -on-quarter as well as when you compare to last year, it has remained steady. 50% has been contributed by delivery and the balance 50% through dine - in and takeaway. SSSG was (8%) and overall brand de grew by 6%. Gross margin dropped by 150 basis points compared to last year. And here again, a huge amount of investment behind the value offers, promotions and campaigns and very small or marginal impact on account of inflation. The gross margin drop combined w ith the nega tive impact of the SSSG or the operating deleverage meant that restaurant EBITDA came down to (2.5%). And as Sanjay called out previously that if we exclude the factor of additional marketing investments, which has gone into the brand, this is over and above the agreement with Yum! , the brand is actually at a break - even level.

Slide # 38, this gives you a 4 year and five -quarter trend. We continue to work with Yum! so that we can replicate the Tamil Nadu and Lanka strategy across all our markets.

Sanjay Purohit: On Sri Lan ka; Sri Lanka continued to show robust double -digit SSSG and SSTG. In fact, SSSG came in at 12% and system growth was 15%. We have 126 stores in Sri Lanka. Now, 12% SSSG typically would have translated into a positive operating leverage. However, we faced very steep employee cost inflation because of a change of minim um wages. There were two changes that happened, one in September, October of last year and one in May, but which was retrospective in effect from 1

st of April. And bot h these had a sharp impact on our restaurant EBITDA, which was 30 basis points higher than last yea

r.

Vijay Jain: Slide # 42, the channel -wise mix again for Sri Lanka business has largely remained steady. Din e- in and take -away at 61% and delivery at 39%. SSSG of 12% alongside the double -digit transaction growth and same store transaction growth, I am calling about. From our revenue, 15% growth in LKR terms and 19% growth in Indian rupee terms , gross margin was higher by 30 basis points over last year. Overall restaurant EBITDA came in at 12.7%. And as Sanjay called out, we couldn't really see the margin expansion because the benefit of SSSG was largely offset by the increase in minimum wages with effect from 1

st of April. Slide # 46 again gives you

the 4-year trend and five quarter trend. The business continues to deliver robust performance and we expect to mitigate this minimum wage impact , starting Q2FY26 onwards we have taken a price increase of 3 %-5% in Sri Lanka and we expect at least Q 2FY26 we should be able to deliver slightly better improvement over margins Q oQ at least.

Sanjay Purohit: Finally, on sustainability, it is part of our everyday existence. We are really happy to announce that our KFC Raiy ya store in Punjab received an Indian Green Buildings Council Platinum

Award. This is the first QSR restaurant in India to receive this award and the first KFC restaurant globally also to receive this award. So, we are quite proud of this. And with this, we conclude our commentary. We will open it up now for questions.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

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Tejas Shah : Hi, thanks for the opportunity. So, the first question pertains to KFC. What is driving this disconnect between improving ADS but contracting margins?

Sanjay Purohit: The improving ADS that we see in Q1FY26 versus Q4FY25 is a natural seasonal uplift that we see. The contracting margins when you see 0% SSSG and now if I just look back on 3 years SSSG, 3 years ago it was 0% in Q1FY26. This is I am talking about FY23-24, '24-25 it was negative and now 0%. So, it is really operating deleverage coming into play Tejas.

Vijay Jain: Tejas, additionally I am sure you are referring to Q4FY25 versus Q1FY26 comparison where we have delivered higher ADS in a similar restaurant EBITDA. The biggest impact which you see in Q4FY25 versus Q1FY26 is the gross margin. We would have invested almost 100 basis points to enable us to drive transactions. So, that is the single biggest factor. There would be additional factors typically in Q1 you do wage revisions; there is a salary increment which comes in. So, those are additional costs which comes in. There is also marginally higher marketing which we would have done in KFC also for this quarter while we continue to invest behind the brand within the overall agreement range. But during the quarter we have chosen to invest slightly higher. It will get balanced out during the year. So, these are the three reasons.

Sanjay Purohit: And generally, April, May, June from a utility's perspective etc. also versus Jan-Feb-March we will see because of summer an increase in cost. So, Q4FY25 versus Q1FY26 is strictly not comparable.

Tejas Shah: No, I was just looking at 3Q also when we were at around similar number 1,15,000 and we had 18.2 obviously mixed because it is a festive season perhaps the mix changes. But in fact, not very much long back Sanjay on the call you had guided us that SSSG has a lesser forecasting significance in current environment than ADS on margins. So, I was just curious that is it true for the industry that the cost of ADS or cost of SSSG has gone up now. So, what we saw let us say 2 years back that a certain SSSG or certain ADS was delivering certain margins the cost of that ADS has gone up materially.

Sanjay Puro

hit: So, actually we were guiding that on Pizza Hut not so much on KFC. So, there is SSSG finally is important and when you see SSSG in consonance with ADS improvement that is the time when, so both are important Tejas in a sense.

Tejas Shah: That is clear. Second pertaining to Pizza Hut. So, you clearly mentioned that intervention that we have done in Tamil Nadu is definitely benefitting the brand and improving performance also. So, what is preventing a pan India rollout if we are seeing benefit at least I am saying parent and then you are seeing benefit of this. So, what is the hurdle there?

Sanjay Purohit: So, I think eventually it will happen, I am confident of this. Right now, it is a factor of our estate being very different. When you have an estate which is dine-in forward omni channel, consumers come to the store see the difference, a diverting also drives consumers to the store and it gives a positive rub off. Like I have said it is not out of thin air that we believe this can work because

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this is our Sri Lanka template. I am quite confident that over a period of time we should be able to get this to work in the rest of the country also.

Tejas Shah: Okay. And then lastly on competitive environment if you can comment has it improved or still remains the same?

Moderator: Sorry to interrupt. May we request you to please come back for the follow up question as there are several participants waiting.

Sanjay Purohit: I have heard this. Tejas has got his question in. So, I will just answer it. So, from a competitive environment I do not think anything has materially changed Tejas. So, there is nothing that has materially changed not over the quarter I would say over the year also.

Tejas Shah: Thanks, and all the best.

Sanjay Purohit: Thank you.

Moderator: Thank you. The next question is from Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, sir. We are seeing as you also highlighted that you know despite very low basis, we are still struggling to even touch mid-single digit SSSGs. So, if you can break this problem into two parts, one is the overall macro factor that is impacting this and the other would be you know any other thing that you can highlight that is halting the growth even on a low base.

Sanjay Purohit: Yes. So, the macro factor is undoubtedly present as we can see in the results that almost every consumer company has. So, however it is impossible for any of us to predict when these macro conditions will change. So, you have heard us say repeatedly, we are trying to do everything possible within these macroeconomic conditions to change our trajectory. I am quite confident on KFC that we should be able to start changing this soon. What are we focusing on? We are focusing on really at a consumer level there are two consumers. We believe that the biggest

opportunity for KFC is increasing the consuming base for KFC. The ability to do that will be to focus on our core product and on value. We have seen one expression of value which is the 9 for 299. You will see a lot more of these expressions coming in in the future. We also need to have advertising that appeals to that first time user of KFC. So, that will also happen shortly.

And further to drive greater frequency of consumption we have got innovation like the Gold Zinger Burger. We have got during summer we have launched a new range of drinks. Our late-night delivery is quite strong now. We have got a very initial pilot for breakfast and coffee. So, we look at consumers from two lenses increase frequency, increase penetration. I think it takes time to turn around inertia from a flat SSSG to positive SSSG. But once it turns around, I am quite confident that this will give us good results. Apart from everything else that we are doing from an operational perspective ,

we continue to lead in terms of our operational metrics whether it is at a customer satisfaction level, our ratings etc. So, we are quite happy on how we are
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executing on store. The consumer part we have to get right, and it is taking time. But we are going to double down and get execution right more than anything else.

Gaurav Jogani: Thank you for the detailed answers. My second and last question is with regards to the overall margins across the three formats. Sir, overall, the margins across the three formats given the constraints that you are operating into at least we can say at the current levels the margins are bottomed out at least if not accelerating. But at least they would have bottomed out at current levels?

Vijay Jain: They would have bottomed out except for let us say the seasonal impacts. So, typically for example Quarter 2 for KFC is lower than Quarter 1 in terms of the various vegetarian days which the Quarter 2 encounters , Quarter 3 can be again higher. So, I would say at these SSSG levels which is a flat SSSG levels there should only be now seasonal impacts which should play out and any improvement in SSSG should probably help us get margins back.

Sanjay Purohit: And I am just tying this back to the question that Tejas asked. So, it is a combination of SSSG and ADS. Typically Quarter 2 shows a lower ADS and that impacts profitability. So, whatever is the SSSG if the absolute ADS levels are lower so that will have an impact. So, it is a combination of SSSG and ADS that impacts final restaurant margins.

Gaurav Jogani: Yes. So, my question was more on the annual and not on the quarter basis but more on the annual basis .

Sanjay Purohit: I think there is no point in giving longer term guidance.

Gaurav Jogani: Sure sir. Thank you, sir. That's all.

Moderator: Thank you. The next question is from Saurabh Kundan: from company Goldman Sachs. Please go ahead.

Saurabh Kundan: Thank you. My question is also around the margins. Vijay, you just mentioned that you have done slightly higher marketing spends in KFC. So, when you said that at flat SSSG, only the seasonal quarterly changes in margins will be seen. Are you adjusting for that ad spend? Because usually 1Q has a much higher margin than what you reported.

Vijay Jain: So, when I called out the overall impacts from Q4 to Q1 and this is what I was answering Tejas ' question, there I was just trying to give a bridge in terms of gross margin impacts which was the bigger one, delivery mix impact which is a smaller one, the utility cost and there was a marginal impact of marketing. I would not call it a material to say that I need to adjust for the future margins. I would not call it that way.

Saurabh Kundan: Okay. So, the 67 % odd gross margin that we have now, is it the baseline now or like Sanjay just mentioned that we are seeing just the starting of value initiatives. We will see more in such expression. Does that mean that we could --

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Vijay Jain: I would not want to go to the baseline. I would say that whatever is required to now get the transactions and SSSG going, we are prepared to do that. So, this entire Epic Saver campaign which we ran starting May onwards is already part of the impact we are seeing in Q1. But it may not be full impact. The positive part is we have seen transaction growth for the first time, SSTG for the first time after I would say 12 consecutive quarters. Hence, I think we would be a bit more flexible on those gross margin numbers if it can eventually result into a higher transaction growth and higher SSSG. So, I would not tie down my strategy that I do not want to move away from this baseline number. We would be flexible and we will take a call as we move forward.

Saurabh Kundan: Got it. Interesting. Last question on Pizza H

ut. You have shown that marketing does change the performance a little bit, quite a lot actually. You have mentioned double digit difference is there. So, if you can share with us then what is the future of this format pan -India then? I mean, when would Yum! take a call on how to go forward on the brand overall in India?

Vijay Jain: So again, when you say future of the format, this is the format which Sapphire now runs across all its market. I think the complication is that there is an overlap of the territory between us and the other franchisee. The other franchisee operates a delivery format in our territory. So, that creates confusion in terms of how do we go about the strategy. Having said that, it is nothing new. For last 7 years of Sapphire existence, this problem existed and we were able to navigate through it. It's only that the other franchisee have not seen the same kind of results the way we have seen and hence this slight difference of opinion which we were experiencing over last two quarters. But now that we have again seen a positive result in the way we have gone about it, I am sure it's only a matter of quarter or two before all the three parties are on the same page and we can execute uniformly pan India.

Saurabh Kundan: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi. Thanks for the opportunity. Sir, there is a growth divergence between channels for us, right? So, for KF C specifically, dine-in growth is 5%, delivery is doing well at around 20% odd. So, we have been trying to improve this growth with, as you mentioned, Tasty Epic campaign where these are dine-in specific campaigns that we are doing. But that has so far not led to improvement in dine-in growth. So, I wanted to better understand the reason behind slower growth for this channel specifically. And a follow-up to this is you have also mentioned that the delivery mix increase has some impact on your margins as well. So, do you foresee a structural margin reset as well because of higher delivery?

Vijay Jain: Devanshu, while I am not clear about the numbers you quoted on the dine-in and the delivery, how you arrived at those numbers. Having said that, I have understood your question in principle that your dine-in is still not performing to the level your delivery is and that's a fair comment. The Epic Saver and the promotions and those campaigns definitely has helped us reduce the gap between the dine-in performance and delivery performance. That's for certain and sure. But not
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to the extent we would have liked it. And that's also reflected in the overall SSSG been flat. And that's the end effort that will continue to go down this route of investing behind the brand in form of value offers and campaigns. Even in the next quarter, you will see us double down on these value offers. Right now, 9 for 299 you are seeing. May be in H2, you will see even more campaign on some 100 rupees as well. So, the plans are there in place through which we believe we can get back dine-in and take away. And at the same time, the delivery can grow at its own pace. The second part of the question which was, is there a structural shift you are seeing and the delivery mix has increased? The delivery mix has increased compared to the last year quarter 1. But if you look at the quarter 4 of last year and current quarter, the delivery mix has largely remained stable. So again, if I want to predict the rest of the year, we would say that it should largely be range bound in terms of the delivery mix.

Devanshu Bansal: Understood. So, Vijay, I was trying to understand and then say in FY23, when your margins or even in FY24, when your margins were 19% to 20% in KFC and that was at a certain delivery mix of 36 % to 38%. So, at current level

of delivery mix, so does that imply that we may structurally be lower at 40 % to 43% delivery mix that we may not be able to do that kind of a margin? So, that was the broader question.

Vijay Jain: Understood. So, if you are trying to compare with 23- 24 or prior to that the 37- 38 going to 43 and 5% impact would roughly impact my overall profitability by 80 bps. So, that is the structural impact. So, a 20 can be read as till 19 -19.5. But coming down to 15.7 is a function of the SSSG not coming through rather than a structural shift on delivery. So, that's the only clarification. Delivery certainly will impact but the structural impact is 75 -80 bps only.

Devanshu Bansal: Okay, very clear Vijay. Second question that I wanted to understand, for Sri Lanka, the LKR growth is 15% and INR growth is about 19%. So, can we expect this 4% to 5% currency benefits to accrue for full year FY26 as well? And allied to this is on margins as well. So, you have indicated there is some minimum wage hike but you have taken some price hike as well. So, what is the level of margins that we can sort of look for Sri Lanka business in FY26?

Vijay Jain: So, on the first part of your question on how the FOREX will play out, I would not comment on that because there are a lot of factors which goes into how a FOREX would perform for the rest of the year. At least the past one year shows that the foreign currency has been quite steady and hence we do not foresee any reason why it should be playing out any differently for the rest of the year. But I would avoid commenting in specific. Coming to the second part of the question in terms of margin, I think we would like to deliver an improvement in margin over last year.

So, Sri Lanka delivered an X amount last year. We would love to have few basis points improvement at least over that last year's margin. Which did not happen in Q1 because of the wage impact, but because of the price increase and other mitigation, I think we should still be able to deliver some margin improvement for the rest of the year.

Devanshu Bansal: Okay, this is for the rest of the year, but okay. Got it Vijay, yes. Thanks.

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Sanjay Purohit: Good. Thank you so much. Thank you everybody for joining the conference. We do not have any more questions. Do we close the conference now?

Moderator: Okay . As there are no further questions, I handover the conference to Mr. Sanjay Purohit for closing comments.

Sanjay Purohit: Thank you so much everybody for joining the Q1 FY26 Financial Highlights Presentation . We will see you in another three months for our Q2 FY26 and First Half Results Presentation . Have a good rest of the day. Bye.

Moderator: On behalf of Sapphire Foods India Limited Conference Call, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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Date: 27th October 2025

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q2 FY26
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Friday, 17th October 2025, in relation to the financial results of the Company for the quarter and half year ended 30th September 2025.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2025-26 Quarter 2 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited Q2FY26 Earnings
Conference Call”

October 17, 2025

M
MANAGEMENT : MR. SANJAY PUROHIT – WHOLE -TIME DIRECTOR &
GROUP CHIEF EXECUTIVE OFFICER , SAPPHIRE FOODS
INDIA LIMITED

MR. VIJAY JAIN – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER , SAPPHIRE FOODS INDIA LIMITED
MR. KAUSHIK VANKADKAR – HEAD OF INVESTOR
RELATIONS , SAPPHIRE FOODS INDIA LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Sapphire Foods India Limited Q2 FY26 Earnings Call .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Purohit . Thank you and over to you sir.

Sanjay Purohit: Good afternoon, everybody. Welcome to the Q2 FY26 Financial Performance Presentation .

Our quarter has been a reasonable quarter for us and the reason why I say reasonable is one, KFC revenue grew by 7%. But if I exclude the impact of Navratri, Navratri was entirely in this quarter this year, whereas last year, it was in Quarter 3 . And therefore, if on a like for like basis, actually we would have grown double digit even in this quarter.

Pizza Hut revenue declined by 6%. However, importantly in Tamil Nadu, which is a Sapphire exclusive territory, we grew double digit revenue. I think it just proves the Pizza Hut , Sapphire strategy and offers a clear hypothesis for why this brand can grow or why and how this brand can grow. Finally, Sri Lanka grew handsomely by 18% in LKR terms, owing to the continued investment that we did in brand innovation, marketing value, really the tenets of the strategy we would like to execute in India and we retained the #1 QSR position in the country. We delivered a revenue of 740 crores, overall growth of 7% year -on-year . SSSG trends for both KFC and Pizza Hut this quarter remain similar as previous quarter, except as I said, the impact of KFC due to the shift of Navratri days from Quarter 3 to Quarter 2 . In Quarter 2 , we added 19 KFC restaurants, 2 Pizza Huts in India, 1 Pizza Hut and 1 Taco Bell in Sri Lanka. Our total restaurant count of 997 as on 30

th September and with immense pride, we inaugurated the 1000th Sapphire restaurant yesterday at Gum midipoondi in Tamil Nadu and this is a KFC restaurant. Our consolidated restaurant EBITDA declined by 12% year -on-year . Margin was 11.3%, down 240 basis points. Adjusted EBITDA was 45 crores, declined 24% year -on-year . This also has the Navratri impact and excluding Navratri, our performance on adjusted EBITDA was better, negative over last year, but still better from a trend perspective versus Quarter 1 . Our adjusted EBITDA margin was 6.1%. Consol EBITDA at 106.2 crores or 14.3%, declined 8% year-on-year or 230 basis points. Consolidated PAT was loss at 12.8 crores, (1.7%) and adjusted PAT, however, was (3.6) crores or (0.5%).

Let us now look at the KFC highlights :

I want to take you through to page # 20. Our KFC brand priorities are fairly consistent. We want to drive penetration and frequency for the KFC brand. This quarter, our major marketing spends were behind the 'Taste the Epic ' campaign to popularize our core buckets. We offered 9 pieces for INR 299. The promotion and the value campaign did offer some green shoots from a Sapphire Foods India Limited

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transaction perspective. While KFC was (3%) SSSG for the quarter, up to Navratri we were flat on SSSG, but positive on transaction. Therefore, we have extended this campaign to Quarter 3 also but included our 3 hero innovation products of Chizza, Double Down and the Gold Burger. Much of our advertising on value was behind 9 for 299. We rolled out digital kiosks across 50% of our estate and our own delivery through the KFC app continues to be the best performing channel. Our current pace of expansion should be in the region of 60 to 80 stores a year. From an operational excellence perspective, we are now above 4 rating across Swiggy, Zomato and Goo

gle.

I will hand it over to Vijay for the financial numbers.

Vijay Jain: I am on Slide # 25, which gives channel wise contribution. Dine -in and takeaway for the quarter came at 55% , delivery at 45%. This delivery improved by 300 bps over last year. One of the key reasons was the way our own channel through our own app has performed. It has actually grown very healthy over the last 2 quarters or so. So that's one of the reasons as well. In terms of SSSG, it was flat ex -Navratri backed by low single digit in terms of SSTG, same store transaction growth. Overall revenue grew by 10% ex-Navratri for the brand. And we had 19 store additions

during the quarter.

Gross margin while it dropped 110 bps vis-a-vis last year. This is in similar line as Quarter 1. The reason we dropped on gross margin vis-a-vis last year was as mentioned previously as well, that we continue to invest behind the value offers, namely the 'Epic Saver' campaign. The restaurant EBITDA came at 13.8%, which was impacted by the negative SSSG on account of that Navratri impact, the higher delivery mix and lower gross margin.

Slide # 28 shows four year and five quarter trend. We continue to build on the transaction gains which we had in Quarter 1. And thereby we have further bolstered our 'Epic Saver' campaign in Quarter 3, as Sanjay mentioned by adding 3 more hero products. And we are confident that in Quarter 3, we should be able to deliver slightly better on the SSSG terms.

Sanjay Purohit: Let us look at Pizza Hut. I will take you to Slide # 30. While the brand declined revenue by 6%, our Tamil Nadu results prove that the Sapphire dine-in forward omni-channel customer promise with sustained investment in innovation and mass media can definitely revive the Pizza Hut brand. Apart from all the work that we do at the operational end, our innovation pipeline continued to be strong. You will remember we launched the Juicylicious range in Quarter 1 and Quarter 2. And in this quarter, in October, we have launched the Ultimate Cheese Pizza and the Cheesy Pocket, which emphasizes or which looks at satisfying the customer need for additional cheese. It's a great product and I invite all of you all to try it. We have also launched the Cold Coffee range and it's in about 80% of our stores now.

Apart from innovation, we also focused on dine-in value. And you will see in Pizza Hut, our dine-in contribution actually improved versus last year. Exclusive value offerings like Buy 1 Get 3, 4 course meals starting @99 and Unlimited Pizz a Fridays helped ensure that dine-in SSSG was better than delivery. And finally, in Tamil Nadu, both Sapphire and Yum! continue to invest

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in mass media advertising. And we saw a mid-teens delta in performance between compared to the rest of the country, both SSSG as well as SG.

On the next page, you can see the Ultimate Cheese product is being marketed as flip to the cheese. So, eat it 'ulta' starting from the crust, very interesting product. And then the Cold Coffee Cheesy Pockets, Juicylicious. On Slide # 33, you will see a picture of food truck that we have just launched in Mumbai also to take care of congregation points that have started well and we will see how to scale it up later. Over to Vijay for the numbers.

Vijay Jain: Slide # 35 gives channel wise contribution on Pizza Hut. Dine-in and takeaway versus delivery mix came at 50-50. As you can see, the dine-in plus takeaway mix improved the several promotions which Sanjay spoke about actually helped us gain dine-in share vis-à-vis delivery. Overall, Pizza Hut had negative SSSG and brand declined by 6%. While Tamil Nadu Sapphire exclusive territory had mid-teens delta in performance. Gross margin came at 74.4%, which is similar to Quarter 1. And as the case was in KFC, here too, we continue to invest significantly behind the

value offers to try and drive the transactions. Whether it is Juicylicious, Unlimited Pizza Friday, Buy 1 Get 3, these are some of the examples on which we had investment through gross margins. Restaurant EBITDA came at 1.8%. If I exclude the additional marketing investments, which is over and above the Yum! agreements, the brand is at a breakeven level. Slide # 38 gives 4-year and 5-quarter trend. And as mentioned by Sanjay, we have got the recipe to unlock the potential of the brand as proven and reflected in Tamil Nadu performance. We are sure that we should be able to replicate this model sometime in the near future, pan-India.

Sanjay Purohit: Let us now look at the Sri Lanka business, which again, if I were to remind you, is what is replicated in TN and clearly works. Our business has grown their double-digit SSSG and SSTG. 2 years ago, after the country went through a very significant economic crisis, at that point in time, we remained calm, we continued to invest in our people and in offering value to consumers. We are seeing the benefits of that coming back and reflecting in our growth on both same-store sales growth as well as system revenue. And because we have largely mitigated the Quarter 1 impact of the employee minimum wage increase, our restaurant EBITDA also has come quite strong. And Vijay will take us through the numbers.

Vijay Jain: Slide # 43, channel-wise has remained steady in Sri Lanka year-on-year. The SSSG came at 14% in LKR terms and while overall revenue grew at 18% in LKR terms. When converted to Indian rupees, the revenue grew at 23%. The gross margin improved by 220 bps year-on-year on account of a couple of things. First, we took a 4%-5% price increase in Quarter 2. Also, there was some reduction in our promotional offers which helped us improve our margins by 220 bps. Restaurant EBITDA came in at 15.4% and if you guys would remember, Quarter 1 it was 12.7% and it was impacted by—as Sanjay mentioned—the minimum wage increase which came in somewhere in May but retrospectively from April, which we were not able to mitigate during the previous quarter but we were confident that we should be able to mitigate and that is reflected in our performance which came at really healthy number at 15.4% for restaurant EBITDA.

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The Slide # 44 is 4 year and 5-quarter trend. Sri Lanka is now delivering consistently and delivering strong performance. This is the same dine-in forward omni -channel format we are now trying to replicate in India, the hypothesis of which has already been now proven in Tamil Nadu. Hopefully, we should be able to replicate this across other states as well for Pizza Hut India.

Sanjay Purohit: So that is it from us. I just want to repeat our messages. We think it was a reasonable quarter. KFC growing at double -digit excluding Navratr i. There is a clear way forward for the Pizza Hut brand basis our experience in Tamil Nadu and Sri Lanka and Sri Lanka after a really big blow to the business 2 years ago , has recovered and recovered really fast and continues to be the #1 QSR brand in the country. Along with all the work that we are doing, the macro trends also seem positive. GST reduction should put further money into consumer wallets as indeed has the income tax reduction. So, we are hoping that as we get into the Quarter 3 and into calendar year 2026, we should see consumer sentiment improving. I will now hand it over to you all for questions.

Moderator: Thank you very much. We will now begin the question-and -answer session. Anyone who wishes to ask a question may press '*' and '1' on their touchtone telephone, if you wish to remove yourself from the question queue you may press '*' and '2' . Participants are requested to use handsets while asking a question. In order to ensure that the management will be able to address

question from all the participants in the conference, kindly limit your questions to 2, per participant. Should you have a follow up question, please rejoin the queue. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Avi Mehta from Macquarie Capital. Please go ahead.

Avi Mehta: Hi Sir, I have 3 questions and with your permission, I will just put them out up front. First, your comment on Q3, any signs of recovery as the festivities kick in? And would love your thoughts on whether you believe how we did in Sri Lanka. So, something like that, levers are in place to be able to at worst maintain margins at current levels, even if demand environment takes time to recover. So that was my first question. And should I put all the questions up front , how would you prefer?

Sanjay Purohit: Yes, up front.

Avi Mehta: Okay. The second part, sir, I wanted to understand is now we have seen 2 quarters of stronger performance in Tamil Nadu market, you know, given and it is clearly the proof is out there. I would just like to know what is the process and your thoughts on the timelines for this to flow through to other markets. And the last bit was, just wanted to understand, this resignation that has come in a nominee director of TR Capital, what triggered it would be useful ? That is all from my side. Thank you.

Sanjay Purohit: Very well. So let me just take it from the back. The resignation, Mr. Rohit Mutthoo has left TR Capital and therefore, being a nominee director backed by TR Capital; therefore, he has to move
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out of the board of Sapphire Foods also. So, he has resigned from TR Capital. And therefore, he has to resign from all his obligations that he used to fulfill for TR Capital.

Vijay Jain: TR Capital is one of the shareholders in Sapphire Mauritius, which is our promoter entity. So, it has happened in a regular course and ordinary course.

Sanjay Purohit: So that is one. In Q3 , we are seeing signs of recovery and really it is 16 -17 days. And we are overlapping Navratr i. So, the numbers look very good at this moment , Avi . But I will just let a little more time go. Perhaps at the end of November, we could say that things have started to improve. The Sri Lanka and TN case is the same. You are right, there is a clear case on how we could grow the Pizza Hut brand. And I think we have ongoing discussions with all relevant parties on how we could take this. It does call for additional investments. There is no doubt about that. So, apart from the additional investments, I must say that we are aligned on all other aspects of the brand journey. However, if we are not going to spend on building awareness and so if we are not going to spend money on that, then all our innovation, all the work that we do on value, perhaps becomes blind to consumers. So, I think those are ongoing discussions. It might take another couple of quarters for us to align.

Avi Mehta: And on the margin front, what the Sri Lanka example meant margins because Sri Lanka, this minimum wage increase, you were able to effectively manage it. Do you think a similar situation is true for India that even if say, worst case demand does not or takes time to recover, we would still should be at least at this margin across the brands? Is that a fair statement to make?

Sanjay Purohit: So, from a KFC perspective, now we have got nearly 2.5 years of flat or negative SSSG. So

therefore, margins undoubtedly are impacted. If you see Quarter 1 was in the region of 15.5%, give or take a bit, Quarter 2 is lower because of lower level of sale. Quarter 3, we should recover that drop of Quarter 2. But I think margins will remain in this region which is lower than last year. So, what we require now is SSSG to come back to start increasing from these levels

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onwards. From the Pizza Hut perspective, it is again ADS has to improve. Once ADS improves, that is the way that margins will also start to improve.

Avi Mehta: Thanks, sir. Very clear. I will come back in the queue for the other questions. Thank you. And sir, wish you a Happy Diwali to the team as well.

Sanjay Purohit: Thank you, Avi. Nice of you.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my questions and Diwali greetings to the management. Sir, my first question is towards the negative ways that we are overlapping and the negative SSSG has been there for quite some time. So, what do you feel that, is the entire QSR market in that sense remains impacted or is it specific to our brands that we have seen this impact? So, some light on the overall macro color on the QSR space if you can give?

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Sanjay Purohit: So, in general, and this has been consistent with what we have said up till now, we are finding that consumer discretionary spends have been constrained. And that has been compounded further by a large number of competitors, generally in food. Now, this has been the case over the last, I would say 2 years. Nothing has improved from that perspective. I think yet, it is possible for large brands to grow and large brands have the greatest ability to really change performance. I think in KFC, that is exactly what we are attempting. Perhaps it will take us a couple of quarters to really get all our initiatives in place. In Pizza Hut, we know what we could do to drive growth. So, if nothing else happens in the macro environment, this is what has caused generally growth in the QSR segment at a brand level to be muted. However, on the macro front, we are clearly seeing the government taking exceedingly bold steps on GST reduction. Therefore, prices of all their food, the household basket should reduce and put money into the consumer's wallet, which then should go behind discretionary spend.

Gaurav Jogani: Thanks. And just lastly on the Sri Lanka bit, though we have seen a very handsome gross margin expansion, however, at the EBITDA front, still the EBITDA margin has kind of marginally declined. So, are there any other expenses that have increased meaningfully that is leading to lower translation towards the EBITDA front?

Vijay Jain: In fact, that impact was seen in Quarter 1 itself. So, despite a healthy double-digit SSSG and SSTG growth in Sri Lanka in Quarter 1, if you see, we have dropped the margin bps in Quarter 1. And the drop happened because there was almost a 27% increase in minimum wages in Sri Lanka. It happened in May, effective from April, and it left us with a very small amount of time to try and mitigate that impact in Quarter 1. This is what we started in Quarter 2 with a combination of some restructuring in terms of the salaries, the incentive structures and a price increase which we took in July. Hence, the combination of this allowed us to still cross the 15% mark. So, this is the impact. Yes, generally, a 14% SSSG should have led to a probably even higher restaurant EBITDA. But unfortunately, the increase in minimum wages was too high and substantial that some of those benefits were eaten away because of that increase.

Gaurav Jogani: So just to follow up on this, though the performance may remain better in the next coming 2-3 quarters, however, until this cost kind of annual rises, we could possibly see this impact at least between the gross and EBITDA lines.

Sanjay Purohit: In Sri Lanka, yes.

Gaurav Jogani: Okay, sir. Thank you and that is all from me.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Good evening. So just had 3 questions I will ask them upfront. One was on

how do you look at

this continued decline in dine-in shares or dine-in mix because it actually also kind of has a margin impact with every 100 basis points cut. So, do you see in any way that we believe we can kind of arrest this and keep the shares around that 35%-36% for KFC or do you believe this is slightly more structural in nature and you will see a kind of dipping trend? That is my first

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question. The second one was, in KFC again, should we assume that we are starting off the quarter from a base of (+3) because that is where the impact has been. And then depending on

the market macro, et c. hopefully it moves above that. And third one was on the gross margins in KFC and Pizza Hut, given that the focus is on value providing more to the consumer, et c. Our first half GM slightly the more normal for you as we look at 67 % odd in KFC and 74-74.5% for Pizza Hut. Those are my 3 questions. Thank you.

Vijay Jain: So, the continued decline on the dine-in, few reasons to that. So again, when you look at dine-in decline, you are looking at the mix. So first of all, there are a few reasons why the delivery mix looks significantly better. The first one, our O LO, which is our own channel, our own app performance has been really good over the last 1 year. It has grown probably 2X to 3X more than what aggregators would have delivered in terms of the growth, our own app. So that is the first reason. The second, I think I would have called out previously that our late -night operating hours, which are typically the delivery occasions, 11 PM onwards. Those are increased and continuously increasing, whether it was 11 to 1 earlier, now some of the stores going up to 2. Now even probably 10% to 15% of stores remaining open till 5 AM as well. So that is the second where occasionally are getting added, but the y are getting added under delivery. So that is the second reason of delivery mix going better. The third was more structural post -COVID, a lot of our restaurants came in high street. The mall development actually stopped immediately during the COVID. And the high street, typically the delivery mix is higher compared to the mall mix. So that was the third reason. The fourth, the mall performance itself, dine -in performance in the mall itself has been a struggle. The footfalls in the mall have been challenging and mall typically is a dine -in portfolio for us. So, these are the 4 reasons where delivery mix has got improved vis-à-vis dine-in. Having said that, a lot of steps which we are taking is to try and get the dine -in footfalls back. The entire ' Epic Saver ' campaign, which we re -ran and invested a lot of gross margin, was entirely on dine-in and takeaway channel. The transaction improvement you are seeing, a lot of it has come from a dine -in and takeaway channel. And even as we go forward, just like we did in Pizza Hut, most of the campaigns which we ran, Unlimited Pizza Friday, whether it is Buy 1 Get 3, the 4 course meal @99 , all of th ese to do dine -in. And I am giving you examples of both KFC and Pizza Hut, that how the idea is to focus and get the transactions back in dine -in. So that was the first part. The second question was on KFC, if you can just repeat on KFC.

Harit Kapoor: The second question was on, we are starting from (+3) , should we assume that we start from (+3) and forward depending on macro your own initiative?

Vijay Jain: Largely yes, except for a small difference that a 3% on a Q uarter 2 base is a smaller base, that same 3% on a Diwali and a festive quarter could be 2.5 rather than 3 . That is the only small change. But yes, one should assume that we are probably starting 2.5% positive as we get into a Quarter 3 . The third was on the gross margin value and the gross margin percentage, the kind of investments which we have done in H1 across both the bran

ds KFC and Pizza Hut. We have

dropped roughly 100 basis points on KFC or invested 100 basis points on KFC on the 'Epic Saver ' campaign in H1 . And we have invested roughly 150 to 170 basis points in Pizza Hut for H1 on gross margins. Again, those are Juicylicious campaign, Buy 1 Get 3, Unlimited Pizza Sapphire Foods India Limited
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Friday, currently 4 course meal @ 99. So yes, this investment will continue. What could change is that if the particular promotion and offers are not working, the idea is how quickly we can move on to the something next, which is we can try something out. But the investment in the gross margins, we expect to remain at this level.

Harit Kapoor: Thank you for answering my question. Wish you all the best.

Vijay Jain: Wish you the same.

Sanjay Purohit: Thank you, Harit.

Moderator: Thank you. The next question is from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: Thank you, Sanjay and Vijay. I just want to check on gross margins again, while you are investing in gross margins and doing innovations in both the formats. In this quarter after the GST cut, did you see any decrease in your input prices and has that helped margins a little bit in any way now or going forward or was that completely passed on to the consumers?

Vijay Jain: So being a part of a QSR industry, first of all, there is no change for us in terms of the output tax rate, which continues to be at 5%. Yes, from our input prices, there is a very small or marginal benefit, which we see 0.5% or less. And that we have passed ed on to the customers, although we would not have received the benefit immediately because we carry inventories. But yet, in good faith, we have passed on to the customers for both KFC and Pizza Hut. The way we have passed across is that rather than now trying to spread this 0.5% or so across all the product lines, it would be meaningless for the customers. We have tried to restrict this reduction and not restrict in terms of the quantum, but this entire quantum, we have passed across the top 7% to 10% lines, so that those 7% to 10% lines see a meaningful reduction, which could be anywhere between

5% to 10%. This is done starting 22nd September.

Sanjay Purohit: I think the idea there, Saurabh, was the government has done something quite bold and imaginative and we have also got to respond to that move and therefore we passed this on. There are people within the industry who might have taken it across all products, but then in some cases, the impact would have been Rs. 1 or Rs. 2 on a particular product. For us, we said, let the consumer see some material change. So actually, on our highest selling products, we took material reduction in our pricing

Vijay Jain: And yet kept the overall quantum to that 0.5% or so.

Saurabh Kundan: Understood. Makes sense. Just one last question on Pizza Hut side. Assuming that this sort of logjam or whatever the situation remains, the status quo remains, the format is not in a position to fund any expansion as of now for you. Is it fair to say that you will bear that in mind?

Vijay Jain: You are right. And while we would have chosen a different language than what we use internally, internally what we call is the strike rates or for the payback period. So, if the brand is overall in

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negative or just about breakeven, of course, the new stores would not be giving the desired paybacks. And at Sapphire, we have always called out that. Finally, our expansion would be guided by the strike rates and the paybacks we get on the new store's performance. So, while KFC, there is still a challenge on SSSG, our new store performance has been pretty healthy and reasonable. And hence, we have continued with our expansion journey. On Pizza Hut, yes, there has been a struggle. So, we work on a

calendar year. Last calendar year, we opened 20 odd stores. This year, we are so far negative 1. And yes, unless we see a revival in the brand growth in terms of SSSG and growth coming back, we do not see any meaningful additions to the count.

Saurabh Kundan: Nice. Thank you.

Sanjay Purohit: Thank you, Saurabh.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi Sanjay, Vijay, festive greetings. Sir, I wanted to check. So sorry for stretching on this. There have been multiple questions here. So, I wanted to check, so the 17 days that have happened in this quarter. So, is it fair to assume the underlying trend in KFC is still flattish or because of the pricing corrections that we have done in light of GST side, there is some pickup in like for like comparison for these 17 days?

Vijay Jain: Overall trend is flattish from SSSG point of view. So, Quarter 1 was flat. However, the SSTG was positive in Quarter 1 as well, low single digit. Quarter 2, while it is (3), because of the Navratri impact, ex-Navratri SSSG is flattish. And SSTG continues to remain again positive low single digit. So, the trend is flattish. The SSTG is in definite improvement. We are at least in SSSG flattish territory versus what we were at least negative a year ago or so. So that is the positive. The price reduction is 0.5% or so again, as we called out spread across few of our hero products, 5% to 10%. The Quarter 2 has only seen 8 days or 9 days of impact and that too during Navratri. So 22nd is when the GST cuts came into effect. That is when the price reduction came into effect and that is when the Navratri started as well. So, I think it is too shorter period to say that this reduction has made any meaningful impact from a customer demand perspective or not. And again, now when you look at the SSSG last year, this time, the first 10 days of October, the first and second week of October, there was Navratri. So, the numbers are not really comparable.

Let us give it a bit of more time before we comment that the trajectory has changed from flattish to positive.

Devanshu Bansal: I understand. So, my question was more since post Navratri 17 days this year and last year. So anyways, I get your point. I was just checking on that trend. My second question is on Tamil Nadu Pizza Hut performance. You indicated that the trends are in double digit there. I wanted to check if this is largely because of same store growth or there is a component of store additions in that market as well?

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Sanjay Purohit: There were store additions also there. But same store sales growth was about mid-single digit and balance through store additions. But it is in line with the rest of the country.

Vijay Jain: And the important part to look over here is the delta vis-à-vis the rest of the brand performance and the rest of the country. So that is the mid-teens delta and across all the 3 parameters, whether it is SSSG, SSTG or overall revenue growth, the delta is 15% or so or mid-teens level.

Devanshu Bansal: And lastly, a small follow up here. So, from a margin perspective, so is this better SSSG giving you the desired operating leverage to offset the additional marketing spend or we still on a YOY

basis are seeing some dip in Tamil Nadu market?

Vijay Jain: So, the margins are still positive, at least in Tamil Nadu, vis -à-vis the brand showing negative performance in terms of the restaurant EBITDA. But whether they are at the desired levels, I would say no. And we have called out this entire journey that this additional marketing investment, backed by innovation has to be a 2 -3 year journey. And it cannot be 6 months or 9 months. Last year, I think we started on a positive note where we invested behind the brand for the nine

months. And we saw 17% uplift pan India. Post that Quarter 4 last year, we stopped investing, at least on mass media while Sapphire continued to invest BTL, they did not give results. This year, at least starting April, we are investing mass media in Tamil Nadu, and Tamil Nadu is showing results. But I think for us to reach the desired level of ADS, the investment has to continue for 2 more years at least.

Devanshu Bansal: And lastly, a bookkeeping question Vijay, this 97 crore s of depreciation, is this a sustainable run rate for coming quarters because there is some debt, so I just wanted to check ?

Vijay Jain: So again, when you are looking at this depreciation numbers, it is post Ind -AS 116 numbers, the underlying real depreciation will be significantly lower. But yes, when you look at even that number, we do not see this number materially altering, that is, there are no big impacts, which I would say, we need to be carved out as we move forward, the number would keep increasing. So, you cannot really look at the absolute value because as we keep adding more stores, the number would keep increasing. And there is always some impact where we look take a call on store closure. So those are some small one- offs which can come but I wo uld not see the number is materially off the mark from a trend perspective.

Devanshu Bansal: Fair enough, Vijay and Sanjay. So, thanks for taking my questions sir.

Sanjay Purohit: Thank you, Devanshu.

Moderator: Thank you. The next question is on the line of Tejas h from A vendus. Please go ahead.

Tejash: Hi, Thanks for the opportunity. Sanjay, KFC has seen a multiple deceleration and slow quarters and our explanations have ranged from our readings have ranged from post COVID high base to brand boycott in between to private final consumption also kind of slowing down. Now, given our parent 's, Yum! 's depth of experience, both in terms of scale and history, what is their current
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diagnosis of the sluggishness that we are seeing in this brand and how have global QSRs or this brand has historically emerged from such slowdowns?

Sanjay Purohit: Yeah, so Tejas h, I do not think Sa pphire called out brand boycott in any of our investor presentation. So , you could go back and check. I do not think we have called this out. However, what you have been saying that we have or the brand has seen now 6-8 quarters of flat SSSG or negative SSSG is absolutely right. Like I said, it is a combination of 2 things. One is private discretionary spending has been muted. That is the reason why the government, despite strong GDP numbers is still calling out very specifically that they need to do something to increase consumption spend and a combination of that plus increased competition within the entire food space, including QSR. So, I think that is the articulation. Plus, we have also expanded stores significantly and at one point in time, our growth rates, S G numbers were quite strong. So, if you look at 3 years, we have doubled the store count. I think it is a combination of all these factors. Having now said, what is the way forward, so firstly, I think India is a little unique, because there is no other country in the world which has such a strong veg population. And therefore, internally, we say that we have 2 tasks on KFC. One is, indeed how do we grow frequency of consumption with KFC brand loyalists . And over a period of time, the big opportunity is how do we expand the consumer franchise for KFC. On the first part, which is increasing frequency, there are global models, which are really around occasions of consumption and innovation. Around the part of increasing consumer penetration, there are few markets like India. So, it is a matter of —in a sense —to some consumers, almost introducing the concept of fried chicken in a QSR format to them. All of this i

s not is we believe is possible to do. But it will take a degree of focus and it will take time. I think we are aligned between Yum! and us on what our journey is. And it is starting to play out. But I mean, it is not a silver bullet. Once we get some tailwinds of consumption going, I think, in general, we will see that positively reflected on KFC also.

Tejash: Thanks, Sanjay, for that detailed answer. Just one follow up there. The way we have seen Tamil Nadu Pizza Hut as a very silver lining and gives us hope that it is just a matter of replicating that model. Are we doing any or are we seeing any KFC experiment at micro or m acro market level, which gives us confidence at this stage that if we replicate it at p an India, we will have some better numbers there?

Sanjay Purohit: There are several experiments being carried out on KFC, which give us optimism for the future.

But it is really too early to specifically call out in an investor presentation at this moment , Tejash .

Tejash: Perfect. And the last one, you also called out all the initiatives and interventions that government would have made in the last 15 months to revive consumption. In pockets, let us say, some of the retailers are seeing some increased footfall, at least to begin with. Are we seeing that in our formats, that at least conversions can be still there or low, but our footfalls improving?

Sanjay Purohit: It is tough to make a judgment out after just a couple of days. And like I said, when we are overlapping Navaratri, the numbers at this moment from an SSSG perspective are very fine. But let us perhaps wait till November and then December and see how things pan out.

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Tejash: Very clear. That is all from my side and Diwali wishes to you on the team.

Sanjay Purohit: I just want to make, just for ample clarity, I just wanted to call out, the Tamil Nadu experiment gives us a way to take the brand forward. But in no means, we are trying to say that it is a solved problem in Tamil Nadu, even there. And Vijay mentioned it in one of his answers previously, also saying that we have to keep at it for the next 2-3 years, even in TN to really get to double digit and then higher levels of profitability. So, but we all seek some models that can give us this kind of growth. Certainly, there is a model to revive the brand. So, I just want to, but there is no silver bullet, it will still take persistent work, even in Tamil Nadu to really bring the brand back to its glory days.

Tejash: Very clear. Thanks, and all the best.

Sanjay Purohit: That is it. I think that is the end of the question queue. So, again, thank you very much. We have got 151 participants at the beginning of the call. I was not sure given that it is the start of the Diwali weekend and it is a Friday, but I am just grateful to all of you all who have been on the call. Happy Diwali, spend time with the family and may all your wishes come true in the coming year. Bye.

Vijay Jain: A very Happy Diwali to all of you. Thank you so much.

Moderator: Thank you, sir. On behalf of Sapphire Foods India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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Sapphire Foods India Limited
CIN: L55204MH2009PLC197005
Date: 12th February 2026

To,
National Stock Exchange of India Limited
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400051

Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Earnings Call Transcript – Q3 FY26
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of earnings call held on Friday, 6th February 2026, in relation to the financial results of the Company for the quarter and nine months ended 31st December 2025.
The said Earnings Call Transcript is also available at the website of the Company (<https://www.sapphirefoods.in/investors-relation/financials>) under FY 2025-26 Quarter 3 section.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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“Sapphire Foods India Limited Q3FY26 Earnings
Conference Call ”
February 06, 2026

M
MANAGEMENT : MR. SANJAY PUROHIT – WHOLE -TIME DIRECTOR &
GROUP CHIEF EXECUTIVE OFFICER , SAPPHIRE FOODS
INDIA LIMITED
MR. VIJAY JAIN – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER , SAPPHIRE FOODS INDIA LIMITED
MR. KAUSHIK VANKADKAR – HEAD OF INVESTOR
RELATIONS , SAPPHIRE FOODS INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Sapphire Foods Q3 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Purohit. Thank you, and over to you, sir.

Sanjay Purohit: Good afternoon, everybody. My name is Sanjay Purohit, and I'm the Group CEO at Sapphire Foods, and I'm joined by Vijay Jain, who is our CFO. Welcome to our Q3 FY26 Investor Presentation where we'll talk about our business performance highlights. Our Q3 performance saw much improvement on profitability compared to our earlier quarters, and this was led by KFC's restaurant EBITDA coming in at 18.8%.

Revenue for KFC grew by 11%, Pizza Hut declined by 11% and Sri Lanka grew by 15%.

Overall, we were able to grow revenue in the region of 7%, 7.5%. In Pizza Hut, our Tamil Nadu market continues to deliver double -digit delta performance, both on SSSG as well as on EBITDA versus the rest of the country. Our total revenue for the quarter was INR 811 crores with a 7% growth year -on-year.

We added a total of 31 stores in this quarter, 27 KFCs, 1 Pizza Hut in India, 3 Pizza Hut in Sri Lanka. In Pizza Hut, over the calendar year, we added a total of 0 stores. So whatever stores that we added, we also closed an equal number of stores. And our count as of 31st December stands at 1,028. Our consolidated restaurant EBITDA grew 5% year -on-year. Margin was at 15%, which is down 40% year -on-year.

And our adjusted EBITDA was INR 77 crores. It declined 5% over last year. Our consol adjusted EBITDA margin was 9.5%. Consol EBITDA, which is post Ind AS was INR 136 crores or 16.8% and declined 3% year -on-year. Our consol adjusted PBT before exception was INR 24 crores or 2.9%. Let me go over to KFC. On KFC, you have heard me say that I'm on Slide number 17 and then on Slide number 18.

On 18, you've got the brand priorities that we talk about on KFC. For a significant period of time, our principal intention on KFC is to grow the consumer base. At the beginning of the financial year, we had launched the Epic Saver campaign at INR 299. And we thought that this would be able to bring in transactions.

While it formed a double -digit menu mix contribution, it yet was not able to pull in substantial transactions. We have slowed down on that Epic Saver campaign. And in about 1/3 of our estate have piloted a Chicken Krisper Meal for INR 99 in dine -in and takeaway channels in about 25% of the stores. And we are seeing good traction on the dine -in and takeaway channel, which is

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driving overall SSSG also. So for the quarter, we ended up at an SSSG of 1%. And in January, we are trending above that number for the moment.

Like I said, the read, we launched the INR 99 Krisper Meal in the second week of December. And at the end of the third week of January , we have also augmented it with a specific advertising campaign that internally, we say behavior changing advertising targeting the non- users of KFC, inviting them to come to our store. And once the campaign has broken, again, the impact that we have seen has been better.

So, January has been better SSSG than the quarter that we have just concluded. Our innovation pipeline for the coming year is quite strong, and we are quite excited about this innovation pipeline. We've just launched a global Saucy concept called Dunked, which is doing quite well. We continue to try and make the customer journey in our stores and on digital as friction

less as

possible. Our digital kiosk penetration now covers 70% of our estate. And from an expansion perspective, we opened 60 stores in the calendar year, and we had called out that going forward

also 60 to 80 is the range that we believe , these number of new stores we should be opening.

I think we have tried to send across the dine -in, what we call the Pehla Nasha commercial across to as many people as possible. Please have a look at it. You will understand what we mean by saying inviting new consumers to the brand. This is currently being aired in Maharashtra state alone.

I'll now hand over to Vijay to talk about the KFC financials.

Vijay Jain: I'm on Slide number 23, channel -wise sales mix. Dine -in and takeaway came at 56% for the

quarter and delivery at 44% versus last year delivery mix at 41%. SSSG for the KFC brand was positive 1% and overall revenue grew by 11%. Calendar year '25 saw us adding 60 restaurants for the year.

Gross margin was up by 40 basis points over last year, and this improvement was on account of discount reduction and value offer construct rationalization. This, along with the cost efficiencies meant that we actually improved our restaurant EBITDA over last year by 60 basis points. It came at 18.8%. Slide number 26 gives 4-year and 5 -quarter. Q3 FY26, it can be clearly seen that this has been the best quarter for us in quite some time with profitability coming at 18.8%. And as Sanjay mentioned, the initial 7 weeks read on the Chicken Krisper Meal offer as well as January SSSG been positive. It augurs well for the brand as we move forward.

Sanjay Purohit: On Pizza Hut, I'm on Slide 28 now. The Slide number 26, you can see the image of the Ultimate Cheese Pizza that we launched. So again, the innovation pipeline has been quite strong. But in the absence of enough of marketing clout behind these innovations, we have still not got great traction on the brand. We have combined that with strong value offers also. We launched the INR 99 - 4 course Meal. Again, for lack of marketing support, awareness of both the innovations as well as value offers

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has been limited. However, we were able to back both the innovations as well as the value offers in Tamil Nadu, where we continue to invest behind marketing.

And as I said earlier, this market shows double-digit delta performance on both SSSG as well as on the brand EBITDA. We opened 0 NNUs for the year are really focused as you have heard us say earlier, is on building the brand first and then on expansion. Vijay, could you just tell us the financials, please?

Vijay Jain: Slide number 31, channel -wise sales mix. Dine -in and Takeaway came at 53% and delivery at 47%. Again, this shows the performance in the Dine -in is better than the delivery for the Pizza Hut Sapphire Estate. SSSG was minus 12% with overall revenue drop at 11% and the store addition for the calendar year '25 was 0.

Gross margin dropped by 70 basis points over last year. But if you look at sequentially, we improved on gross margin by 50 basis points sequentially. And while restaurant EBITDA came in at minus 3.1% majorly on account of the negative leverage or negative operating leverage on account of negative SSSG.

Slide number 34 gives you 4 -year and 5 -quarter trend. It can be seen not much improvement in terms of the ADS or the profitability. However, as mentioned by Sanjay, Tamil Nadu continues to deliver double -digit delta performance. And once the CCI approval comes in, I think we should be able to work closer with the franchisee partner and decide on a common strategy as we move forward.

Sanjay Purohit: On Sri Lanka, the business continues to do really well. Our SSSG was 11% and our SG was 15%. Just as we did in India, we launched the Ultimate Cheese Pizza in Sri Lanka also. It's done well. We also opened 7 stores in CY '25, and this is

the pace that we think we should be able to continue in CY '26 also.

Vijay Jain: Slide number 39, channel -wise sales mix, Dine -in and Takeaway at 61%, while Delivery at 39%. This against last year, which came at 37%. SSSG was up by 11%, backed by a healthy transaction growth as well. And overall revenue in terms of LKR grew by 15% in terms of INR grew by 16%.

Gross margin was up by 160 basis points. And this combined with -- this along with the SSSG meant that the restaurant EBITDA came in at 16.7%. The growth which we see in terms of absolute EBITDA, restaurant EBITDA is 7% in LKR terms and 8% in INR terms. However, there was a drop in terms of margin percentage, 110 basis points drop.

This was mainly on account of significant increase in minimum wages, which that country has seen. And also Q3 , in particular, had cyclone-related cost impact as well. Slide number 43 gives

4-year and 5 -quarter trend. As can be seen, Sri Lanka continues to deliver a healthy performance over the last few quarters, and we continue to reinforce our number 1 QSR status in the country.

Sanjay Purohit: And finally, apart from the positive news on improved profitability in Q3 plus improved SSSG in the month of January on KFC. We also are extremely pleased to announce our DJSI ESG ratings for 2025. We've got a global ESG rating score of 73 on 100.

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And our key highlights are that we are indisputably the number 1 QSR brand in the country and top 3 in the world. And we are really the only Indian QSR brand to publish an ESG report under

both GRI, SASB and BRSR standard for the fourth consecutive year. So our standards -- so we really set the standard on ESG reporting for the entire industry. So that's it from both Vijay and me. We will open it up for questions.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question comes from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my question and congrats on the strong operational performance, I would say, in the challenging environment. Sir, my first question is with regards to the improvement that you are seeing. I think your other franchise partner has also indicated the same of improvement in January and even one of the burger brands have also indicated this. So are you seeing a pickup in the overall macro environment or is it because of the specific initiatives that you have been taking driving this positive SSSG or momentum improvement in January as well?

Sanjay Purohit: Yes. Possibly, it is both. I don't think where we sit, we can comment on the overall macro. Certainly, we had seen this improvement start in December after the INR 99 initiative. The Dine -

in, Takeaway business undoubtedly has seen a swing post that initiative happening. Like I think it is January, while we must not try and extrapolate this to infinity. But certainly, January starting off on a good note is a positive part. But let's wait and see as to how the whole quarter goes.

Gaurav Jogani: Sure. No, sir, the reason why I asked -- when I meant the macro, it is specifically for the food services industry is what I meant, the improvement?

Sanjay Purohit: I don't think I can answer that. If you're saying that other people have also shown this good, that means the industry is turning around.

Gaurav Jogani: Sure. And sir, this INR 99 initiative that you have started, would this be a margin dilutive initiative or at scale, maybe you could still sustain the same level of profitability that you are doing right now?

Vijay Jain: So again, if I take you back to the Epic Saver campaign, at that time, we were investing almost 100-odd basis points, and we dropped our gross margin below last year by almost 100 basis points. If you look at current quarter, we are up by 50-odd basis points over

last year. But

however, this particular promotion started only in third week.

Yes, this particular promotion would be dilutive on gross margins, but I don't see an impact beyond 50 basis points to 60 basis points from current level in terms of gross margin. Having said that, if it can help us drive SSSG, that will be more than compensated in terms of the overall profitability.

Gaurav Jogani: Vijay, when you say from the base, I mean, that would be Q3, right?

Vijay Jain: Present level, yes.

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Gaurav Jogani: Okay. And my second question is with regards to the Pizza Hut. Pizza Hut, the brand has been struggling and you have also not done new store additions. But where would you position yourself in terms of the recovery journey? I mean, the initiatives that you have taken so far, do you think with these initiatives, at least you can target a positive SSG in the coming financial year?

Vijay Jain: I think for Pizza Hut, it would be important that both the franchisee partners come together and decide on a way forward. And hopefully, that can happen sooner once the CCI approval comes into the picture. Yet whatever coordination we can do within -- through the Yum! system, that will still go on.

But I think that would be a key factor as we move forward. Along with that, there would be some amount of -- like while we have opened 0 units in terms of net, we had a few closures. I think those few closures will still happen in terms of trying to make sure that you minimize the losses. But we don't see a major expansion even in the coming year.

And the overall focus will be to make sure the brand revives first. And I think for the brand revival, both the franchisee partners need to come together to decide on the way forward. We are quite confident of how the work -- things are going in Tamil Nadu. And I think this is now third or fourth consecutive quarter whether Tamil Nadu has been able to deliver a differential performance vis-a-vis the rest of the other estate.

Sanjay Purohit: Tamil Nadu and Sri Lanka, Gaurav.

Vijay Jain: And Tamil Nadu is based on Sri Lanka.

Sanjay Purohit: Sri Lanka, in that market, we continue to, in tough conditions, do well. So I think there's a clear model for the revival of this brand, which is quite differentiated, and I don't think anyone else can copy easily.

Gaurav Jogani: Sure sir. Yes, there's a great work in Sri Lanka that you have done and the profitability and the revenue growth is clearly reflecting that.

Sanjay Purohit: No. We will do also the same thing, Gaurav. If you go visit our stores in Tamil Nadu, you'll

understand. They're just fantastic stores.

Gaurav Jogani: Sure. And sir, just lastly, on the overall this merger thing, because this merger process is now on, what kind of -- will the business will continue as usual? Will there be any changes in the functioning post the CCI approval comes in? If you can give some guidelines until the ultimate merger happens?

Vijay Jain: The overall entity continues to remain independent and function independently until the merger becomes effective. So -- and we had given out the timelines earlier. From now, it could be maybe around 12 months for the merger to become effective. It has started with the Board approval and it goes to the exchange for approval, then CCI approval, filing with NCLT.

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So all this can take 12 months. Till then both the companies operate independently. Having said that, once the CCI approval comes in, which could be anywhere between now and let's say, maybe around 3 to 6 months, one can expect a bit more closer coordination on some of the strategy points, while each of the companies still continue to function independently.

Sanjay Purohit: Yes. And on the brand strategy, overall brand strategy, in any case, we

are guided by Yum. So

I don't think anything changes there. All 3 of us used to come and sit on the table together. I think specific operational issues can only be handled after CCI approval.

Vijay Jain: Especially in case of Pizza Hut because there's a territory overlap over there. And hence, that becomes. Otherwise, we used to coordinate between us, Yum and Devyani used to coordinate anyways on the key brand product and marketing strategy.

Moderator: The next question comes from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: Good evening to the team and thanks for taking my question. So my first question is around, I want to understand regarding your Tamil Nadu performance delta. So you have consistently highlighted that the Tamil Nadu because it was positive double-digit delta in terms of sales growth and profitability over the rest of India.

So what specific consumer behavior or competitive dynamics in that market are driving this counter performance? And to what extent can we -- will be reflected in other struggling regions to arrest the 12% SSSG decline? This is my first question?

Sanjay Purohit: So in terms of Tamil Nadu, the first thing which is there, Tamil Nadu is an exclusive market for Sapphire. So there is no overlap between us and Devyani. So there are no 2 different formats at play. In the other markets, Sapphire largely operates dining forward omnichannel restaurants, Devyani would operate in our territories, Pizza Hut delivery format.

So that would be one big difference between the other territories and Tamil Nadu in terms of the format complications and the overlap. Now that because we are able to operate Sapphire is the exclusive territory, we are able to communicate this to the customer in terms of the brand experience, the restaurant experience by putting in money in that particular estate.

If it comes to putting in money in any other estate or any other territories, you will require an alignment with the other franchisee partner for that additional investment. And unfortunately, that alignment right now does not exist. It did exist last year for the first 9 months. It gave us Sapphire the upside.

It did not give the other franchisee partner the required upside. And understandably so, they said we don't want to invest further in terms of additional marketing investment. So that's the deadlock which continues in other markets, which is because of territory overlap, and that does not exist in case of Tamil Nadu.

In terms of replicability, we are -- for Sapphire, the experience remains the same even in the other markets from a format perspective. But our communication strategy is not similar as Tamil Nadu, and that's the difference. And the day we are able to align, we will be able to communicate.

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We don't see any other reason why we should not be able to replicate the performance in any other territories as well.

Rehan Saiyyed: Okay. Okay. So basically, you are saying that the main point here is the communication that you are not communicating apart from Tamil Nadu right?

Sanjay Purohit: Yes. And we were able to do that last year. If you remember, recall, April'24 to December'24, we were able to do a jointly aligned on a marketing communication strategy, and we did invest additional money between all 3 partners, us, Devyani and Yum. That is not happening anymore. Now it's only Sapphire, which invested in Q3 along with Yum! in Tamil Nadu.

Rehan Saiyyed: Okay. Fair enough. And just want a bit understanding regarding your digital transformation that

you have mentioned that digital kiosks are now rolled out across 70% of the estate. So beyond operational frictionless experience, are you seeing a measurable increase in ticket size or scaling -- kiosks compared to traditional counter service?

Sanjay Purohit: Yes. So we are seeing increase

in APC across the stores where we are seeing -- where the kiosks have been rolled out in case of KFC. But more than just the increase in APC, I think it just gives us the power as we move forward in terms of collecting the right customer data.

It also gives power to the customer in terms of controlling its own ordering journey. And we believe as we move forward using intelligence, this should help us upsell and drive ticket size further. So I think it's just a start of the journey. It's a long way to go.

Moderator: The next question comes from the line of Kaivalya Baing with IIFL Capital.

Percy Panthaki: This is Percy Panthaki here. So I just wanted to understand the KFC margin expansion despite SSSG being weak, we generally understand that we get operating leverage at, let's say, 3%, 4% because the general inflation per store is around that level?

But despite SSSG being lower than that, we are seeing 20 basis points leverage between gross margin and EBITDA in addition to the 40 basis points at the gross margin, so overall 60 basis points. So can you comment on both the 40 basis points as well as 20 basis points as to what are the drivers which are driving that?

Vijay Jain: So first, the biggest driver has been the gross margin and the gross margin has been the function of the reduced discounts, which we had and the rationalization of the value offer construct. You

would recall that we had Epic Saver campaign at INR 299 in the H1. And while we continued with that particular campaign in Q3, we continued in a different form and shape, where our gross margins was not taking hit as much as it took a hit in H1.

So that this combination of discount reduction as well as this particular change on the value offer helped us get the gross margin back, and it shows an upside over last year, whereas previous quarter, we actually dropped on the gross margin compared to previous years. So that's on the gross margin side.

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On the cost efficiencies, definitely, we had our efficiencies in terms of the Labour Cost as well as our store operating cost where whether it's electricity, R&M and other lines, we were able to squeeze enough amount to drive this particular efficiency.

There's also a small amount of benefit, which if I call out in terms of the base effect, the Navratri actually fell in quarter 2 this year versus it was actually in quarter 3. So that also helps its bit in terms of SSSG as well as the EBITDA when you start comparing with last year. So these are the 3 things.

Percy Panthaki: Got it. Secondly, on the delivery versus dine-in mix, we have seen even for some other companies that dine-in is now doing better versus a few quarters ago where delivery was growing faster.

And the change or the flip in equation has come not largely from improvement in the absolute growth rate of dine-in. Of course, that has happened. But it seems that the delivery growth rate, which used to be sort of better earlier, that is now struggling. So can you comment on the dynamics behind the delivery versus dine-in mix?

Vijay Jain: So first of all, I wouldn't say dine-in right now, at least for the quarter which has gone by, has performed better versus delivery. I would say the gap has definitely reduced in case of KFC. Of course, in case of Pizza Hut, the decline in dine-in has been less than the decline in the delivery.

Coming back to your original point, whether it has plateaued out or slowed down, it has definitely slowed down the kind of delivery goods you used to see earlier. You don't see that anymore.

Having said that, there is also -- I think each of the companies, especially Sapphire, both the brands, the kind of offers, value promotions, deals we are focusing on at a dining and takeaway channel are something is also helping us bridge this particular gap between dining and delivery.

Percy

Panthaki: Epic Saver Campaign which was mainly a dine-in promotion, you have reduced that, right, so?

Vijay Jain: No, the same thing now we have pivoted towards this Chicken Krisper Burger Meal, that's also a Dine-in and Takeaway offer, whether it is in case of Pizza Hut, which was buy 1 get 3 Dine-in, Takeaway offer, INR 99 Course Meal in case of Pizza Hut, again, a Dine-in, Takeaway offers.

So most of these offers and promotions are focused to driving Dine-in and Takeaway customers and drive those transactions up. So that's another reason why it has -- the gap has bridged. Also, previously, I used to always call out when the delivery mix was growing, I used to call out that apart from delivery performance, there are other factors which were at play.

We used to call out that the mall estate post-COVID from a real estate point of view, the supply

of estate was lower, where mall typically has a higher Dine-in mix. Late night delivery as addition as an occasion was again a delivery occasion. So, I think those two, three factors which gave a delivery a flip has now probably got built in into the last year anyways. So now you're looking at a real genuine like-for-like performance on delivery.

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Percy Panthaki: But we are seeing actually decline, Vijay, so if, let's say, KFC SSSG is 1%. If I break up that 1% into dine-in versus delivery, dine-in is growing at low to mid-single digit and delivery is probably declining at, at least a low-single-digit or mid-single-digit also. So just wanted to understand why something and which was doing well, which even when the overall SSSG was negative, maybe the delivery part was still flat to positive.

Why that has gone into negative? Because if you see the overall delivery growth in India as a country, if you use Swiggy, Zomato as proxies, that is not doing badly. Both the companies are still growing at mid-to-high teens. So just wondering why our delivery SSSG is now in negative territory, low-to-mid-single-digit?

Vijay Jain: See, I'm not sure how have you derived those numbers because we have never said that the dine-in for the quarter was above 1% or positive when delivery was negative. I'm still calling out.

Percy Panthaki: Where the dine-in mix has increased on a Y-o-Y basis?

Vijay Jain: No, it is not. Dine-in, takeaway mix for the KFC has not increased on the Y-o-Y basis. In fact, our delivery mix has increased by 300 basis points for KFC, 41% delivery mix for KFC last year has gone to 44%.

Percy Panthaki: Sorry, I got the -- it was mixed up. I'm sorry. Okay. I'll take it offline, whatever.

Vijay Jain: No worries. It's important that I clarify for all the listeners as well that the gap between dine-in and delivery is reducing. But still, as of now, the quarter 3 delivery has performed better than dine-in for KFC. For Pizza Hut, of course, the decline in dine-in has been lower than the decline in case of delivery. So let me just clarify that for everybody. Yes.

Moderator: The next question comes from the line of Ashutosh with MIT.

Ashutosh: Thanks for the opportunity, and congrats on a good quarter for a long time on the profitability as well as SSSG side. So a couple of questions. First, on the -- I wanted to check what has been our SSTG growth in the context that we have now rationalized discounts also. And we have been calling out better SSTG growth for the last couple of quarters. So has it accelerated meaningfully from there?

And has it sustained in January as well given discounts have been slightly rolled back? Second would be on the delivery revenue in the Pizza Hut segment. So we have seen aggregators reporting slightly improved growth over the past couple of quarters on the delivery front, but Pizza Hut this quarter was a substantial decline in terms of delivery revenues. So anything that you want to call out there? Vij

Vijay Jain: In terms of SSTG, SSTG for KFC, it's largely in line with the way the SSSG is. So it's a similar number or it's in a similar range. So both SSTG and SSSG are right now going in hand in hand. And while you called out that we have rolled back Epic Saver campaign, but we have gone ahead with even more or pivoted towards even more aggressive campaign.

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So while Epic Saver, we are toning it down considerably, the entire marketing works and the entire focus is on making sure that how this INR 99 offer on Chicken Krisper Burger Meal is used to drive new transactions, get new customers inside the stores. So we have not really dialed down.

And whatever results we are seeing in the first 7 weeks of this offer, definitely, the transactions are growing faster than the SSSG. So SSTG is faster -- and I'm talking about the stores where this has been rolled out. In the first few weeks of December, this was around 25% stores. Now in Jan, this has gone up to 33% of our stores. So yes, we are seeing higher transaction growth than the SSSG in Jan.

Vijay Jain: On the Pizza Hut. Pizza Hut, again, we don't feel it's an issue of a delivery or a particular store or a particular -- I think at a brand level, we have called out that all brand codes which are required to be in place are in place.

So whether it is all about the -- our customer proposition on dining forward channel, whether it is about the format size, whether it is the delivery credentials on Swiggy and Zomato, which used to be around 3.5, now gone above 4, backed by our Dragontail tool, which is helping us drive deliver hot and fresh pizzas.

So whether it is about our product innovations, it's enough and more in the pipeline. So it's all

about how do we communicate to the customers. That's where the focus should be, and that's where also the challenge rise right now.

With the limited marketing budget, unless we put in more money and we put in more money behind the revival of the brand consistently quarter -after -quarter, unless we do that, we will see a challenge, and that's what we hope to resolve with other franchisee partner pretty soon.

Ashutosh: So how we should understand is that large part of the problems related to your -- maybe ratings and all that's all major part that is left is your marketing ...

Vijay Jain : So it's about 20 years of legacy in terms of what we carried as a premium brand now that we are as powerful in terms of our value as any other competitor and delivering great experience on top of that backed by our product innovation. If you don't say it to customer and if you don't shout enough, everything goes down the drain.

Ashutosh: And post CCI approval, should we expect you to replicate the Tamil Nadu strategy across India or would that be something that we will take on later?

Vijay Jain : See, we are not hanged on to a particular thing. The idea is finally the two partners have to come together and decide on a common way forward. So it's not about our solution or their solution.

As long as we all agree to a common solution, the good part about the retail or the QSR business is any solution can be experimented in a small territory, smallest or one state, get the results and then replicate it across all the states. So it's not about Tamil Nadu solution. Finally, whatever both partners agree, we have to agree on one way forward and then roll it out Pan-India.

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Ashutosh: And one more question, if I may. On the Sri Lanka business, we have seen continued good growth improvement across all metrics. So do we have an opportunity to accelerate the store growth there from 8% to 10% to maybe low double digits or something?

Vijay Jain : We believe it should be at least high -single -digit for the coming year, at least -- continue to be high-singl

e -digit, possibly touching 10%, maybe, but I would say high-single -digit.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Sanjay Purohit for closing comments.

Sanjay Purohit: Yes. Thank you very much, everybody, for attending our quarter 3 business performance presentation. Like I said, we saw improved profitability on the back of restaurant EBITDA of

KFC coming at 18.8%. KFC grew at 11%. Pizza Hut declined at 11% and Sri Lanka grew at 15%.

And from an ESG perspective, our ESG ratings for fourth year in a row, we've continued to improve. And we are now among the top 3 QSR companies in the world and by far the number one company in India. That's it for me. Thank you so much. We'll close the conference now.

Bye-bye.

Moderator: Thank you, sir. On behalf of Sapphire Foods, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

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Date: 13th January 202 6

To,
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Exchange Plaza, Block G, C/1, Bandra Kurla
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Symbol: SAPPHIRE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 543397

Dear Sir/Madam,

Subject: Merger Announcement Conference Call Transcript
Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of Investors/Analyst call in relation to Merger Announcement jointly hosted by Sapphire Foods India Limited and Devyani International Limited held on Tuesday, 6th January 2026.
The said Earnings Call Transcript is also available at the website of the Company <https://www.sapphirefoods.in/investors-relation>.

Request you to kindly take the same on record.

Thanking you,
For Sapphire Foods India Limited

Sachin Dudam
Company Secretary and Compliance Officer

Encl: a/a

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Joint Merger Announcement Conference Call
January 06, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Devyani International Limited and Sapphire Foods Joint Merger Announcement Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I will now hand the conference over to Mr. Anoop Poojari from CDR India for opening remarks. Thank you, and over to you, Anoop.

Anoop Poojari : Thank you. Good afternoon, everyone, and thank you for joining us on today's call to discuss the merger between Devyani International and Sapphire Foods that was announced on 1st January 2026.

We have with us today Mr. Ravi Jaipuria, Non- Executive Chairman of Devyani International; Mr. Raj Gandhi, Non- Executive Director; Mr. Virag Joshi, CEO and Whole -Time Director; and Mr. Manish Dawar , CFO and Whole- Time Director of Devyani International. From Samara Capital, we have Mr. Sumeet Narang, Managing Director and Co- CIO and Mr. Vikram Agarwal, Managing Director and CFO. From

Sapphire Foods, we have Mr. Sanjay Purohit, Whole- Time Director and Group CEO; and Mr. Vijay Jain, Executive Director and CFO of the Company.

We will begin the call with opening remarks from Mr. Ravi Jaipuria, Non- Executive Chairman of Devyani International, following which we will have the forum open for a question- and-answer session.

Before we begin, I would like to highlight that certain statements made in today's call may be forward- looking in nature and a disclaimer in this regard has been included in the merger announcement presentation shared with you earlier. Kindly also note that both companies are currently in their silent period. So please refrain from asking questions regarding the quarterly business performance. We request that the questions be limited to the proposed transaction.

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I would now like to hand over the call to Mr. Ravi Jaipuria.

Ravi Jaipuria: Good afternoon everyone, and I wish you all and your families a very happy 2026. I am delighted to announce that last week, on the 1st of January 2026, the Board of Directors of DIL and SFIL in their respective meetings have approved the merger between Devyani International Limited and Sapphire Foods India Limited. It is a momentous occasion with significant long- term benefits for your Company.

The proposed merger is about far more than combining 2 businesses - it is about creating one of the largest F&B platforms in India, that is positioned to seize the vast , long-term opportunity in India's F&B economy . The merged entity will have more than 3,000 stores globally and a turnover of approximately INR 8,000 crore on an annualised basis , a portfolio of marquee brands , including KFC, Pizza Hut, Costa Coffee, Vaango, Biryani By Kilo, etc. and a pan- India distribution reach covering multiple formats.

India's food and beverage market is large, getting formalised and expanding rapidly with independent estimates placing the broader food services market at more than

\$100 billion and the QSR segment alone at more than \$25 billion and growing.

By this time, the merger gets consummated, the merged entity is likely to cross \$1 billion USD in annual revenues. The merger marks a defining landmark in the evolution of the companies. The merged entity will sit at the intersection of scale, brand strength and market access. We are creating a unified franchise partner for global brands that

can deploy capital, talent and technology across a national footprint with unparalleled speed and consistency. The structural characteristics of the Indian market - rising disposable incomes, increasing urbanization, changing food preferences and accelerating retail and delivery infrastructure, mean that national rollouts and standardized execution translate directly into durable competitive advantage. The QSR segment is amongst the fastest -growing segments within the broader F&B ecosystem.

A single, well-capitalized franchisee with national rights is much better positioned to capture this growth potential.

In short, this merger creates a platform that is better placed competitively ; deeper national penetration for marquee brands, stronger bargaining power with partners and landlords , and the ability to allocate capital where returns are the highest. Our ambition is straightforward - to build the preferred long- term home for global QSR brands in India and to convert India's structural demand tailwinds into sustained, disciplined growth for our shareholders, team members and partners.

I would like to thank Yum ! Brands, Samara Capital and the combined teams of DIL and SFIL whose work has brought us to this point. We now begin our next journey to realize the full promise of this combined enterprise - one that has the potential to redefine the

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competitive map of India's food and beverage sector.

Thank you.

Manish Dawar: Thank you, we can now open the lines for Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question- and-answer session.

We take the first question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations to all the parties involved on this announced merger. Sir, Devyani has always been a great executor in terms of operations. But now the company also has to manage other verticals like technology, supply chain, marketing as well as execute product innovations as well. So how are you as an organization planning to ramp up capabilities in these verticals? So that was my first question.

Manish Dawar: So, Devanshu, you are right. Traditionally, we have been operators, and executors. As part of the deal, we are going to be taking over some functions for the brands, and therefore, let me explain th

at to you better. For Pizza Hut, we will be taking over

marketing and innovation, and we will be taking over technology and supply chain

function as well. Whereas for KFC, as of now, it is going to be only technology and SCM. Marketing and innovation will

continue to be run by Yum! the way it was being run in the past. We do recognize that we have to build these capabilities because in the past, we never used to handle these functions. And hence, while let us say the merger discussions were on, we have started to build those capabilities. Internally, we have already had discussions in terms of how the organization structure should look like for these functions, how the leadership for these functions should look like. So all that planning is already in place. You will also be pleased to know that we have already gone and hired some positions, and some of them are in pipeline. So rather than waiting for the merger approval, we have already started working on these areas, recognizing what we have and what we do not have. And therefore, this is well on its way. You will also be happy to know that we have also already shortlisted a technology partner who will help us and create the new technology assets in terms of web and app. There are some internal approvals that we need to obtain, but we have already shortlisted a large global technology vendor to partner us in this transformation journey, as well as help us give a different customer experience already. So we will announce this in due course. So considering all of our preparedness, as far as these functions are concerned, we will be ready by June, with our capabilities and capacities well before the merger gets approved. So therefore, we have already taken steps in that direction.

Devanshu Bansal: Manish, you did indicate some similar leadership hiring. So are you sort of trying to indicate that from a CEO perspective also, you will be looking for fresh candidates here who can sort of manage the overall new set of capabilities that will be coming into

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picture for the merged entity?

Manish Dawar: So let me just clarify, Devanshu, what I said, and then Mr. Jaipuria will pitch in in terms of the leadership. What I said was that as far as these functions are concerned, which is in terms of marketing the technology. So those are the functional leaders that we need to kind of fill the gap, and that is the process we have already started. A few of them, we have already closed the negotiations and the offers, few are in the pipeline.

So that is the point that I made.

Ravi Jaipuria: So I think as far as the leaders are concerned, I think we are still about a year away from the merger. And there is a lot of work to be done on both sides. So I think we need to sit together and see who are the best, in both the teams and then pick and choose between the two teams and find the best people to take it forward.

Devanshu Bansal: Very clear, sir. And obviously, the company has indicated a certain level of synergies of about INR2.1 billion to INR2.25 billion. So wanted to clarify all these synergies are over and above the new investments that you will be making in the business, right? Or

maybe to ask it in a different manner. So currently, the merged entity will be operating at 7% to 8% pre-IND-AS margins in, say, FY26. And the leader currently operates at about 13-odd percent. So I wanted to check how much of a bridge we can, sort of, narrow versus the leader and based on the net synergies that will be there in the business.

Manish Dawar: So Devanshu, the synergies that we have indicated are net of costs and will come and sit on top of where we are currently. So we are not going to be commenting on where the leader is and what our plan is. Obviously, we will come back to you in due course.

Let's kind of progress, and then we'll come back.

Moderator: We take the next question from the line of Jignanshu Gor from

Bernstein.

Jignanshu Gor: Congratulations to both the teams for successfully crossing this threshold. I had a couple of points I wanted to check. One is the overall transaction mentions a combination of share swap for most of the shareholders. And a specific sort of paid-up capital, which will be bought by a group company. Is there any more color that can be shared on the terms? Are they similar for share swap versus the onetime purchase of the group company? How will that transaction sort of work together? Is there some more color that can be shared here?

Manish Dawar: So Jignanshu, as far as Devyani is concerned, it will all be share swapped because, obviously, there is no cash out as far as Devyani as a legal entity is concerned. And therefore, that share swap we have already indicated in terms of 177 shares of Devyani in lieu of 100 shares of Sapphire and that is predominantly because of the face value

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difference. On the promoter-to-promoter deal, I would request Sumeet from Samara Capital, if he can throw some light.

Sumeet Narang: Thank you, Manish. As it was disclosed in the DRHP, as per Yum! requirement, Sapphire Foods India Limited has a promoter entity in Mauritius, Sapphire Foods

Mauritius Limited, which is supposed to maintain at least 25% stake. And without Yum!'s prior approval, that stake cannot be sold to anyone. So it is a restricted stock in that sense. Now as the merger that will be conceptualized in discussions with Yum!, the surviving combined entity needs to have one promoter which is RJ Corp as a promoter and controlling shareholder of the merged business and that promoter entity of Sapphire Foods, which has 25% stake has, bilaterally promoter to promoter at Mauritius level, decided that part of that 25% stake will be transacted bilaterally, so that RJ Corp can maintain a significant shareholding in the combined entity in line with discussion with Yum!, and that number will be 18.5% out of the remaining 25% and the remaining portion will be share swapped in the combined entity. This 18.5% also will be closed bilaterally somewhere between 3 and 15 months between the two parties on a mutually agreeable basis, which allows RJ Corp to maintain a significant shareholding, which also satisfies lot of Yum! criteria in terms of the threshold of shareholding of a promoter they want to maintain. And the combined entity will then have a complete public shareholding other than the RJ Corp as a promoter.

Jignanshu Gor: Understood. So if I were to rephrase for my understanding, it will be disclosed in due course when it is finalized. Is that the right approach? Is that the right conclusion?

Sumeet Narang: Yes. So there will be filings and what is being disclosed today, is that 18.5% will be sold bilaterally, somewhere to be closed between 3 and 15 months on a bilateral basis and the remaining will be share swapped into the combined entity, which is DIL, with RJ Corp as a promoter and Sapphire Foods Mauritius will cease to be a promoter, which has all been approved by Yum! And the reason I think RJ Corp, the affiliated entity had to purchase, so that the promoter shareholding in the combined entity of RJ Corp Group is strong enough from Yum!'s satisfaction perspective.

Jignanshu Gor: Makes sense. Okay. Just a second quick question then and this is specific to Pizza Hut, right? There have been a lot of discussions over the last few quarterly calls on the approach for reviving Pizza Hut as a brand. And I have the pleasure of having both the management on the call from Devyani and Sapphire. So is there a common understanding or view which we can share today? Or is it something that we are still working towards, and we will release later? So just interested to understand the future for Pizza Hut.

Manish Dawar: So Jignanshu, let me just explain you first what the regulatory landscape is. So both of us, as you know, are publicly listed companies. And we cannot engage with each other

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in terms of what the future strategies and what the future objectives are and how will that be fructified and so on and so forth, given the antitrust and the Competition Commission rules. Once we have CCI approval, we will engage in deep conversations in terms of what the future and unified strategy for Pizza Hut will be. And therefore, at the right time, we will come back, and we can talk about the Pizza Hut strategy going forward on the basis of merged entity.

But Yum! also recognizes India to be one of the priority markets within the Yum! global portfolio. And the way we have negotiated the deal in terms of certain incentives and waivers, and whatever is our thought process because obviously, we have not engaged with Sapphire on this one, I can tell you that in the first year, we will be able to kind of get to a positive brand contribution margin on Pizza Hut. Our endeavor will be to be at a low double digit given what we have as part of the deal and negotiation with Yum! and as part of our revival strategy. So all of that is already kind of baked in into when I say that we will be able to achieve low double digits. Let me give you some color broadly from whatever we have kind of negotiated with Yum! which will kind of give you confidence in terms of why we are saying so. So one, if you look at both the companies over the last 3 years, we expanded Pizza Hut Franchise quite rapidly, and that led to negative SSSG, which led to lower margin structures. We have already negotiated with Yum! that our priority is to turn around the business, our priority is to put Pizza Hut back to its old glorious day where it used to be market leader. And hence, we will not be under stress to open net new units from where we are today. What we have negotiated is a small number that can be easily achieved. We will have the full flexibility to shut the stores and turn around the stores and put new stores in place, very clearly, what we agreed with Yum! that the net new units, which is the net count as we close the merger will not be negative. But within that, we will have the flexibility to turn around the brand to turn around the stores, in a much faster way so that we are able to achieve the results faster. At the same time, since we are a unified team and therefore, the decision-making and qualitative engagement will be far superior to what it used to be earlier. And hence, we feel confident that along with these elements and the fact that we are going to be taking over marketing and innovation and the fact that we have already started or taking steps on the technology side, that gives us the confidence that

over a period of time, Pizza Hut brand contribution margin should come closer to KFC. But to begin with, we will be able to kind of demonstrate that we are able to get to the low double-digit brand contribution.

Moderator: We take the next question from the line of Manoj Menon from ICICI Securities.

Manoj Menon : I had a couple of questions actually. The first one, in fact, was on the previous participant because I was actually looking to get some clarity on, let us say, your portfolio reshape opportunity, particularly on the Pizza Hut. Manish, just to reconfirm -

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we are saying that Pizza Hut, let us say, needs to be restructured, bringing the profitability to a certain level. And then there could be a phase for faster growth in that brand, right? Is that the right, let us say, conclusion?

Manish Dawar: See, very clearly, we need to restructure the brand, and we also need to drive the top line from a SSSG perspective because, obviously, with the SSSG turning negative for the last few quarters, the deleverage has set in, which has kind of eroded the profit ability. And hence, both will have to be kind of sorted out together. On the restructuring side, obviously, we do not have the complete visibility on

how the

Sapphire individual store level portfolio looks like. We will engage into that once we have a set of regulatory approvals, we also need to engage together in terms of how we should drive the top line and the growth, and that is where the expertise from both sides will come out in terms of marketing initiatives, in terms of innovation that is required to be done. And hence, that is the reason I said initially that we will be able to come back to you guys in due course of time. So it is basically restructuring and SSSG drive. Those are the 2 important pieces to the turnaround.

Manoj Menon : Just one quick follow -up and I all fall back in the queue. So thanks for the disclosure on the cost synergies, which is very impressive. But I have a question on any potential revenue synergies which you see. So that is point number one. The second let us say, how do we think about the cost synergies? Is that more fuel for, let us say investing behind a lot of the new brands, including the recent acquisition of BBK etc. How do we think about the, let us say, the utilization of the cost synergy? Second one or the first one is on your thoughts on revenue synergies on the brands.

Manish Dawar: Sure. So as you know, Manoj, that this is a unit level retail business, right . I mean, I do not want to kind of get into individual companies, but we have seen at times, for example, let us say there is a brand store, which is there, and there is a next-door food court store where the same brand is present. We also need to think too in terms of the channels because today there is a very, very clear division available between a customer who consumes QSR at home versus a customer who consumes QS R by way of dine- in and they are looking for that experience. It could be a weekend experience, it could be evening experience, it could be in the malls, whatever channels we are talking about, and you guys are aware of that. So therefore, we need to have a distinct and very, very clearly articulated strategy for all of these channels, for all of these things and therefore, let us say, once we become unified, these things will help a lot. And

hence, very clearly, when I say SSSG, that is a revenue opportunity, which kind of comes about whereby, let us say, the two companies are able to kind of jointly strategize, jointly communicate have a common strategy in terms of negotiations, in terms of execution and so on and so forth.

Moderator: We take the next question from the line of Saurabh Kundan from Goldman Sachs.

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Saurabh Kundan: Most of the questions are already answered, t hanks for that. Just one quick one on KFC. The release does not like specifically mentioned that there will be an acceleration in the combined entity. But is it fair to assume that we could expect an acceleration in KFC because you' ve spoken of signing new DAs as well. Would it be fair to assume that being the stronger format we could see an acceleration there on store basis?

Manish Dawar: See Saurabh our objective is to kind of accelerate the business, both on KFC as well as Pizza Hut as we come along as we get unified. And with that objective is where the merger is taking place. So because India presents a large opportunity, the kind of conditions which are there in the market, it needs a unified strategy, it needs a unified thinking. A unified approach is far better compared to a 3- way approach. On KFC, the objective will be to kind of accelerate, but it will be a calibrated expansion. So just to give you an idea in terms of where we stand, whatever our DAs are, which is what we have indicated will be kind of executed in due course. On KFC, whatever are the individual commitments between us as Devyani and Sapphire, the common DA will be

very close to those numbers. So therefore it will not be a huge one. But again, we have already indicated, and we have kind of always demonstrated in the past, that it is

a

market demand that needs to get created, which drives this overexpansion. DA is just one element of it. So, for example, if the market kind of grows better than what we expect if you are able to kind of strategize better. And if you have to go beyond the DAs also, we will be quite happy to do that. So the market has to support. Capital is not an issue. What is important for us, as we have indicated in the past is the return on capital.

Saurabh Kundan: Okay. Fair enough. Thank you. My second and last question is that you will be investing in tech app for Pizza Hut, for KFC as well, can we assume that there will be a focus now on our own fleet? Is that a fair assumption to make and in general would you want to change – you are changing the few things about Pizza Hut. Are you going to do that for KFC? Do you have the liberty to do that now?

Manish Dawar: So Saurabh, as I mentioned, on KFC also the technology and SCM will get transferred and get transitioned to the merged entity as we go along. However, what is important and which I think Devanshu had raised initially that we need to build the capability and demonstrate that we are able to handle that with Yum. So hence, our entire technology road map is going to be a common one for DIL, including KFC and including our own brand. Obviously, the top layer, which is the consumer UI UX, the consumer interface, the brand representation, the brand colors menu that will be individual for the brand, but the basic tech stack will be a common tech stack across DIL and across all of its brands. So hence, again here we will drive the benefits coming out of a unified tech strategy. And I did indicate that we have already shortlisted a large global technology partner with us. And we will be kind of looking at that internally, approving. We need to take Yum also on board so that they also get the confidence that we have taken the

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right decision, but technology for the entire company will be common and for KFC also will get transitioned to us.

Saurabh Kundan: Understood. Just a follow-up, sir. In very simple terms, there are things like faster delivery in 20 minutes, etc. It is a lot of time compared to what the market leader does. Is the effort towards that?

Manish Dawar: Absolutely. So if you look at, Saurabh, I mean, in the QSR world today, it is all about speed and innovation. And therefore that is what gives the best results. And speed means the faster turnaround at the stores, the faster delivery to the consumers and, along with innovation and that will be the big focus area for the merged entity.

Moderator: We take the next question from the line of Avi Mehta from Macquarie.

Avi Mehta: Just had a few clarificatory questions. First, if you could just explain the process through which the pricing for this 18.5% promoter stake will be determined and whether there is an exit fee in case the approvals do not fall in place, that is an unlikely event, but I still wanted to kind of clarify that. And last clarification, just whether the marketing and innovation functions for KFC is this more a temporary arrangement and will they also eventually move? Is that also part of this agreement? Just any clarification or were there any thoughts on that? That is it?

Manish Dawar: So, Avi. let me answer the easier one first. So marketing and innovation for KFC will continue with Yum and there is nothing as part of the current agreement. On the other piece that you mentioned, I think I will request Sumeet to kind of come in for that.

Sumeet Narang: Yes. So I think on the 18.5% promoter to promoter stake sale, it will conclude between 3 to 15 months on a mutually agreeable basis. It could be pre-approval of NCLT post basis bilateral arrangements. And I think the pricing, there has been a floor price set between the two parties of INR 280 which is driven by both the fairness valuation, which was around that level and the

90-day average as well. And then I think exact closing is bilateral between the two promoter entities, which could be anytime between 3 to 15 months from now from the date of signing and approval of the transaction.

Avi Mehta: And what is the exit fee bit, Sumeet? Is there any? In case the approvals do not pan out for any reason?

Sumeet Narang: I think there is nothing attached, there is no exit fee in that sense.

Avi Mehta: Got it. Manish, just one last bit, if I may ask you on the costs synergies versus what is being paid to Yum, the contrast. Just wanted to understand how you look at it. So we are looking at a payout of INR 320 crore odd to Yum for this merger. And the synergies, which will eventually occur to us is only about INR 210 crore to INR 220 crore. If you

could help us explain, how should we look at this? Is this correct to contrast and say that a lot of the synergy are going away or is the INR320 already part of that factoring in? So your thoughts on that would be helpful?

Manish Dawar: So Avi, INR320 crore, the fee that we are going to be paying to Yum, that is a onetime payment, whereas synergies will accrue year after year for the entire whatever lifespan of the business. So therefore, it is not a right comparison, and therefore, from your perspective, maybe you can say the entire merger cost is a consideration of the share swap plus whatever, INR320 crore of fee. And this will also get capitalized.

Moderator: We take the next question from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: My question is on KFC. Last several quarters, the SSSG for the brand has been quite weak and the numbers have been similar within a small band for Devyani and Sapphire SSSG for KFC, given that you are not taking over any new functions like marketing, innovation, tech, etc., for KFC. How will this merger help you accelerate the SSSG for the KFC brand?

Manish Dawar: Percy, see, as I mentioned for KFC also, we are going to be taking over technology and SCM in due course of time. And today, let us say, if you look at KFC for both the businesses, close to 45% of the business gets home consumed or home delivered. And there technology has a huge role to play. And hence, we are trying to sort that

piece out by having a unified strategy on technology for all of our brands. So we feel it is going to definitely help us in terms of driving the top line. At the same time, we have been engaged in this deal for a while now, it does kind of defocus a little bit from the core proposition with having this done already, we will kind of get back on the SSSG numbers also on the fundamentals of the business. So therefore, we feel very, very confident that we will be able to kind of recover more and deliver more versus where we are today. And again, we think that the current headwinds are temporary in nature are cyclical with whatever is happening in the economy and therefore, we should be able to come out of that very shortly.

Percy Panthaki: Got it. Secondly, on the synergies of INR210 crore to INR225 crore, which you have mentioned, which you said is a net number because you are going to spend more also as you are taking over some functions from Yum! So this is the number after that additional expense which will come in. Would you be able to give some idea on the quantum of these additional expenses? So what I am trying to see is what is the gross versus the net synergies? And also some breakup of this, like how much is going to come from a royalty reduction, how much from corporate overhead, how much from logistics, etc.? Any kind of flavor, if not the exact number?

Manish Dawar: Fine. So we will not be able to give you the exact numbers but let me tell you how it

kind of works. If you look at the G&A between the two companies, obviously, that is an opportunity area, and we have made some assumptions. Obviously, when we are

integrating the two companies, there will be some costs. At the same time, as you

indicated that not only that we are supposed to take over some people from Yum! in terms of the functions that we are going to be taking over, we also need to build leadership capabilities in those functional areas. I have already indicated that we are close to finalizing a global technology vendor who will help us in this transformation journey. So that will also cost money. So all of these are costs, all of this is in the pipeline. We have just concluded our agreement stages, we have just announced. We will have to get into the details. We have not kind of crystallized every last penny because we have not engaged at that level. So in due course we will come back and give you all the answers. We feel confident that we will be able to deliver these synergies by way of G&A, by way of additional Yum! incentives, by way of additional negotiations on the procurement costs and so on and so forth. And again, I think we also heard some feedback from the market that people are not very clear in terms of when these synergies will be realized. So we are expecting in the first year post-merger approval, we will be able to realize a substantial part of the synergy. Our estimate is that number will be close to 60%. And in the second year, we will be able to realize the balance amount of synergies. So within 2 years post-merger, we will be able to realize 100% of the synergies that we have already indicated.

Percy Panthaki: And would the gross synergies in the ballpark be about 1.5x the net synergies? Or I mean, is that more or less in the ballpark?

Manish Dawar: It will be lower than that, but not 1.5x. Remember that the two businesses are very, very similar to each other. If you look at the asset footprint, if you look at our systems, processes, everything it is very, very complementary to each other. So I think from an

integration point of view, this is probably, I would say, one of the best mergers in the history that it is such a complementary set of assets and complementary set of people as well as the processes as well as the IT systems and all that the gross cost is not going to be huge.

Percy Panthaki: No, I was just asking because some of the Yum! functions you will be bearing the cost now. So from that point of view, I was asking.

Manish Dawar: Yes, yes. So we have netted that off already.

Moderator: We take the next question from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: My question is with regards to the incentives, specifically with regards to the Pizza Hut. Are these incentives for a limited period of time and post which, once things are in order, proper in shape, will these incentives kind of go away?

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Manish Dawar: So, Gaurav, we have incentives for a period of 10 years. And I think in your model beyond 10 years, the NPV, I guess, will be zero. So therefore, I mean, these are long-term. These are here because as I said, Yum! is equally serious as we are in terms of turning around the Pizza Hut business. And they have really kind of helped us and supported us in putting the entire thing together, so that we are able to kind of make sure that Pizza Hut comes back to its old glorious days, and it starts to do extremely well. Similarly, on KFC also the fact that we are going to be taking over supply chain and technology shows a very positive kind of momentum from Yum! side. So these are all here for the long-term.

Gaurav Jogani: Sure. And, just a follow-up on the Pizza Hut bit, Yum! has globally taken a strategic call to review the Pizza Hut as a business. So would that, in anyways, have any effect on the Pizza Hut business going forward?

Manish Dawar: Gaurav, in our understanding, because we are not privy to whatever their negotiations or contracts or stated positions are. But typically, let us say, in these situations,

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current agreements and the current negotiations are protected. And therefore, hopefully, there should not be any impact on us, but we are not privy to what their negotiations are.

Moderator: We take the last question from the line of Athar Syed from Smartsync Services.

Athar Syed: Just wanted to know, going forward, what would be our strategy after 1 or 2 years later, let us assume, like, where do we focus mainly in online or offline? Like recently, I read some QSR companies and many other companies are getting good growth in online and facing some headwinds in offline stores. So can you please throw some light on this?

Manish Dawar: So, Athar, as I said before, we will not be able to say anything because we are not allowed to engage very closely at this stage of the merger announcement. And hence, we will

not be able to present to you right now in terms of what our strategy post-merger will be. Once we have some fundamental approvals in place, that is where we will engage.

We will discuss the merged company synergies, and we can come back to you in terms of what the synergies are, what the future strategy is, what the plans are, how are we going to be handling every brand. So, that will happen in due course of time. As you know that the entire merger approval process is going to take about 12 months' time, so it could be anywhere from 9 months to 15 months. And I think that is the time that we will utilize for defining the structure, the organization, the strategies and all of those things.

Athar Syed: And, sir, can you please throw some light on the part that company has a higher level of debt compared to Sapphire Foods, and our debt-to-equity ratio is also higher. It

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would be helpful to understand the reasons behind this difference?

Manish Dawar: So, as you know, let us say, whatever the market cap is, that takes into account the debt which sits on both the balance sheets. And if at all, let us say, when we merge, the balance sheet will become even stronger versus where we are today. And even from a Devyani standalone perspective, the debt is a small number. So it is not a high amount of gearing that there is any concern. So therefore, that to us is not a big concern area in any case.

Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Manish Dawar: Thank you very much.

Raj Gandhi: Thank you, everyone, for participating in our Investors' Call. I am sure the management was able to address the finer points of the merger and clarify any doubts you may have had. If you still have any questions, you are most welcome to contact the Investor

Relations department of the company. Once again, thank you very much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity.

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Call: May 2026

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